

Tanla Platforms (TANLA)

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Call: Jul 2022

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July 30, 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Un -Audited Financial Results of the Company for the quarter ended June 30, 2022, held on Tuesday, July 26, 2022, at 4:30 PM IST.

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcriptq1fy23.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited
(Formerly known as Tanla Solutions Limited)

Seshanuradha Chava
Company Secretary
ACS -15519

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Tanla Platforms Limited
Q1 FY23 Earnings Conference Call Transcript
July 26, 2022

Call Duration ■ 58 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Aravind Viswanathan - Chief Financial Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
Participants that asked
the questions ■ Aniket Pande - ICICI Securities
■ Balaji Subramanian - IIFL Capital Ltd.
■ Ashish Rathi - Lucky Investments
■ Anil Sarin - Centrum Wealth
■ Miraj Shah - Dalal & Broacha
■ Amit Chandra - HDFC Securities
■ Pranav Kshatriya - Edelweiss Financial Services
■ Deepak Chokhani – Individual Investor
■ Amit Mishra - Individual Investor
■ Deepak Poddar - Sapphire Capital

Operator: Ladies and gentlemen, good day and welcome to Tanla Platforms Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ritu Mehta from Tanla Platforms Limited.

Thank you and over to you.

Ritu Mehta: Hello, everyone. I'm Ritu Mehta and I lead Investor Relations for Tanla Platforms. On behalf of everyone at Tanla, I would like you to welcome to our earnings call Q1 FY23. Joining with us today are Uday Reddy, our Founder, Chairman, and CEO; Deepak Goyal, Executive Director, and Chief Business Officer; and Aravind Viswanathan, our CFO.

Uday Reddy, our Founder, Chairman, and CEO will share his perspectives of business imperatives and strategic progress made by Tanla. After his opening remarks, we'll be happy to engage with the participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website.

Now over to Uday.

Uday Kumar Reddy: Thanks Ritu. Good afternoon, everyone. A very warm welcome to our Q1 FY23 earnings call. I hope you had a chance to see our results. I will specifically cover two areas in this call before we go to Q&A. First, I will talk about the Q1 FY23 performance, and I also would like to give a quick update on the areas of strategic focus. After many quarters of our consistent performance, we have had operational headwind in Q1 FY23. We delivered 28% revenue growth in a seasonally weak quarter. But we faced headwinds which affected our profitability. We had internal and external factors affecting us. And let me give you a view of the same.

We had some challenges with our Karix platform. We have seen significant growth over the past few years in terms of volumes, and we needed to upgrade our current infrastructure to meet the scale requirements and deliver top notch customer experience. This caused some short-term impact on our EBITDA. However, I firmly believe this was the right thing to do from a longer-term perspective. And we don't see any EBITDA impact due to this going forward.

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The second aspect was unfavorable exchange movement between Euro and Dollar. This affected our EBITDA by almost by 1%. We also have some market disruption with some customer, specific impact affecting our profitability in Q1. In total, we had a cumulative impact on EBITDA of almost around 4.5% due to these factors. We expect that most of the impact is one-off, and we should get back to operating at the levels around 20% in the next two quarters.

On the overall market, I am quite excited about the potential here. We continue to grow our existing clients and add market new clients. Our platform business grew around 23% year-on-year and operated at 95% plus gross margins. We are making significant progress on our Wisely journey. We have deployed our AI/ML based firewall with the VIL, and it went live in Q1 FY23 and need to get ready to scale in Q2 FY23.

We also had launched Wisely Insights. I have personally taken this Insights and discussed this with global tech giants, and I see tremendous traction with them, which should translate to more business for us in the coming quarters. We have launched

Truecaller towards the end of Q1 FY23. Our beta launch was very successful. And we now see a lot of traction in Q2 FY23.

We are seeing a lot of interest from enterprise customers and very excited by our potential here. We also announced our exclusive partnership with Kore.ai, a leading conversation platform around Wisely.

So, as you can see, multiple competence of our strategy are coming together now. And we have built a solid foundation. And I am confident we will deliver

profitable growth in the coming quarters.

Now, I would like to hand it over to Ritu to carry out Q&A.

Question -and-Answer Session

Operator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. We have the first question from the line of Aniket Pande from ICICI Securities. Please go ahead.

Aniket Pande: Thank you for the opportunity. I just wanted to get some clarity on margins . Apart from the currency headwind, are you seeing increased pricing cuts in the industry due to increased competitive intensity in the industry in last two, three quarters. Secondly, in your PPT, you have mentioned headwinds such as market disruption and modernization also. Can we know in detail exactly what are you referring to in that?

Aravind Viswanathan : Sure. Talking about you have two questions there, right. One in terms of the overall pricing environment in the market, I will ask Deepak to cover that. And then we will come to your second question on this entire platform modernization piece, and you can cover that. So, Deepak.

Deepak Goyal: Good evening, everyone. You asked a question about pricing environment in last two, three quarters. So, I would say pricing environment per se is overall

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stable . Overall, we don't see any pricing competition as such, okay. Though, little bit of price erosion is always there, but this is very normal for our industry. But, as Uday mentioned, we have seen in one of our large customers, where we were getting significant volumes, and there we have seen pricing being quoted much lower, which didn't make sense to us to work on those prices and we decided to scale down our volumes with that customer.

And while the transition was taking place to the other providers, we had to serve at those prices in Q1 FY23 . And hence, we saw our margins going down, but that impact may be there for some part in Q2 FY23 as well. But then going forward, I don't see any issue.

Aniket Pande: Thank you.

Operator: Thank you. The next question is from the line of Balaji Subramanian from IIFL. Please go ahead.

Balaji Subramanian: Thanks for taking my question. So, my first question would be on this pricing pressure aspect. So, we did see that one large customer was offered lower prices by one of your competitors. And is this one-off in nature or is there a risk that the same competitor, which I believe is a large telco with a strong balance sheet and focusing aggressively on the Enterprise segment. Is there a risk that it offers similar pricing in other accounts and we will probably face incremental pressure even if this particular customer sees volume ramp down, that is number one.

Number two is with the scale down in volumes with the first customer that you mentioned, what should one think about your revenue growth going forward, because we have been seeing that in the last two, three quarters, the revenues have been largely range bound between ₹800 and ₹900 crore and the YoY numbers still look good because of the tailwind from the ILD SMS rate increase. But now going into 2Q FY23 that will anniversary and YoY comps might get difficult, that is from me.

Deepak Goyal: I would like to say that we have seen our multiple bids after this particular bid, okay. And I have not seen anything like that. I would say this is a one-off, where our competitor just decided to quote, whatever they quoted, and I am sure they

must

realize what they've done, because I have not seen anything happening afterwards. Because generally after two or three years, there are so many bids get due from certain number of customers. So, I don't see an issue going forward. As far as our revenue is concerned, when there is some sort of a price erosion then it impacts the revenues. But we have been winning a lot of new businesses, a lot of new customers, and you would see growth in revenues in the coming quarters.

Balaji Subramanian: Okay, Deepak that is helpful. So, let me put the first question other way , if I were the telco, which is wreaking havoc, and I have a fairly large enterprise business, where CPaaS has one of the key elements, but I also have other offerings, starting from connectivity, cloud, security, et cetera. So clearly there is some bit of flexibility on the CPaaS front because I can cross subsidize some of this with some of my other offerings. So, what do you think would prevent such a large

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company from kind of going a little low on the competitive front going forward? Because basically, what I am asking is what gives you the comfort that they won't attempt something like this with more accounts?

Deepak Goyal: See first I cannot comment about their thought process. But at the same time, as I said, that there are more bid happened after that, and we have not seen something like this. I would say that, this is one -off because the kind of prices were quoted, so they are not viable for anybody to do that. And it is nothing to do with what other offerings they have, because we also have other offerings, but we don't quote such prices. And just to tell you from the same account, we have won a very big WhatsApp business as well. So, we feel that in the coming quarters, we would be back with the kind of revenues or margin you are making. So, we are very confident about it.

Balaji Subramanian : Okay, thank you , Deepak. This is helpful, and all the best.

Operator: Thank you. The next question is from the line of Ashish Rathie from Lucky Investments. Please, go ahead.

Ashish Rathie : Thanks for the opportunity. In the media articles, we have read about this NASSCOM making a case to RBI to change the regulation to include an app notification instead of SMS. You're understanding and take all the same please as it is a concern for us investors, in terms of overall sustainability of our existing business models. I would love to get your perspective on this please.

Uday Kumar Reddy: See this in -app message has been around for quite some time, right? This is not new technology, which is available now, right? It has been there for quite some time. That's number one. Number two, it was never a successful model. In fact, if I am allowed to name all the tech giants have their app sitting on the mobile phone. They can afford to use their in -app messaging. But still, they use SMS, the channels to reach out to the customers because in -app messaging is not reliable.

One should have data all the time for somebody to receive the messaging, in terms of in -app that's number one. Number two, it is not reliable, because SMS can deliver in less than four seconds from the time which leaves the enterprise to the handset. But in terms of the in app, we don't know exactly, it may take a bit of time. So, I don't see any challenge here, okay. And in fact, best to use their apps to reach out to their base consumers in India and globally and they saw the result and they started using the SMS and other channels. So, I think it is blown out of proportion. And we are quite indifferent to this .

Ashish Rathie : Sir the whole case is mostly about the pricing, where at least the media article suggests 0.1 to ₹12 I think that is the app notification of 0.001. So, it could be a case of a downward pressure on the revenues or the pricing that we have and that is something that

the previous participant also trying to indicate towards.

What is your sense of the pricing at the company level in terms of SMS going forward? Is it something that is sustainable over a longer period , or something that could possibly go down as a business?

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Uday Kumar Reddy: We are in this business for more than 20 years . So, SMS is a very secured and more reliable as a channel . And it will remain in the space. In fact, as we speak, the volumes are going to roof in the last couple of years. So, I don't see any challenge in terms of the channel per se. That's number one.

In terms of price, Deepak has already explained about price. So , we don't see any challenge there, everybody has to service the customers. Everybody has to earn their margins. Couple of customers for some reasons best known to them, may try to disrupt for one or two customers, but we don't see any challenge with any other customers either in terms of the price or anything other than that.

Absolutely, no challenge at all. We will grow . Our volumes are growing. We are growing much faster than industry. So, we don't see any challenge.

Ashish Rathie : Thank you. And the second question is - can you give us an indication of what percentage of revenue presently comes for us from SMS for banks and FinTech's combined?

Uday Kumar Reddy: I am afraid we cannot share it. We have bit of NDA on the bank, but yes around 30%.

Aravind Viswanathan : We're not calling out the exact numbers, but that's a largest vertical for us. So that is where it is. But the other point I would just make Ashish is that probably SMS is still one of the lowest costs in India compared to any other market, even if you take Asian markets. So, some of this noise about SMS being very

expensive is not in congruence with what is happening in the globe.

Uday Kumar Reddy: In fact, Ashish, put into perspective. Let's talk about the ILD prices in general in Asia, forget about other parts of the world, right from Sri Lanka to Bangladesh to Philippines, Indonesia, Vietnam, Middle East, Russia, like they are hovering from \$0.06 to almost \$0.20.

We are still at \$0.03 till end of July. And In dian telcos made it to \$0.04 recently.

There is a long way to cover in terms of pricing both domestic as well as international pricing. We are one of the lowest, I mean our prices are very low when compared to the global markets.

Ashish Rathi: So, the case in point then is about security. So, like in terms of in app notifications, versus the SMS, which one is more secure and is there something which cannot be done by say, an SMS in a fool proof manner, which may be can be handled better by in app notification. Just technically if you could help us understand?

Uday Kumar Reddy: I think it is proven that like SMS is more secure both in terms of technology and so on and so forth, like. So that's the reason like, RBI has mandated only SMS as a channel to use for the OTPs and other notifications, right? It clearly says that is more secure channels than any other channels.

Aravind Viswanathan: And also, SMS effectively becomes a second level of security. It's not a standalone. So, many cases the app talks to the SMS, so definitely it is more

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regulated, it's more secure. There are enough instances of that being documented across the realm

Ashish Rathi: Thank you. Thank you so much for the clarity. All the best.

Uday Kumar Reddy: Thank you.

Operator: Thank you. The next question is from the line of Anil Sarin from Centrum Wealth. Please go ahead.

Anil Sarin: Hi, good evening, everybody. I wanted some clarity that this technology upgradation that has been done, how much money has been spent on that?

Again, in the rest of the year, is there more money to be spent on technology upgradation? That is part one of my question.

The second part is, in continuation to the earlier person is

that despite this

setback for the full-year, if you can give a rough space of the revenue growth, there are few pressures and pulls in terms of some disruptive pricing by somebody, the ILD tailwind going away, new clients getting added, so it is quite a complex thing. But like most IT services companies, they like to give out whatever revenue guidance, so we would really appreciate if you can give us some revenue guidance, considering all the pluses and the minuses that we were currently seeing. So these are the two questions that I have.

Uday Kumar Reddy: I think we made it very clear number of times, we don't give the guidance. That's number one. But having said that, I made it very clear today, we went back almost 16% levels in terms of EBITDA. But we should get back to operating at the levels around 20% in the next couple of quarters. So, we are pretty confident, we will come back to the 20% EBITDA margins in the next couple of quarters.

Anil Sarin: My question is, will it be for the full year when we close the books of accounts for this financial year '23, it will be 20% margin or it is 16% this quarter, then improving, then improving and ultimately reaching 20%, which of the two will it be?

Uday Kumar Reddy: I'm not confirming either Anil, all I said was we were operating at more than 20% for the last six quarters. Our priority is to get back to 20% as soon as possible. We have very, very clear strategy. We have lot to leverage, and we have seen this action in the Q2 itself. I think our top priority is to go back to 20% as soon as possible, okay. I am not saying that we want to go back in the Q2 itself, but in the next two quarters, we are going to reach 20%. So that's our first target. Once you reach 20%, then we will see how it goes from there.

Anil Sarin: Okay, and on a related note, any update you can give us about Wisely. Post the two names that you had shared with us in terms of Vodafone and Truecaller, Any further update because the thinking that we have is that as Wisely gathers momentum, naturally the margins would go up?

Uday Kumar Reddy: Absolutely, Anil. Absolutely, I completely agree with you. So, the Truecaller, as I mentioned in part of my speech, we went that beta launch was very, very

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successful. We went commercially live in Q2. All I can say is, it's doing

phenomenally well. It has really surprised all of us and Truecaller team and our teams are working very, very closely to take this Truecaller and Wisely to the next level. I think we are pretty happy on the Truecaller relationship. That's number one.

Number two in terms of Wisely, the VIL network deployment. It got delayed little bit because it's a very complex product which is a gigantic product, which means you have to integrate it at different levels, it got bit delayed, though it went live still a bit of integration is still pending. We have started clocking the revenues in the Q1 FY23 itself. But we are expecting the momentum in Q2 FY23. To be honest with you, I am pretty happy about Wisely journey so far. This will definitely add to the better margin in total.

Anil Sarin : Okay, great. Just as a follow-on. There was a note brought out by a broking firm, I think HDFC Securities, where they have mentioned that the market size, the total addressable market for Wisely is 1 to 2 billion basically in Indian rupee terms ₹100 crore to ₹200 crore, I surely think that is a typo or I think that the market size that one is looking at for Truecaller, for Wisely?

Uday Kumar Reddy: Anil, I don't think HDFC is what you are referring to? I don't think they have mentioned ₹200 crore is the market, the TAM for Wisely, I don't think they mentioned that unless until I missed out at that point, which is not true line. So total CPaaS is 1.5 billion, which is ₹10,000 crore market, TAM in India alone. So, the total ₹10,000 crore itself is a TAM for Wisely, the way

I would like to look at. So,

it's not only just ₹200 crore, it is the complete market is a TAM for Wisely.

Anil Sarin : Okay. Thanks for the clarification. Just one point like what was spent on the tech upgradation, and everything has been captured in the first quarter or more to come in the coming quarters?

Uday Kumar Reddy: So, Anil, what happened seems like now we continue to augment our platforms, because whenever we see it, we closely monitor our efficiencies of our platforms. So, at probably at 60%, we always augment our platforms. What happens this time was our volumes have gone through the roof in the Q4. And by the time we could able to augment our Karix platforms, it took a little longer than what we expected to source software and hardware from outside India. That's where it completely derailed, so but that was fixed then and there. So, you asked what is the investment that we have made? I think around ₹15 crore to ₹20 crore which is already capitalized in Q1 FY23. But that's a big investment for Karix as now that got a new platform. This is pretty stable, and it's holding well. So, customers are extremely happy with the new platform. We don't need to keep investing it's one of expenses, Anil.

Anil Sarin : Okay, so thanks so much. Just one last thing, is it capitalized or is it expensed during the first quarter?

Aravind Viswanathan : Capitalized but the impact for the quarter is also because some of the disruptions that we had, when we had those issues upgrading those flows into GM. Some of the operational costs flows into GM, but the big Capex investment flows into this depreciation, right. So, it's a combination of multiple line items there.

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Anil Sarin : Okay, okay. So, the gross margin decline that the enterprise business has seen from 23% to 17%, that contains both the impact of this software upgrade platforms strengthening as well as the disruptive actions taken by competition. Both are there. And so, part of it will not recur. The second part is obviously that is subject to how the market evolves.

Uday Kumar Reddy: Absolutely.

Anil Sarin : Okay. Thank you so much, and all the very best.

Operator: Thank you. We have the next question from the line of Miraj Shah from Dalal & Broacha.

Miraj Shah Thank you for taking my question. My questions are regarding in the beginning of the call, you mentioned that there was a one-time one-off client impact, and you expect to recoup this revenue loss. So, you are expecting to recoup this from the same customer or from new customer addition?

Uday Kumar Reddy: A couple of things, the way Deepak explained earlier is, one from the same customer, we have won the WhatsApp business. In fact, the CMG went on live and they have mentioned that they're going to go live on WhatsApp. And we are the one who's going to provide the solutions and services to this largest bank. So, I think for time being, though, we lost a bit of margin and revenues. And we are confident that we are going to recover revenues and margins from the same bank through different services. That's what Deepak has mentioned.

Miraj Shah Great. And sir related to that there is a question, are the switching costs so low pertaining to this business, because as far as we remember in the earlier conference calls, you had mentioned that switching costs are extremely high in this business?

Aravind Viswanathan: We have two points there, right. So even if you look at their switching costs are high here. So, in a sense that even in this case, we continue to be a vendor, partner to the customer here, right. Although we've just chosen to scale down volumes. So, this is an industry, which operates with a multi-vendor approach. And to that extent, there is always switch once you integrate, right. So, we continue to be with the customer, although we have lower volumes. So, it's not that we are out of any customer

rs. So that why, once you're integrated, you're integrated, but the volume split across the multiple partners can fluctuate at times. Deepak, do you want to add anything more on this?

Deepak Goyal: So there are always two to three vendors with any large customer. And it just so happened that, one of the vendors just decided to quote go very, very low on the prices. So, to gain a larger share from that particular customer.

Uday Kumar Reddy : Ashish, let's be clear, we not lost this customer. We have been serving this customer, but we have decided not to service at the levels that they want us to service. So, we're seeing and during the traffic but we're not happy with the current commercials.

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Miraj Shah Sure. So, thank you so much and best of luck for the future.

Operator: Thank you. The next question from the line from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra Hi and thanks for the opportunity. My first question is on the margin decline. So, apart from the cross-currency headwind that we mentioned, so, if you can give more clarity on what the margin impact in the enterprise business was, especially from the ILD and the NLD front. So, most of the impact as you said is from one large customer that is mostly ILD. Are we are seeing some pricing pressure in other pockets also apart from that large customer in the enterprise business. And also, I know as you think that we will actually normalize 20% in the next two quarters. So, is it also having some seasonality impact, because the quarter two, quarter three is generally the strong quarter? So, is it because of seasonality or is it also because we are not seeing any pricing pressure in other accounts? So, if you can provide some clarity on that, it would be great. And secondly on the platform business. We have seen that platform business gross margins have been mostly maintained. So can we see similar pricing war or some similar pricing pressure on the platform business as well and there the margins can decline because in terms of competition, they also acquired a company, which is into DLT and they are also planning to launch something there. So if you can throw some light there?

Aravind Viswanathan: Let me start answering your first question, right. So, your question is whether the impact was very topical specific or much more broad based, the impact of the customer in discussion is on the NLD and not on the ILD for getting that clarity on right. So there was more specific and that is one of the reasons. In ILD there are always pockets, but that is getting addressed more as business as usual. And Uday kind of mentioned about it, that we are actually on a path of increasing prices in ILD in Q2 FY23 to drive our profitability. So that is another variable, which is baked into our assessment, right. So, I would say that, from the journey standpoint, there are two - three things. One is our one-timers that we are trying to offset, some of them will be really immediate, some of them may take a couple of quarters. Two is, a lot of our new initiatives, new business will also kick in which will help drive profitability, right. So, there are multiple factors in play, it would be difficult to peel out individual factors, but collectively we have enough tools and plans in terms of how to get back there. So, it's not just blind seasonality, because a drop here was not fully seasonality, right. So, to that extent, that's how we are seeing it.

Uday Kumar Reddy : In terms of platforms I think the DLT is a consortium between Tanla, IBM and Tech Mahindra. They have deployed -- IBM and Tech Mahindra is deployed with other telcos and we deployed with most of the telcos. And so, we don't see any challenge out there. In fact, we see absolutely no challenge.

Amit Chandra : Okay, and on the Wisely platform, so as the previous participant was mentioning just before

he applications are 1 billion to 2 billion that I mentioned and the report was specifically for the revenue potential for Wisely platform, it was not a TAM. So, in terms of the revenue potential, what we are assessing is it can be another ₹100 crore to ₹200 crore. So what is going to drive that? And is it the

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deals that we have won. Those deals are having the potential to scale it to that level or we will have to, like win more, or it has to be more broad based or it will take no like much more time to scale to those levels. So, if you can provide in terms of roadmap, how we're seeing the Wisely roadmap over the next one year?

Uday Kumar Reddy: Amit, I completely agree with you. In the sense like, as we speak the market is around 45 billion, including government, per month. The transactions from SMS per month and the 45 billion is the TAM for Wisely. And as we speak, we are hovering around 2 billion. So, there is a huge potential to grow out of 45 billion including government, we have just onboarded only 2 billion, there's a long way to cover. So, there is huge potential for Wisely platform. Yet, once the enterprises and the telcos see the value in Wisely, it is pretty easy to scale the volume.

Amit Chandra Okay sir. Thanks, and all the best.

Operator: Thank you. The next question is from the line of Pranav Kshatriya from Edelweiss. Please go ahead.

Pranav Kshatriya Thanks for the opportunity. I have three questions. First question is regarding the gross margin for the enterprises, if you can provide the bridge because it's a fairly sharp jump, you have attributed two to three reasons for the 600 basis points. So, which factor contributed how much fall in the gross margin that will be useful? And also, for that particular customer, if you can tell us even the ballpark range of revenue, which was impacted, because of that, that would be useful, because the difference in the margin is pretty high, just to understand the scale of it?

My second question is regarding the platform business, how that seems to be sort of stagnating considering given Wisely rollout and inherent quality of the business. There was an expectation that that growth will be much stronger. So, how should we see this going forward?

And my last question is as there was some base effect into the pricing increase in the previous quarter. So, if you can comment on how we are seeing the volume growth on a YoY basis in the current, this is for enterprise business?

These are my three questions. Thank you.

Aravind Viswanathan: So, to your first question, just in terms of the bridge, right, we've talked about Forex being about 1%, right, which is the impact on the EBITDA side. The overall impact is about 4.5 at EBITDA, the balance 3.5 is split between the platform modernization piece, maybe around 1%. And the balance will be in terms of the customer specific one, right. So, I don't want to give an individual size of a customer, but they were one of our top five customers, Pranav, which you have the metrics to give you sense of that impact. That was your first question, right. Your second question was, in terms of the platform. See as Uday kind of mentioned, right. Platform business operates at a slightly different momentum, right. So, you roll out a platform, it takes some time to stabilize, just to give you a sense, Trubloq is just probably one of the most profitable platforms in the world

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today, right. But probably from the time it was launched to the time you started, scaling at full potential was about 12 to 18 months, right. So, it is not a business which you will see movement in a slope kind of way. It will be more like a step kind of way, right. So, you have seen us launch multiple aspects of our platform. So, you know the building blocks are in, right. So, we talked about Truecaller scaling up in Q2 FY23. We talked about VIL scaling up in Q2

FY23. So as this

happens, you'll suddenly see a bump up till the next platform kind of gets commercialized and scale.

So, you will have to look at this business with a little more patience, because, it's much more profitable. But it takes a little more time because obviously, the integrations are deeper, it's more embedded in the customer ecosystem, so they're more complex. So that's really how you should read it.

So the potential is high. And it takes some time, but and that's why we keep giving you these updates in terms of what we are doing, it's not static. Now what has happened is we've got a momentum built with terms of our rollout so, so you

will have seen something coming from the VIL, you will see something coming from Truecaller. By the time destabilizing or something will come in from Kore.ai. And then we will keep adding to it and after a point of time, you will find that there are some products kicking in every quarter, but we've not reached that rhythm yet, Pranav. So, you will have to be patient on that. But all the building blocks are doing very, very well. And I think we will scale well on that.

Pranav Kshatriya Sure.

Aravind Viswanathan: So to your first question, right. I want to clarify one point that, when we look at our YoY growth, our YoY growth is not driven by ILD, right. In fact, rest of the businesses actually grow faster even in the enterprise system. So, to kind of attribute pricing as a reason for YoY growth is probably a mistaken, right. So, this business, if you look at last year, we have similar questions where there is seasonality where numbers are a little horizontal between Q2, Q3, Q4 and that's a kind of trend that we've seen over the past two years. So, I think that is how this momentum is in the business. And that's how we are going to kind of track it. We have talked about increasing prices in ILD in Q2. So, we love to build and execute on that on the opportunities we have and that is what is giving us some amount of confidence in terms of how we are looking at the rest of the year.

Pranav Kshatriya : Sure. Thank you. That's it from my side.

Operator: Thank you. The next question is from the line of Deepak Chokhani as an Individual Investor. Please go ahead.

Deepak Chokhani : I have got two questions. What are the key levers to push international businesses. Is it just a technology by Wisely along with the various partnerships you are entering or will it be some kind of cost advantage? That's number one. Number two is any idea when voice DLT could be launched by the regulator?

Uday Kumar Reddy: So when the TCCPR regulations 2008 came sometime in June, the regulation covers both SMS and voice, so this platform is built for both SMS and voice and

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as we speak, the operators went live only in SMS. But our platform is ready that's even at voice capabilities. So, whenever the telcos and regulator decide to launch voice services, we are up again. So that's number two. What is the first question?

Deepak Chokhani : Whether wisely is -- they have a different technology, what will make us succeed in globe?

Aravind Viswanathan: Deepak, let me take a shot and Uday can add on that. So clearly, it's a technology play, right. It's a differentiation play. It's a value proposition play, it's not a cost play, because it's not. It's kind of a low-cost platform, right. Value proposition is around the features of Wisely, it is not around, it would be cheaper, because the basic telco costs anyway are what they are in different markets, not that per se is not a differentiation, I think what we are trying to do with Wisely is a little different.

It is about being a single platform for digital interaction, a one-stop-shop for any customers, with trust with blockchain with all those capabilities built in. And that's how what is resonating with customers. Uday talked about, how Wisely impact was received. And we

have multiple people from who is who from a global tech major perspective, coming and interacting with us on the kind of output that Wisely rose.

And that's really the differentiation and they are all looking at it, not India specific, but on a global basis. So, we will have to execute and build on those conversations. But clearly, it's not a cost play, it's a differentiation play.

Deepak Chokhani : Okay, got it. Thank you so much.

Aravind Viswanathan: Thanks Deepak.

Operator: Thank you. The next question is from the line of Amit Mishra, he is an Individual Investor. Please go ahead.

Amit Mishra : Yes, good afternoon. So firstly, congrats on yet another quarter with healthy year-on-year growth. By the same time, we saw loss in wallet share from big clients and big margin erosion as well. So, it's quite disturbing when we had the guidance in previous quarter to increase and able to maintain the margins. I don't generally talk about stock price, but you must have seen how stock was beaten today and this comes from the background of like big correction in last one, one and half month. So, it's a high concern for us. Any other factors at play, because the result was not so bad, despite the margin erosion. So, I want to hear your thoughts on that?

Second question, I want to check with you about the global GTM and what's the

timeframe we are having, because we discussed this thing in last October, when we hired like one of the biggest consulting firm for the GTM strategy. Now, it's eight months and VIL has been in operations for last three months and we must be interfacing with them for last six months. So it's just basically the second question or shall I begin from the start?

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Aravind Viswanathan: Just the second question, we heard you r first question. Just second question.

Uday Kumar Reddy: Second question, last line, yeah.

Amit Mishra Yeah. So, on the second question about -- I talked about the time we have taken with this consulting firm since October, November last year, so it's like eight, nine months. And with V IL, we have been doing like this interface for last five, six months and we have been operational for last three months. So, we were talking about case studies. Now we should have it, so we want to hear something tangible and so that we can see, and we can anticipate things, what you're doing in this regard? So, if you can answer these two and then I can ask more if there is time.

Uday Kumar Reddy: Okay and all I can say is I don't invest in any stock. So, I cannot really comment on the stock moment.

Amit Mishra Just in Tanla?

Uday Kumar Reddy: Yes absolutely. I'm talking about other t han Tanla, I don't invest, right. My point is very simple. What you really need to appreciate is we have back -to-back , have closed three largest partnerships in the last nine months. The first one is where we have a huge competition, hands on, we won that contract on purely merit basis, not on any other basis. And it's a long -term deal. Once if you kick start revenues in the margins, it's a very, very long -term deal. In fact, let me set back now. I know when we deployed our platforms with some of the telco s in India, probably more than one decade, once we deploy the platform that will go for a long, long time. Okay, we don't deploy the platform for six months or one or two years, right. So, winning the VIL is not easy, hands on we won the deal. We have been deploying. We are facing bit of challenges, because there are too many integration points with the VIL, because Vodafone and Idea came together. There are a lot of network components. A lot of moving parts are there. So, it has gone live, it's not fully gone live, but once we fully go live it's a long -term deal. That's number one, right?

Number two in Truecaller, they are large company from Stockholm, they have more than 300 million users, a pretty large company, rig

ht? So, we they are

available only at Wisely. Okay, it is not that like each and every player in India far global have access to the Truecaller. It is exclusively available on Wisely. That's number two.

Number three, we have closed Kore.ai partnerships , again exclusive for s ix markets. There one can go and read a Gartne r report. They are the top end of magic quadrants; they are market leaders as informed to the market. They have deployed couple of largest deployments on the planet, if I'm allowed to say, in fact, it is availa ble in the public domain. They are deployed with the biggest bank in the world, including the Citibank. So, it is again available only with that only on Wisely. So, it demonstrates the power of Wisely, okay one cannot doubt even for one second, that's the first one right.

The second point is coming back to the consulting firm, yes, they have been working with us, with their help we have closed three largest deals. We take a

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bit of time, it's not that let me close the deal and generate revenues from next year. That's not possible. We are extremely happy with the arrangement that we have with the consulting firm, it is working well for us. We are extremely happy about it. And in fact, we are fully fired up. We are being penalized today, but I don't really comment on that. But we're fully geared up, our team is working, - we are fully fired up. And we are going to come back and get back to 20% EBITDA margins as soon as possible. So, fully geared, we are fully g eared up for that.

Amit Mishra Sir just one question on V IL, how much of migration has happened for Idea traffic?

Uday Kumar Reddy: It's not a question of traffic like it is fully divested in terms of traffic, but unless until we fully integrate the 100% traffic doesn't come to us. It may go to other telcos from there it may go somewhere. There's a lot of leakages in the market.

One of the biggest advantages with our firewall feeds 100% of the legitimate traffic has to come to VIL consumers. That's the reason, VIL has chosen to deploy Wisely deployment with them. So, I cannot really say in terms of percentages, but we are more or less there. And the next probably two weeks, we should be able to complete our integration with VIL Network.

Amit Mishra Sir, on the GTM for global markets, I didn't get the answer, what timeframe we are looking at?

Uday Kumar Reddy: Amit, like you know see when the strategy works for India that strategy works for the global market, right. Now it is once the Wisely is available on the cloud, okay. For me to launch the services outside India is a matter of two days. I don't need to go and deploy the platform in those countries, I just need to, I need to set up the cloud and the global market, and everything is switched on the next two days, right? So in terms of platform deployment, it's pretty easy, because Wisely is completely developed on the cloud. That's number one.

Number two, in terms of GTM, when it is working with the Indian market, it is equally easy to replicate in the global market. So, we're not in a great hurry to expand this as a corporate. We're not this kind of company. We want to be very, very cautious about our expansion plans. India itself is a big market for Wisely. As I told you earlier, 40 billion to 45 billion messages per month, and we are handling only less than 2 billion messages. So, there is long ground to cover in India itself, right. So, expanding the global market is not an issue. It's a question of time before we see the success, and that will help us to expand.

Operator: Thank you. Our next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar Thank you very much sir, for the opportunity. So, I just wanted to understand I mean till last quarter, we have been committed to the rule of 60. And now with the current market condition changes and the margin

pressure also that we are

seeing. So, what sort of rule, we are committed to as we speak now?

Uday Kumar Reddy: Deepak, that's a good question. In fact, I was vocal on the CNBC also, when I was there on the last time. So, this is a rule of 40, that's where most of the SaaS

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companies, successful SaaS companies do operate at a rule of 40. But we have been operating at almost 59% to 60% last year. Our intent is to operate at 60. But we had a bit of a headwinds in Q1 FY23. We don't want to shy away. Our target is to go back to our targets. So, I cannot really comment right now. But we are very cautious about rule 40 and 60.

Deepak Poddar So our target is to go back to rule of 60, right? That's what you're saying?

Uday Kumar Reddy: Absolutely, Deepak, if you look at biggest SaaS companies in the world, okay, they operate at rule of 40, okay, right. But we have been operating at the better levels. We crossed 40s and we crossed 50s and we have always got close to rule of 60. So since we are going to be the platform company, definitely we are very cautious about rule of 40. And we would like to stick to that like our intent is to stick to rule of 40, though we are operating rule of 60. So, I'm not giving you any guidance, whether it is rule of 40 or 60. But we are very cautious about our rule of 40 and 60.

Deepak Poddar Okay, I understood. Yes, I think that's it from my side. All the very best. Thank you so much.

Operator: Thank you. Ladies and gentlemen, due to paucity of time that would be our last question for today. I'll now hand the conference over to Ms. Ritu Mehta for closing comments. Thank you. And over to you.

Ritu Mehta: Thank you everyone. That was the last question for today. In case we couldn't take your question due to time constraints, please feel free to reach out to Investor Relations team. Have a good evening.

Uday Kumar Reddy: Thank you.

Operator: Thank you very much. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2022

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July 30, 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Un -Audited Financial Results of the Company for the quarter ended June 30, 2022, held on Tuesday, July 26, 2022, at 4:30 PM IST.

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcriptq1fy23.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited
(Formerly known as Tanla Solutions Limited)

Seshanuradha Chava
Company Secretary
ACS -15519

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Tanla Platforms Limited
Q1 FY23 Earnings Conference Call Transcript
July 26, 2022

Call Duration ■ 58 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Aravind Viswanathan - Chief Financial Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
Participants that asked
the questions ■ Aniket Pande - ICICI Securities
■ Balaji Subramanian - IIFL Capital Ltd.
■ Ashish Rathi - Lucky Investments
■ Anil Sarin - Centrum Wealth
■ Miraj Shah - Dalal & Broacha
■ Amit Chandra - HDFC Securities
■ Pranav Kshatriya - Edelweiss Financial Services
■ Deepak Chokhani – Individual Investor
■ Amit Mishra - Individual Investor
■ Deepak Poddar - Sapphire Capital

Operator: Ladies and gentlemen, good day and welcome to Tanla Platforms Limited Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ritu Mehta from Tanla Platforms Limited.

Thank you and over to you.

Ritu Mehta: Hello, everyone. I'm Ritu Mehta and I lead Investor Relations for Tanla Platforms. On behalf of everyone at Tanla, I would like you to welcome to our earnings call Q1 FY23. Joining with us today are Uday Reddy, our Founder, Chairman, and CEO; Deepak Goyal, Executive Director, and Chief Business Officer; and Aravind Viswanathan, our CFO.

Uday Reddy, our Founder, Chairman, and CEO will share his perspectives of business imperatives and strategic progress made by Tanla. After his opening remarks, we'll be happy to engage with the participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website.

Now over to Uday.

Uday Kumar Reddy: Thanks Ritu. Good afternoon, everyone. A very warm welcome to our Q1 FY23 earnings call. I hope you had a chance to see our results. I will specifically cover two areas in this call before we go to Q&A. First, I will talk about the Q1 FY23 performance, and I also would like to give a quick update on the areas of strategic focus. After many quarters of our consistent performance, we have had operational headwind in Q1 FY23. We delivered 28% revenue growth in a seasonally weak quarter. But we faced headwinds which affected our profitability. We had internal and external factors affecting us. And let me give you a view of the same.

We had some challenges with our Karix platform. We have seen significant growth over the past few years in terms of volumes, and we needed to upgrade our current infrastructure to meet the scale requirements and deliver top notch customer experience. This caused some short-term impact on our EBITDA. However, I firmly believe this was the right thing to do from a longer-term perspective. And we don't see any EBITDA impact due to this going forward.

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The second aspect was unfavorable exchange movement between Euro and Dollar. This affected our EBITDA by almost by 1%. We also have some market disruption with some customer, specific impact affecting our profitability in Q1. In total, we had a cumulative impact on EBITDA of almost around 4.5% due to these factors. We expect that most of the impact is one-off, and we should get back to operating at the levels around 20% in the next two quarters.

On the overall market, I am quite excited about the potential here. We continue to grow our existing clients and add market new clients. Our platform business grew around 23% year-on-year and operated at 95% plus gross margins. We are making significant progress on our Wisely journey. We have deployed our AI/ML based firewall with the VIL, and it went live in Q1 FY23 and need to get ready to scale in Q2 FY23.

We also had launched Wisely Insights. I have personally taken this Insights and discussed this with global tech giants, and I see tremendous traction with them, which should translate to more business for us in the coming quarters. We have launched

Truecaller towards the end of Q1 FY23. Our beta launch was very successful. And we now see a lot of traction in Q2 FY23.

We are seeing a lot of interest from enterprise customers and very excited by our potential here. We also announced our exclusive partnership with Kore.ai, a leading conversation platform around Wisely.

So, as you can see, multiple competence of our strategy are coming together now. And we have built a solid foundation. And I am confident we will deliver

profitable growth in the coming quarters.

Now, I would like to hand it over to Ritu to carry out Q&A.

Question -and-Answer Session

Operator: Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session. We have the first question from the line of Aniket Pande from ICICI Securities. Please go ahead.

Aniket Pande: Thank you for the opportunity. I just wanted to get some clarity on margins . Apart from the currency headwind, are you seeing increased pricing cuts in the industry due to increased competitive intensity in the industry in last two, three quarters. Secondly, in your PPT, you have mentioned headwinds such as market disruption and modernization also. Can we know in detail exactly what are you referring to in that?

Aravind Viswanathan : Sure. Talking about you have two questions there, right. One in terms of the overall pricing environment in the market, I will ask Deepak to cover that. And then we will come to your second question on this entire platform modernization piece, and you can cover that. So, Deepak.

Deepak Goyal: Good evening, everyone. You asked a question about pricing environment in last two, three quarters. So, I would say pricing environment per se is overall

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stable . Overall, we don't see any pricing competition as such, okay. Though, little bit of price erosion is always there, but this is very normal for our industry. But, as Uday mentioned, we have seen in one of our large customers, where we were getting significant volumes, and there we have seen pricing being quoted much lower, which didn't make sense to us to work on those prices and we decided to scale down our volumes with that customer.

And while the transition was taking place to the other providers, we had to serve at those prices in Q1 FY23 . And hence, we saw our margins going down, but that impact may be there for some part in Q2 FY23 as well. But then going forward, I don't see any issue.

Aniket Pande: Thank you.

Operator: Thank you. The next question is from the line of Balaji Subramanian from IIFL. Please go ahead.

Balaji Subramanian: Thanks for taking my question. So, my first question would be on this pricing pressure aspect. So, we did see that one large customer was offered lower prices by one of your competitors. And is this one-off in nature or is there a risk that the same competitor, which I believe is a large telco with a strong balance sheet and focusing aggressively on the Enterprise segment. Is there a risk that it offers similar pricing in other accounts and we will probably face incremental pressure even if this particular customer sees volume ramp down, that is number one.

Number two is with the scale down in volumes with the first customer that you mentioned, what should one think about your revenue growth going forward, because we have been seeing that in the last two, three quarters, the revenues have been largely range bound between ₹800 and ₹900 crore and the YoY numbers still look good because of the tailwind from the ILD SMS rate increase. But now going into 2Q FY23 that will anniversary and YoY comps might get difficult, that is from me.

Deepak Goyal: I would like to say that we have seen our multiple bids after this particular bid, okay. And I have not seen anything like that. I would say this is a one-off, where our competitor just decided to quote, whatever they quoted, and I am sure they

must

realize what they've done, because I have not seen anything happening afterwards. Because generally after two or three years, there are so many bids get due from certain number of customers. So, I don't see an issue going forward. As far as our revenue is concerned, when there is some sort of a price erosion then it impacts the revenues. But we have been winning a lot of new businesses, a lot of new customers, and you would see growth in revenues in the coming quarters.

Balaji Subramanian: Okay, Deepak that is helpful. So, let me put the first question other way , if I were the telco, which is wreaking havoc, and I have a fairly large enterprise business, where CPaaS has one of the key elements, but I also have other offerings, starting from connectivity, cloud, security, et cetera. So clearly there is some bit of flexibility on the CPaaS front because I can cross subsidize some of this with some of my other offerings. So, what do you think would prevent such a large

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company from kind of going a little low on the competitive front going forward? Because basically, what I am asking is what gives you the comfort that they won't attempt something like this with more accounts?

Deepak Goyal: See first I cannot comment about their thought process. But at the same time, as I said, that there are more bid happened after that, and we have not seen something like this. I would say that, this is one -off because the kind of prices were quoted, so they are not viable for anybody to do that. And it is nothing to do with what other offerings they have, because we also have other offerings, but we don't quote such prices. And just to tell you from the same account, we have won a very big WhatsApp business as well. So, we feel that in the coming quarters, we would be back with the kind of revenues or margin you are making. So, we are very confident about it.

Balaji Subramanian : Okay, thank you , Deepak. This is helpful, and all the best.

Operator: Thank you. The next question is from the line of Ashish Rathie from Lucky Investments. Please, go ahead.

Ashish Rathie : Thanks for the opportunity. In the media articles, we have read about this NASSCOM making a case to RBI to change the regulation to include an app notification instead of SMS. You're understanding and take all the same please as it is a concern for us investors, in terms of overall sustainability of our existing business models. I would love to get your perspective on this please.

Uday Kumar Reddy: See this in -app message has been around for quite some time, right? This is not new technology, which is available now, right? It has been there for quite some time. That's number one. Number two, it was never a successful model. In fact, if I am allowed to name all the tech giants have their app sitting on the mobile phone. They can afford to use their in -app messaging. But still, they use SMS, the channels to reach out to the customers because in -app messaging is not reliable.

One should have data all the time for somebody to receive the messaging, in terms of in -app that's number one. Number two, it is not reliable, because SMS can deliver in less than four seconds from the time which leaves the enterprise to the handset. But in terms of the in app, we don't know exactly, it may take a bit of time. So, I don't see any challenge here, okay. And in fact, best to use their apps to reach out to their base consumers in India and globally and they saw the result and they started using the SMS and other channels. So, I think it is blown out of proportion. And we are quite indifferent to this .

Ashish Rathie : Sir the whole case is mostly about the pricing, where at least the media article suggests 0.1 to ₹12 I think that is the app notification of 0.001. So, it could be a case of a downward pressure on the revenues or the pricing that we have and that is something that

the previous participant also trying to indicate towards.

What is your sense of the pricing at the company level in terms of SMS going forward? Is it something that is sustainable over a longer period , or something that could possibly go down as a business?

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Uday Kumar Reddy: We are in this business for more than 20 years . So, SMS is a very secured and more reliable as a channel . And it will remain in the space. In fact, as we speak, the volumes are going to roof in the last couple of years. So, I don't see any challenge in terms of the channel per se. That's number one.

In terms of price, Deepak has already explained about price. So , we don't see any challenge there, everybody has to service the customers. Everybody has to earn their margins. Couple of customers for some reasons best known to them, may try to disrupt for one or two customers, but we don't see any challenge with any other customers either in terms of the price or anything other than that.

Absolutely, no challenge at all. We will grow . Our volumes are growing. We are growing much faster than industry. So, we don't see any challenge.

Ashish Rathie : Thank you. And the second question is - can you give us an indication of what percentage of revenue presently comes for us from SMS for banks and FinTech's combined?

Uday Kumar Reddy: I am afraid we cannot share it. We have bit of NDA on the bank, but yes around 30%.

Aravind Viswanathan : We're not calling out the exact numbers, but that's a largest vertical for us. So that is where it is. But the other point I would just make Ashish is that probably SMS is still one of the lowest costs in India compared to any other market, even if you take Asian markets. So, some of this noise about SMS being very

expensive is not in congruence with what is happening in the globe.

Uday Kumar Reddy: In fact, Ashish, put into perspective. Let's talk about the ILD prices in general in Asia, forget about other parts of the world, right from Sri Lanka to Bangladesh to Philippines, Indonesia, Vietnam, Middle East, Russia, like they are hovering from \$0.06 to almost \$0.20.

We are still at \$0.03 till end of July. And In dian telcos made it to \$0.04 recently.

There is a long way to cover in terms of pricing both domestic as well as international pricing. We are one of the lowest, I mean our prices are very low when compared to the global markets.

Ashish Rathi: So, the case in point then is about security. So, like in terms of in app notifications, versus the SMS, which one is more secure and is there something which cannot be done by say, an SMS in a fool proof manner, which may be can be handled better by in app notification. Just technically if you could help us understand?

Uday Kumar Reddy: I think it is proven that like SMS is more secure both in terms of technology and so on and so forth, like. So that's the reason like, RBI has mandated only SMS as a channel to use for the OTPs and other notifications, right? It clearly says that is more secure channels than any other channels.

Aravind Viswanathan: And also, SMS effectively becomes a second level of security. It's not a standalone. So, many cases the app talks to the SMS, so definitely it is more

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regulated, it's more secure. There are enough instances of that being documented across the realm

Ashish Rathi: Thank you. Thank you so much for the clarity. All the best.

Uday Kumar Reddy: Thank you.

Operator: Thank you. The next question is from the line of Anil Sarin from Centrum Wealth. Please go ahead.

Anil Sarin: Hi, good evening, everybody. I wanted some clarity that this technology upgradation that has been done, how much money has been spent on that?

Again, in the rest of the year, is there more money to be spent on technology upgradation? That is part one of my question.

The second part is, in continuation to the earlier person is

that despite this

setback for the full-year, if you can give a rough space of the revenue growth, there are few pressures and pulls in terms of some disruptive pricing by somebody, the ILD tailwind going away, new clients getting added, so it is quite a complex thing. But like most IT services companies, they like to give out whatever revenue guidance, so we would really appreciate if you can give us some revenue guidance, considering all the pluses and the minuses that we were currently seeing. So these are the two questions that I have.

Uday Kumar Reddy: I think we made it very clear number of times, we don't give the guidance. That's number one. But having said that, I made it very clear today, we went back almost 16% levels in terms of EBITDA. But we should get back to operating at the levels around 20% in the next couple of quarters. So, we are pretty confident, we will come back to the 20% EBITDA margins in the next couple of quarters.

Anil Sarin: My question is, will it be for the full year when we close the books of accounts for this financial year '23, it will be 20% margin or it is 16% this quarter, then improving, then improving and ultimately reaching 20%, which of the two will it be?

Uday Kumar Reddy: I'm not confirming either Anil, all I said was we were operating at more than 20% for the last six quarters. Our priority is to get back to 20% as soon as possible. We have very, very clear strategy. We have lot to leverage, and we have seen this action in the Q2 itself. I think our top priority is to go back to 20% as soon as possible, okay. I am not saying that we want to go back in the Q2 itself, but in the next two quarters, we are going to reach 20%. So that's our first target. Once you reach 20%, then we will see how it goes from there.

Anil Sarin: Okay, and on a related note, any update you can give us about Wisely. Post the two names that you had shared with us in terms of Vodafone and Truecaller, Any further update because the thinking that we have is that as Wisely gathers momentum, naturally the margins would go up?

Uday Kumar Reddy: Absolutely, Anil. Absolutely, I completely agree with you. So, the Truecaller, as I mentioned in part of my speech, we went that beta launch was very, very

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successful. We went commercially live in Q2. All I can say is, it's doing

phenomenally well. It has really surprised all of us and Truecaller team and our teams are working very, very closely to take this Truecaller and Wisely to the next level. I think we are pretty happy on the Truecaller relationship. That's number one.

Number two in terms of Wisely, the VIL network deployment. It got delayed little bit because it's a very complex product which is a gigantic product, which means you have to integrate it at different levels, it got bit delayed, though it went live still a bit of integration is still pending. We have started clocking the revenues in the Q1 FY23 itself. But we are expecting the momentum in Q2 FY23. To be honest with you, I am pretty happy about Wisely journey so far. This will definitely add to the better margin in total.

Anil Sarin : Okay, great. Just as a follow-on. There was a note brought out by a broking firm, I think HDFC Securities, where they have mentioned that the market size, the total addressable market for Wisely is 1 to 2 billion basically in Indian rupee terms ₹100 crore to ₹200 crore, I surely think that is a typo or I think that the market size that one is looking at for Truecaller, for Wisely?

Uday Kumar Reddy: Anil, I don't think HDFC is what you are referring to? I don't think they have mentioned ₹200 crore is the market, the TAM for Wisely, I don't think they mentioned that unless until I missed out at that point, which is not true line. So total CPaaS is 1.5 billion, which is ₹10,000 crore market, TAM in India alone. So, the total ₹10,000 crore itself is a TAM for Wisely, the way

I would like to look at. So,

it's not only just ₹200 crore, it is the complete market is a TAM for Wisely.

Anil Sarin : Okay. Thanks for the clarification. Just one point like what was spent on the tech upgradation, and everything has been captured in the first quarter or more to come in the coming quarters?

Uday Kumar Reddy: So, Anil, what happened seems like now we continue to augment our platforms, because whenever we see it, we closely monitor our efficiencies of our platforms. So, at probably at 60%, we always augment our platforms. What happens this time was our volumes have gone through the roof in the Q4. And by the time we could able to augment our Karix platforms, it took a little longer than what we expected to source software and hardware from outside India. That's where it completely derailed, so but that was fixed then and there. So, you asked what is the investment that we have made? I think around ₹15 crore to ₹20 crore which is already capitalized in Q1 FY23. But that's a big investment for Karix as now that got a new platform. This is pretty stable, and it's holding well. So, customers are extremely happy with the new platform. We don't need to keep investing it's one of expenses, Anil.

Anil Sarin : Okay, so thanks so much. Just one last thing, is it capitalized or is it expensed during the first quarter?

Aravind Viswanathan : Capitalized but the impact for the quarter is also because some of the disruptions that we had, when we had those issues upgrading those flows into GM. Some of the operational costs flows into GM, but the big Capex investment flows into this depreciation, right. So, it's a combination of multiple line items there.

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Anil Sarin : Okay, okay. So, the gross margin decline that the enterprise business has seen from 23% to 17%, that contains both the impact of this software upgrade platforms strengthening as well as the disruptive actions taken by competition. Both are there. And so, part of it will not recur. The second part is obviously that is subject to how the market evolves.

Uday Kumar Reddy: Absolutely.

Anil Sarin : Okay. Thank you so much, and all the very best.

Operator: Thank you. We have the next question from the line of Miraj Shah from Dalal & Broacha.

Miraj Shah Thank you for taking my question. My questions are regarding in the beginning of the call, you mentioned that there was a one-time one-off client impact, and you expect to recoup this revenue loss. So, you are expecting to recoup this from the same customer or from new customer addition?

Uday Kumar Reddy: A couple of things, the way Deepak explained earlier is, one from the same customer, we have won the WhatsApp business. In fact, the CMG went on live and they have mentioned that they're going to go live on WhatsApp. And we are the one who's going to provide the solutions and services to this largest bank. So, I think for time being, though, we lost a bit of margin and revenues. And we are confident that we are going to recover revenues and margins from the same bank through different services. That's what Deepak has mentioned.

Miraj Shah Great. And sir related to that there is a question, are the switching costs so low pertaining to this business, because as far as we remember in the earlier conference calls, you had mentioned that switching costs are extremely high in this business?

Aravind Viswanathan: We have two points there, right. So even if you look at the switching costs are high here. So, in a sense that even in this case, we continue to be a vendor, partner to the customer here, right. Although we've just chosen to scale down volumes. So, this is an industry, which operates with a multi-vendor approach. And to that extent, there is always switch once you integrate, right. So, we continue to be with the customer, although we have lower volumes. So, it's not that we are out of any customer

rs. So that why, once you're integrated, you're integrated, but the volume split across the multiple partners can fluctuate at times. Deepak, do you want to add anything more on this?

Deepak Goyal: So there are always two to three vendors with any large customer. And it just so happened that, one of the vendors just decided to quote go very, very low on the prices. So, to gain a larger share from that particular customer.

Uday Kumar Reddy : Ashish, let's be clear, we not lost this customer. We have been serving this customer, but we have decided not to service at the levels that they want us to service. So, we're seeing and during the traffic but we're not happy with the current commercials.

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Miraj Shah Sure. So, thank you so much and best of luck for the future.

Operator: Thank you. The next question from the line from Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra Hi and thanks for the opportunity. My first question is on the margin decline. So, apart from the cross-currency headwind that we mentioned, so, if you can give more clarity on what the margin impact in the enterprise business was, especially from the ILD and the NLD front. So, most of the impact as you said is from one large customer that is mostly ILD. Are we are seeing some pricing pressure in other pockets also apart from that large customer in the enterprise business. And also, I know as you think that we will actually normalize 20% in the next two quarters. So, is it also having some seasonality impact, because the quarter two, quarter three is generally the strong quarter? So, is it because of seasonality or is it also because we are not seeing any pricing pressure in other accounts? So, if you can provide some clarity on that, it would be great. And secondly on the platform business. We have seen that platform business gross margins have been mostly maintained. So can we see similar pricing war or some similar pricing pressure on the platform business as well and there the margins can decline because in terms of competition, they also acquired a company, which is into DLT and they are also planning to launch something there. So if you can throw some light there?

Aravind Viswanathan: Let me start answering your first question, right. So, your question is whether the impact was very topical specific or much more broad based, the impact of the customer in discussion is on the NLD and not on the ILD for getting that clarity on right. So there was more specific and that is one of the reasons. In ILD there are always pockets, but that is getting addressed more as business as usual. And Uday kind of mentioned about it, that we are actually on a path of increasing prices in ILD in Q2 FY23 to drive our profitability. So that is another variable, which is baked into our assessment, right. So, I would say that, from the journey standpoint, there are two - three things. One is our one-timers that we are trying to offset, some of them will be really immediate, some of them may take a couple of quarters. Two is, a lot of our new initiatives, new business will also kick in which will help drive profitability, right. So, there are multiple factors in play, it would be difficult to peel out individual factors, but collectively we have enough tools and plans in terms of how to get back there. So, it's not just blind seasonality, because a drop here was not fully seasonality, right. So, to that extent, that's how we are seeing it.

Uday Kumar Reddy : In terms of platforms I think the DLT is a consortium between Tanla, IBM and Tech Mahindra. They have deployed -- IBM and Tech Mahindra is deployed with other telcos and we deployed with most of the telcos. And so, we don't see any challenge out there. In fact, we see absolutely no challenge.

Amit Chandra : Okay, and on the Wisely platform, so as the previous participant was mentioning just before t

he applications are 1 billion to 2 billion that I mentioned and the report was specifically for the revenue potential for Wisely platform, it was not a TAM. So, in terms of the revenue potential, what we are assessing is it can be another ₹100 crore to ₹200 crore. So what is going to drive that? And is it the

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deals that we have won. Those deals are having the potential to scale it to that level or we will have to, like win more, or it has to be more broad based or it will take no like much more time to scale to those levels. So, if you can provide in terms of roadmap, how we're seeing the Wisely roadmap over the next one year?

Uday Kumar Reddy: Amit, I completely agree with you. In the sense like, as we speak the market is around 45 billion, including government, per month. The transactions from SMS per month and the 45 billion is the TAM for Wisely. And as we speak, we are hovering around 2 billion. So, there is a huge potential to grow out of 45 billion including government, we have just onboarded only 2 billion, there's a long way to cover. So, there is huge potential for Wisely platform. Yet, once the enterprises and the telcos see the value in Wisely, it is pretty easy to scale the volume.

Amit Chandra Okay sir. Thanks, and all the best.

Operator: Thank you. The next question is from the line of Pranav Kshatriya from Edelweiss. Please go ahead.

Pranav Kshatriya Thanks for the opportunity. I have three questions. First question is regarding the gross margin for the enterprises, if you can provide the bridge because it's a fairly sharp jump, you have attributed two to three reasons for the 600 basis points. So, which factor contributed how much fall in the gross margin that will be useful? And also, for that particular customer, if you can tell us even the ballpark range of revenue, which was impacted, because of that, that would be useful, because the difference in the margin is pretty high, just to understand the scale of it?

My second question is regarding the platform business, how that seems to be sort of stagnating considering given Wisely rollout and inherent quality of the business. There was an expectation that that growth will be much stronger. So, how should we see this going forward?

And my last question is as there was some base effect into the pricing increase in the previous quarter. So, if you can comment on how we are seeing the volume growth on a YoY basis in the current, this is for enterprise business?

These are my three questions. Thank you.

Aravind Viswanathan: So, to your first question, just in terms of the bridge, right, we've talked about Forex being about 1%, right, which is the impact on the EBITDA side. The overall impact is about 4.5 at EBITDA, the balance 3.5 is split between the platform modernization piece, maybe around 1%. And the balance will be in terms of the customer specific one, right. So, I don't want to give an individual size of a customer, but they were one of our top five customers, Pranav, which you have the metrics to give you sense of that impact. That was your first question, right. Your second question was, in terms of the platform. See as Uday kind of mentioned, right. Platform business operates at a slightly different momentum, right. So, you roll out a platform, it takes some time to stabilize, just to give you a sense, Trubloq is just probably one of the most profitable platforms in the world

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today, right. But probably from the time it was launched to the time you started, scaling at full potential was about 12 to 18 months, right. So, it is not a business which you will see movement in a slope kind of way. It will be more like a step kind of way, right. So, you have seen us launch multiple aspects of our platform. So, you know the building blocks are in, right. So, we talked about Truecaller scaling up in Q2 FY23. We talked about VIL scaling up in Q2

FY23. So as this

happens, you'll suddenly see a bump up till the next platform kind of gets commercialized and scale.

So, you will have to look at this business with a little more patience, because, it's much more profitable. But it takes a little more time because obviously, the integrations are deeper, it's more embedded in the customer ecosystem, so they're more complex. So that's really how you should read it.

So the potential is high. And it takes some time, but and that's why we keep giving you these updates in terms of what we are doing, it's not static. Now what has happened is we've got a momentum built with terms of our rollout so, so you

will have seen something coming from the VIL, you will see something coming from Truecaller. By the time destabilizing or something will come in from Kore.ai. And then we will keep adding to it and after a point of time, you will find that there are some products kicking in every quarter, but we've not reached that rhythm yet, Pranav. So, you will have to be patient on that. But all the building blocks are doing very, very well. And I think we will scale well on that.

Pranav Kshatriya Sure.

Aravind Viswanathan: So to your first question, right. I want to clarify one point that, when we look at our YoY growth, our YoY growth is not driven by ILD, right. In fact, rest of the businesses actually grow faster even in the enterprise system. So, to kind of attribute pricing as a reason for YoY growth is probably a mistaken, right. So, this business, if you look at last year, we have similar questions where there is seasonality where numbers are a little horizontal between Q2, Q3, Q4 and that's a kind of trend that we've seen over the past two years. So, I think that is how this momentum is in the business. And that's how we are going to kind of track it. We have talked about increasing prices in ILD in Q2. So, we love to build and execute on that on the opportunities we have and that is what is giving us some amount of confidence in terms of how we are looking at the rest of the year.

Pranav Kshatriya : Sure. Thank you. That's it from my side.

Operator: Thank you. The next question is from the line of Deepak Chokhani as an Individual Investor. Please go ahead.

Deepak Chokhani : I have got two questions. What are the key levers to push international businesses. Is it just a technology by Wisely along with the various partnerships you are entering or will it be some kind of cost advantage? That's number one. Number two is any idea when voice DLT could be launched by the regulator?

Uday Kumar Reddy: So when the TCCPR regulations 2008 came sometime in June, the regulation covers both SMS and voice, so this platform is built for both SMS and voice and

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as we speak, the operators went live only in SMS. But our platform is ready that's even at voice capabilities. So, whenever the telcos and regulator decide to launch voice services, we are up again. So that's number two. What is the first question?

Deepak Chokhani : Whether wisely is -- they have a different technology, what will make us succeed in globe?

Aravind Viswanathan: Deepak, let me take a shot and Uday can add on that. So clearly, it's a technology play, right. It's a differentiation play. It's a value proposition play, it's not a cost play, because it's not. It's kind of a low-cost platform, right. Value proposition is around the features of Wisely, it is not around, it would be cheaper, because the basic telco costs anyway are what they are in different markets, not that per se is not a differentiation, I think what we are trying to do with Wisely is a little different.

It is about being a single platform for digital interaction, a one-stop-shop for any customers, with trust with blockchain with all those capabilities built in. And that's how what is resonating with customers. Uday talked about, how Wisely impact was received. And we

have multiple people from who is who from a global tech major perspective, coming and interacting with us on the kind of output that Wisely rose.

And that's really the differentiation and they are all looking at it, not India specific, but on a global basis. So, we will have to execute and build on those conversations. But clearly, it's not a cost play, it's a differentiation play.

Deepak Chokhani : Okay, got it. Thank you so much.

Aravind Viswanathan: Thanks Deepak.

Operator: Thank you. The next question is from the line of Amit Mishra, he is an Individual Investor. Please go ahead.

Amit Mishra : Yes, good afternoon. So firstly, congrats on yet another quarter with healthy year-on-year growth. By the same time, we saw loss in wallet share from big clients and big margin erosion as well. So, it's quite disturbing when we had the guidance in previous quarter to increase and able to maintain the margins. I don't generally talk about stock price, but you must have seen how stock was beaten today and this comes from the background of like big correction in last one, one and half month. So, it's a high concern for us. Any other factors at play, because the result was not so bad, despite the margin erosion. So, I want to hear your thoughts on that?

Second question, I want to check with you about the global GTM and what's the

timeframe we are having, because we discussed this thing in last October, when we hired like one of the biggest consulting firm for the GTM strategy. Now, it's eight months and VIL has been in operations for last three months and we must be interfacing with them for last six months. So it's just basically the second question or shall I begin from the start?

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Aravind Viswanathan: Just the second question, we heard you r first question. Just second question.

Uday Kumar Reddy: Second question, last line, yeah.

Amit Mishra Yeah. So, on the second question about -- I talked about the time we have taken with this consulting firm since October, November last year, so it's like eight, nine months. And with V IL, we have been doing like this interface for last five, six months and we have been operational for last three months. So, we were talking about case studies. Now we should have it, so we want to hear something tangible and so that we can see, and we can anticipate things, what you're doing in this regard? So, if you can answer these two and then I can ask more if there is time.

Uday Kumar Reddy: Okay and all I can say is I don't invest in any stock. So, I cannot really comment on the stock moment.

Amit Mishra Just in Tanla?

Uday Kumar Reddy: Yes absolutely. I'm talking about other t han Tanla, I don't invest, right. My point is very simple. What you really need to appreciate is we have back -to-back , have closed three largest partnerships in the last nine months. The first one is where we have a huge competition, hands on, we won that contract on purely merit basis, not on any other basis. And it's a long -term deal. Once if you kick start revenues in the margins, it's a very, very long -term deal. In fact, let me set back now. I know when we deployed our platforms with some of the telco s in India, probably more than one decade, once we deploy the platform that will go for a long, long time. Okay, we don't deploy the platform for six months or one or two years, right. So, winning the VIL is not easy, hands on we won the deal. We have been deploying. We are facing bit of challenges, because there are too many integration points with the VIL, because Vodafone and Idea came together. There are a lot of network components. A lot of moving parts are there. So, it has gone live, it's not fully gone live, but once we fully go live it's a long -term deal. That's number one, right?

Number two in Truecaller, they are large company from Stockholm, they have more than 300 million users, a pretty large company, rig

ht? So, we they are

available only at Wisely. Okay, it is not that like each and every player in India far global have access to the Truecaller. It is exclusively available on Wisely. That's number two.

Number three, we have closed Kore.ai partnerships , again exclusive for s ix markets. There one can go and read a Gartne r report. They are the top end of magic quadrants; they are market leaders as informed to the market. They have deployed couple of largest deployments on the planet, if I'm allowed to say, in fact, it is availa ble in the public domain. They are deployed with the biggest bank in the world, including the Citibank. So, it is again available only with that only on Wisely. So, it demonstrates the power of Wisely, okay one cannot doubt even for one second, that's the first one right.

The second point is coming back to the consulting firm, yes, they have been working with us, with their help we have closed three largest deals. We take a

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bit of time, it's not that let me close the deal and generate revenues from next year. That's not possible. We are extremely happy with the arrangement that we have with the consulting firm, it is working well for us. We are extremely happy about it. And in fact, we are fully fired up. We are being penalized today, but I don't really comment on that. But we're fully geared up, our team is working, - we are fully fired up. And we are going to come back and get back to 20% EBITDA margins as soon as possible. So, fully geared, we are fully g eared up for that.

Amit Mishra Sir just one question on V IL, how much of migration has happened for Idea traffic?

Uday Kumar Reddy: It's not a question of traffic like it is fully divested in terms of traffic, but unless until we fully integrate the 100% traffic doesn't come to us. It may go to other telcos from there it may go somewhere. There's a lot of leakages in the market.

One of the biggest advantages with our firewall feeds 100% of the legitimate traffic has to come to VIL consumers. That's the reason, VIL has chosen to deploy Wisely deployment with them. So, I cannot really say in terms of percentages, but we are more or less there. And the next probably two weeks, we should be able to complete our integration with VIL Network.

Amit Mishra Sir, on the GTM for global markets, I didn't get the answer, what timeframe we are looking at?

Uday Kumar Reddy: Amit, like you know see when the strategy works for India that strategy works for the global market, right. Now it is once the Wisely is available on the cloud, okay. For me to launch the services outside India is a matter of two days. I don't need to go and deploy the platform in those countries, I just need to, I need to set up the cloud and the global market, and everything is switched on the next two days, right? So in terms of platform deployment, it's pretty easy, because Wisely is completely developed on the cloud. That's number one.

Number two, in terms of GTM, when it is working with the Indian market, it is equally easy to replicate in the global market. So, we're not in a great hurry to expand this as a corporate. We're not this kind of company. We want to be very, very cautious about our expansion plans. India itself is a big market for Wisely. As I told you earlier, 40 billion to 45 billion messages per month, and we are handling only less than 2 billion messages. So, there is long ground to cover in India itself, right. So, expanding the global market is not an issue. It's a question of time before we see the success, and that will help us to expand.

Operator: Thank you. Our next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar Thank you very much sir, for the opportunity. So, I just wanted to understand I mean till last quarter, we have been committed to the rule of 60. And now with the current market condition changes and the margin

pressure also that we are

seeing. So, what sort of rule, we are committed to as we speak now?

Uday Kumar Reddy: Deepak, that's a good question. In fact, I was vocal on the CNBC also, when I was there on the last time. So, this is a rule of 40, that's where most of the SaaS

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companies, successful SaaS companies do operate at a rule of 40. But we have been operating at almost 59% to 60% last year. Our intent is to operate at 60. But we had a bit of a headwinds in Q1 FY23. We don't want to shy away. Our target is to go back to our targets. So, I cannot really comment right now. But we are very cautious about rule 40 and 60.

Deepak Poddar So our target is to go back to rule of 60, right? That's what you're saying?

Uday Kumar Reddy: Absolutely, Deepak, if you look at biggest SaaS companies in the world, okay, they operate at rule of 40, okay, right. But we have been operating at the better levels. We crossed 40s and we crossed 50s and we have always got close to rule of 60. So since we are going to be the platform company, definitely we are very cautious about rule of 40. And we would like to stick to that like our intent is to stick to rule of 40, though we are operating rule of 60. So, I'm not giving you any guidance, whether it is rule of 40 or 60. But we are very cautious about our rule of 40 and 60.

Deepak Poddar Okay, I understood. Yes, I think that's it from my side. All the very best. Thank you so much.

Operator: Thank you. Ladies and gentlemen, due to paucity of time that would be our last question for today. I'll now hand the conference over to Ms. Ritu Mehta for closing comments. Thank you. And over to you.

Ritu Mehta: Thank you everyone. That was the last question for today. In case we couldn't take your question due to time constraints, please feel free to reach out to Investor Relations team. Have a good evening.

Uday Kumar Reddy: Thank you.

Operator: Thank you very much. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2022

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October 28, 2022

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Un -Audited Financial Results of the Company for the quarter and half year ended September 30, 2022, held on Friday, October 21, 2022, at 4:30 PM IST.

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcriptq2fy23.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited
(Formerly known as Tanla Solutions Limited)

Seshanuradha Chava
Company Secretary
ACS -15519

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Tanla Platforms Limited
Q2 FY23 Earnings Conference Call Transcript
October 21, 2022

Call Duration ■ 64 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Aravind Viswanathan - Chief Financial Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
Participants that asked
the questions ■ Anil Nahata - Individual Investor
■ Tejas Shah - Laser Securities
■ Jinesh Gandhi - AUM Fund Advisors LLP
■ Balaji Subramanian - IIFL
■ Miraj Shah - Dalal & Broacha
■ Abhishek Anand - Centrum Broking
■ Milind Karmarkar - Dalal & Broacha PMS

■ Amit Chandra - HDFC Securities
■ Deepak Chokhani - Individual Investor
■ Amit Mishra - Individual Investor

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Operator: Ladies and gentlemen, good day and welcome to Tanla Platforms Limited Q2 and H1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Ritu Mehta, Investor Relations at Tanla Platforms Limited. Thank you and over to you.

Ritu Mehta: Hello, everyone. I'm Ritu Mehta and I lead Investor Relations for Tanla Platforms. On behalf of everyone at Tanla, I would like to welcome all of you to our Q2 earnings call. Joining with us today are Uday Reddy, our Founder, Chairman and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Mr. Aravind, our CFO. Uday Reddy will share his perspectives of business and strategic progress made by Tanla. After his opening remarks, we will be happy to engage with participants and address the questions. Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Now I hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. Welcome to our Q2 FY23 earnings. Let me share my thoughts before we go to Q&A. First, I would like to cover innovation. We have been investing our time and energies in Wisely platform, which is our platform of platforms for digital interactions. It has made a tremendous progress. I'm pretty excited to share a lot of evidence of Wisely success. And we'll share this consistently going forward.

I have talked about my passion of building a platform company. So any platform company will have to demonstrate a few key metrics. A is, it should have high margins; B is, it should have tremendous customer stickiness; C is, to be able to scale; and D is, it should be able to offer predictability on business and the key is you should be very, very asset light. Meaning to say that like we don't have to really invest tons of money on these platforms. So I'm happy to see Wisely, check the box on each and every one of these metrics.

Let me drill down on each Wisely platform now. On Wisely Communicate platform, three of the top banks are on this platform and delivering critical communication to their users. For one of the banks, 30% of their critical UPI messages are through this Wisely with end-to-end encryption on the Blockchain. And we have scaled up to this level in less than two months.

On Wisely OTT platform, 700 million plus transactions were delivered in Q2 for over 40 customers including top banks, and e-commerce companies. We have a huge opportunity for Wisely to scale up. Our sales funnel is looking solid for this platform.

On Wisely Network platform, just to give you a sense of scale. We have processed more than 35 billion transactions through our AI/ML engines in Q2. We are on the track to reach ■100 crores gross margin run rate per annum. So big trust is now to accelerate to go-to-market on Wisely platforms. We have the

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many platforms now. We have many customers with us. Now it is the time for us to scale the business.

I would like to thank my team and our partners and our customers who played a very important role in this journey. We're just getting started. And we are just getting started and we keep innovating and improving relentlessly.

In terms of e

nterprise business, we are seeing improvement. Our big focus here is to accelerate our new customer acquisitions and gain wallet share in existing customers. Deepak will give more details on this business in his speech. Let me now cover capital allocation and ESG.

Our capital allocation has always been -- has been very disciplined. During the

quarter, we have announced our dividend policy of 30% payout of consolidated profit after -tax and interim dividend -- and paid interim dividend of ₹6. We also announced our buyback of ₹170 crores. We are building our business with lot of focus on ESG. Tanla scored 32 in S&P global score compared to industry average of 18. We'd be in the top 90% plus percentile in industry and we will continue to improve from here.

In summary, we have shown improvement in the quarter -- in this quarter and we will build on this in Q3 and beyond both in platform and enterprise business. Let me hand it over to Deepak to talk about the enterprise business post which we will take Q&A. And Deepak, would you like to take it from here? Deepak?

Operator: Mr. Goyal.

Deepak Goyal: Yeah. Am I audible?

Operator: Yes sir. You are.

Uday Kumar Reddy: Yeah, yeah. Deepak, yeah. Yeah, continue.

Deepak Goyal: Yeah. Thank you, Uday, and good evening everyone. I'd -- I'll give you some highlights on the enterprise business of Tanla and Karix Mobile. As you must have seen in the results, we saw an improving trajectory in both revenues and gross margins in the enterprise business in Q2. Revenues grew by 6% and gross margin grew about 11% as compared to Q1.

Overall, if you see we have grown, our gross margin grew by about 1% compared to Q1 that is despite we losing about 1% due to currency movement, primarily Euro against USD where USD got stronger. So and we had an impact about 1% due to that.

As far as Q3 is concerned, we are entering Q3 with a lot of confidence and stability. We see a lot of opportunities ahead of us and I expect momentum to pick up in Q3 and beyond.

If I talk about the opportunities, I would divide into two, one with our existing customers and another with the potential customers. So, if you look at our existing customers, as you know, we are industry leaders. We have -- we are present at more than 60% of the customers in India, where the messaging business is getting originated, and our wallet share is around 50%. So, overall we are -- we have more than 30% of market share in India, right.

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And the opportunity in front of us is as Uday said, we need to increase our wallet share there by providing continuous great services to our customers. And the another big one is by penetrating with more products into these customers. And we are quite ready with that. I mean, just to give you an example. WhatsApp, I mean WhatsApp is a success story with revenues going up like 4x in last four quarters. We have been winning a lot of business on WhatsApp. In fact, 45% of my new wins have come other than SMS and primarily on WhatsApp.

And on top of it, we have won the largest bank in the country on WhatsApp. And we are hoping for them to go live, in fact they've gone live with some use cases in this quarter. And on top of it, as you know, we have partnered with the Kore.ai for conversational capabilities that is helping us a lot, because now we have world's best conversational platform with us, along with our expertise on WhatsApp and along with our such a great existing customer base.

Other than WhatsApp and Kore.ai definitely there is Truecaller. We have started winning customers on Truecaller as well. And you would see that the number of messages, that revenue going up on Truecaller as well. When I talk about new business net new customers. So, as I said, we are present today at around about 60% of the customers where business messaging is getting originated, but we are not present at 40%. So, we are going to be

go very, very aggressive to

acquire these customers. We have a plan in place, and we are very confident that we would be next few quarters, we would be able to increase our market share significantly.

Another data point, I would say -- I would give you that about compared to our last year. We have moved from 175 to 208 customers who are giving revenue more than ₹1 crore. So, it shows the kind of deep relationships we have with our customers. So, in summary, I would say that we have a lot of opportunities ahead. We are -- and we expect a lot of growth and margins will show improvement in the coming quarters. Thank you.

Operator, maybe you can pass it on to Ritu.

Question -and-Answer Session

Operator: Thank you very much sir. Ladies and gentlemen, we will now begin the question -

and-answer session. Anyone who wishes to ask a question may enter star and one on the touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use hand set while asking a question. Anyone who has a question may enter star and one. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question is from the line of Anil Nahata, an Individual Investor. Please go ahead.

Anil Nahata: Yeah, hi. My question is to Deepak. Deepak in the presentation, we saw that out of the top 20 customers, in three we have lost market share and three have completely dropped down. I mean, from the last quarter, we did understand that one of the large banks probably has gone away in all. But this seems to be quite deep beyond what we've understood in the first quarter. Would you like to elaborate on that?

Deepak Goyal: Yes. So Anil ji, first of all, we have not lost the bank. Yes, we have lost certain volumes through the competition, so the bank is still with us. And some customers dropping out of the top 20, maybe the other customer must have taken their place in the top 20. So that movement keeps happening.

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Anil Nahata: No, but I would like to pursue with that question. Because if you see the wallet share that came from the top 20 actually are strong. And if I see the market would have grown 20% year-on-year, that basically means that we have lost to close to 20% of our market share. So if we're at 40, maybe we're 32 now. I mean, that is the kind of impression I'm getting?

Aravind Viswanathan: No, so maybe, Anil let me kind of give you a perspective on the numbers and on the business, Deepak can add, right. So if you look at it, we've been talking about continuity of customers. But obviously there's always a churn in terms of who remains in top 30 and some of them. So the balance customers, even in this case, right, 14 of them are consistent, three of them have slipped from top 20 to 20 to 30, and the balance three are between 30 and 40, right. We've not called out all of them. But that's really what it means, right?

Having said that, absolutely our customers greater than ₹50 crores has shown a decline on a YOY basis, because we have lost some share and volumes with some customers. And that is something that Deepak mentioned in terms of how to bring back, right. But they have not gone out of the system. They are continuing to be our customer, but obviously at smaller scale than what it was one year back.

Anil Nahata: Okay. And my second question is, again on the matter of international forays, how good are plans on the international diversification of taking Wisely and the enterprise business international?

Uday Kumar Reddy: Hi, Anil, Uday here. So in terms of the expansions like now -- we're not in a great hurry to expand in the sense. We have seen tremendous success for Wisely in India. We would like to seek after a couple of more quarters, but meanwhile, like we're doing bit of groundwork in other markets. So I think by end of this year, we would be interested -

- we would be -- we should be in one more country, which probably will we should be able to share by end of in Q3 or Q4. But that's where we are right now.

Anil Nahata: Okay, thank you.

Operator: Thank you. Our next question is from the line of Tejas Shah from Laser Securities. Please go ahead.

Tejas Shah: Yeah. Whatever it appears in terms of the volumes of the festival businesses, which are normally predominant, last time in the month of October, this time it has started a little earlier.

Operator: Mr. Shah, your voice is kind of breaking up sir. So if you can use the handset and speak and please repeat the question for the benefit of all participants.

Tejas Shah : Yeah.

Operator: You may go ahead sir.

Tejas Shah : Hello. Yeah, can you hear me?

Operator: Yes, Mr. Shah.

Uday Kumar Reddy: Yeah. Go ahead Tejas.

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Tejas Shah: Yeah. Hi. See, normally last time, I think the Diwali and another festivities were in the month of October to December, if I'm not wrong. So how much of the business, which is pre-flown this time? And what is the business looking like in

terms of the festival business season, normally third quarter is always the best for us. Now, I think some businesses must have rolled in the July to September. So how do you work on that right now, if you can share some light on that?

Uday Kumar Reddy: Deepak?

Deepak Goyal: Hi, is the question is around how do we see Q3 in terms of festival?

Tejas Shah: Yeah, because I think this time the festival is started much prior, so I think all discount sales and everything is much prior.

Deepak Goyal: Absolutely, absolutely. So, Q3 is always our best quarter and this quarter also would be no exception. I mean, yeah, we are -- we started well, I would say. And you would see that Q3 we would have much, much better numbers.

Tejas Shah: Okay. I have missed out the starting commentary. So, I just ask a simple question. How are we trying to increase the bottom line and top line, because now, I think again, we are coming in a stage where we are stagnated like they do basically. We are not going to grow top line to the level that we are growing earlier.

Deepak Goyal: So as I said, we have plans to grow top line, okay. And we have plans to improve our margins as well. So, when we -- as I mentioned, we are working on penetrating our existing customers, a lot of new solutions, new products, which are high margin business. and I'm here, I'm talking related to platform business as well. And on the other side, we are going on aggressive drive to acquire new customers. So there's still a big market and I mean, India is a big market and you would see the growth coming in.

Tejas Shah: That will still take two quarters?

Deepak Goyal: Sorry.

Tejas Shah: That will still take two quarters or?

Deepak Goyal: I mean, see this is work in progress. Okay.

Tejas Shah: So basically when we say roadmap, so what we are trying to understand is, fine, yes. You have got the vision to what you want to do, okay, but normally their execution, acquisition. Normally, what is the time like that we normally look at three months, six months, what?

Deepak Goyal: See it is like this, we have acquired few good customers, I would say in last couple of quarters, okay. And their onboarding is completed. It takes time to onboard the customer, technical integration, and stuff like that, so it takes its own time. We have done that with a few large customers, and they would start kicking in from this quarter itself, as well as we would be acquiring more and more new customers. So, yeah, it's an ongoing process, but you'll see improvement every quarter.

Tejas Shah: Okay. Thank you.

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Operator: Thank you. Our next question is from the line of Jinesh Gandhi from AU M Fund Advisors LLP. Please go ahead.

Jinesh Gandhi: Hi sir. Sir, I went in your initial comments, so if you could give us a picture on

re on

the margin and how these scaling is back to 22%, 23% level?

Aravind Viswanathan: Sure. So let me take that question. Aravind here, Jinesh. Right, so if you look at from last quarter to now our gross margins went up by about 1.1%. Our EBITDA went up by 0.1%. But there was a big impact as far as Forex is concerned, both on gross margin and EBITDA because a lot of our international business, almost I would say, 50% of our international business is built in Euro and Euro depreciated very, very sharply against the USD. In fact, it's two quarters in a row where we've been having this Forex challenge. And that has contributed at an EBITDA level of almost 1.5% on a sequential basis in terms of incremental Forex impact that we've had, right.

So if you look at it, if Forex had remained where it was last quarter, we would have probably been at about 18% EBITDA, right. So that's a little bit of a structural challenge. We're working on changing our billing relationship with our customers to USD. So we will minimize this impact, maybe in Q3 and Q4, maybe more in Q4 than in Q3, but as an impact that we have, right.

From an improvement standpoint, Deepak talked about in many ways how to drive the enterprise business. And as we scale that up, we will typically bring back the profitability. We investing big on Wisely, Uday had kind of covered multiple platforms within the Wisely platform of platforms to see where we are seeing traction as those scale up, you will again see that reflect positively as far as our margins are concerned.

So the idea is that we will keep building on our margin trajectory, and that's really

how we are looking at profitability, Jinesh. Jinesh, is that answer? I think he left.

Operator: We will take our next question from the line of Balaji Subramanian from IIFL.

Please go ahead.

Balaji Subramanian: Hi, good afternoon. Thanks for taking my question. Hopefully, I'm audible.

Uday Kumar Reddy: Yeah, we can hear you clearly, Balaji. Go on.

Balaji Subramanian: Okay fine. So my first question is on the revenue improvement trajectory. So we used to do 30%, 40% not very long back. And this time we have seen it almost becoming flattish. So, you did mention some of the initiatives that you are taking to ramp up the revenue growth, but when should one expect your revenue growth going back to the 18% to 20%, which is what the typically the industry is growing at? That is number one.

My second question would be on one aspect, which probably dragged you in the last quarter was your lack of geographical diversification. So, any plans in terms of kind of diversify your revenue mix, so that you are not susceptible to the pricing pressure even like what we saw last time? That is from my side. Yeah.

Uday Kumar Reddy: Deepak, do you want to give the colour on revenue?

Deepak Goyal: Yeah, yeah, sure. Hi, Balaji. So, Balaji as you are aware, we shared the reasons of our revenues going down in Q1. And we are working on, it's not only wherever

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we lost the revenues, we are working to regain those revenues from the same set of customers. We are also going after new set of customers.

So, we are very hopeful, I mean that much I can say, as we don't want to give any forward-looking guidance. But we are very hopeful to bring back the growth soon, that much I can say. And as far as the geographical diversity is concerned. See, I would say one thing, first of all, we need to, as I said India is a very, very big market, okay.

And our customers are looking for a lot of value add from the industry leaders like us, and we are working on that. And you would see in the coming quarters, how we are improving our margins and stickiness and revenues in India. Your point is very valid, that we need to have our geo diversity, just to -- I mean and I don't hedge our business.

We are -- I would say our UAE business is showing lot of growth and in the next

quarter, we will give you more details about it. We are penetrating lot of new customers out there. We are focusing on as I mentioned on a previous call, we are focusing on MENA region. Uday has given some hint today. And you would hear on that as well, when we make some substantial progress. But yes, we are working on that.

Balaji Subramanian: Thank you. So that's helpful. And all the best.

Deepak Goyal: Thank you, Balaji.

Operator: Thank you. Our next question is from the line of Miraj Shah from Dalal & Broacha. Please go ahead.

Miraj Shah: Yeah. Hi, thanks for taking my question. Sir I wanted to understand one part, when we see our margins on the enterprise and gross margins, we have recovered slightly compared to the previous quarter. But now as on the last quarter also, you had mentioned that we would do much better in Q3 and Q4 in the second half, we probably reach 20%. So just wanted to understand what are our pricing power triggers over there. How are we able to regain what we've lost? And what could be the trigger that we will be able to sustain that going ahead? That's my first question.

Deepak Goyal: Should I take that?

Uday Kumar Reddy: Yeah, please, please.

Deepak Goyal: Yeah, okay. So as far as regaining the business is concerned, okay. See, I've been in this business for more than 15 years now, okay. And if you see the history of Karix and our enterprise business at Tanla, right. We have seldom lost any customers, okay. And there would be some blips here and there, where customers have maybe moved away for six months or one year, but they have come back to us, and that is primarily because when they go out and they try other vendors, and then they see the difference. So, this is here, the services are very, very important kind of services what we provide. So, we are -- so that is one.

Another thing is, as I said about what value add we do to our customers. I just mentioned the largest bank, we had just signed up and started for WhatsApp. So I would see that, even though we might have lost certain revenues on SMS, but that would get compensated to a certain extent from my WhatsApp business.

And on top of it, we are working on even newer services and solutions with our customers, which we are going to give us additional business.

Operator: Mr. Shah, do you have any more questions?

Miraj Shah: Yeah. Sorry, I thought the line was broken. My next question sir, in the presentation you've mentioned with Wisely Network, if I'm not wrong over there, we've mentioned that roughly ₹100 crores of gross profit is something that we can do from there per annum. And that's an exclusive deal. Can you just throw some more light on that? Just wanted to have some clarity on that, what exactly -- how are we exactly going to get that gross profit and the consistency of it going ahead?

Aravind Viswanathan: So maybe I will take that, Miraj, and then Uday can chip in where needed, right. So we've talked about this partnership on the international messaging space, right, and we've deployed our hub and firewall and it's operating, it's an AI/ML enabled firewall. I would say probably unprecedented scale in industry where you find a processing over 35 billion messages a quarter looking for anomalies and prevention et cetera, right. So it's a humongous platform, and that's just kind of in early days here, right?

So what happens as part of the deal construct is, we get a revenue share from the telco. And that has a huge potential as your firewall works and your upscale, you get a revenue stream, which is very predictable, very consistent, and very long-term, right. So that's really the revenue stream that comes in from there. And that's how we are confident that this platform under Wisely will scale up to that kind of gross margin run rate.

Miraj Shah: So as the number of messages increased, would the number that we stated, would that

also increase, that is the correct understanding, right?

Aravind Viswanathan: Yes, that is a correct understanding. The only point, I will make is the 35 billion that I talked about is the universe of messaging, which is being processed through the firewall and part of our AI/ML engines, right. So it's not linked to that, but it's linked to the messaging that goes on the international messaging space.

Miraj Shah: Understood. And sir, my final question on the ILD messaging side, how are the costings moving right now? Is there still room to increase the costing over there?

Aravind Viswanathan: When you say costing, are you referring to customer price? Or are you referring to telco cost, Miraj?

Miraj Shah: Customer price sir.

Aravind Viswanathan: So, we've seen a price increase, right. There -- we saw some price increase come through in Q2. So structurally, India still continues to be one of the lowest cost markets in the world, Miraj. We've kind of seen a big price uplift last year in Q2, we saw another uplift in Q2 of this year, right. So I don't think you will see a further increase in the near-term, but we've seen two rounds of increases in the last 12 months. So that's really how this market is playing out.

Miraj Shah: Understood, understood. And sir, I may have missed this one point, but if you can just help me with this, the CapEx that you've done this time in this quarter, what is that towards?

Aravind Viswanathan: So we've capitalized our Wisely OTT platform. You've -- we also seen an update, we've started to see the commercial traffic go on that. It's a balance sheet item, it's moved from assets under development to the CapEx, right. So it's not a new balance sheet item. It's not moved from P&L to balance sheet in this quarter. It's moved from balance sheet to balance sheet in this quarter. So that's the capitalization that has happened in the current quarter, Miraj.

Miraj Shah: Okay, understood. I'll get back in the queue. Thank you.

Aravind Viswanathan: Okay, thank you.

Operator: Thank you. We'll take the next question from the line of Abhishek Anand from Centrum. Please go ahead.

Abhishek Anand: Yes, thank you for the opportunity. One is the previous question when it was asked ₹100 crore annual run rate of gross profit. Is there any timeline that this will be achieved by when? That is my first question.

Uday Kumar Reddy: Sorry, what is that?

Aravind Viswanathan: The Wisely Network what is the timeline to reach a ₹100 crore gross margin?

Uday Kumar Reddy: I think we are more or less there around ₹95 crores, ₹96 crores something that like. Yeah, so we are quite on ₹100 crores per annum now. Yes.

Aravind Viswanathan: We are on the trajectory, maybe by Q4 we would be at that number, Abhishek.

Abhishek Anand: Okay. And is there any sense we get that currently what is the overall Wisely contribution which we have?

Aravind Viswanathan: Can you repeat that? You're saying what is the Wisely contribution on revenues?

Abhishek Anand: Yes.

Aravind Viswanathan: So we've not called that out. We've started to give additional disclosures on the Wisely platforms in this quarter, but maybe in the next couple of quarters or so as we refine it, right? We would probably call out this separately.

Abhishek Anand: And thirdly, when we go to the website, we see now five customers within Wisely site, three banks and a few other financial services company. So are they all live? And how do we see it's like for instance, Wisely Communicate, we say 30% of the critical UPI messaging flowing through now under Wisely end-to-end encryption. If you could just explain how in terms of ramp-up, we are seeing with our customers when we are actually implementing these platforms, say within Communicate or OTT. So just to understand that when we actually onboard a customer, how is the ramp up happening and therefore potential to gain

business from them?

Uday Kumar Reddy: So Abhishek, basically like -- if you look at any customer like be it bank or e-commerce or payment companies, right. So they have three kinds of the transactions like. The first one is OTP, which is pretty critical. The second one is transactions like. And the third one is promotional like, okay. The promotional is the biggest and highest and the OTPs are the smallest, but pretty critical, okay.

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So the banks would like to test Wisely capabilities mainly by pushing the critical messages and that's where it's doing phenomenally well. And once they see the success properly, they -- we would like to or they would like to use Wisely platform for even other transactions like be it promotional, or be it transactions like. So we have that -- as I told you on my speech and my letter to shareholders like we have a huge opportunity to scale, it's only beginning. We just started. So we're pretty excited about this journey on Communicate platform.

Abhishek Anand: Just one clarification, Wisely would have saved five customers, and all would be like, we would have been billing them. How should we look at it?

Uday Kumar Reddy: Yeah, we started billing, we started billing of course.

Abhishek Anand: And all the five customers, we have five customers just a clarification here?

Uday Kumar Reddy: Yeah, but three of the largest banks or some. Three of the largest banks on this platform, the total of customers is five. Okay, so three are in bank and two are in other industry. That's what we meant there.

Abhishek Anand: Yeah. Thank you so much. Thank you. Very helpful.

Operator: Thank you. We'll take the next question from the line of Milind Karmarkar from Dalal & Broacha PMS. Please go ahead.

Milind Karmarkar: Hi, thank you for taking my question. Most of my questions have been answered. Just one is that, I find there is an increase in working capital requirements. So just wanted to understand where is it coming from? And the free cash flow also has been impacted. I'm sure that must be because of the investments made. So if you could clarify a little bit on that?

Aravind Viswanathan: Sure, Milind. So if you look at, operating cash flow, right, we had made -- our DSO actually improved in the quarter, which helped us DSO improved by those working days. But our DPO went down, which is adverse by close to 17 days, largely because we had to make an investment with in terms of better payment terms with one of the telcos that we are working with. So that is something that we had done and that has impacted the operating cash flow.

On the free cash flow side, you're absolutely right. We've made investments. We talked about two, three types of investments. If you remember in the last call, we talked about our platform modernization, and that required a certain amount of CapEx, which we have done. And we've also investing in platform. Uday talked about innovation, and we have very, very aggressive plans on it. Obviously, these investments will -- are very small in kind in contrast to that potential, but those are happening right now. So there is a little bit of higher investment in CapEx as well as some working capital investments that we've made.

Milind Karmarkar: Okay, got it. Well, thank you very much, and wish you all the best for reaching the rule of 40 as fast as possible. Thank you.

Operator: Thank you. We'll take the next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, hi sir, thanks for the opportunity. Sir my first question is on the impact of the ILD price increase. So, have you seen the impact of the ILD price increase

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in this quarter? Because it happened, I think two months back. And also if you can, because there have been two hikes in the last two years. So on a YOY number, if you can provide what has been the volume impact,

ILD volume

impact, roughly if you can give an estimate?

Aravind Viswanathan: So you're -- the ILD price impact happened in for a large portion of Q2, right. There was a little staged manner Amit in terms of how the increases happen. But most of it happened within July, right. So we had two months of benefit as far as the price increase is concerned. We've not called out an exact number of breakdown into volume and price, but there was a positive benefit of that in the revenues.

Amit Chandra: Okay, and also because, as you mentioned earlier that ILD would be roughly 35%, 40% of their revenue, and in terms of volumes it would be less than 10%, maybe 5% to 8%. So, can we see further volume decline in the ILD messages, because there have been a steep price increases, that has happened in the ILD side. And also, if you can quantify in terms of the enterprise business and gross margins. So we have seen some improvement and we have said that 1% impact has been there to cross currency. So we are at roughly around 18% on addition for that. So, are we on track to improve that to maybe 19%, 20% as you have -- as you said earlier or we can see some kind of elongation to that in terms of timelines?

Aravind Viswanathan: Okay. So there are two questions there Amit. One, is the impact of price increase on volume. And maybe I will ask Deepak to kind of answer that side, because there is a historic trendline on it. And always some near-term impact. But I let Deepak answer that. Clearly and I think Deepak kind of answered the second question also in one of the earlier questions, but clearly, the idea is to kind of drive profitability also, right, on the enterprise business, right? We've improved a certain amount, as you rightly said in Q2 vis-à-vis Q1.

And there was an adverse Forex impact of Euro improved more. I think, if the currency is kind of remain constant, we have a room to improve that, right. The exact quantification we're not calling out a specific number, but clearly that is on an improving trajectory. In terms of big impact of volume and price equation, maybe Deepak you can give some color on that.

Deepak Goyal: Yeah, Aravind this is about ILD business, right.

Aravind Viswanathan: Yes.

Deepak Goyal: Yeah. So as Aravind said, whenever there is a price increase there is we see some percentage of volumes getting compressed by the customers and they try and optimize their traffic. But then there is a natural growth in the business and inorganic growth in all that and that gets compensated within no time. So this is the trend what we have to say.

Amit Chandra: Okay. So and on the questions of margin trajectories, if you can give some clarity, how do you see the improvement going in the next two quarters?

Aravind Viswanathan: Yeah. So, Amit like we said, right. We very, very focused on margins, right. Obviously, we're betting on both enterprise business as well as platform business as platform business scales up, and we've kind of talked about a lot of evidences in terms of what's happening on Wisely. The objective is to improve, right. Frankly, if we didn't have incremental Forex impact, we would have probably been at about 18% EBITDA in the quarter, right. So I think there are

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certain levers, which are beyond our control, but we will continue to show an improving trend as far as margins are concerned.

Amit Chandra: Okay. And sir on the capital investments that we have done around ₹109 crores in this quarter. So out of that and out of the around ₹50 odd crores, ₹55 odd crores is for the Wisely OTT. So, the rest is like increasing the work -- existing work in progress. So, what is this if you can clarify on this?

Aravind Viswanathan: So you're talking about from a cash flow standpoint or you talking about the balance sheet standpoint, Amit?

Amit Chandra: Yeah. So, if I try to reconcile it's ₹109 crores, so around ₹50 crores is for the

OTT and the rest there is some ₹40 crores of CapEx on some campus

investments in a new R&D centre, right. So just the...

Aravind Viswanathan: See, I'll tell you. The capitalization that has happened is not capitalization of this quarter, right. In that sense, it has moved from assets under development to it has moved from assets under development to CapEx, right? So if you look at it, it's a YOY number that you're talking about Amit, not for the quarter, right. We are looking at cash balance movement between last year. I -- if that is the side you're referring to, right. We -- this is including the entire ₹56 crores is included here. There are assets under development that we have, and there are other kinds of CapEx investments which is normal CapEx investments in terms of your physical infrastructure, et cetera. So, that's really the breakdown. So, it is four quarters of CapEx that is getting covered as far as ₹109 crores is concerned.

Amit Chandra: Okay. Because I was referring to, because if I see the capital work in progress increased from -- if I see from like March end to September from ₹13 crores to ₹50 crores. So increase of ₹37 crores there. And intangibles and platforms roughly a growth of around ₹40 crores. So if I compile that then it comes to ₹90 crores right. And apart from that, the investment in infra you are seeing right. So, this is...

Aravind Viswanathan: Yes, if you see the other line Amit, that you should also look at is assets under development, which has shown a steep decline, okay. So, you would see that decline by ₹56 crores or ₹40 crores actually, right. So you -- because it's actually a balance sheet to balance sheet transfer, right. We are also making multiple investments, as we talked about. So if you look at a company of our size with the kind of platforms and revenue streams we are having Amit, it is still a very, very thin balance sheet in terms of where we are right. So you -- we are making those necessary investments. We've been talking about it. And it is largely in the nature of platforms, certain amount of physical infrastructure and innovation. Those are the areas right, and I think they're well within the normal run rates of our business.

Amit Chandra: And sir my last question is on the Wisely OTT and our capitalization. So are we done with the capitalization or -- and over the last two years, how much we have capitalized for or how much we have spend on the R&D for this?

Aravind Viswanathan: So I would say we've spent close to over ₹120 crores across Wisely over 24 months or slightly longer than 24 months.

Amit Chandra: Okay. And the platform business gross margins that we're showing is 96%. Do you see any risk to that in terms of that going down.

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Aravind Viswanathan: See platform business will be substantially higher, right. But 96% is at current levels because of the tremendous profitability of Trubloq that we have, right. So there can be some normalization, but it will still be very, very high. So that's how you should look at it.

Amit Chandra: Okay. Thank you, sir. And all the best for the future. Thank you.

Aravind Viswanathan: Thanks, Amit.

Operator: Thank you. Our next question is from the line of Deepak Chokhani, an Individual Investor. Please go ahead.

Deepak Chokhani: Thank you. So the message from the Chairman is very impressive, and seems to lay a strong foundation for future. This is the first time in a message I've seen that you've segmented Wisely into four segments. And last statement, of course says that each of these segments has a potential to gross profits of ₹100 crore each. Could you just elaborate broad timelines, and I'm a bit confused about each of these segments. So where does, which one fits there? Could you just quickly explain me or throw some light on that piece?

Uday Kumar Reddy: So Deepak, Uday here. So in terms of the -- see, let me step back and try to

explain what the platform is platforms, right. So we keep saying Wisely is platform, meaning to say that Wisely is our core platform, which we keep talking about as a single platform strategy, okay. And either we develop other platforms, which are going to ride on this main core platform.

Sometimes, like most of the platforms we are developing internally or sometimes we partner with third-party. In this example, like in Wisely OTT, okay, right. We have tried to fit mainly with the Truecaller, okay. The Truecaller is riding on Wisely single platform. And so that that's where we see a huge potential there. So that went live in last quarter. And so it is increasing, and we see a huge opportunity there, right. That's an OTT, okay.

In terms of the Wisely Network, which we deployed with VIL, a couple of quarters

ago. So that has -- that was the first one to demonstrate a full potential. So it is kind of reached around ₹95 crores, ₹96 crores ARR in terms of gross margin. And so the way I see is don't hold me, but each of these platforms have got the capabilities or abilities to generate ₹100 crores gross margin ARR, I mean gross margin per annum live, okay. So that's about Wisely Network.

And Wisely Communicate is mainly for SMS, where we went live with five customers, three of the banking customers and two of the other customers. And so we also see a huge potential over there. And so I cannot really give you the timelines, but it's -- this Wisely Communicate platform has got a huge potential like, because the volumes in India are around 50 billion, 55 billion per month, okay. And we just, we are not even processing even 2% of the 50 billion, 55 billion transactions per month live. So we have a huge potential for the Wisely Communicate. So that first of five case customers, we need to ensure that they see the value on Wisely Communicate, which we demonstrated with a couple of large banks. So we're pretty excited about this platform too. Did I cover all your points, Deepak?

Deepak Chokhani: Yes, sir. And so Wisely Engage will be Kore.ai right, that's where it will fit?

Uday Kumar Reddy: Absolutely, absolutely, it may take a little longer than what we expected, because it needs a lot of -- it's again, it -- the Kore itself is a very large platform,

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it is riding on our Wisely platform, it takes, it will definitely take a little longer than what we expected. But other three platforms should be able to scale up quite quickly.

Deepak Chokhani: Got it. So these are the modules basically, which we keep referring to that, we will keep on adding modules on the main Wisely platforms, right?

Uday Kumar Reddy: Correct. Absolutely.

Deepak Chokhani: Sir one more question on Wisely Communicate, what does it drive the customer to engage on Wisely versus the normal? Is it just a pricing pressure? Is it the technology, of course last time also I'd asked this question, the answer was broadly the technology. So I mean, let's take for example HDFC Bank is through Wisely, some other banks don't own Wisely, which is why they're going for the cheaper options. What can propel these other banks or other customers to move to Wisely? Is it because of course technology is there, but is it also a pricing a factor? Can we throw in some incentives...?

Uday Kumar Reddy: Deepak, effectively we are talking about Wisely proposition here, Wisely Communication -- Communicate platform proposition here. Let me explain our proposition here, right. See, data bill is around the corner in India, it may be tabled to the Parliament very soon in the next probably one or two quarters, wherein data security and data privacy is going to play a very important role in our lives. That's where Wisely comes into picture. We keep talking about encryption and decryption in the sense like each and every communication of the user is encrypted at the bank level and decrypted at the telco level

, okay.

Sometimes we can go as far as the handset level also.

So in the sense like this platform is primarily to is there to protect data privacy and data security of the users of the banking and e-commerce users. That's one of the biggest propositions. Secondly, like we use Blockchain technology to go back and look at the -- to address the audit trails of each transactional like. So the banks get an opportunity to go back and look at whether the message -- how the message is delivered, why there is a lot of latency and so on so forth. So it captures all the audit trails of the transaction from A to B. So that's the second largest proposition like.

Third one is nowadays like each of these platforms are transacting in billions of transactions every month in India, okay. The settlement is settlement between the two parties, whether it is aggregators, or enterprises, or the operators between the operators and enterprises, it is taking longer than what we expected. Sometimes it can go as high as two months more in terms of the cancellation like. This is where Wisely is going to come into picture in the sense like, whenever you want, it will do it in next 30 seconds settlement reports, but because the settlement these transactions are since written on the Blockchain, and one can have the settlement reports immediately, whenever the telco or aggregator or enterprise wants a settlement reports, they can fetch from the Blockchain as you speak, like.

So these are the some of the large proposition from the Wisely. And I have a very reason to believe that it is pretty scalable, and it's got a huge potential going

forward.

And also one last, but not least proposition on Wisely is the telcos. All the telcos are on this platform. And also the enterprises or aggregators have an option of choosing to work with various telcos and also telcos have an option of reaching out to the enterprise directly, okay. So it has -- these are the one of the -- these

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are some of the propositions of this platform. And we are pretty confident about this platform.

Deepak Chokhani: This is wonderful, sir. Thanks for explaining, because every time -- I let's say have an account with a bank, which doesn't use Wisely. My question is, can I kind of because I'm getting SMSs or OTPs from them. Can I ask them to send me encrypted message or will the government at some stage kind of force them to do it?

Uday Kumar Reddy: Deepak, if I have to be honest, like the bank is the one who has to take the decision. I think I'm sure they have to protect their users confidentiality. And it is and I'm sure they will see the value in Wisely. Once we see that, when we demonstrate the success of these three banks, large banks, and I'm sure other banks will follow or other enterprises will follow.

Deepak Chokhani: Perfect sir. Thank you so much.

Operator: Thank you. Our next question is from the line of Amit Mishra, an Individual Investor. Please go ahead.

Amit Mishra: Hello, am I audible?

Uday Kumar Reddy: Yes, Amit. Please go ahead.

Amit Mishra: Good evening, everyone. Hi, so most of the questions are already answered. So this is a question to Uday. Can you please give some colour on Kore.ai and some sort of, let's say timeline, if you can. Basically, they have five geographies with us on exclusivity. So wanted to understand the business and revenue model with them and also like the timelines? Thanks.

Uday Kumar Reddy: Yeah, Amit, in terms of the conversation platform, the Kore.ai is the best platform available in the world according to Gartner. So there we have exclusive partnership with us for five markets, as you rightly said. So it's a revenue share opportunity where A, it rides on Wisely platform; B, whenever we win a business, we jointly pitch the business to our potential customers in this market. So whenever you generate it -- wherever you sign, these are all long-term contracts.

It's pretty long-term contracts, because it's very difficult -- it takes a lot of a whole lot of time to integrate with enterprise platforms, deployment itself takes minimum six months. But once we are deployed, we're almost there for at least for a decade, okay. So in terms of revenue share...

Amit Mishra: Who goes to the market and basically where supply in there -- in new geographies. I'm sure in India, we will do the legwork. But in other markets where we are not present, are we going to open offices there or it's through Kore.ai setup. How we're going to approach?

Uday Kumar Reddy: Yeah, as I told you Amit, like it rides on our Wisely platform. So, our GTM team takes Wisely as a platform of platforms to our enterprises like. They are going to offer a lot of a whole lot of our services on Wisely, whether it is Communicate, whether it is OTT, whether it is Engage or whether it is Compliance, okay. So, they take -- our GTM takes headed by Deepak, like they take Wisely proposition to the market, be it India or outside India. And it all depends on who we're pitching.

Some people are interested to look at Engage platform, which in here we're talking about Kore.ai some may. So it all depends, like. So to answer your

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question like we are the one who's going to address in terms of building the solutions and also taking this to the market in terms of GTM, this is responsibility of Tanla.

Deepak Goyal: So Amit, just to add we have our full-fledged business team based in UAE and through that, so we are reaching out to all the large customers in UAE and other countries in MENA region. And we also talking to few customers in Indonesia, the Kore.ai is such a product that you have to go to a very large kind of enterprises who have a very big consumer business, primarily, banks and BFSI sector and so on. So, it's a very, we have very targeted approach, but we have -- what we are taking and you would see some good results coming.

Amit Mishra: Right, thank you. Just on the second, on the Wisely Network. So these SMSC

servers and AI/ML firewalls, are we planning to go outside India and go to telcos in different countries and put there to increase our network and eventually it brings more business basically, if we have these servers in multiple telcos on board. So is that the ultimate plan with this or something else? Can you please elaborate on that?

Uday Kumar Reddy: Amit, as we rightly suggested, like most of our platforms, we would like to test with our existing customers and existing markets. Once we see the success, I don't see any reason why we look at other markets, right. So but we are not in a great hurry to expand in another market to just to impress the market.

Absolutely, no. We would like to test our home ground before we look at the international market. But Wisely, coming -- Wisely Network is a huge success. I don't see any reason why we should not look at global markets.

Amit Mishra: Okay, understood. So just last question, if you can please. On Trubloq, there is that -- we talked about the module Consent Management and its life basically on Trubloq, but it hasn't been implemented. So do you have some timelines basically to -- from all the stakeholders, regulator, telcos. Are we heading there soon or it's going to take time? I understand voice is not on the horizon right now, but in Consent Management I wanted to be at?

Uday Kumar Reddy: So Amit, it's a good question. In fact, the DLT, our product name is Trubloq, it's a massive success in India. One of the -- probably the one largest Blockchain platform in the world, in terms of volumes that we can build every day and every month. And we have to switch on a couple of more modules, be it Consent Management, there are a couple of more modules which we'll talk about later. As far as the product readiness, we have been ready for quite some time. Our platforms are fully geared

up. As you know, we stay ahead of the curve. Our modules are pretty ready on our platform, but it is a regulator, TRAI, in this example, who has to decide on the timing. So that question is to the regulators and operators not to the Tanla, but as far as product is -- as we are ready in terms of products, right. And same applies to the voice also. So the product capabilities we already build we have -- it has been ready. And it is Indian telecom regulator has to take the call on this modules.

Amit Mishra: This is very good sir. But yeah, just the timeframe, I'm not sure. Because it's keep on delaying from the regulatory side. Okay, just one last question if...

Uday Kumar Reddy: Amit, let me answer that question. Like, I think if you go back and look at the tweets in the market in the last one week, where I don't want to drop the names here. Everybody is referring to the Consent, everybody is referring to scam fraud in India. I think regulators are hearing that. And I have every reason to believe that they will definitely ask us to go live as soon as possible.

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Amit Mishra: Very, very good. So just one last question, Uday. We talked about in the five, six platforms after Q4 to be launched. So we saw post that Kore.ai and Truecaller, Wisely Insights was before then. So like -- you said like still within FY23, so are we planning to launch some new products in the -- it's still in the plans or like delayed?

Uday Kumar Reddy: Amit, I don't want to hijack this in on this call. It's a good question. I committed, stay tuned. Let's hope for the best.

Amit Mishra: Okay, that's great. Thank you, everyone. Best of luck.

Uday Kumar Reddy: Yeah, thank you.

Deepak Goyal: Thank you guys. Thank you for joining.

Operator: Ladies and gentlemen, that was the last question. Over to you, Mr. Uday Reddy for closing comments sir.

Uday Kumar Reddy: Thank you, for joining our call. Wish you all a very Happy and Prosperous Diwali and thank you very much. Bye.

Operator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2023

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January 27, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 , please find attached herewith the transcript of the Earnings Call on Un -Audited Financial Results of the Company for the quarter and nine months ended December 31, 2022, held on Monday , January 23, 2023, at 4:30 PM IST .

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcriptq3fy23.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited
(Formerly known as Tanla Solutions Limited)

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

Page 1 of 15 Tanla Platforms Limited
Q3 FY23 Earnings Conference Call Transcript
January 23, 2023
Call Duration ■60 minutes
Management ■Ritu Mehta - Head of Investor Relations
■Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■Deepak Goyal - Executive Director & Chief Business Officer
■Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■Abhishek Bhandari - Nomura
■Balaji Subramanian - IIFL Capital Ltd.
■Deepak Chokhani - Individual Investor
■Nirvana Laha - Individual Investor
■Amit Chandra - HDFC Securities
■Dipesh Mehta - Emkay Global
■Amit Aggarwal - Leeway Investments
■Suresh Agarwal - Individual Investor

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Operator: Ladies and gentlemen, good day and welcome to Tanla Platforms Limited Q3 FY '23 Earnings Conference Call. Joining us on the call are Mr. Uday Reddy, Founder, Chairman, and CEO; Deepak Goyal, Executive Director and Chief

Business Officer; and Aravind, CFO. Mr. Reddy will share his perspectives of business and strategic progress made by Tanla and will engage in an interactive Q&A session.

Before I hand it over to the management, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on the company's website. Please note all participant lines will be in the listen-only mode. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch-tone telephone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta. Thank you and over to you, ma'am.

Ritu Mehta: Good evening and a warm welcome to our Q3 earnings call. I now hand over to Uday for his opening remarks.

Uday Kumar Reddy: Thank you, Ritu. Good afternoon and good evening, everyone. Very Happy New Year to all of you. And I'm very excited to join you from our Innovation & Experience Center, which we will unveil in this quarter. Q3 was a quarter where we continued to make progress in both platforms and the enterprise business and let me share my thoughts on both of them.

If you hear all my commentary, I've been very, very consistent about my passion to build platforms and I'm happy to see Wisely scale every quarter demonstrating key metrics of every platform business, high margins, customer stickiness, stability, predictability, and asset light. Our platform business gross profit grew 26% year-on-year and I'm excited to share that Wisely contributes 35% of the platform gross profit. So, I'm confident that it will scale up to 50% in the coming couple of quarters.

I have talked in my letter about the three phases of the platform lifecycle: innovate, succeed, and scale. Let me drill down on each Wisely platform in this context in the reverse sequence. In terms of scale, we have two platforms already in scale phase, which is Wisely Network and Wisely OTT, and I expect strong growth to come in in these two platforms in the next couple of quarters. Wisely Network is on track to be ₹100 crore annualized gross profit processing over 33 billion transactions through our AI/ML engines. Wisely OTT crossed 1 billion volumes in Q3 generating strong gross margins. So, I'm quite confident that these two platforms will accelerate from here.

In terms of Success, we have Wisely Communicate and Wisely Engage in this customer success phase. We are evidencing our platform capabilities to select large customers and once we demonstrate our value proposition. We will move to the scale phase. Wisely Communicate is seeing strong traction with the banking customers. For one of the banks, around 50% of their critical UPI traffic is going through Wisely platform.

On Wisely Engage, we are initiating a POC with select customers in Q4. I'm confident at least one of these platforms will move to scale phase in the next quarter.

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In terms of innovation phase, we have a large platform in the innovate phase and I'm personally very excited about what we are targeting to launch this in Q4, most likely in MWC Barcelona. This is going to be a truly global platform addressing one of the pressing challenges faced with the consumers globally. This is in line with our purpose of empowering consumers and enabling companies.

nies.

On the enterprise business, we are showing steady improvements with sequential revenue growth at 2% and improvement of gross margin of 74 basis points. We see a huge competitive environment with some slowdown and festive spends in BFSI clients, but we are maintaining our market share and improving our margins. Deepak will talk in more detail about the enterprise business in his opening remarks. But I'm confident that we will improve every quarter going forward.

2022 was the year where the focus was shifted to companies with the profitable growth and disciplined capital allocation. We have stayed true to our ethos; focus on innovation, organic growth over acquisitions, return cash to

shareholders as against raising capital. We completed our buyback in January and we have returned over ₹300 crores to the shareholders just in this financial year. I'm very excited about the year ahead. We are making right investments, we have the right team, and thank you for support.

I now request, Deepak to give his perspective on the enterprise business.

Deepak Goyal: Hello, everyone. This is Deepak here and wish you a Very Happy New Year. I like to give you some highlights on our enterprise business. As Uday said, we are seeing stability in our enterprise business, and we have been seeing improvement every quarter from Q1 to Q2 and now Q3.

So, we delivered 2% sequential growth in this quarter and improved our gross margin by 74 basis points. This quarter we did not see the usual scale up in the active spends especially from our banking customers probably impacted by macro environment. The market remains quite competitive and we -- there are three specific areas where we are working to grow our business. The three areas I would say one is to retain our customers and retain our wallet share in our existing customers; number two add new customers; and three, focus on other than SMS channels.

So, I'll elaborate here. Number one, we are -- our customers with greater than ₹1 crore revenues have grown from 189 to 220 in the last four quarters and sequentially it improved from 208 to 220 customers. On adding new customers, we have added 210 new customers in this financial year already.

So, what is more interesting is that we have added some very large names with a very large stamp. So, there are -- some are very large banks where we are integrating right now. There are some very large e-commerce companies and some other verticals, which we are on the integration phase. And these wins are going to help us in next couple of quarters to scale up our revenues.

We are focusing on other than SMS channels, as I said earlier. We have done a very good job on WhatsApp. One-third of our wins are on WhatsApp in this year, and we have been scaling up in the last five quarters. And the way the WhatsApp is going, this year we would exit with ₹100 crores run rate, and we are seeing a significant momentum. I mentioned last time we have one of the very large PSU banks, which we integrated and it's scaling up very well.

So overall while the revenue growth is muted, I see opportunities ahead and I'm confident of an inflection point for the enterprise business sooner than later.

Thank you.

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Uday Kumar Reddy: We'll be happy to take question-and-answers. Deepak, may we open the queue for Q&A.

Question-and-Answer Session

Operator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question, may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a question. Anyone who has a question may enter star and one. Ladies and gentlemen we will wait for a moment, while the question queue assembles.

The first question is from the line of Abhishek Bhandari from Nomura

. Please go ahead.

Abhishek Bhandari: Yeah. Thank you for the opportunity. Sir, I had three questions. The first one is you mentioned the competitive environment remains fairly aggressive. If you could talk about what kind of competition are you seeing incrementally both from existing CPaaS companies and some of the telcos who have been trying to enter into the space?

Aravind Viswanathan: You want to list down all the three questions, Abhishek, and then we can take it one after the other?

Abhishek Bhandari: Sure. The second one is sir, if I look at your operating cash flow numbers, they have been either close to zero for last quarter and negative even for this quarter.

Little surprised why the operating cash flow should remain negative. I

understand that the free cash flow because of the investment it could be the case. But what's going on, on the OCF, if you could explain? And third is to, Uday touched on favorite Rule of 40, we have dipped significantly on that for last I would say three, four quarters. When do you expect again to reach that 40 mark on the Rule of 40 kind of outlook?

Aravind Viswanathan: Abhishek, maybe I'll ask Deepak to answer the first question, I'll take the second

question, and I'll maybe ask Uday to talk on the third.

Deepak Goyal: Sure. Hi, Deepak here. Hi, Abhishek. And to answer to your first question. Yes, as I've mentioned, the market is quite competitive and one of the large telecom provider also made certain efforts to enter into this market for last two quarters. And other than that, there are other CPaaS providers who are also there in the fray.

But what I'm saying is while there has been some disruption as we saw in Q1, but overall if you look at our business; we have been able to retain our customers, we have been able to retain our wallet share, and we are very confident going forward that we would be able to gain -- as I mentioned, we are gaining more customers. We have added lot more new customers and we would be able to grow our business from here.

There are definitely, as I said, competitive environment is there, but are they really winning, okay. And the answer is I would say no, right, because it's not that -- if you are providing great service to our customers the kind of way our stickiness is there, it's not that easy to remove.

Aravind Viswanathan: So, Abhishek, let me take the question on the cash flow, right. As you know, we've had a good track record of cash flow generation. But one correction of sorts in terms of an investment that we made in a strategic partnership with a

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telco where we kind of gave better credit terms, right. So, what is happening is that this is an adjustment phase where the entire impact of the change in credit terms is reflected in Q2 and Q3.

We had kind of called out a normalized cash flow of about ₹78 crores is the operating cash flow if I normalize for it. If you look at Q4 and beyond, whatever adjustments which we made are done, I expect that we will go back to an operating cash flow of upwards of 70% of PAT, which is what we've historically been doing.

So, this is more Q2 and Q3 have been a quarter of adjustment in terms of reflecting the change in payment terms. This is why our DPO has come down, our creditors have come down, and that is really what has affected it. But it's kind of that phenomena is over and you will get back to a normalized cash flow from Q4.

Uday Kumar Reddy: Abhishek, on the Rule of 40 so all I can say is like the Rule of 40 or Rule of 60 does apply only for SaaS companies. That's what we are also tracking our platforms business. If you look at our platform business, first let's say we are growing year-on-year at 26% and I don't have exactly access to that EBITDA on the platform business.

But if we combine the rate at which we are growing plus our EBITDA margins from our platform business. We are much beyond the Rule of 40. So

going

forward, we're going to report a Rule of 40 mainly for our platform business. As in today I think we are one of the best performing SaaS companies in our space. But going forward, we would like to announce Rule of 40 mainly for our platform business.

Abhishek Bhandari: Great. Thank you, Uday. Uday, if I can just ask a follow-up. Do you think the industry has now settled at a lower growth number and the last two, three years growth because of COVID induced demand patterns are kind of normalizing?

The reason I'm asking is overall it seems like the sector is heading towards normalized growth levels and many -- some of these things like OTT registrations and all those are kind of rewinding. So, happy to hear your thoughts what you see as a medium-term growth number for the industry as such.

Uday Kumar Reddy: Abhishek, Uday here. My takeaway is in terms of volumes. If you look at volumes, I think we are growing around 15% in terms of transactions and in terms of volumes, right. If you look at mainly UPI the transactions like we have seen -- unfortunately I cannot afford to really share certain amount of numbers here, but we have seen a huge growth coming from UPI on the transaction side. We serve most of the banks and the UPI transactions have growth through the roof, right. So in terms of the new use cases, yes, as you rightly said, it has kind of stabilized in terms of use cases.

But wherever we have integrated with the existing UPI use cases, definitely we see the increase in terms of volumes. That's number one, right. So, as we know like the revenues is a function of the volumes and the price. Price is the one which has kind of deteriorated in the last three quarters. We hope -- though I cannot really can't comment or commit, we hope we have seen the worst and

looking forward to the better days. So, with that, I think definitely, we will be seeing the better growth. Deepak, do you want to add anything here?

Deepak Goyal: Yes, Abhishek. So as Uday just mentioned, so I would say about -- firstly about India. So India, we are seeing there is good volume growth which is happening and we have seen the volumes are growing about 18% to 20% year-on-year. Okay. And so I mean -- and there are UPI transactions -- overall number of transactions are high. As I mentioned earlier also if the number of transactions go up, our industry also gets bigger and bigger. And we all know that digital

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transactions are going -- month-on-month and year-on-year they are growing, right, so naturally our volumes will also grow.

But once there is a price erosion, the price has come down and that has impacted our overall revenues. But since we were able to manage better costing, that's how we were able to improve our gross margins by 74 points. On the other side, we also do lot of volumes which are international volumes that are getting transitioned into India that are very highly priced and sometimes we are not there. The growth is limited because the price is very, very high for these transactions and its only used for -- mostly for one-time passwords and there the growth is quite limited. But as far as India transactions are concerned, the growth is quite normal.

Abhishek Bhandari: Got it. Thank you for the detailed answers and wish the management Happy 2023.

Deepak Goyal: Thanks, Abhishek.

Operator: Thank you. Thank you. We'll take our next question that's from the line of Balaji from IIFL. Please go ahead.

Balaji Subramanian: Good afternoon. Thanks for taking my questions. Actually, I have three. The first one was regarding the volumes. So, we did see that Trubloq volumes have been around 82 billion in the last quarter versus 89 billion in 3Q of last year. So, what explains this decline? And I didn't get your answer to the previous question where you mentioned that the domestic SMS volumes are growing at 18% to 20%, but there has been some impact

because of the higher pricing on the ILD

SMS. So net-net, how should one look at the narrative going forward both in terms of the blended volumes and the revenue growth? That is one.

The second question is on this TRAI, which has been working on implementing a caller ID system along the lines of Truecaller though I understand that Telcos are largely reluctant to get this implemented. In case this gets implemented, what are the opportunities and threats that you see? And my final question is on this revenue from new customers, which has fallen to ₹322 million in the first nine months of fiscal '23 versus ₹571 million in the same period last year. So, any color on that? What explains the decline and when should one expect this to pick up? Thank you.

Aravind Viswanathan: So Balaji, let me answer the first question on Trubloq, right, volumes. So if you look at Trubloq is still growing double-digits YoY and sequentially also, right. I think some of the volume delta is largely because in terms of some of the non-chargeable volume around PSUs, et cetera, that come in, right. So, some of the traffic is exempt from a DLT charging standpoint and sometimes there is a variation with respect to that affecting the overall volumes processed through the platform.

But if you look at it and we've shared that both the volume as well as the gross margins, you will find that we continue to grow very well as far as Trubloq is concerned given the scale, right. So, that's on your Trubloq. I know you had a part two of that question in terms of was it ILD volume? Was that your second question? He had a question within this.

Balaji Subramanian: So, basically what should one look at?

Aravind Viswanathan: So the second question is -- go on Balaji.

Balaji Subramanian: Yes, so basically what should one look at as a more sustainable volume and revenue growth? I understand that the other channels like WhatsApp and all is doing quite well, this is more on the SMS front.

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Aravind Viswanathan: Yes, so I think both Deepak and Uday kind of talked about a volume growth that we still see around 15% in India, right. Pricing has been little up and down, but I think on a normalized basis you could see a growth rate. That would be a good way to look at from a volume standpoint over a medium term in terms of the

India market, right. If I were to look at your second question in terms of TRAI caller ID, I'll just ask Uday to give his perspective on that.

Uday Kumar Reddy: Hi, Balaji. Uday here. So in terms of the TRAI initiative like, we have nothing to add here. We are not in the business of -- in this business so it is up to the Telcos and the TRAI and the players who are in this market -- I mean the guys who are in the market as mainly Truecaller and other apps are there. So we have nothing to add, nothing to lose, nothing to gain. So, it is quite irrelevant for us. So, that's the second one, right. Third one, Deepak, you want to take that?

Deepak Goyal: Nine months -- new customers.

Uday Kumar Reddy: New customers. So, revenues dipped in the last nine months.

Deepak Goyal: Yes. So Balaji, as I mentioned, we have had wins or we have acquired some very large customers and -- but with the large customers when you acquire so it takes time to integrate. There are lot of challenges in terms of overall integration -- integrating those customers. So, that's why the integration is going on right now and you would see the impact in the next few quarters and so you'd see a much, much bigger impact.

Balaji Subramanian: Okay. Thank you. So I just had a quick follow-up on this caller ID system, which TRAI is talking about. While I understand that you may be largely unaffected by it, but is there a worry that since you have a strategic partnership with Truecaller, the volumes on Truecaller come down and there could be some second order impact. I do understand that it's a little t

oo early, but any thoughts will be quite helpful here?

Uday Kumar Reddy: Absolutely not, Balaji. So they are talking about voice business here and we are talking about messaging business here. Okay. Our estimation is that they have around 220 million users for quite some time in India. So, we don't see any challenge with the 220 million. But it is on radar for quite some time this topic like, but it's not going anywhere to be honest with you. Okay. So, we're not too worried about this at all.

Balaji Subramanian: Okay. Thank you. This is quite helpful. All the best.

Uday Kumar Reddy: Thank you.

Operator: Thank you. We'll take our next question from the line of Deepak Chokhani, an Individual Investor. Please go ahead.

Deepak Chokhani: Hi Uday sir. Thanks for this opportunity. I have two questions. You in your message, you did speak about a large platform to be launched probably in Q4. Could you elaborate a bit on this and by when can we see the revenue to start kicking in through this platform?

Uday Kumar Reddy: Deepak, you wanted to come out with -- what is your second question, Deepak?

Deepak Chokhani: So, this the first question. Basically, you did speak about a large platform which will be launched in Q4

Uday Kumar Reddy: Okay, got it. Deepak, it's a good question. In fact, we have been building this product for quite some time and so this platform needs approvals from the Indian telecom regulator, which we got it last week. But this platform has to be deployed with them and they have -- probably they will come and audit the platform. And

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once they sign off the sandbox, we will do a POC with three large banks which we've already signed for it, it's only POC.

Once we see the success with the three banks, which is going to happen sometime in Q1 of next year, then we are going to push this product to the commercial launch. So, there are three phases as I told you earlier. But this product needs a bit of approvals from the TRAI and it needs various approvals, but we got the initial approval and there we have to showcase our platform and this platform is under deployment.

But definitely, our intention is to launch -- at least to showcase this platform with international regulators and also international enterprises like say in Barcelona, most likely we're going to launch on 27th of February in Barcelona. So, we're pretty excited. I'm not ready to give you any -- I'm not going to -- I'm not here to make any forward-looking statements in terms of the potential, but it is going to address one of the biggest challenges that mobile users are facing globally. So, we are pretty excited and we have been developing this product for quite some time. So, please stay tuned and probably you should be able to hear something from Barcelona on 27th.

Deepak Chokhani: Perfect. All the best. So, just a bit on that. Will that be a B2B kind of a product or a B2C?

Uday Kumar Reddy: It's a B2B. But as we -- Deepak, I have been talking about like our customers'

customers are equally important for us. Okay. To protect our customers' customers is the one which is on our agenda and this product is mainly to protect all mobile users. So -- but this is mainly B2B to B2C. So we want to offer the services to the B2B, but to protect their users.

Deepak Goyal: So, Deepak here. So, just to make it simple. I mean you, me, everyone will get benefited out of it as mobile users. So, it's like this. But yes, we are a B2B company so yes.

Deepak Chokhani: Yes, understood. Understood. I got a bit of a gist on that. So, thank you for that. So, my second question is Uday and you both mentioned that the business is at an inflection point. So usually, we have a seasonality in our business wherein the Q3 is the best, Q1 is 2%, 3% -- sorry, Q4 is 2%, 3% less than Q3 and then it tapers and then again picks up in December. So, are we seeing that this year we're going

to reverse that and probably Q4 and then Q1 and Q2 might keep on getting better and better, so that seasonally -- seasonality this year will be done away with?

Deepak Goyal: We hope so, Deepak. We are working towards it.

Deepak Chokhani: Okay. And just the last question. When you think the industry will reconcile to this pricing pressure? Of course the telecom operator which is throwing in these prices, I'm sure they are also losing money. I'm sure the industry is talking to themselves. What's your guess or what's your analysis that when could this end?

Deepak Goyal: I feel already worst is over and things are getting better. So, this much I can say. And you would see next couple of quarters things should be much, much better. This is -- we are very confident about it.

Deepak Chokhani: So just Chinese wall issues like how can a telecom operator -- I mean I'm just trying to understand. I mean that way -- I mean globally I've seen not many telecom operators are in this particular business. This is so small for them as part of their bigger kind of revenues. Aren't there any restrictions on Chinese wall wherein the telecom operator can't do something like that?

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Deepak Goyal: No, there is nothing like that. I mean if they want to, they can do. But as you said, globally we won't have seen any large telecom operators getting into this business, because this is a very -- this business has its own advantage and that's how it has been -- the CPaaS as an industry is there and the CPaaS providers are there to actually provide the services to the enterprise customers. And yeah, but I mean this is what it is. But let's see how it goes.

Deepak Chokhani: Sure. Okay. Thank you so much.

Operator: Thank you. A reminder to participants if you wish to ask a question, you may press star and one. The next question is from the line of Nirvana Laha, an Individual Investor. Please go ahead.

Nirvana Laha: Hi. Thank you so much for giving me the opportunity. I have four questions, I'll just place the questions one after the other. So in Q1 call management had guided that you expected EBITDA to come back to 20% by Q3 so we are still quite a way below that, 17.4% now. So, like what happened there if you could give us some commenting and when can we get back to 20% levels?

Second one was on Trubloq. The revenues seem to have come down by 18% YoY at least assuming that all entire last year same quarter revenues would have been from Trubloq platform revenue, the revenues seem to have come down by 18%. So I know you answered this to an earlier participant, but could you help reconcile this?

Third question is on Wisely Communicate. So one of the key features that Tanla is talking about here is E2E encryption of SMS, right? But as far as I know, nowhere in the world regulators have mandated SMS encryption. So, are we really bullish on this feature or are we banking on the other features of Wisely Communicate for the product to take off?

And my last question is you have mentioned that we now have 611 employees, so how many of them are deployed for driving our business outside of India, that is a non-India business? Thank you.

Aravind Viswanathan: So the first two let me answer, Nirvana, right. So if you look at it, we saw a major disruption in Q1 which kind of resulted in one of our large customer kind of going away. And we dropped our margins, right, and we said that we will grow and move to 20% by Q3. I think the challenge what we've seen is our expectation in terms of the two aspects, right. One is in terms of return to normalcy on pricing took a little longer than we thought.

The second aspect is in terms of just the macro growth that typically one sees in Q3, which usually always has a big boost with festive spending. We did not see that happen, right. And Deepak and Uday kind of talked about it in terms of what has happened, right.

So, definitely we

've been delayed in terms of the kind of recovery that we thought we will see as far as the enterprise business is concerned. Having said that, every quarter we do see improvement. It's taking little longer. But as Deepak mentioned, right, we are optimistic that it will continue to improve and we will get there.

On your second question, I think you're reconciling between 35% of platform gross margin coming from Wisely Communicate. What I can tell you is that Trubloq has grown 16% YoY, right, so it's not -- there are other smaller platforms, some of which have got cannibalized through our Wisely Network and that is where the degrowth has happened. But if you look at from a Trubloq perspective, we've been growing consistently. There is no change as far as that is concerned, right.

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The third question on Wisely Communicate end-to-end, I will ask Uday to give a perspective on that.

Uday Kumar Reddy: I thought you were going to answer that. Okay. Fair enough, right. So Nirvana, this is very simple. Wisely Communicate comes with a lot of propositions not limited to only end-to-end encryption like. The network -- its whole network runs on the blockchain where it will eradicate counterfeits, which is the big concern globally.

And third one is like it can offer many -- in fact it offers all the channels with one single API and it can offer many of the suppliers. So just imagine like HDFC or one of these banks just downloads a piece of software in the cloud and they have access to all the channels, they have access to all the partners -- all the suppliers rather, and the reports are written on the blockchain, the CDRs are written on the blockchain, and you get the reconciliation on the fly.

So, it comes with a lot of propositions like. And in fact I don't agree with the point like I'm not too worried about SMS being not encrypted globally. If you look at even WhatsApp, it is tightly encrypted end-to-end. That's the single largest proposition. Going forward once the Data Bill is in place in the next probably one or two quarters, I think people are going to take this data privacy and data security very, very seriously going forward.

Right now all the men in the middle rather third-party has got access to your data, which I'm sure will be appreciated in due course. So, I'm sure we are pretty gung-ho about Wisely Communicate.

And in terms of employees, Aravind, do you have the numbers?

Aravind Viswanathan: So we have about 10 employees, which are kind of dedicated for business, who are based outside India. We also have a similar, in our kind of business, your product and technology team have to work with the global telco. So lot of the teams that manages the RFPs and discussions are also based in India, but we have about 10 people deployed overseas in the Middle East geography covering the Middle East geography, which is what we've talked about as our first real basis of overseas investment.

Nirvana Laha: Okay. Thank you so much for the detailed answers. If I can just squeeze in one small question. Recently one of your global competitors has launched -- is claiming to have launched this new technology called Silent Network

Authentication, which is an encryption on the SIM card number, which will -- which they are claiming as a better solution than OTP. So if you could just comment on that? Do you see that as a better solution and if at all, does Tanla have that capability if suppose the regulator says that it has to come in force?

Uday Kumar Reddy: Nirvana, like these solutions have been around for quite some time. This solution has come from the GSMs standards like. So a lot of vendors have tried in the last couple of years. It is not very successful and we are not betting on that at all. So we strongly believe that SMS is very powerful, very easy to use, very fantastic reach. So I cannot really comment on what my competitors or somebody is

doing it, but we are not betting on that.

Nirvana Laha: Okay. Thank you so much for answering my questions. All the best.

Operator: Thank you. Our next question is from the line of Amit Chandra from HDFC

Securities. Please go ahead.

Amit Chandra: Yeah, hi sir. And thanks for the opportunity. Sir, my question is on the platform revenue. So you mentioned that 35% of the platform -- roughly 35% is from Wisely and if I think 35%, we are already at a run rate of around ₹1 billion yearly

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run rate. So your mention about reaching Wisely ₹1 billion in the next two quarters, is it only for one segment or is it for the overall platform? So, one clarification on that. And also if I exclude Wisely from the platform revenue, then the -- effect of that, the drop in the platform revenue of the DLT platform is very, very serious. So, like what is causing that?

And the second question is on the pricing impact. So we are not seeing the impact of the ILD price hike on our enterprise business like revenues and the another reason can be whether the impact on the volumes is pretty severe because of the ILD price hike. How we are seeing that?

Aravind Viswanathan: Okay. So Amit, let me take the question on platforms. I think one of the things that we kind of talked about in detail is Wisely is a platform of digital interaction, right. So, there are multiple platforms under it and the expectation is each of those platforms under the Wisely umbrella would have the potential to reach ₹100 crore gross margin, right.

So if you look at it, we've kind of called out four platforms which are in different phases; Wisely OTT, Wisely Network, Wisely Communicate, Wisely Engage, and then we talked about another platform that is in innovation phase, right. So our expectation is in the fullness of time and when it is fully mature, each of these platforms will have a potential to have ₹100 crore gross margin and that's really the objective, right.

We also talked about that one of these platforms, which is Wisely Network, is already close -- is a good run rate as far as that is concerned and that is why you see that number. It is not that collectively it is ₹100 crore, each of them individually should be ₹100 crores. So, that's the first clarification to your point, right.

The second point is, again I kind of clarified last time, there is a certain cannibalization particularly on the ILD side with Wisely Network that is there when we have launched this new platform, right. So it is not right to say that Wisely revenues were zero in last quarter, last year and therefore this math will not kind of make sense.

Trubloq has grown to 16% YoY so there is more challenge with respect to Trubloq, but obviously there has been some cannibalization as far as we would move some of the traffic on the Wisely side, right. So, that's the second point. Third point with respect to ILD pricing, see, definitely there has been an impact on volume with respect to pricing. We've seen some amount of benefit that we spread over two quarters, Amit. So it's not like last time where it was much more apparent where the pricing doubled, right. Here the price went up by about 33%, right, and last time the price went up by 100%. So the visibility of that in FY '22 was very, very stark, right. And this 33% also happened over two -quarter period. It didn't happen exactly over one quarter because not all of it happened on 1st of July so it happened over a phased manner.

So to that extent between volume erosion and the spread out over two quarters, maybe it is not as visible given the size of our ILD business that you would see.

That's our perspective on that.

Amit Chandra: Okay. And sir, like one more question I have. So the volume impact that we saw from like one of the clients where we are working at a lower pricing, so the transition of that client has already happened or are we already processing volumes at a

lower price for those clients?

Uday Kumar Reddy: So could you repeat that question, Amit?

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Amit Chandra: So, I was asking that the pricing reset that we had like two quarters back for a particular large client, so are we seeing such pricing pressure on other clients as well? And are we still having volumes at the lower pricing for that particular account?

Deepak Goyal : See, this particular account as we are getting volumes, but we are not getting - we are getting much lower volumes and the bigger volumes have moved to the other provider. And as far as -- if you ask the question if you have been facing the similar pressure elsewhere, as I said, things are much more stable now.

Amit Chandra: Okay, sir. Thank you, and all the best.

Uday Kumar Reddy: Thanks Amit.

Operator: We take our next question from the line of Dipesh Mehta from Emkay Global.

Please go ahead.

Dipesh Mehta: Thanks for the opportunity. A couple of questions from my side. First, about the product penetration improvement, which you've mentioned. So, can you help us understand how it helps us in terms of either wallet share gains or even if you can help us understand from revenue and margin perspective whether the mix change also have some effect on both revenue growth and margin trajectory in a recent wallet survey? Second question is about the demand trend. Now we cater to multiple industries like BFSI, e-commerce, and all those things. If you can help us understand any change in demand pattern you're witnessing in any of the industries, any softness or pocket of weakness which you are witnessing in the market?

Last question is about the new channel revenue share. If you can provide some sense of both SMS and non-SMS channels, how it is shaping up for us? You have mentioned about WhatsApp and run rate, but if you can provide overall holistic number or some sense about that business? And if I can add last one is about the competitive changes. If you can provide -- we have seen couple of MNC players entering into India through acquisition and then obviously Telco is also expanding their presence in CPaaS space. So if you can provide any change in the competitive behavior you're witnessing across different kind of players? Thank you.

Aravind Viswanathan: So let me start with product penetration, right, where we said that it's moved from 1.6 to 2.1, Dipesh. So, I will let Deepak elaborate in terms of what it means for our customer relationship. But clearly what it means is that we are not tied to one channel from a customer standpoint. See, when we look at this channel -- this product penetration, we are only looking at our top customers, right.

So one of the points that we talked about is how for example our WhatsApp has grown and what's been our investment. So I think from just a holistic relationship we want to ensure that we address all of the digital interaction needs of our customers and that's where product penetration helps, right. So, maybe Deepak will elaborate in terms of how it is helping in terms of our go-to-market. Deepak?

Deepak Goyal: Yes. Dipesh, so we have -- other than SMS; we have voice, we have email, we have WhatsApp, we have Truecaller, and we have lot of new products coming in. So, our efforts are to ensure that we penetrate more and more channels, more and more products to our existing customers and we have been quite successful in doing that and that's how you have seen from 1.6 to 2.1. That's why this is a pure indication to that. And it's like one of the channels is WhatsApp. I mean our revenues this year would be almost 4x of the revenues what we would have done in the previous year. So, WhatsApp is growing very well and we have been able to push our user journeys and the experience to our

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customers the way they wanted it and they are very happy about it and we have been winning new customers as well.

Other than that, w

hen we talk about innovation, what we do is we sit with our customers and we understand their problems and their current problems and we start working on that. So as Uday mentioned that we are working and we are about to launch our new platform, our new product, it is right to address that, which we have seen that our customers are facing and we started working on that in last few months and now we are very near -- we might be launching it in the current quarter. So, this is how our journey has been and this is how we are able to move forward. It takes time when we go and we integrate new channels to our customers and to adopt those channels and to scale those new products and channels, but we are in the right path.

Uday Kumar Reddy: So, Dipesh, does that answer your question?

Dipesh Mehta: It answered one of the questions. I think I asked about demand trend across industries and other things.

Aravind Viswanathan: So, I think we can see the biggest bellwether industry for our business is banking, right. So, Deepak kind of covered that as part of his opening remarks. While they are growing sequentially, definitely the kind of campaign spends or festive spends that we've seen in the past has definitely not happened, right. I would say that trend is pretty similar across the board, right, that we saw that while the business grew sequentially, we did not see a spurt of spending and

typically BFSI is a lead indicator on that. So, that's really what we've seen from an industry. I wouldn't say there is very, very divergent trends between industries, right. I would say BFSI is reflective of what we see in rest of the industries, right.

I think from a new channel perspective, I would say that if I take my enterprise business on the back of WhatsApp, et cetera, maybe the non-SMS revenues are probably about 14%, right. So definitely that's moved a big way over the last four quarters on the back of WhatsApp for sure, right. And from your last point in terms of MNC competition in terms of hiring, that's really happened quite a bit time back, right. So now I don't want to take specific names, it's not right. But in general that is not a new development, I think it is remaining where it is, right. The industry, as Deepak mentioned, is competitive; but we are able to hold our own as far as volumes is concerned and I think we will continue to build on what we have.

Dipesh Mehta: Sorry, to persist in the last point. I am raising more from positive side perspective because those -- some of those companies are facing their own battle, whether the focus in the domestic market may have reduced and it could have positive implications for company like us. And about the 14% number which you've said for new channel, can you give comparable number, let's say, what that number might be last year?

Aravind Viswanathan: So I think it would have gone up by -- gone down by about -- or gone up by about 4% as a percentage of revenue, right. What would have been 10% would have become 14% on the enterprise side of the business, right. Or on the other point, let -- I'll ask Deepak to kind of give you a perspective.

Deepak Goyal: Yes. Dipesh, so if you're referring to the global players who entered into India, they acquired two companies here. And so as I mentioned earlier, so there has been competition, there have been a telecom operator, there have been a couple of other guys, the local guys who are going very aggressive. And these companies, they work on certain prices and they don't go down so easily and all that. So, business has moved from one to another. But as far as we are

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concerned, as I mentioned, we are able to retain our wallet share, we are able to retain our customers, and we have grown our margins as well.

Dipesh Mehta: Understand. Thanks.

Operator: Thank you. The next question is from the line of Amit Aggarwal from Leeway Investments. Please go ahead.

ead.

Amit Aggarwal: Sir, my question is regarding platform and enterprise business. As a layman, I understand that platform business is more of a premium service you're providing. So can we imagine that in next four, five years, all enterprise business would be converted into platform business?

Aravind Viswanathan: Amit, I could not hear you very clearly. Could you just repeat your question?

Amit Aggarwal: Sir, my understanding as a layman is that platform business is more of a premium service, enterprise business is a more a cheaper product, but they're catering to the same customers. Sir, can we imagine that in next four, five years all enterprise business would be converted into platform business?

Uday Kumar Reddy: No, Amit. I don't think that's the right way of looking at it, right. Platforms are a different business and the enterprise side of the business is different, right.

Platforms is where we deploy platforms be it with the enterprise or Telco for specific needs, right. The enterprise business is more in terms of helping them communicate right with the end user, right. So it is not -- one is not going to get substituted by the other. They are two very independent businesses with very different drivers for growth and both have an interesting and exciting future ahead and I don't think that's the right way to look at it. It's not two ends of the same transaction, right. It has very different use. So, that would not be the right way of looking at it, Amit.

Amit Aggarwal: Sir, that means that our platform business is almost in a monopoly situation because no other Telco or company is doing a platform business right now based on Blockchain?

Aravind Viswanathan: So, definitely -- so monopoly is maybe a wrong word, but we are truly unique in terms of the kind of platform that we offer, right. And therefore, definitely the competitive environment is very different there. It has different drivers. Uday talked about it in terms of -- in his opening remarks. Certain nuances of platform business is high profitability, scalability, customer stickiness. So you will have those dynamics which are different, right, and that's why it's very, very attractive

and that's why there is so much focus on that from our side. But that does not mean that it is an either/or situation between enterprise and platform. They are two sides -- different sides of a coin and both are areas where we are investing in as a company.

Amit Aggarwal: And how scalable is platform business? Like, right now we are doing 10% compared to enterprise business. Can we imagine that it can overtake the volumes of enterprise business in the next four, five years?

Aravind Viswanathan: So it's kind of difficult to say, right. But I'll tell you definitely platform business are scalable and platform businesses are global, right, so clearly it's going to be the beachhead on which we are going to do our global expansion. So it's difficult to kind of say, Amit, in terms of what could be the proportion in the future, right. I would encourage you to look at both of these businesses individually, right, and see it for what they are rather than really look for a substitution piece.

Amit Aggarwal: Okay. My last question is, sir, right now platform business -- we are working on a very, very high margin. Can we sustain this margin in the long-term, 90% plus?

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Aravind Viswanathan: So, I will tell you globally if you look at pure play platform companies, right, gross margins tend to be high. They tend to be 80% plus, right, may not be 96% but could be 80% higher. But also these businesses have a huge investment in R&D and sales and marketing, right. So while I don't want to say whether 96% is right or not, but you can safely presume that platform businesses will have very high gross margins.

Amit Aggarwal: Okay. Thank you. Thank you. Good luck to you.

Aravind Viswanathan: Thank you, A

mit.

Operator: Thank you. Our next question is from the line of Suresh Agarwal, an Individual Investor. Please go ahead.

Suresh Agarwal: Good evening, sir. Sir, my first question is if we are losing our competitive landscape to Route Mobile? Second, our global presence at present and going in future and if we are planning for another some kind of future business forays?

Aravind Viswanathan: So from a global business standpoint, clearly there are aspirations. But like we have told many times, India is our core market. Today almost all our revenues come from India and our strategy is to demonstrate the value proposition of our platforms in India before we scale them globally. Because if you really look at the kind of scale that India provides and if you can succeed here, it is very easy to use that to leverage that to succeed, right. And therefore, while we will have that kind of aspiration to go global, today most of our business is -- almost all of our business is in India and that's how we are kind of talking about it and we've been pretty consistent about that.

Suresh Agarwal: And any other future business like other businesses we are considering?

Uday Kumar Reddy: So Suresh, nothing at this stage, right, where there is enough opportunity in our existing line of business, right, in terms of new platforms and on the enterprise side. So as and when we come with something new, we will definitely keep the market informed.

Suresh Agarwal: Okay. Thank you.

Operator: Thank you. Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments. Over to you, sir.

Ritu Mehta: Thank you for joining the call. In case any of your questions remain unanswered, you could please reach out to Invest or Relations team. Good evening.

Operator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

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"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Audited Financial Results of the Company for the quarter and year ended March 31, 2023, held on Thursday, April 27, 2023, at 4:30 PM IST.

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcriptq4fy23.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

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Tanla Platforms Limited
Q4 FY23 Earnings Conference Call Transcript
April 27, 2023

Call Duration ■ 60 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Ronak Vora - AUM Fund Advisors LLP
■ Balaji Subramanian - IIFL
■ Amit Chandra - HDFC Securities
■ Deepak Chokhani - Individual Investor
■ Mohit Motwani - Nuvama
■ Milind Karmarkar - Dalal & Broacha PMS
■ Sambhav Jain – Vardhman

Operator: Ladies and gentlemen, good day and welcome to Q4 FY '23 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta. Thank you and over to you.

Ritu Mehta: Hello everyone. I hope you and your families are safe and healthy. On behalf of everyone at Tanla, welcome to our Q4 earnings call. Joining with us today are Uday Reddy, Chairman and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Aravind Viswanathan, CFO. Uday will share his perspective of business imperatives and strategic progress made by the company, followed by Deepak, who will update us on the Enterprise business, and Aravind will provide an overview on financials.

After opening remarks, we'll be happy to engage with participants and address their questions. Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature.

All statements, other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available on the website.

I hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. Thank you for all of you joining us today. I'm joined with Deepak, our Chief Business Officer and Arvind, our Chief Financial Officer. So, we have shared detailed disclosures of our results yesterday, and I'm sure all of you had an opportunity to go through the same. While we would be happy to take any questions on Q4 as part of a Q&A, our focus in the opening remarks will be to give you a very strategic update on our Platform and Enterprise businesses. I've been talking about looking at our Platform business and Enterprise business very independently. And we will report EBITDA for these businesses separately going forward.

In my opening remarks, I would give you a perspective on our Platform business, whereas Deepak would give perspective on the Enterprise business, and whereas Aravind will share the financial highlights.

So let me talk about the Platform business here. So we see a significant secular tailwinds of digital interactions in India. We have seen 3x increase in digital interactions over the last three years and it is accelerating. For example, the number of UPI interactions grew from 1 billion in FY '18 to 86 billion in FY '23. Estimates of it will touch around 430 billion in FY '28.

So Tanla is strategically positioned to address its explosion and digital economy. Our strategy is to address the entire lifecycle of customers, our customers, customers in digital-first world. We will help enterprises acquire, transact, retain, and service their end customers through our platforms and solutions. This would require addressing the multiple buying centers, be it Chief Marketing Officer or the Chief Digital Officer, who are focusing on acquiring new customers, upsell and cross sell to the existing customers. And it always requires high ROI on the

marketing spend. The CISO, and the Chief Risk Officer skiing on areas as like data security, data privacy, spam, scam to ensure that customers are protected. And various Chief Operating Officer and Business Heads are focused on seamless transacting experiences for their customers, for example, the OTPs and the e-KYC pay

ments, et cetera.

So, given our platforms today, when we walk into any enterprise, every CXO in that enterprise is our potential customer for us, that is our thought process. We would like to service each and every buying center in any enterprise. So we expect the TAM, the total addressable market size for the space to be around USD 5-6 billion in India alone by 2027. And if we add a few adjacent emerging markets where we started making inroads, such as Middle East and Southeast Asia, TAM could be around USD 11 billion in 2027.

So in this backdrop, let me give you a perspective of where we are investing and what is the impact of these investments. I will start with where we're investing in the Platform business. We have invested over ₹175 crores in FY '23, in

innovations and improvements, which is in our platforms. And we have invested a lot of money in the Talent and Infrastructure, and we have built a separate, dedicated team for our customer success team. And we are spending a lot of money on our Wisely brand. So we'll continue to invest in this space going forward, but definitely in the coming quarters, we will report these investments separately on a quarterly basis.

So let me talk about what we invested and what we built under investment -- sorry, under innovation and improvements. So we are focusing on four segments within the digital interaction space, which covers all buying centers within an enterprise. So we call it as a Wisely Communicate, then Wisely Engage, then Wisely Protect and Wisely Experience.

So, when it comes to Wisely Communicate, this segment is all about orchestrating and delivering omnichannel, safe and encrypted communication to our customers, customers.

So, when it comes to Engagement, this segment works across entire customer lifecycle management, be it acquisition, cross sell/upsell and retention. This segment is mainly targeting at the Chief Digital Officer or Chief Marketing Officer of any enterprise.

And when it comes to Wisely Protect, the segment addresses the areas of the data security and data privacy, spam and scam, and so especially making all digital interactions safe and compliant.

So, when it comes to Wisely Experience, providing rich and seamless delightful customer experience in a cluster of digital economy is a focus of this segment.

So we have six platforms across this four segment, four subsegments, and all our platforms have a specific DNA. They are built for greenfield opportunities, they are built by getting this entire ecosystem together, they are built for scale, they are built with proprietary technology and they're built as asset-light platform that are easy to deploy. These are deployed -- these are deeply embedded with our customers and it's very hard to replace our platforms.

So all the platforms are built on Wisely, which we have been discussing for the last couple of years. So Wisely is a single platform of platforms on which every other platform is built. This provides us with a tremendous speed agility to develop new platforms. For example, we took 15 months to build Wisely

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Communicate, but we took only four months to launch Wisely ATP, our Anti-Phishing Platform. Wisely ATP is our patented platform to curb phishing and scam and the biggest menace that is threatening the digital economy today. It is our biggest innovation in our history.

And the proof-of-concept with the three large banks have seen encouraging early results. In parallel, we have also showcased the fantastic results of our sandbox deployment of ATP platform through TRAI and other regulators. And I'm personally very confident this "Made in India for the World" platform will be game changer to protect 1 billion users of digital economy.

In addition to Wisely ATP, we have delivered 30-plus innovations and improvements across our platforms over the past six months. We have invested in the state-of-

art Kaizen Centre to drive continuous improvement in our existing platforms by deploying best-in-class monitoring tools to deliver excellent customer experience once they are on board our platforms.

So secondly we are investing on talent and infrastructure. We have recently invested in building a state-of-the-art innovation and experience center in Hyderabad that houses around 150 of the India's top talent in cutting edge across blockchain cryptography and very big focus on AI/ML, built over 100,000 square feet area. This center is unique hub of innovation with the five garages and an environment which fuels innovation.

So the third biggest area that we are investing is the customer success and brand. We believe customer success and/or slightly -- sorry significantly investing in the dedicated team from the industry to be custodians of our business impact and delight to our enterprise customers. We're also making purposeful investments in building our product brand Wisely to stand out the most trusted brands in digital interactions.

So our significant investments are delivering business and financial impact. Let me elaborate here. So when it comes to business impact collectively our platforms touch more than billion lives in India. Around 35% of our top 70 customers use three out of six of our platform. We have very high customer

retention rate.

Increased customer adoption is accelerating in our platform lifecycle. Our first platform SMSE took five years to reach ₹25 crores gross margin per annum. Our DLT platform, the Trubloq reached ₹100 crores milestone in two years, whereas Wisely network which is deployed with Vodafone Idea network reached 100 crores gross margin within one year. And so our Wisely OTT platform I'm sure will reach ₹100 crores gross margin club in less than 12 months. So we're pretty excited about these platforms.

So let me also talk about the financial impact of our investments. Our gross profit in the Platform business are growing 20% plus over last 12 quarters. Our EBITDA margins are upwards of 70%. So we have delivered strong growth at high margins. The platform companies are expected to operate at the Rule of 60, which is revenue growth plus EBITDA margin percentage should be greater than 60%. We are operating at the levels significantly higher Rule of 60 today. But our vision is to operate at least at the Rule of 60 at a scale.

In summary, we have a clear strategy that is working. I wanted to leave behind four messages for our Platform business. One, we are in evergreen market with a large total addressable market. The second point we have a track record of

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successful innovations and cutting edge technologies like AI/ML, blockchain and cryptography. The Innovation and Experience centre is accelerating this further. The third point. We have shown massive customer adoption addressing the needs of several buying centers in an enterprise. Fourth point, our Platform business demonstrate all SaaS platform characteristics, which are Rule of 60, consistent, predictable growth rate, 70% plus EBITDA profile, high lifetime value for each platform.

Interestingly, SaaS companies such as ServiceNow are typically valued at a P/E multiple of 100 plus. So that is the power of Platform business. And we continue to report, as I said earlier, both Platforms and Enterprise business separately from this quarter onwards.

With this, I would like to hand it over to Deepak who talks about Enterprise business.

Deepak Goyal: Thanks, Uday. Hello everyone. Thanks joining for this call. Uday has given an overview of the industry and our approach to the Platform business. Let me give you an overview of the Enterprise business. We are India's largest CPaaS player with over 20 years of leadership in the communication space. Fundamentally, our business is about helping enterprises engage with their end customers across communic

ation channels. So when a bank is sending an OTP or a notification to its customer, it goes through our platform. If an enterprise is engaging in a two-way conversation with their customers, it goes through our platform.

We are behind the scenes, touching over a billion people, enabling their digital journey. Our business model is pay as you grow. So as the volume of communication between enterprises and their end customers grow, we grow. In fact, our business is very closely coupled with the growth of digital economy. As the digital interactions grow, we will grow. I'm very optimistic on the growth prospects of the Enterprise business.

Let me tell you why we are best positioned to build on our leadership in this space. Number one scale, we have unmatched scale with over 30% enterprises market share in India. Our scale is not just reflected in volumes, but also in terms of our customer profile. We serve over 1,300 enterprises in India. Eight out of Top 10 brands across all industry segments or I would say across all large industry segments from banking, insurance, retail, e-commerce, travel, digital natives, et cetera are our customers.

We are the largest partner with the government and played an active role in enabling vaccination in India by providing authentication messages for Aarogya Setu App as well as CoWIN app through OTPs to schedule vaccine appointments and notifications.

Our scale helps us deliver large campaigns for customers at short notice and provides tremendous references for our new customer acquisition. We acquire over 200 new customers every year as enterprises are keen to work with market leaders.

Number two is customer stickiness. Once we acquire customers, they continue for perpetuity. Our business is not about just providing a gateway for enterprises

to the Telco. It is about significant integrations coupled with 24/7 service requiring tremendous agility. We have built the culture of customer first and our turnaround time to meet our customer requirements is the industry benchmark.

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Let me give you a few examples. We have given more than 10,000 customized APIs to integrate with our customers. In certain large customers, we have done more than 100 APIs integrations across their different systems. This is a constant process and is a key requirement to scale. Our strength in banking is due to our middleware application being deployed within banks environment. Banks today deploy multiple CRM software to provide multiple service to their customers, be it banking, loan, cards, insurance, mutual funds and other products. To deliver notification to their customers, our middleware is connected to their multiple CRM systems. We support over 1,000 types of different use cases where customer receive omnichannel messages based on their engagement. This middleware process more than two billion messages per month for various banks.

We are deeply integrated with all the major CRM systems across different verticals to enable enterprises send multichannel messages to their customers. It is impossible to ramp-up in any customer without these integrations. We have a huge head start and it is not easy to displace incumbents. This is reflected in the fact that more than 50 out of our Top 100 accounts have been with us for more than five years. If you look at our customers cohorts, every cohort has grown double-digits CAGR from inception.

New use cases, we are constantly seeing new use cases evolve in our business. UPI is a great example. As Uday mentioned, the number of UPI interactions grew from 1 billion in FY '18 to 86 billion in FY '23. Estimates are that will touch 420 billion mark in FY '28. This provides a huge opportunity for us and we are addressing these spends of the bank. There are lot more such opportunities. Let me give you some examples.

AI/ML based solutions. For a leading bank, we help automate relevant pr

omotional messages based on user card swipe activity, using machine learning technology, relevant offers are triggered to user basis, his transaction amount, location and card type. This program has resulted in 2x increase in loyalty offers for the bank. We pioneered voice OTP. If the customer is in a remote location where SMS deliveries are low, we can enable a retrieval mechanism with the OTP getting delivered through a voice call.

These are a few examples in terms of how traditional channels are seeing new use cases and fueling growth beyond OTP and notifications.

So I'll talk about newer channels. We are seeing new channels like WhatsApp provide a big opportunity for us. These are coming out with completely new use cases and not really substituting the use cases of SMS.

We have made significant investments in WhatsApp, and it is reflecting in our results. We have grown our business over 3.5x from Q4 of last year to Q4 of this year and we have reached an annualized run rate of ₹150 crores in this business.

Let me give you a couple of examples of what we are doing here. Commerce on WhatsApp, we have enabled highly personalized customer experiences via WhatsApp for our brands. These help businesses not only to differentiate themselves but also to gain a sustainable competitive advantage. One of the use case is leveraging a cab booking over WhatsApp. Instead of booking a cab via various cab aggregators at Airport, we have worked out with an online travel company to provide a very simple user experience to book a cab to their destination from the airport.

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Whether it is integration with various cab providers or Google Maps or even a payment gateway, the whole journey is very seamless and liberates the user from downloading different apps for cab booking. Another example is solving one big logistics last mile delivery problem. We created a solution for a logistics player who provided a 24/7 process of handling shipments related queries, customer interaction complaints and other support use cases.

This helped the customer in solving for real customer problems using our WhatsApp services. Customer feedback increased by 20% as the logistics player was able to identify and resolve customer pain points where shipments

got undelivered.

Just to tell you, we are powering State Bank of India WhatsApp Banking service over WhatsApp. Over 300 million customers will now be able to engage over WhatsApp with SBI for all their banking requests. There's another new channel which is RCS and we are equally engaged in RCS and taking the lead there as well and signing up customers.

So in summary, we have a very solid business and well positioned to benefit from the digital interaction boom as we have all the building blocks required. FY '23 has been challenging year as the pricing environment deteriorated in the first half of the year. We are now seeing more stability as there is realization that pricing alone is not sustainable differentiation. Customers realize that having a few minutes of downtime in OTP can disrupt their business.

Customer service around two-way communication is our core business and we are available 24/7 to solve their problems and provide new solutions. We are constantly innovating. I do not believe one can disrupt this business on price alone. I have seen multiple cycles in the industry in the past. We have seen price increases in the industry two times in the last five years on our domestic business and around three to four times on international side.

My personal experience being in the industry for over two decades is that pricing environment stabilizes after a challenging year. I'm hopeful that history will repeat itself here. As the business environment has become stable, we have seen our enterprise margins come back to 20% levels. We think the worst is behind us and we are looking at growth in FY '24. That's it from my side.

de. Thank

you and I will pass it on to Aravind.

Aravind Viswanathan: Hey, thanks Deepak. Welcome everyone and thanks for joining our call. You heard Uday and Deepak give an overview on the Platform and Enterprise business. I would like to cover two areas from my side. Quick overview on the year gone by and the way we are looking at the Enterprise and Platform business going forward from a reporting standpoint, right. We ended FY '23 with revenues of over ₹3,350 crores and PAT of around ₹450 crores.

We had a slow start to the year and saw a drop in profitability. But like we mentioned then over the past three quarters, we've seen a steady improvement in our profitability. Deepak alluded to it with gross margins of the Enterprise business back to 20% and overall company level EBITDA also back to 20% in Q4 '23, right. We generated over ₹200 crores of operating cash flow in Q4. I think the big takeaway for us is that we've stayed very disciplined in a tough environment. We've not gone aggressive, we've not made mistakes. We've kind of remained very disciplined and we stuck to our commitment to return cash to shareholders.

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We announced a dividend policy of 30% of consolidated PAT to be paid out as dividend every year. We announced a final dividend of ₹4 per share. This is on top of ₹6 interim dividend that we announced in August '22. We also completed our third consecutive buyback of ₹170 crores. If you include the buyback tax, the total outflows were ₹210 crores in January of this year.

So we have been returning sizable amount of cash back to shareholders. Going forward, as Uday mentioned, we have two businesses, Enterprise and Platforms. Both of these businesses are part of our CPaaS market, but we will break down the financials right up to EBITDA from Q1 of FY '24 on a management reporting basis, so that there is better understanding of these businesses for investors, and analysts.

These businesses have slightly different drivers, so we will look at metrics, across investments, business impact and financial impact. To give you a sense for the Platform business, we would share business metrics along customer adoption, customer churn and platform segmentation. Rule of 60 as Uday kind of alluded to would be applicable to the Platform business. For the Enterprise business, we continue to give new customers, breakdown customer segmentation and customer concentration.

From a financial metric standpoint, we already give breakdown of the gross margin. We would start sharing EBITDA for the two businesses. This is one more step as part of our disclosure process. We've been constantly adding our disclosures and we think this would help investors understand our business better.

With this, I would request that we open the floor for Q&A. We'll be happy to take

questions.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session.

Anyone who wishes to ask a question, may press star and one on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles.

We have our first question from the line of Ronak Vora from AUM Fund Advisors LLP. Please go ahead.

Ronak Vora: Hello.

Operator: We can hear you, sir.

Uday Kumar Reddy: Yes, Ronak, go forward.

Ronak Vora: Yeah, you said that we are back on the path of growth from FY '24 onwards. So what kind of growth do we expect in the Enterprise and Platform business separately?

Aravind Viswanathan : Deepak, do you want to give a colour on the Enterprise business first?

Deepak Goyal: Yeah, sure. So, Ronak, as I mentioned the worst is behind us and we are seeing good growth in FY '24, though we don't provide any forward -looking guidance.

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But what I can tell you is that our existing business, our existing customers, they are intact. They are with us, they are very happy with us, with our solutions and with our service, and they are growing. Apart from that, I mentioned in my previous earnings call that we have embarked on a very aggressive campaign to acquire new customers and we are very focused on that.

And we have seen some real good results in Q4, where we have acquired more than 50 customers which are large and we are onboarding them. So overall, I'm very hopeful for a good growth coming in, in FY '24.

Ronak Vora: Okay, because in the last three quarters, even though the number of customers have increased for us, the revenue translation in the Enterprise business has been hardly flattish, so which is where my question comes in. You said that we have onboarded around 50 customers, or in the process of onboarding 50 customers in the current quarter. So going ahead, so when do these 50 customers translate into revenue? So generally, what's the whole time cycle, if you can just help me?

Deepak Goyal: Ronak usually it takes about six to eight months for customers to fully ramp up their volumes and their transactions on us. And this is the timeframe, what we are looking at. But we would see that some amount of their business would start trickling in from Q1 itself.

Ronak Vora: Okay. And on the Platform business?

Uday Kumar Reddy: Ronak, Uday here. On the Platform side, as I promised you earlier, we closely track Rule of 60. So definitely we are very conscious about the growth as well as the revenue growth, as well as the EBITDA margins. As I mentioned in my call, we would -- our EBITDA margins on our platforms are very high, which is upwards of 70%. So yes, we -- our base is small as of today when we compare with Enterprise business. So I think since we have the six platforms, which are being kind of dipped.

Ronak Vora: Okay. And even though its -- I understand that...

Uday Kumar Reddy: The two platforms have already reached ₹100 crores club and the third platform should be able to reach in the next one or two quarters. The remaining three platforms at least they'll be around zero to ₹50 crores by end of this year. So all six platforms will be contributing something rather in this financial year.

Ronak Vora: Okay. Thank you.

Operator: Thank you. We have our next question from the line of Balaji Subramanian from IIFL. Please go ahead.

Balaji Subramanian: Good afternoon. Thanks for taking my question. I had two questions. The first one is on where are we on the consent management module for Trubloq? So this was something which was expected to be approved by the regulator and any progress on that?

The second thing is on, again related to TRAI. Last week there was a news item that TRAI had called telcos and discussed the issue of spam calls, especially on the voice front. So do we see some opportunity there just like how we have kind of moved ahead with Trubloq for SMS?

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Uday Kumar Reddy: So Balaji, hi, Uday here. So in terms of consent management, it is a regulator and it is the telcos who has to take the call. But as far as our platform is concerned, we have been ready for quite some time. So it is up to the regulator and telcos to decide when they wanted to launch. So we are not the one who's going to launch, right? So that's number one.

Number two about the spam calls. We are busy deploying our SMS phishing solution as we speak. So first, we would like to concentrate on SMS phishing before you really move to the voice. And if I'm allowed to say the voice solution for -- I mean, voice phishing is not that easy to deploy. We don't have any benchmarking products. Not that we have a benchmarking product for SMS phishing, but it's too early to comment on voice solution.

Balaji Subramanian: Okay, got it. Those are my questions. Thanks and all the best.

Uday Kumar Reddy: Thanks.

Operator: Thank you. We have our next question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, hi and thanks for the opportunity. So, my first question is on the Enterprise business. As you mentioned that Enterprise business they're going to see a better growth in FY '24. So the assumption for this growth is only based on the reversal in volume growth. And if you can break it down, what's happening between transaction and promotional volume? Because I think promotional volume for FY '23 has been down significantly. And also, are we also baking in any price hikes in NLD side or any further price hikes in ILD pricing on the Enterprise business?

And secondly, on the Enterprise business margin expansion, can you please provide us with any kind of work that you have that what led to this margin expansion? And is it more risk -- is it the new base, or is there something that is like one of this?

Deepak Goyal: Yeah, Amit, it's Deepak here. So, first of all, I spoke about growths in Enterprise business. So it will come through two counts, one from existing customers and another for the new customers, which we have recently acquired. And let me tell you, the customers, what we acquired, they're very large in size. So we are very hopeful that we would -- that they would ramp up very well with us. But you asked a very good question that how, what will happen with promotions and transactions?

Yes, I agree. In the last couple of quarters, we have seen that banks have not been spending so much what if they used to do it earlier on the marketing campaigns, on promotional campaigns. We have seen some sort of a degrowth, I can say on those volumes. But let me tell you, our focus and our majority of our business is on transaction based, and we have seen good growth coming in on transaction side. As I mentioned about just about UPI itself that itself is a use case, which has been growing tremendously, and it's growing very in a big time. And we are seeing overall, as I said, banks will grow. The number of transactions go up. Our business will also go up. If eCommerce companies, they sell more and they do more transactions, we do more transactions. So it is trade related with our customers growth. And we see that the growth is coming, because digital adoption is increasing. So that is that.

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As far as pricing is concerned, as I mentioned, in last five years, we have, we were able to increase or reset the prices twice. One, it was if I'm right, it was in 2018, and then it was 2020. And we have seen the work, as I have said last year. And I'm pretty sure, I'm hopeful, I would say that things will reset again in near future and we would be able to see some price hike and better margins. And to answer to your last question, that no, it is not one off. Yes, our margins have improved that is largely due to two factors. One, the overall prices have stabilized. We are not seeing that kind of competition basis prices, because even our competition and everyone has realized that price, as I mentioned in my earlier, also in my statement that price is not the one through which you can actually win the customers.

You need to provide -- you need to have domain expertise. You need to have trust.

Operator: I'm sorry sir, we're unable to hear you.

Uday Kumar Reddy: I think we lost, Deepak.

Deepak Goyal: The prices have stabilized. And we were able to bring down our cost as well, our

input cost as well. And with these two factors, we were able to increase our margins and hope I have answered your questions, Amit.

Amit Chandra: Okay. It was helpful, sir. And on the Platform business, so Uday you mentioned that the Rule of 60. So currently we are operating well above that. So, the margins are pretty high in the Platform business. So should we assume that with scale coming in, in the Plat

form business, because we have like four to five like major products, which are either incubation stage or either to gain scale. So with the scale coming in the margins that we're operating at present, it will come down or is it fair to assume that we'll operate within that Rule of 60 Rule band when we rescale? Or like in Wisely ATP kind of a product, if it gains scale, then what margins can we assume for that?

Uday Kumar Reddy: So Amit, basically, like you know definitely our intent is to operate at the Rule of 60. But as you rightly mentioned, the scale is pretty small as you speak. But I don't see any challenge. Even when all six platforms go live and they start contributing live, so they should be able to operate at the Rule of 60. So that's how we -- that's how -- in fact, the way we work in the Innovation and Experience Centre each platform is housed in one garage and it has got the dedicated team, right? And it has got the own budgets and it's got the own roadmap. So and everybody has mandated to operate at a scale and at certain KPIs. So the whole team is pretty clear about what they're supposed to deliver. So our intent is to deliver minimum 60, if that's what you want me to comment. So our intent is to operate at minimum 60.

Amit Chandra: Okay. And sir one last thing. Obviously the platform is the growth driver for us. But how do you see the competition evolving here? Because right now we are not at scale, but still there are similar products being launched by the competition also. So how do you see the pricing here? Is it more capability driven or it is more pricing driven? Which factor is used to determine the success for any product?

Uday Kumar Reddy: So, Amit, it's a very good question. I love to clarify this point. So we have the some evidence here in the sense like we were the one who has developed and

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deployed the Trubloq our DLT platform, which is our biggest blockchain use case in the world. And we won around 65% market share consistently for the last two years, right? In fact, we are gaining market share every quarter. The reason being we are -- we don't just innovate and forget it. We keep innovating, we have to keep improving our platforms, okay?

So that's what our DNA is like, right? So in fact, we don't copy anybody. If somebody wants to copy us most welcome, right. It's not that easy. And we have created the second evidence, which is our Wisely Communicate, which we launched with Microsoft. So the third evidence is Wisely ATP. So we are always ahead of the curve. We are always good at identifying the opportunity. We are good at identifying the greenfield opportunities and we're good at building the solution or the platforms on time and delivering the customer impact to the customers. So we have the evidence here. So I don't really care about our competition, and we are much ahead of the curve. So I would like to leave it there.

Amit Chandra: Okay, Uday. Thank you and all the best for the future.

Uday Kumar Reddy: Thank you.

Operator: Thank you. We have our next question from the line of Deepak Chokhani, an Individual Investor. Please, go ahead.

Deepak Chokhani: Hello. I have a couple of questions on Wisely ATP. First is when can we expect it to move to the next stage? And is this product something which is mandatory for the banks or are they adopting it voluntarily? And third is the patent in India or abroad?

Uday Kumar Reddy: Yeah, Deepak, Uday here.

Deepak Chokhani: Hi.

Uday Kumar Reddy: Good question. So -- sorry, what is your first question? Sorry. What is the ATP? What is the first question?

Deepak Chokhani: So when does this move from POC to the next stage?

Uday Kumar Reddy: So the POC we kick started on probably at 25 days ago. And India's top three bank, which is Kotak, ICICI, and HDFC are on this platform and they're extremely happy with the results. And in fact, we should be able to get int

o commercial discussions very soon. That's number one.

Number two, is it regulated as of today? No, but the problem is so big which all of us are fully aware of it like, okay. Whether regulation comes or not, the banks and all the enterprises are looking for this kind of solution like, okay. They have to -- it is a responsibility of the Board, it is responsibility of the CXOs to protect their users. As of today, in fact, each and every bank in each and every enterprise have lot of budgets towards the cybersecurity and they're willing to spend the money on a solution like.

So as long as we deliver the impact to the users in terms of protecting their users. I don't see any much challenge commercializing this product. So please allow us to update in the next one, one and a half months' time. But the problem here, only here is it's a greenfield opportunity, this first -of-its-kind of solution in the world. So the pricing when we have to price to our customers, so we don't

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have any benchmarking products. So it takes a bit of time for us to close the deals. But once we close with one or two banks, that will become the benchmark for other enterprises to follow. So first one or two deals are very important for us.

Deepak Chokhani: Sure, sure. Do you think Q1 will have some bit of it?

Uday Kumar Reddy: And before I answer that, Deepak, let me update you. Recently TRAI formed a group of, has formed a group where Ministry of Home Affairs, Reserve Bank of India, SEBI and all the regulators in India, including insurance regulator came together and they are looking for this kind of solution like, that's where we have demonstrated our platform a month ago and the y're pretty excited for the solution. So, yes, we don't see any challenge in commercializing this platform. Don't worry too much about this quarter and next quarter, but as I told you earlier, this is the biggest innovation came out of Tanla in the last two decades.

So you know what I mean by that?

Deepak Chokhani: That's helpful. The last question on this, is this patented in India or abroad?

Uday Kumar Reddy: We have applied in all markets, in important markets. That's how we always do including India and Europe and U.S.

Deepak Chokhani: Perfect. Thank you so much.

Uday Kumar Reddy: Thank you.

Operator: Thank you. A reminder to participants to press star and one to ask a question.

We have a next question from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Hi, thanks for the opportunity. I had three questions. One is around, you spoke in the last quarter about integrating some of the large banks and e-commerce companies in the coming quarters. So just wanted to get a sense of where are we now from that standpoint? Have the revenues started flowing in and what's the scale of that?

Deepak Goyal: Yes, Deepak here. So, as I said, we have completed the integration with some of the very large customers. And it takes time, because then there's a testing phase, which usually go on for about eight to 10 weeks, where we get some percentage of their business and once that testing is complete and all the integrations are done and then slowly volumes ramp-up, so that's the life cycle of onboarding any customer.

I mean as I mentioned, we would see some amount of revenues coming in in Q1, but overall the real impact will come maybe in about six months' time.

Mohit Motwani: And can you give a sense of what has been the contribution from NLD and ILD?

I believe this was 95% was NLD two years ago and has that mix shifted or it remains the same as of FY '23?

Aravind Viswanathan: This is Aravind here. We've not called out in terms of NLD -ILD contribution.

Mohit Motwani: Sorry, in the analyst meet actually there was 160 billion of NLD transactions and 9 billion of ILD.

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Aravind Viswanathan: A lot of volume. Pricing is very different, right. So if you look

at it, roughly about

30 odd percent of the Enterprise business, one-third of the Enterprise business would be NLD -- ILD sorry.

Mohit Motwani: This is volume basis, right?

Aravind Viswanathan: No, revenue basis.

Mohit Motwani: Revenue basis. Okay. And one more last question was have you considered entering the new product category like email? And if yes, then would you be pursuing any inorganic opportunity for the same or it will be more in-house?

Deepak Goyal: Deepak here, so we do provide email services to a select few customers and that is primarily for transactions, let's say for a couple of very large private banks. They do send, they use our email services, but we are not too focused on email. We are focused on newer channels, as I mentioned in my statement like WhatsApp, like Truecaller, like RCS. So these are the channels which really excite us and we feel that we can build a lot of new cases, new use cases using these channels because they provide two way communication and we can achieve a lot through these and they can complement to our overall SMS business.

Mohit Motwani: Sure. And the last one, if I may squeeze in. So your contribution from WhatsApp has been increasing very heavily over the last year, do you see this increasing more forward and because it might be enjoying higher margins, do you believe that at the company level margins, WhatsApp can aid and improve it further?

Deepak Goyal: Yeah, definitely. It is more like building the use cases around WhatsApp, okay, building some interesting user journeys, some complex user journeys which can help enterprises to interact with their customers. And when we do that, we definitely make more money. Customers are happy to pay us more and happy to pay us for such solutions. And that goes into our margins. Definitely, yes and FY '24, we have some big plans on that.

Mohit Motwani: Sure, that's all helpful. Thank you so much.

Operator: Thank you. We have our next question from the line of Milind Karmarkar from Dalal & Broacha PMS. Please go ahead.

Milind Karmarkar: Hi, gentlemen. Hi, Uday. Thank you very much. I think the results were quite good. And congratulations for delivering on the 20% promise which you had given a few quarters back on EBITDA. I had one basic question about as we increase our Platform business, I'm sure there will be an improvement in margin. So, just wanted to hear from you that do we have sufficient scope for growth in the margin? That was my first question.

My second question was on the use cases like the one which was talked about, which was a travel company using the cab aggregators and making it easier for booking of cabs. What kind of sort of commercial opportunity do you think in these type of use cases? So that were my two questions.

Uday Kumar Reddy: Hi, Milind, Uday here. Thank you. Aravind, do you want to take the first question, then second one goes to Deepak.

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Aravind Viswanathan: Sure, sure, sure. So Milind like Uday said, right, we have six platforms. Some of them have already scaled and all of them we are confident of scaling. So from a market potential standpoint, there is a lot of headroom, right. We will have to obviously execute and scale them up, but clearly we are not opportunity constrained from a platform standpoint, right. Each of these platforms are platforms of scale, right. The timing is obviously what one is looking at. But definitely Uday kind of talked about it in his opening remarks. One good direction is that our scale of platforms gaining scale, that speed is actually accelerating, right, which is a good positive.

So from that perspective, definitely there is headroom. And obviously, once you look at it, the integrated company margin will play out. But we still look at these two very differently and individually, Milind. But yes, there is headroom on this, right? Maybe on the second. Let me ask Deepak

to give you a perspective on that.

Deepak Goyal: Yes, hi Milind. So you asked for how we I think your question was how we charge our customers, how we make money on such kind of solutions, am I right?

Milind Karmarkar: Correct, that is absolutely correct.

Deepak Goyal: Yeah, so this comes under our solutioning part, okay? WhatsApp is a channel which provides two-way communication, SMS is another channel which provides maybe one way channel, one-way communication, right. So now we have to provide solutions on it. So we have to sit with the customer, understand their business problems and see how it can be resolved by using different channels. This is how we resolve for this particular case.

So how we charge them, we charge them for our solution. Maybe our fee would be for the bots, what we have made for the user journeys and then when their users start using these channels, we charge them for usage also. Those are the WhatsApp charges, right?

Milind Karmarkar: Okay, yeah.

Deepak Goyal: But what is very important here is Milind, more than that okay is about the kind

of thought leadership, the kind of experience we bring in, okay, so what happens is customers start feeling, the customers feel with us that these are the guys who are actually solving the problems so rather keep my entire business with these guys. Okay whether it is SMS, whether it is everything else. Let's give you an example, which is a real example I mean is Wisely ATP, right? We got a call from a bank and which as mentioned last earnings call also and they said, hey, our users are getting scammed all the time, do you have a solution? And because of this, what's happening is that maybe that could be one of the reasons where they are thinking whether they should be sending too much of marketing messages also or no, because sometimes customers feel it's a phishing message, right?

Milind Karmarkar: Correct.

Deepak Goyal: So we started working on it and we launched Wisely ATP and we have gone to the same very bank and said listen, we are ready and this is a solution and we have started the POC, they're very happy with us. So once we have that kind of relationship, it helps us not just on our new product but helps us in our overall

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business also because that creates immense credibility for us in front of the customer and they would like to be with us forever. So this is how it works.

Milind Karmarkar: Okay, okay. Got it. Thank you so much and gentlemen wish you all the best. Thank you.

Deepak Goyal: Thank you.

Operator: Thank you. We'll take the last question from the line of Sambhav Jain from Vardhman. Please go ahead. Mr. Sambhav Jain.

Sambhav Jain: Good evening sir. Good evening, Uday sir. Good evening Deepak sir and good evening to the CFO as well.

Uday Kumar Reddy: Hey, good evening, Sambhav.

Sambhav Jain: Sir my first question is regarding our basically loss in revenue in this quarter and just wanted to get an insight about after the whole SBI fiasco, I just wanted to get an insight if we are picking up on the WhatsApp channel with them and how are the new customers contributing towards our top line now?

Deepak Goyal : So I'll take this question, if you would have seen Q4 is historically from the revenue point of view from the volumes side is slightly weaker compared to our Q3, and this is what we have seen in Q4 also because Q3 is full of festivals, a lot of festival spend happens and in Q4, the no festivals, number of days are less in a quarter, maybe by slower by two or three days. That also impacts. And there are certain brands, certain customers who are already done with their budgets. So overall, we have seen the marketing side, the numbers are little on the lower side. So all that has impacted the revenue a little bit. But yeah, so this is what the reason for lower revenues in Q4.

Sambhav Jain: Thank you sir. My second question is

regarding our new geography, sir. What

is the traction and how are you seeing the response in the new areas that we are planning to expand or we have already started expanding like the Middle East and like Uday sir mentioned, certain parts of Southeast Asia as well. So just wanted to get a feeler of how things are shaping up for the same

Deepak Goyal : We have started our operations in UAE a couple of years back and now I would say that the UAE is doing reasonably well for us and we have in FY '24 we would see a good amount of revenues coming in from there, from Enterprise side. But if you look at we were looking for some major differentiator and I think we got it in Wisely ATP and we participated in Mobile World Congress in Barcelona and we met regulators from UAE, from Saudi, from a lot of other countries.

We met Telcos. They've shown keen interest in this product. And I'm pretty sure that you would see a lot of growth coming in from there, a lot of business coming in from there, rather, and we would report about it in the next earnings call.

Sambhav Jain: That's wonderful to know, sir. Thank you. Thanks a lot. One last out of context question, sir. The day Uday sir had tweeted about Starbucks logo and about the new innovation center, he had also casually said why he invited me to come down sometime in Feb. I did write to the management, and I do live in Hyderabad, so it would be nice to just come, say hi to all of you and just see all you guys in person and say hello. So whenever that happens, looking forward sir.

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Aravind Viswanathan: Sure, sure, sure. We will definitely arrange the trip very soon.

Sambhav Jain: All right sir, thank you. Thanks a lot. Thank you.

Operator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Ritu Mehta for closing comments. Over to you .

Ritu Mehta: Thank you everyone for joining the call today. In case any of your questions remain unanswered, you can write us at the Investor Relations team. Have a good day. Thank you.

Operator: On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy .

Call: Jun 2023

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June 14 , 2023

To,
BSE Limited
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Dalal Street,
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Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the conference call held on Friday, June 09, 2023, for discussing the Proposed Acquisition of Valuefirst .

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 , please find attached herewith the transcript of the conference call with Investors held on Friday, June 09, 2023 at 4.30 PM IST on the 'Proposed Acquisition of Valuefirst' .

The transcript is uploaded on the Company's website as well on below link;

https://www.tanla.com/media/announcement/ec_transcript_tvf.pdf

Request you to take the same on record and oblige.

Yours faithfully,

For Tanla Platforms Limited

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

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Tanla Platforms Limited
ValueFirst India and Value First Middle East acquisition s' Transcript
June 09, 2023

Call Duration 35 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Anil Nahata - Individual Investor
■ Deepak Chokhani - Reed Capital Partners
■ Meet Rachchh - Anubhuti Advisors LLP
■ Amit Chandra - HDFC Securities
■ Mohit Motwani - Nuvama
■ Sharad Kohli - Individual Investor

Operator: Ladies and gentlemen, good day and welcome to the Tanla Platforms Limited Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms Limited. Thank you. And over to you, ma'am.

Ritu Mehta: Hello. On behalf of everyone at Tanla, I would like to extend a very warm welcome to our investor call. Joining with us today are Uday Reddy, Chairman and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Aravind Viswanathan, CFO.

Uday will share his insights and strategic reasons behind these acquisitions, followed by Aravind, who would dwell into financials. After opening remarks, we'll be happy to engage with participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward -looking in nature. All statements other than statements of historical fact could be deemed forward -looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the presentation that was uploaded on our website. Audio recording and transcript will be available on website soon.

Now I hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. Good evening. Thanks everyone for joining the call. I'm sure you have seen our presentation on ValueFirst acquisition, and I'm really excited about the opportunity here. While I will ask Aravind to take you through the acquisition details, let me share my thoughts on the acquisition and what it means to Tanla and CPaaS industry in general.

Over the past two years, I've been asked three questions consistently on the enterprise business. First has been the implications of global giants with large balance sheets entering the Indian market. I've been consistently maintaining that India is a unique market. To succeed in India what one needs to know is local knowledge, I mean one needs deep local knowledge, ability to work with the entire ecosystem from enterprises to mobile carriers and deep domain knowledge. This is a secret sauce of our success. Acquiring ValueFirst from Twilio is a validation of this longstanding belief.

The second question has been a competitive dynamic due to Airtel competing with CPaaS players in India, largely around pricing. While there was a certain amount of disruption when Airtel made this entry, I think industry has stabilized over the past 12 months. Airtel is both a competitor and partner. And I think the ecosystem has learned the art of coexistence.

I think the phase of market disruption is behind us. As we gain the scale with the ValueFirst acquisition with the overall CPaaS market share of 35% plus were recognized that we have a major role to play to drive responsible industry conduct. We take that responsibility very, very seriously.

The third question has been around international expansion. ValueFirst is a player in Dubai and Saudi and making inroads into Indonesia. We will leverage this acquisition to significantly scale our international operations on platform, on enterprise business.

So, in many ways this acquisition has addressed the key questions asked to me. So why does this acquisition make sense for us? I see five strong reasons. One, a significant bargaining power in sourcing. ValueFirst will help us with further bargaining power in sourcing we were always larger, now we have become

large st rather .

The second point is complementar

y customer base. Our India customer footprint is very complementary. We have 50% share in large enterprise segment. And now ValueFirst brings in 20% share in SME segments. Customers contributing 40% of the required entities, revenues are net ne w to us. ValueFirst will cross sell and upsell to our customers on vice versa.

Point number three, drive strong operating efficiencies. We looked at the financials in detail as part of the due diligence. I see a significant headroom on efficiencies on bot h direct indirect cost. We have clarity on where we can add value and improve.

The fourth point is cultural fit. We have a strong relationship with both ValueFirst and Twilio. And Twilio believes we are their natural partner to hope to house ValueFirst em ployees and customers.

Last but not least is talent. It is not easy to build talent with a big expertise in this space. Vish and his team have tremendous human knowledge and we will leverage this. They have a strong platform called Surbo, which we can be used for our customers.

In summary, we have an incredible track record on acquisitions. We bought Karix and Deepak and his team has helped EBITDA grow from ■25 crores to around ■500 crores in the last four years. The same team which delivered the value at Karix will work with ValueFirst team to unlock the value for our shareholders.

Now I will ask Aravind to take you to the deal construct and financial implications.

Aravind Viswanathan: Thanks, Uday. Good evening everyone. Let me quickly give you an overview of the acquisitions that we announced. We announced two acquisitions, right. The first one we signed a definitive agreement to acquire 100% of ValueFirst India from Twilio for a consideration of \$42 million, which translates the current exchange rate around ■ 346 crores subject to upward closing adjustments between \$2.5 million to \$3.5 million due to the net cash in the business.

We expect to close this transaction by early July 2023, and we should see the full consolidation of this entity in our Q2 numbers. We also signed a binding term sheet to acquire 100% of ValueFirst in Middle East from their existing shareholders for a cumulative consideration of ■20 crores. So, a combination of primary investment and the second purchase from existing sh areholders.

This entity addresses the markets of UAE, Saudi, and Indonesia. We expect to close this acquisition in September '23 and we would see the full consolidation of this entity in our Q3 numbers. We are funding this purchase consideration from our internal accruals . We are incentivizing the management team of ValueFirst for both performance and retention with a ■ 50 crore RSU grant in ValueFirst which will vest over a two-year period.

The overall revenues of both of these acquisitions combined is around ■950 crores. As Uday mentioned, ValueFirst is an existing customer of ours. So if I adjust for that intercompany, the net incremental revenue to Tanla Platforms

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would be around ■650 cror es. The combined EBITDA of the acquired entities is around ■50 crores.

Today, ValueFirst operates at around 5% EBITDA returns. EBITDA for Tanla in Q4, we existed FY '23 at around 20% EBITDA. And if we just consolidated on a like-on-like basis, the dilutio n due to the acquisition would be around 2%. Our plan is to mitigate this impact by improving the ValueFirst EBITDA from current levels of around 5% to double digits in the next two to three quarters.

We have a solid plan on this, Uday referenced i t in terms of the efficiencies that

we see. And that's the focus for us from a profitability standpoint. We expect to mitigate the entire impact of the EBITDA margin value return by the end of the financial year.

Overall, this is a very attractive acquisition from a valuation standpoint. We are acquiring an entity at 7x EBITDA multiple. For a business which is just operating at very, very low

EBITDA levels. And we execute our plan on rising synergistic growth both in India and overseas, coupled with our focus on margin expansion. We see significant value creation through this acquisition.

Now I would ask the operator to open the floor for any questions and we'll be happy between Uday, Deepak, and myself to address any of them.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use the handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Reminder to the participants, anyone who wishes to ask a question may press * and 1 at this time.

The first question is from the line of Anil Nahata, an Individual Investor. Please go ahead.

Anil Nahata: Yeah, hi.

Aravind Viswanathan: Hi Anil, go on.

Anil Nahata: For the international in terms of the geographies that they are having, because the slide gives a breakup of around ₹153 crores, whereas the revenue is around ₹300 crores if I understand right?

Aravind Viswanathan: Yeah. So, Anil let me clarify that, right. That is the NLD business in those respective geographies, which includes the Tanla numbers, that is more to give you a sense of what is the domestic business that they do with local enterprises, okay?

Anil Nahata: Okay.

Aravind Viswanathan: But they also do global business and ILD business out of these entities. So, we are breaking it down. We will give you further details post the acquisition in terms of the kind of business that they do. But we wanted to specifically call out. See there is a difference between serving the market and the entity being used to book revenues, right. So, you put book a global -to-global revenue in a Dubai entity or a Saudi entity. So, we were specifically carving up what is the local business that we do and that local business for the combined group could be about ₹153 crores that what ₹100 crores comes from ValueFirst and about ₹50

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crores comes from Tanla. Tanla was only present in UAE. ValueFirst is present in all three geographies.

Anil Nahata: Great, Aravind. Thank you for that. And can you also give some sort of the range around which the margins for the domestic business in the overseas countries is there? And the Indian margin for ValueFirst?

Aravind Viswanathan: So, if you ask me, the margin on the overseas business today is a little lower, Anil, right. It's probably breakeven or slightly 1% to 2%. And India is a little higher at about 7% -- 6.5%, 7% so.

Anil Nahata: You're giving at the EBITDA level?

Aravind Viswanathan: Yes, I'm giving at the EBITDA level.

Anil Nahata: Okay, fair enough. My third question around this line says, of course, it may be a bit early to ask this question, but I would still leave it with you. Now that Uday has said that one of the large concerns that has been raised by the shareholders community is about the international expansions, and ValueFirst can be a good step behind -- beyond what Tanla was already doing in UAE in terms of getting into deeper into the KSA and Indonesia. I mean what kind of a plan we can see from Tanla over the next one or two years? Can we look at international revenue base of 10%, 20% of the overall revenue? I mean, some sort of thought process would be -- I'm not even asking guidance, I'm saying what kind of a thought process can be there?

Aravind Viswanathan: So, Anil, as you said, right. We've not even integrated the entities, right.

Anil Nahata: Correct. Absolutely.

Aravind Viswanathan: But even we can see the huge opportunity. We clearly see a good opportunity. In fact, we've been talking about Saudi quit

e a bit, right. We've been talking about Far East Asia quite a bit, right. And the market sizes there are very, very large, okay. So, the idea obviously, and I think Uday kind of mention this, is not just look at these geographies only from an enterprise side, but even from a platform side. So, the expectations and internal workings are quite aggressive, Anil, but it can be substantial. But maybe I will wait to kind of have a much more detailed out plan in terms of what we are doing before I kind of commit. What kind of percentages it can be done.

Anil Nahata: Okay. I know it's ahead of time. And I mean Aravind if you are okay, can I ask more question or should I come back in the queue?

Aravind Viswanathan: No, I would suggest you to come back, because I think there is a queue list, right.

Anil Nahata: Fair enough.

Aravind Viswanathan: Everybody is there and we have time.

Anil Nahata: Absolutely. Fair enough. Thanks Aravind.

Operator: Thank you. The next question is from the line of Deepak Chokhani from Reed Capital Partners. Please go ahead.

Deepak Chokhani: Hi, Uday and Tanla team. Congrats on this acquisition. Great move which will surely solidify Tanla's pole position in India. I have two questions. First is I understand ValueFirst is largely into enterprise business. Just want to understand, given Tanla's foray into Wisely platforms and other business. What

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could be the cross-sell opportunity to ValueFirst customers more on the platform business side? Number one.

Number two, you mentioned that the international business can grow 2x, 2.5x in few months. Is that like a few months? I mean can you throw some light on this?

And the third is ₹50 crore EBITDA is on ₹950 crores or ₹650 crores?

Aravind Viswanathan: So, let me answer the third question first. The ₹50 crore EBITDA is on ₹950 crores, right. We see that the EBITDA doesn't change because of intercompany, only the revenue changes, okay? Both organizations keep that profit. It's just the consolidated revenue comes up. That is why you will feel that adjustment happens only at the revenue line, but not at the EBITDA line. So that's my first point, right.

The second question is in terms of the platform ?

Uday Kumar Reddy: So, Deepak basically like a couple of things, right. One is, for example, in India

alone, only 50% of their traffic comes on to our DLT platform, remaining 50% goes to our competitors. So now, going forward, probably from tomorrow, day after tomorrow, 100% of traffic comes to our DLT platform. That's number one, right.

So, number two is, what we noticed is 40% of their revenues are net new to us, okay. So, we are listing down all these clients and we're also working on how to up sell and cross sell some of our Karix and Tanla services, to these customers. So we are pretty excited and we see a huge value there. And of course, in Dubai also, we have been operating for the last two years, we have reasonably big. We also see the clear opportunity over there. I can anticipate, we have our own customers, and they have their own set of customers in Dubai. So, there is a clear opportunity for us to upsell and cross sell value. So, it's only the beginning. There's a long way to go, but we are very excited about the opportunity.

Deepak Chokhani: Perfect. Thank you. Just my one question, which remains. The 2x, 3x growth in few months in the international expansion, can you throw some light on this, sir?

Aravind Viswanathan: Sure. So, when it comes to the NLD business that we specifically talked about. Especially where we have geographies like Indonesia, where we have just made an entry. And if you look at that slide deck, right. You have significant headroom, because it's a very, very large market, right. So, what we are planning is to see how do we accelerate the growth in some of those geographies where we can quickly turn around and get a quick update.

Obviously, we will assess in more details, but that's the kind of potential we are seeing Deepak, right. So that is our approach. Specifically in these geographies where the base is small and we feel that if we can put our full might and our investments behind it, the opportunity to scale up that specific segment is very, very high.

Deepak Chokhani: Okay, all the best. Thank you so much.

Aravind Viswanathan: Thanks Deepak.

Operator: Thank you. The next question is from the line of Meet Rachchh from Anubhuti Advisors LLP. Please go ahead.

Meet Rachchh: Yeah, thanks for the opportunity and congrats on the transaction. So, first question is in terms of margins. So in Slide number 16 of the presentation, where you have mentioned that there's an opportunity to improve 140 basis points, 150

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basis points on consolidated basis. So, just wanted to know, this is on the Q4 exit rate or the FY '23 average of 18%?

Aravind Viswanathan: So, I kind of talked about this in my opening remarks, right. So what we are saying, right and that was -- it is both -- it is to say that our exit margin is 20%, okay.

Meet Rachchh: Correct.

Aravind Viswanathan: We have an ability. I mean, if you take the entire impact of the ValueFirst, the impact is about 200 basis points roughly, right? And we are saying over the 12-month period, as we exit, we will kind of get that dilution back largely through the improvements in ValueFirst, EBITDA, right which we have talked about.

Meet Rachchh: Right. Okay, okay, okay. Second question is in terms of the business which we had earlier with ValueFirst. So, can you elaborate what was the business we were doing with ValueFirst for last 10 years?

Aravind Viswanathan: So Tanla has always been a very large platform provider, right. We've been a large platform provider and we have served all of our big CPaaS players, right. Because our platforms are deployed at the telco end and our customers of Tanla historically have been with the CPaaS providers in the other end.

So, in fact, interestingly, when we bought Karix, Karix was probably one of the largest customer of Tanla at that time. So Tanla has been serving the CPaaS players, right, from inception. So that's the kind of so it's typically A2P messaging service where we deploy, I mean, they send the messages and we run it through our platforms in the telco.

Meet Rachchh: Okay. Fine. That's it from my side. Thanks.

Aravind Viswanathan: Thanks.

Operator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, sir. Thanks for the opportunity. So, my question is on the synergy benefit. So, sir you mentioned that there is obviously like around a lot of synergy benefits that you see. So, if you can, now tell me what are the immediate kind of synergy benefits, we'll see and what are the long to medium-term synergy benefits. And also, we mentioned about pricing benefits that we can get as a larger entity. So if you can, throw some light on that.

And also, if I see the gross margins for both entities, they're mostly the same. So, the difference is mostly on the EBITDA margins. So the margin benefit we're talking about, is it through gross margin expansion or it's like cutting the cost and the tariffs levels -- sorry, at the ValueFirst level, sorry?

Aravind Viswanathan: Sure, Amit. So let me give you my view and request Uday or Deepak to add on, right. So, what we are saying clearly is, I mean, the first point is at an integrated level, the gross margin of Tanla's upwards of 25%, right. For the year, it's 27% as we exit, right. And it's much lower for ValueFirst, right. There is no dilution in gross margin, because when we do the consolidation in many ways, if the company revenue knocks off, but the gross margin remains. So, there is a significant

gap in terms of the gross margin.

Now, two, three elements there, Amit, one clearly is the sourcing cost because there is a benefit that we can get as far as that is concerned. Two is, and I think, Uday mentioned that we have a lot of cross leverage through platforms that you

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have the benefit of -- you have multiple of our platforms deploy not all our ValueFirst traffic goes through that. So, we will definitely create some downstream benefit there. There will be certain indirect cost synergies that we will identify, and we've already identified and we will execute on that, right.

So, I don't think the business is very different for us to operate at very different margin. That's the hypothesis that we are starting with. And obviously, with synergies around platform, et cetera, that they do not have, but like we will get a benefit of that. It is easy for us to kind of drive profitability.

Amit Chandra: Yeah. Okay. And sir in terms of the customer overlaps, obviously you have given very clearly where the overlaps are. But if you can also quantify what could be the overlap in terms of revenues and how do we see these individual customers, which are common in terms of spending, if they work in both the entities?

Aravind Viswanathan: So, Deepak do you want to comment on it? Well, I can give some numbers, right. But from a concept perspective, if you want to give your color, right. And I can provide the number.

Deepak Goyal: Yeah, so -- see it's like this. We have overlap with some customers, and they are pretty large customers, but we don't see any risk whatsoever. The primary reason is that the two separate platforms.

Aravind Viswanathan: So why don't I cover that Amit, till Deepak joins back right. See one point what we have mentioned is 40% of ValueFirst revenues are customers who are net new to Tanla, right. So, to that extent, that gives you a sense, right. The balance

of revenues are obviously having an overlap.

Now, not all overlaps necessarily is bad, right. We have a situation where we can coexist. That is not an issue. We are retaining the brand. So, to that extent, it's not that two of them will combine into one. So, we don't see an issue. But what will happen is a huge ability to cross sell upsell that Uday also talked about in his opening remarks, right. That we will have with customers and that's where we see a big opportunity.

Amit Chandra: Why I was trying to understand this. As you said that 60% is overlap . So that's a big overlap, right. So, any risk you see to that in terms of some customers scaling down in one entity or some any kind of risk that you see in the overlap. So that's what I was trying to understand?

Uday Kumar Reddy: Deepak are you there?

Operator: Mr. Deepak your line is in talk mode.

Uday Kumar Reddy: Okay, let Deepak come back and answer that. Meanwhile, we can go with other questions.

Deepak Goyal: I'm there.

Uday Kumar Reddy : Yeah, Deepak, go ahead. Sorry, Deepak go ahead.

Deepak Goyal: Aravind would you please clarify about the 60% overlap thing?

Aravind Viswanathan: Yeah. So, I think the question Deepak that Amit wants is where there is an overlap, do we see a risk of customer pushing out either of the players, right? Is there a risk that we will lose revenues, because of whatever overlap we have? And I just kind of gave a headline saying we don't see that risk. But maybe you may want to elaborate a little bit on that.

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Deepak Goyal: Right. First of all, Aravind it is not a 60% overlap of our business between Karix and ValueFirst, right.

Aravind Viswanathan: So, from a revenue standpoint, we did that. So, it is 60%. It has 40% in revenue . But what I mean by that is where we have even one message goes, right. We call it overlap, right. So you may not feel that it's an overlap, but it is .

Deepak Goyal: Yeah. Anyway,

so Amit to answer your question, in fact, we have done this exercise, okay. And how it works is a customer usually has a minimum two or more than two providers, okay. Maybe three or four ; large customers usually have three or four providers. Usually with the large customers Karix has about 45% to 50% share wallet share, others have to be 20%, 30% or so on, right.

As we see this that for the customer, there are two separate platforms hosted in different geographies, different data centers and our services business is very people oriented. So , customers are used to dealing with a certain set of people in a particular provider. So , if you look at all of that, I don't see any risk. In fact, we see a huge opportunity where we can actually enter into ValueFirst customers, where we are not present. And ValueFirst can come as another provider to our customers where they are not present. So , I am looking at an opportunity where we can look for incremental business rather.

Amit Chandra: Okay. And sir the last question is on the retention program that we have. So , can you please throw some more light on how it is structured? Is it only for the top management or it is across all employees for the ValueFirst data and how the payouts will be?

Aravind Viswanathan: So, we talked -- no, no so -- doing a RSU plan is probably cover top 20, 25 employees there, right with a focused view on how to retain. So, we have an RSU plan for about ₹50 crores in ValueFirst, right. So and that will vest over a

two year period for driving both retention as well as performance, right. So that is really how the incentive plan is structured, Amit.

Amit Chandra: Okay, sir. Thank you and all the best sir. Thank you.

Aravind Viswanathan: Thank you.

Operator: Thank you. Participants to ask a question, you may press * and 1. The next question is from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Hi. Thank you for the opportunity and congratulations on the transaction. I have a question around, can you give some sense on what led to you selling ValueFirst. I understand that Twilio works with you as well. But I believe that, they wanted to enter India, which is a fast-growing market and that's the reason they had gone in the acquisition way. And they ended up acquiring ValueFirst.

But what I'd like to know is them selling the business and that also at relatively lower valuations. It is good from Tanla's perspective that you are getting, and you can turn around and scale and gain more market share. But just wanted to get some color on that if you can provide? Thank you so much.

Uday Kumar Reddy: Mohit, Uday here. We cannot really comment on behalf of Twilio, but we are very, very excited. We understand this market well. We understand this terrain very well. So, we have been working with ValueFirst for one decade. So, we are pretty excited. So, I don't know why they left and why they acquired, why they sold it. We cannot really answer those questions. This is completely left with Twilio.

Mohit Motwani: Sure. And that's it. Thank you so much.

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Uday Kumar Reddy: Thanks Mohit.

Operator : Thank you. The next question is from the line of Sharad Kohli, an Individual Investor. Please go ahead.

Sharad Kohli: Hi, I have basically three questions, actually two questions and one suggestion. The first question I have is in terms of this industry consolidation. So Karix were number one, ValueFirst was number four. So, they have become part of Tanla over the last two, three years. You basically have three sizable players left now, right? Besides Tanla now, which is Route, Gupshup and A CL which is Sinch.

My question is, in terms of negotiating your share of the cuts from the telcos. Does this make the CPaaS players in a better position to get a higher percentage of the revenue share from telcos? That's my first question.

The second question I have is more on the stats that you gave on the TAM on the Asian markets. The first clarification I have is, is the Indonesian market led by CPaaS players like Tanla or is it kind of like the Airtel model where the CPaaS divisions of the telcos control the market for the most case? And I'm trying to get an understanding of how easy or difficult it might be for a standalone CPaaS player to kind of making inroads, if in fact the telcos are the ones that control the CPaaS market?

And my last one, just given that we are absorbing so much data on the different markets mid-market versus large market. One suggestion I would like to offer is when you guys present your numbers for Q1, is there a slide you can show where we look at each of Tanla's five businesses, whether it's engage or communicate, everything? If you can just do a matrix, maybe a 3x4 matrix or a 4x4 matrix, where you say, here are the divisions, here's which markets we cater to, here's where our share in that market of -- revenue share of the market is, and here are the drivers of those markets, whether it comes from startups or BFSI, whatever. Because it just makes it easier to understand which segments each of Tanla's five divisions is playing. In terms of just modeling out potential

revenues. And if you can also disclose TAM numbers for each of those revenues? That's it from my side.

Aravind Viswanathan: In terms of the second question, what I can say is, if you look at any marketing, including Indonesia, it is completely driven by the aggregators or the CPaaS players, not necessarily by the mobile carriers. So, it's a customer in every market, including India and other markets, right. So, it's not different from many other markets. So, that's number one.

Sharad Kohli: Source thing?

Uday Kumar Reddy: Yeah, definitely it would help us. Even now, we have better access to the telcos. And with this acquisition, like, it is definitely that. So, we have more power to negotiate harder with the telcos. In terms of the metrics. Yes, definitely we'll consider that.

Sharad Kohli: Okay. Thank you.

Aravind Viswanathan: Thanks, Sharad.

Operator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to Ms. Ritu Mehta for closing comments.

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Ritu Mehta: Thank you, everyone. That was the last question for today. In case we could not take your questions due to time constraint, please feel free to reach out to our investor relations team. Thank you.

Operator: Thank you. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2023

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Date: July 24, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 , please find attached herewith the transcript of the Earnings Call on Un-Audited Financial Results of the Company for the quarter ended June 30, 2023, held on Friday , July 21, 2023, at 4:30 PM IST .

The transcript is uploaded on the Company's website as well on below link :

https://www.tanla.com/media/announcement/ec_transcriptq1fy24.pdf

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

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Tanla Platforms Limited
Q1 FY24 Earnings Conference Call Transcript
July 21, 2023

Call Duration ■ 57 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Meet Rachchh -Equirus Capital
■ Balaji Subramanian – IIFL
■ Deepak Chokhani -Reed Capital
■ Amit Mishra - Individual Investor
■ Ram Tavva - ExcelR Limited
■ Mohit Motwani - Nuvama
■ Amit Chandra - HDFC Securities

Operator: Ladies and gentlemen, good day and welcome to the Q1 FY24 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms Limited. Thank you, and over to you ma'am.

Ritu Mehta: Hello and a warm welcome to our Q1 earnings call. Joining with us today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Aravind Viswanathan, CFO. Uday will share his perspectives on business imperatives and strategic progress made by us. After opening remarks, we'll be happy to engage with the participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available on the website soon.

Now I hand it over to Uday.

Uday Kumar Reddy: Thanks, Ritu. Good afternoon, everyone. Thank you for joining this call. I would like to make six points before we get into the Q&A. First point is, we have given a very detailed investor presentation and shareholder report, which proactively addresses a lot of potential investor questions. It is our intent to be the best-in-class on governance and we're constantly improving our disclosures to provide more insights on our business to investors. From Q1 onwards, we have started reporting EBIT for both Digital Platforms and Enterprise Communications business to help investors track these businesses separately.

The second point is our financial performance. We have delivered excellent results in a seasonally weak quarter. I have always talked about importance of the financial discipline. We run our business at 20% EBITDA with the 76% conversion of gross margin into EBITDA, while generating the strong cash flows of almost around ■90 crores.

The third point is on investments. We have invested close to ■15 crores on our new platforms in the current quarter, and we have made a big bet on the enterprise business with ■375 crores acquisition of ValueFirst from Twilio.

Fourth point is on our innovation. Wisely ATP, our patented anti-phishing platform is our landmark innovation. We completed proof-of-concept with three leading banks on Wisely ATP, and Q2 will be the quarter focused on accelerating our GTM and our commercial holders.

The fifth point is on our Enterprise Communication business. We are now in the phase of price expansion in this business and we have visibility of price increase in some parts of our domestic business over the course of Q2.

Finally, we completed the acquisition of Value First India business in July, and we will complete the acquisition of international business by end of Q2. We are very excited by the synergies and we're on the track to move this business to double-digit EBITDA in a couple of quarters.

In summary, we are firing on all cylinders and I'm sure it's quite evident from the presentation and the note, which was distributed to all of you.

And we're happy to take questions from you now. Ritu?

Question -and-Answer Session

Operator : Thank you. Ladies and gentlemen, we will now begin with the question -and- answer session. Anyone wishing to ask a question may please press star and one on your touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles.

The first question is from the line of Meet Rach chh from Equirus Capital Private Limited. Please go ahead.

Meet Rach chh: Yeah. Thanks for the opportunity. And congrats on very good set of numbers. So, first question is in terms of the new contract with the world's largest e - commerce company. So, just wanted to understand what is the nature of business that we've signed the contract for. And what is the revenue potential for FY '24 from that contract?

Deepak Goyal: Hi. Deepak here.

Aravind Viswanathan : So, Meet , I'll ask Deepak to give you a context on the kind of business we will do on the customer that you mentioned.

Meet Rachchh : Sure, sure.

Deepak Goyal: Yeah. Hi. Deepak here. So we have signed a contract to serve them for all their terminations into India, all their messaging termination into India. So it has NLD, which is domestic type of messages, it has ILD messages as well. So it has both. So, it's a mix of both and we signed for both the messages. So, it's a comprehensive contract what we've signed with them. And as far as the size of contract is concerned, that is something which we will not be able to share at this point.

Meet Rachchh : Okay. And second is in terms of the proof -of-concept that we have done with three of the largest banks. So in the letter to shareholders it is mentioned that in Q2 beginning the commercials will be closed. So, just wanted to understand what is the revenue potential from those banks basically?

Uday Kumar Reddy: Deepak?

Deepak Goyal: Yeah. I mean, we have completed PoC with the three banks. And as Uday mentioned in this quarter, in Q2, we should be able to sign all the three banks commercially. In terms of the numbers, I think we would be able to share post Q2. Let us first get the commercials signed.

Meet Rachchh : Okay. So apart from these three banks, how is the pipeline looking for that product with respect to the...?

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Deepak Goyal: The pipeline is very solid. Initially, we ourselves only started with three banks. We just wanted to see whether things are working fine or no. And now, we are already in Q1 we have met a lot many other customers. And we have a great interest coming in from those customers as well. So in Q2, the target is not just to sign these three customers, but to sign many more, and we are in advanced stages with them as well.

And I forgot to add one thing about the global e -commerce customer, that we are the only one with whom they will be having now direct connection. All this

while, they were working with international providers, and those international providers in turn would connect with the domestic providers in India.

Now, this is the first time they got connected directly with the direct provider. So, it's huge volume and we are very hopeful that, we would be able to ramp up most of their volumes maybe in the next two to three months' time.

Meet Rachchh : So, in that e-commerce company, what would be our peak market share once we go at full throttle, both in NLD and ILD?

Deepak Goyal: See, we always try to go beyond 60%, 70%. So, this is what we would be the target for.

Meet Rachchh : Okay. And last question is in terms of the pricing. So, we have some visibility of price reset in Q2. So, just wanted to understand what would be the quantum percentage, if you can share some colour and how will it play out?

Aravind Viswanathan : Let me start on that, and then maybe I'll ask Deepak to add on it. So, this is a little dynamic thing. So, to quantify now, I think for all o

f your questions, that's

going to be our answer that most of the quantification of this will be clear by end of Q2, right? And therefore, we will probably be able to address these from a financial standpoint at the end of Q2, but I think there is a larger message in terms of how the market is playing out, so from a price perspective. So, maybe I'll ask Deepak to give colour on that, because that's quite exciting, and as we go through this process, we will discover in terms of the impact and that we will communicate as part of our Q2 results.

Meet Rachchh : Okay. Sure.

Operator: Thank you. The next question is from the line of Balaji Subramanian from IIFL. Please go ahead.

Balaji Subramanian: Good afternoon. Thanks for taking my question. Congrats on a great set of numbers, and appreciate the extra disclosure. So I just have one question, it's more of, how the industry is headed in the medium to long-term. If we look at the kind of deals that have happened in the last one, one and a half months in the sector. I think probably, what we are seeing is CPaaS players either selling themselves to larger enterprise players or telcos, so that CPaaS becomes one of the many offerings, which these companies offer alongside other offerings like cloud, security, et cetera.

So, keeping that in mind, how do you think Tanla is kind of going to compete with these players, who will be probably looking at bundling and there could be some cross-subsidization, et cetera, as far as offerings are concerned? So that would be my only question. Thanks.

Deepak Goyal: Before Uday answer this, Uday, I just want to say a few things here. So, hi Balaji. So, if you really see, Tanla acquired Karix a few years back, now they acquired ValueFirst, Gamoooga. And if you see, Tanla is already providing bundle of services, right? So if you really look at it, Tanla launched Wisely ATP, which is

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absolutely a different product. It's not our CPaaS product, it's a security product, it's an anti-phishing product, okay, which gives us a very huge credibility, being handled with all our large BFSI customers, and so many other customers. So it gives us a huge, I mean, I would say edge over others, right? So we are already doing that. Over to you, Uday.

Uday Kumar Reddy: Yeah. Thanks, Deepak. So, Balaji, anyway Deepak has covered most of the points. The way we see is like the enterprises are not just looking for bandwidth or voice or any of the telco services. What they're looking at, and there is a huge competition there. That's number one, right?

Number two is, as Deepak mentioned like, they are looking at products, which are going to protect their users, that is our customers-to-customers, that's

number one. Number two is, they also would like to work with someone like Tanla who is going to help them be compliant, okay? We are the ones who have helped all the enterprise in India to comply with TCCCPR 2018 June regulations. That's number one, right?

And the GPRD is around the corner, okay? And we're very, very conscious about the fact, right, and the bill. So we are developing, we are investing a lot of our products and platforms and services to cater to the enterprises. So, we don't have any competition. If you look at our bouquet of offerings, we don't have absolutely no competition in India, and probably it looks like, we will not have any competition outside India also. What the telcos are buying the asset, I think, they have plain vanilla connects, and we are not there to compete with them.

Balaji Subramanian: Thanks a lot. That is quite helpful. All the best.

Uday Kumar Reddy: Thank you. Thank you, Balaji.

Operator: Thank you. The next question is from the line of Deepak Chokhani from Reed Capital. Please go ahead.

Deepak Chokhani : Congrats, Uday and Tanla team on great set of numbers and excellent presentation disclosures and the Q&A mate

rials. I have three quick questions.

First is, I can see CapEx of almost ₹100 crores in the last six months. Can you kindly elaborate what are these for?

Aravind Viswanathan : Sure. Let me take that, Deepak. I think two, three big things, right? One is obviously we've accelerated our platform investments, right, with Wisely ATP and some of the other platforms that we've been building. So that is one big ticket for the CapEx. The second is in terms of the innovation center that we had done, right? So, between -- these are the two big tickets that has kind of increased. I think you will see normalization because the innovation center CapEx is largely done, right, but the platform investments will continue to happen, because that's the bread and butter of our business. So, we will continue to see some amount of CapEx as far as that is concerned.

Deepak Chokhani : So, does this include any new platforms, which you're working on or just the existing ones, which are under offering?

Aravind Viswanathan : Which is under development, a lot of them, right? So, we've talked about Wisely ATP as an example. So, some of them will get commercials, but in some sense, and Uday keeps talking about it, we are on a perpetual motion of innovation, right? So, we can't rest on existing. So, we keep building and coming out with new platforms. So, I think this is something that will continue for the quarters to come.

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Deepak Chokhani : Got it. Thanks. My second question is about this largest e-commerce contract. Usually these are bided to low-cost bids, I may be wrong. So, my question is, did we get this contract basis better pricing or better tech offering?

Deepak Goyal: Better tech offering, Deepak. As I mentioned earlier, this tech giant was looking for direct providers in India, and obviously we were their first choice. And this is how they selected us after thorough discussions over a period of a year.

Deepak Chokhani : Right. That's amazing. Thank you. My last question is Wisely ATP, will it primarily be only for BFSI sector, or do you think any other sector could potentially use them?

Deepak Goyal: Deepak, any brand, whose name is getting misused would be our potential customer. Let's say, for example, you might be getting messages from Adani Electricity or Tata Power, and all of that, that your electricity is -- connection will get disconnected, right? So, and these are all scam messages. So even those are affected by all these phishing messages. Then there are job frauds, jobs have been offered using Amazon's name or Flipkart's name or maybe State

Bank of India's name. So, there are -- so, it's a very -- if you really ask the TAM is really big, but our initial focus was BFSI, that's why I mentioned BFSI, but it will move to lot of other verticals as well.

Deepak Chokhani : Understood. Thank you so much. All the best.

Deepak Goyal: Thanks.

Operator: Thank you. We'll move on to the next question, that is from the line of Amit Mishra, an Individual Investor. Please go ahead.

Amit Mishra: Hi, hello? Am I audible?

Operator: Yes, sir. Please proceed.

Amit Mishra: Yeah. Good day, everyone. Thank you for giving me opportunity to ask questions. Firstly, congratulations should be given to the whole team, very, very good performance in Q1. And also the client additions, which are very good. So, 80-odd clients we have added, and less said is better, it's about disclosures, it's unparalleled in the industry. I have not seen such disclosures from any company. So, thanks a lot. We are setting example in CG for rest of the market, I would say.

So, I have two questions. First one is on the partnership with Kore.ai . So, we did a partnership with them in June 2022. And according to what we discussed earlier, they deal with pretty large accounts. So, I wanted to know -- they have longer lead time I think, Deepak has mentioned earlier, s

ix to eight months. So,

I want to understand where we are in that partnership, have we done any -- onboarded any client, we are doing PoCs with them or there is no progress, so can you please give some color on that, Deepak and Uday, both?

Uday Kumar Reddy: Deepak?

Deepak Goyal: Yes, sir. So, hi Amit. Yeah, so as far as our Kore relationship is concerned, yes, as I mentioned earlier, the lead time is pretty large. And we have in fact won couple of customers already, but it takes time to in fact even onboard them. So, currently, they are onboarding stage. But as any new relationship, because they are based out of U.S., they were handling American customers and then now in India. So, any new relationship takes its own time and goes through ups and downs. So, we are into that phase. We have a solid pipeline for that.

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We have met many customers, and right now we're just going through the phase of understanding better about their requirements, and how Kore can serve them. So, it is taking some time, but it is on track.

Amit Mishra: Right. So which geography we have this one customer with Kore.ai?

Deepak Goyal: India itself. We actually closed one of the good banks in India.

Amit Mishra: Okay. So other geographies nothing so far, but we are still making contacts or setting the...

Deepak Goyal: We have one very -- one customer in very, very advanced stage in Indonesia as well.

Amit Mishra: Indonesia, wow, great.

Deepak Goyal: Yeah.

Amit Mishra: Thank you. The second question, actually it relates to enterprise business. This has -- I've been noticing, we have these Q1 and Q2 and I've noticed in past we have solid jump, so this is how I think industry is organized from Q1 to Q2, there is the solid jump. So, we used to have like, in '19 we had 24%, we had 28%, in

'21 we had 34% from Q1 to Q2.

Of course, last year was little bit disturbed, because of -- we lost a customer, big customer, but is it fair to say that this is sort of a thumb rule of like Q1 to Q2, we can assume like 20% -plus sort of jump, because I understand that it's a festival season in India, the campaigns, the preparation and everything starts in Q2. Is it fair to assume, on an average?

Deepak Goyal: I mean, firstly, Q2 is not a festival quarter...

Amit Mishra: Yeah, I know, but the revenue profile will you start preparing for that probably, I don't know. But the revenue jump is the biggest in Q2. So I just wanted to get some sort of -- is there kind of a business -- how business is setup in CPaaS industry or it's just specific to Tanla and what could be the fair percentage to assume?

Deepak Goyal: It will be tough to give any specific number right now, Amit, okay? But just wanted to tell you that in Q1, we have some uptick, because of IPL also, which was not there in Q2, right? We had...

Amit Mishra: Can you put a number on IPL jump? Is it possible?

Deepak Goyal: That numbers I will leave it on Aravind, but I'm just giving a little high level thing, right.

Amit Mishra: Aravind, could you?

Deepak Goyal: Yeah, Aravind, please.

Aravind Viswanathan: So, I'll tell you just before that, right, just to give you a little bit of a context that Q2 has historically been high, because in couple of years that you mentioned, we had an ILD price increase in July, right? And that has really skewed the market in many ways, because those price increases were high. We had certain amount of ILD price increase benefit in Q1 this year. So that's something that one needs to normalize when you look at historic data, right? So that was one point.

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It is difficult -- see IPL is more a season in terms of where multiple customers do incremental spend, right? So, you don't really call out. We just know that there were more volumes in some form, right? That we've seen in -- due to IPL. The domestic business historically picks up in Q

2 vis-à-vis Q1, right? But I think there are multiple factors now with other pieces of business becoming large, right? That it's not only one dimension.

So, it is difficult to kind of quantify, and I don't want to kind of be cornered into a guidance for Q2. But when you're looking at historic data, it is important to note that there are multiple other factors beyond that also needs to be accounted for.

Amit Mishra: No, no, guidance was not the intention to get, but I noticed like three years in a row like '19, '20, '21 we had 24%, 28%, 34% uptick from Q1 to Q2, but that's okay, that we can leave it at that. Just if I can squeeze one more question. For the combined entity for Tanla and ValueFirst, eventually where would be our total employee strength? What is the comfortable level you see? Where will we end up?

Uday Kumar Reddy: Amit, it's too early to comment. Sorry, Aravind go ahead.

Aravind Viswanathan: No, no, Uday. I thought let me give the facts, right, and then we can improve. So, if you look at overall, as we announced ValueFirst has about around slightly more than 450 employees and Tanla has been at around, it's consolidated, Tanla is a round slightly over 600, right? So the combined entity would have a headcount between 1,000 and 1,100, right? That's where we start as a base, right? Uday, I'll leave it to you in terms of thought process on that.

Uday Kumar Reddy: I want to say the same thing, Aravind. Thank you.

Aravind Viswanathan: Sure.

Operator: Thank you. Reminder to the participants, anyone wishing to ask a question, may please press star and one. The next question is from the line of Ram Tavva from ExcelR Limited. Please go ahead .

Ram Tavva: Yeah. Hi. So, I have a couple of questions. The first question is related to the Tanla ATP. What would be the total addressable market for this ATP in the future to come? I mean, not immediately in the next few quarters, probably, if you can say a couple of years in terms of revenue what will be the total addressable market under Protect, right, under the Protect segment on Tanla ATP? This is the first question.

Aravind Viswanathan : Ram, sorry. I could not hear your...?

Ram Tavva: Can you hear me now?

Deepak Goyal: Yeah.

Ram Tavva: What would be the total addressable market for the next couple of years or not more, the total addressable market under Protect, whether Wisely ATP in India?

Uday Kumar Reddy: Yeah, Ram. As Deepak mentioned, like we are about to close commercials with very large banks in the quarter, and we are pitching to other brands as we speak. So, I think we will come to know over a period of time, over the course of a couple of quarters. So, what's the TAM, like so on and so forth. It's too early to comment.

Ram Tavva: Because see, I saw one of the slides in your presentation under Protect, you mentioned that ₹0.3 billion will be by 2023 or 2027 as they got the total

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addressable market under the Protect categories, Tanla ATP and Network. So I just want to understand and on what basis, whether that entire ₹0.3 billion, will be the total addressable market for us?

Aravind Viswanathan: So, Uday, maybe let me...

Uday Kumar Reddy: Go ahead, Aravind.

Aravind Viswanathan: Yeah. Sure. So, I think what we have done there, right, Ram, it's only wrong to look at it as just an ATP market. We've talked about how our platform addresses all the buying centers, right, across engage, communicate, protect, and experience, right? So, that -- and we have compartmentalized our existing platforms under these four buckets.

So, what we have assessed the market, if you are talking about Protect, it's not overall Protect market, some of which get addressed by our existing platform, but will keep innovating and building in new platforms there, right?

So, the good way to look at it is that Wisely ATP would be a subset of the number that we

have mentioned there in terms of dollar billion -- ₹300 million or so in India and which will kind of expand. But it is not to say that it's only ATP, it will have -- it covers the entire spectrum of customer spends there. So, you could say that, when you look at Wisely as a platform of platform, and if you look at Protect as an area from a buying center standpoint, that has this kind of potential and ATP is one of the products. So that's not a reflection of TAM of ATP per se, but it's a larger discussion in terms of how to look at our business.

Ram Tavva: Okay. Got it. And I have another question, maybe this question will look bit -- very near to the subject, so I want to understand who would be the potential customers for Tan la ATP. Is it that telcos or even the enterprises? Why I'm

asking this question is, normally the fraudsters when they send the phishing SMS, they choose one of the enterprises as a target, and they send SMS to the users and they try to swindle the money through various ways and means, right? So is it the telcos who will filter using the Tanla ATP? And if it happens to be the enterprises, how are they going to do it? See, for example, let me take example of HDFC Bank. HDFC Bank by themselves they don't send any phishing messages, right? But how HDFC will be a potential customer for us, further HDFC customers for this anti-phishing? I hope I put the question properly.

Uday Kumar Reddy : Yeah. Ram, it's a good question. So the way it works is the ATP platform has to be deployed with the telcos, okay? So we need to have a deployment with the telcos to start with, that's the number one point, right? Number two is, but the bank is the one who has to protect their users, okay? So in this example, bank has to pay the money to us and then we keep our revenue share and pay the remaining amount to the telcos.

So, the bank is a spender and ourselves and telcos are the earners. That's how it works. So unless until the telco decided to charge the mobile users directly, okay? In India, what we decided is to charge direct to the enterprises, not to the users, because of the low ARPU in India. If the ARPU is very high in certain marketplace mainly Saudi, and so on so forth probably we can look at charging the users, in which case we don't really approach all the enterprises, whichever the user wants to safeguard himself from the scammers, they can always subscribe to our subscription. That's what we're looking at as we speak.

Ram Tavva: It means to say that the HDFC bank will pay for these services, which are the SMS that had been sent to HDFC customers, right?

Deepak Goyal: Yes, so we would charge per user per month.

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Ram Tavva: Okay. And so, I also saw in one of the slides that no -- the TRAI urged -- not the slides, I saw the news that TRAI urged the other telcos to come up with the kind of solution similar to our ATP. So, any update pertaining to other telcos, any progress on that?

Deepak Goyal: Yeah, we are in touch with all telcos. And as we speak, we are running the PoC with one of the largest telcos in India. We already deployed with VIL and now we're doing the PoC with one of the largest telcos in India. And of course, we're talking to all telcos.

Ram Tavva: Okay. And I have one suggestion, I mean, I wrote a few questions to the Investor Relations, but I hardly receiving any response. So, probably if you can just look at it from the Investor Relations to get a proper response for the questions what we ask.

Aravind Viswanathan : Sure, Ram. Thank you for the feedback. Let me look at it and personally respond on that.

Ram Tavva: Sure. Okay. Thank you. Thank you very much.

Operator: Thank you. The next question is from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani: Hi. Thanks for the opportunity and congratulations on great set of numbers. I got disconnected in between

n. So I don't know if this had already been answered.

First question on the ILD price hike you have already mentioned. Can you give some colour, maybe not quantify, but some colour on the growth in this quarter, how much of it was driven by the volume growth and how much of it was price driven, not numbers but maybe some sense on that?

Aravind Viswanathan: Roughly, I would say that 50% of our growth, right, has come through price increase, but there has been a lot of organic growth across all dimensions of the business also beyond the price increase.

Mohit Motwani: You mentioned 50% right, if I heard correctly?

Aravind Viswanathan: Yeah, slightly more than 50%, slightly more than 50%. Yeah.

Mohit Motwani: Sure. That's helpful. And one more question. So, there were some articles, which suggested that WhatsApp has increased the pricing of the messages. So has it impacted any volumes at your end? Have you seen any pressure on volumes from the customers?

Uday Kumar Reddy: Yes, I would say, so volumes -- we have seen some pressure on the volumes, but since the prices have gone up. So overall revenue remain intact. But what we're seeing is that when the prices go up like this customer takes some time, because in WhatsApp the huge amount of messaging happening on promotional side and customers who are rethinking about their marketing strategies. But we feel that next two or three months' time those volumes would be back, because WhatsApp was actually able to give them a great ROI.

Mohit Motwani: Sure. That's all helpful. Thank you so much for answering my questions.

Operator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, sir. Thanks for the opportunity. Sir, you mentioned that around 50% to 60% of the growth in this quarter for the enterprise business is ILD price hike

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linked. So in terms of the volume, if you can share some light how has been the volume growth, especially on from the angle of transaction and promotional messages, because if I'm not wrong, promotional was under pressure and we are seeing some pickup in the promotional messages. So how has that split been in terms of transactional and promotional messages, because transactional messages has been growing, but promotional has started growing now maybe in this quarter.

Uday Kumar Reddy: Aravind, please go ahead.

Aravind Viswanathan: So I was just saying that we did see volume growth in the quarter in the domestic business, right, but I will ask Deepak to give colour is what I was saying. Deepak, over to you.

Deepak Goyal: So, Amit, your question is around NLD business, right?

Amit Chandra: Yeah, NLD. Yes.

Deepak Goyal: Yeah. Yes. So see, Amit, traditionally the Q1 is generally weak on promotional side, because customers are still working on the budgets, they have invested all the budgets by March and new budgets are getting sanctioned and stuffs like that. And things go a little slow as you rightly said the transactions are on the higher side and the promotions are not so high.

So that is there. But what has happened for us is: one, as I mentioned earlier, because of IPL, because we have certain customers, there are certain those fantasy gaming companies and a lot of other customers who do campaigns around IPL, so we got some support from there. And we have been getting a lot of new customers in the last six or eight months' time, and we have seen that some new business is also getting added. So the support came from there as well.

Amit Chandra: Okay. Also, have you seen any kind of shift of volume from, say, the traditional SMS to the WhatsApp side, especially on the promotional kind of messaging side, and also we have seen consolidation in the industry that has been happening, and we have gained market share also. So has that changed our equation with telcos in

in terms of our sourcing costs with them? So is that we have higher market share and we can ask for better pricing in terms of sourcing cost?

Deepak Goyal: Okay. I'll give your second question on the first, definitely when you have a better leverage, the volumes are higher obviously you get some price advantages, there is no -- it goes without saying, it happens. And as far as you r -- the first question is concerned, the volumes are shifting from SMS to WhatsApp. I would say, WhatsApp has added more to that our overall numbers. So let's say for example, I just tell you there is a BFSI sector. The BFSI, they just do not do any promotions on WhatsApp, okay? They mostly use it for transactions and for user-generated messages and stuff like that.

There are e-commerce companies, and there are certain segments, which actually rely more on WhatsApp and they do it on WhatsApp. Then there are other segments which find WhatsApp very expensive. So what they do is, they would still use WhatsApp, so I just want to tell you, when enterprise is sending messages, price is very high on WhatsApp. But if user is initiating a conversation with WhatsApp, the price is very low.

So, what customers do, they would send SMS campaigns, right, which is much cheaper, which will have a WhatsApp link. So if a user wants to initiate a conversation, okay, it can just click on the link and a conversation gets initiated over WhatsApp. So the overall becomes cheaper. So here you get volumes on

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SMS as well as on WhatsApp. So it's like that just mix of all of that, right? But yes, definitely ROI on WhatsApp is definitely good, there is no doubt about it.

Amit Chandra: Okay. And sir, my second question would be on the Wisely ATP. So, as you said that the ATP product is being deployed at telco level. So, is that part of the telco will only have a single like product for integration or there can be multiple products installed by a single telco?

Deepak Goyal: Yeah, Uday, please. Sorry.

Uday Kumar Reddy: They go with one supplier, not with too many.

Amit Chandra: Okay. And can they have their own, because you're not, it is not like a Trublog, which is being billed via the aggregator, but the telco will bill the bank or the entity for the ATP services. So is it that the telco can have their own platform and also in terms of revenue share how that will be split? So, is it in the final stages or is it still under consideration in terms of the revenue share between telco and the aggregators?

Uday Kumar Reddy: If you are asking, like if the telcos can outsource in terms of the development and develop it, yeah, absolutely yes, they can. But we don't see any competition as in today, in future I don't know. So that's number one. Number two, like we are about to close the commercials with the telcos, so probably we should be able to come out with explanation in the Q2.

Amit Chandra: Okay, sir. Thank you. And all the best.

Uday Kumar Reddy: Yeah.

Operator: Thank you. The next question is from the line of Tejas Shah from Laser Securities. Please go ahead.

Tejas Shah: Hi, normally shall we do acquisition if you have seen than last acquisition, because basically via stock, this time I think you have opted for cash. So have we not thought about stock; sharing Tanla shares and doing the acquisitions?

Deepak Goyal: Are you referring to ValueFirst acquisition?

Tejas Shah: Yeah.

Deepak Goyal: So that's a history, right. So we have paid out full cash.

Tejas Shah: Normally, Tanla history is basically wherein you do acquisition via stock, wherein

we issue Tanla shares to the acquiring company and there will be lock-in period for 12 months, 18 months or whatever and the business goes on. So any particular reason why we look for cash this time?

Uday Kumar Reddy: A couple of things. One is like when we acquired Karix, it's partly cash, partly stock

ok, okay? It's not 100% stock, right? I think if I remember correctly, 55:45 towards cash, right? And so is Gamooga, it's not completely stock, like partly cash, partly stock. I mean, shares, right?

So when it comes to, then those days we never had such a -- I mean, we never had so much of cash to pay to acquire these companies. But our option is always to acquire with cash, but not -- we don't want to dilute, that's a whole intent, but situation now is different from where we left a couple of years ago.

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Tejas Shah: Okay. Thank you. Second question is, Vodafone, now the telco is normally in problems, we hear it outside. So how quicker we get the payments from Vodafone? So, is it within 30 days, 60 days or it is much more?

Uday Kumar Reddy: Sorry, your voice is not clear. It is breaking.

Aravind Viswanathan : Uday, I can answer this question. I heard that, right? So from our perspective, the important point to note is that we are a customer than Vodafone being our customer, right? So we have to pay them for the services, right? So, from that sense, I don't think we have a financial exposure, because for all of the things, the amount that we spend where we are a multi-fold larger customer of Vodafone than Vodafone is to us. So that's really not something which is very relevant from our perspective.

Tejas Shah: Thanks so much.

Operator: Thank you. The next question is from the line of Anil Nahata, an Individual Investor. Please go ahead.

Anil Nahata: Yeah, hi. Uday, it's very good to see the progress that we have come over in one year from the challenging times. My first question is on the line of international business. With the ValueFirst acquisition, now we are having two more geographies besides the UAE business. So what is the kind of directional sense that we are pushing for in the next two years for our international business?

Uday Kumar Reddy: Yeah. So, as it is, like we are operating out of Middle East for the last couple of years and we are growing up revenues quite quickly, like, that's number one, right? But with the acquisition of ValueFirst, now we have access to two more large markets, which is Saudi and Indonesia.

So we have our plans and the two largest markets are very close to us in the sense like, we can offer our platforms, and we also can offer our enterprise communicate APIs in this market.

So definitely, yes, we have larger plans for our international plan, that's what if we want me to come into. This is what you want to hear from me, right? Yeah, we have a very serious plan to expand ourselves in the international market, so quickly.

Anil Nahata: So, Uday, if I can -- though I know you are a bit averse to giving quantification, but if I can look at, let's say, for example, today, less than 10% of our revenues will be from the international markets. Can we look at a situation where we are looking at 20%, 30% of the revenues coming from the international market over the next two, three years?

Uday Kumar Reddy: You yourself said, I'm quite averse to giving any forward-looking statements. So let's leave it like that.

Anil Nahata: Okay. Fair enough. The second question that I had was in terms of the NLD price. You mentioned that there is a three-year cycles by which the prices sort of change in the market and in the shareholders' letter you also mentioned that. Can you just give some more colour on to that? Is it that something that you are looking at in terms of telcos increasing the price of the NLD, SMS or is it just a better improvement in the marketplace?

Uday Kumar Reddy: Absolutely, right. The telcos are the ones who has a control on the price increase, and they have already sent out the price increase to all of us, and it is effective from 1st of August. And so we also have kind of sent out mails to our

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enterprises, our customers, but this impact is mainly on certain NLD volumes. It

does not impact on PSU volumes, this is mainly non-PSU and non-government volume. So, yes, it is effective from 1st of August.

Anil Nahata: So, Uday if it is non-PSU, basically it means that is basically the scrubbing charges they are trying to increase, is that it?

Uday Kumar Reddy: Scrubbing charges, sorry, come again.

Anil Nahata: Are they trying to increase the scrubbing charges? Okay, can you quantify what is the increase in the certain segment, what goes up from where-to-where?

Uday Kumar Reddy: No, I cannot really qualify and quantify return, but having said that, all I am saying is I am here to confirm that the prices are all set to go up from 1st of August. That's the first point, but it is going to affect only non-PSU, non-government traffic. That's what telcos have sent the mail to all the aggregators and enterprises directly. And wherever we have the business, if it's enterprises we also sent out mails to enterprises.

Anil Nahata: Fair enough, Uday. So, if I can just insist what is the order of magnitude of this price increase? Is it like 10%, 20%, 30% just another ballpark idea?

Uday Kumar Reddy: Right. So it's too early to comment, because like we don't know. The enterprises are the one who are going to consummate the services. So, we have to see how these enterprises are consummate and look at this price. They keep looking at ROI, because these SMSs are being used not necessarily for OTP and transactions, but also for promotional like. So we have to see how the market is going to react to this price increase.

Anil Nahata: Okay. Maybe then in the next couple of quarters, you will be able to give us a better idea, is that correct?

Uday Kumar Reddy: In Q2, we should be able to -- yeah, in Q2 itself we should be able to give you a clear clarity, yes.

Anil Nahata: Yes, so that will be very nice. And Uday, if I can just ask a last question on the Wisely ATP. I mean, I'm very pleased to see this kind of innovation coming from Tanla, and you have been spearheading some of these things. If I look at Wisely and this is probably a follow-up question to Ram as well.

So basically, each of the telcos will be deploying with some partner or maybe they will develop it themselves. So Tanla, already has signed up with VI, if I understand right? You are in discussion with one of the larger telcos. But in the hypothetical situation, let us say, one or the other telcos go with somebody else, then how does this marketing work, I mean HDFC Bank is the customers, HDFC Bank is going to be charged, so Tanla and VI will be approaching HDFC Bank as one, maybe suppose if Jio goes with somebody else, Jio will also be approaching HDFC Bank. How this thing is actually going to work, it's a bit confusing. So, if you can just help understand that better, it will be very nice?

Uday Kumar Reddy: Yeah. Again, I must say that it's a good question. Let me step back, let me explain how it works like. I mean you get the SMS on both on A2P, application-to-peer SMS, which is commercial communication on your phone, as well as a

peer-to-peer SMS , which is person -to-person communication, right?

This platform is going to be deployed for both P2P and A2P messages, right?
So, that's number one, right? And this platform is deployed with the telcos as I told you earlier. The third point is, let's say, when I go to HDFC, okay, assuming

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that I have a deployment of two telcos, okay. All I have to tell them is what is my coverage in terms of A2P and what is the coverage in terms of P2P, okay?

For example, and what is -- then I have to protect HDFC users I like, okay? So, it is a telco and enterprise coverage and whether it is A2P and P2P. So it's a combination of bit of both, telcos, enterprises, and A2P and P2P. It's not complicated structure, but it sounds little complicated, but we cracked this formula

like. So effectively like we are here to protect the bank's users, okay, right? If I go and commit to the bank saying that I'm going to protect all your so and so telco users, okay. And then I say that I'm going to cover 60% or 70% of my deals on the A2P traffic. So that's how they're going to pay us the commercials like. It all depends on the coverage.

Anil Nahata: Understood, Uday. So that's a good point, so basically you are projecting your coverage, or the A2P message and of the P2P message and doing the deal with the telco on that basis?

Uday Kumar Reddy: Yes. The coverage of users and the volume in terms of both A2P and P2P.

Anil Nahata: Understood, Uday. And Uday, one question finally, I mean, though the presentation was very nice, but this time I did not find any mention of the Truecaller messaging. I mean, I saw huge amount of volumes in the IPL season on Truecaller and my phone was virtually having business chats from Truecaller on a daily basis. So can you give some clarity on what happened on Truecaller? I mean I was routing it might have exceeded one billion messages a month or something like that.

Uday Kumar Reddy : Yeah, I think we have covered in the presentation, but probably we might not have called out Truecaller as a channel like, but I think it comes under -- Aravind, does it come under Wisely...

Aravind Viswanathan: I think OTT. So it comes under Wisely OTT. So what we've done is we've kind of consolidated across, right. So you're right. So we've called out volumes at an overall level, Anil. We've not broken down at what is the component of the individual ones, but you're right, we'll see a good uptick in Wisely OTT in Q1 vis - à-vis Q4, and that is what kind of, if you've seen our overall platform gross margin, which accelerated to 30% -plus. In the current quarter a lot of it is driven by what we've done on the Wisely OTT channels.

Anil Nahata: Okay. Thank you very much, Aravind, and Uday and Deepak, all the best to you. This is extremely good progress on last year's Q1. I hope we can accelerate this progress further. Thank you.

Uday Kumar Reddy: Thanks, Anil.

Operator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Ritu Mehta: Thank you, everyone. That was the last question for today. In case we could not take your question due to time constraints, please feel free to reach out. Good evening. Thank you.

Uday Kumar Reddy: Thanks everyone.

Operator: Thank you members of the management team. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

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This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2023

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Date: October 24, 2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call for UFR Q2 -FY2023 -24.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 , please find attached herewith the transcript of the Earnings Call on Un-Audited Financial Results of the Company for the quarter and half year ended September 30, 2023, held on Friday , October 20, 2023, at 4:30 PM IST.

The transcript is uploaded on company's website as well on below link :

https://www.tanla.com/media/announcement/ec_transcriptq2fy24.pdf

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

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Tanla Platforms Limited
Q2 FY24 Earnings Conference Call Transcript
October 20, 2023

Call Duration ■ 47 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Amit Chandra - HDFC Securities
■ Balaji Subramanian - IIFL
■ Deepak Chokhani - Reed Capital
■ Mohit Motwani - Nuvama
■ Anil Sarin - Centrum Wealth
■ Tejas Shah - Laser Securities
■ Amit Mishra - Individual Investor

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Operator: Ladies and gentlemen, good day and welcome to Q2 FY24 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms Limited. Thank you and over to you.

Ritu Mehta: Good evening and welcome to Q2 earnings call. Joining with us today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Aravind Viswanathan, CFO. Uday will share his perspectives on business imperatives and strategic progress made. After his opening remarks, we will be happy to engage with participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and the transcript will be available on the website soon.

I now hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. Thank you for joining the call. I would like to make four points before we get into Q&A. The first point is about financial overview. Q2 has been a milestone year for us with revenue crossing ■1,000 crore for the first time. We delivered 19% revenue growth and 30% PAT growth with ■131 crore of free cash flow.

The second update I would like to give you around ValueFirst. So ValueFirst delivered very strong performance in Q2 and contributed an incremental revenue of around ■100 crore at a consolidated level. So ValueFirst was operating at 7% EBITDA before our acquisition. ValueFirst operated at 20% EBITDA in the first quarter of consolidation due to improved cost of sourcing and synergy efficiencies. We expect this business to operate at around 15%.

We expect to complete the ValueFirst overseas acquisition in Q3 subject to regulatory approvals in local geographies. They would add around ■60 crores to ■70 crores on a quarterly basis to our top line. The overseas business operates at an EBITDA profitability of low single digit, and we don't have the same level of synergies in those geographies. It takes a bit of time to drive the higher profitability. We expect to see the full impact of acquisition in Q4 of this financial year.

And the third update I would like to give you on organic growth. So we delivered 7% organic growth on revenues YoY, and flat on a sequential basis. We have tailwind of price increase for two months in domestic business, which contributed around ■35 crores growth sequentially. However, the demand was elastic and we saw a drop in the volumes of around 7% in domestic business.

So let me give you an update on Wisely ATP, which I think we have a lot of inquiries about Wisely ATP ever since we announced results to market. So Wisely ATP is the biggest innovation of Tanla and Gartner has recently come out with the Magic Quadrant for the CPaaS industry. And so they have

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recognised Tanla as a visionary in the quadrant and that is a reflection on our innovation.

So when it comes to monetisation of Wisely ATP, we are in the final leg of commercial discussions, commercial closures with leading banks in India. So, if everything goes right, we should be able to go live during Q3. So, as and when we go live, d

efinitely we'd like to update all of you.

So in terms of the Q3 outlook, we expect this Q3 to be a growth quarter. We clearly see two levers. The first is the domestic price increase. Enterprises optimise their spends, particularly on the promotional campaigns, which I expect to reverse in Q3. We will also get the full quarter benefit of price increase, as that was effective only for two months in Q2. The second lever is typically Q3 is a strong quarter with a potential Phase 2 spends, which will drive our business growth. So in terms of the margins, we expect to be range bound at the current levels.

So with this, let's get up to Q&A and we will have a very detailed discussion on business and financials.

Question -and-Answer Session

Operator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on the touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, thanks for the opportunity. My first question is on the organic revenue. You mentioned that we had price increase and we have a volume drop off, around 7%. So the volume drop is a function of the price increase and the lower promotional spend or is it also a function of the consolidation that has happened in the industry where two of the larger players like Kaleyra and TeleSign has been acquired. So is that impact of that also, because those volumes have moved out?

Aravind Viswanathan : So, Amit, I don't think there is any consolidation effect because those are really not two businesses operating in India. What we think is largely, it is driven from a price elasticity point of view from a demand standpoint. Of course, there were some IPL related spends in Q1 which would not have repeated in Q2. But clearly the impact that we saw is that customers did optimise their promotional spends in light of the price increase. So I would say there was more direct correlation between the price increase and volume drop than any other factor. So Deepak you want to add anything here?

Amit Chandra: Okay. In terms of the price increases how it has been taken by the enterprises. So like is it just a temporary kind of a phase where they are just like realigning to the new pricing structure and these trends as you said will come back. So what is the confidence level in terms of saying that the promotion spend or the regular spend will come back in terms of volumes. And also if you can, as I said that the margin impact in this quarter on the organic front was offset by higher margins on the ValueFirst. So like on the organic front, despite price hike, are we seeing margin compression in the organic side of the business?

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Aravind Viswanathan : So, two questions, Amit. So, Deepak will address the first question which is largely in terms of the how the customers are reacted to price increase and how sustainable we believe it is. So, Deepak, maybe you can start off and I will take the second question.

Deepak Goyal: In terms of promotional spend, Amit, see whenever there is a price increase, obviously it has not been taken very nicely, right? So the customer takes some time to digest that, and then there are some budgetary approvals also what they

need. So that takes time, so it happens every time, I mean there is nothing new in that. And what we feel is that promotional spend will be back with a bang in Q3. Now the festive season has started and it will be back. It has already started to coming back as I would say. So yeah, this is what it is.

Aravind Viswanathan : So, Amit, on your second qu

estion, the price increase is not margin dilutive from a percentage standpoint. So there are multiple levers on profitability that keep moving up and down, but price increase if anything would be accretive on a steady state to margin percentage. So that's really not how it has played out this time.

Amit Chandra: Okay. And the impact that we will have, so you mentioned about the loss of contract, the VIL, the contract loss that we have. So that impact will mostly come in quarter three and quarter four. So, will it because it is impacting the higher margin kind of a business. So can we see at the consolidated level, the margins are sustainable at 18%, 19% or we can see some margin pressure in the coming quarters. And also if you can comment on the ATP, they mentioned that it's like going on and the POCs are still going on, but any status of tie-ups with other telcos because we have Wisely ATP tie-up with one telco. So are we targeting other telcos also in terms of tie-up?

Uday Kumar Reddy: So, Amit, Uday here. In terms of your question on the VIL deal. I think we may not see any impact in Q3. That's what my belief. That's number one. Number two is, meanwhile, we are concentrating on other businesses where it is expected to compensate the loss of opportunity with VIL. So net-net, we don't see any margin pressure going forward. That's the number one.

Number two, in terms of Wisely ATP, not that POC has been ever ending. We have completed the POC for three months for the four large banks in India. The platform has demonstrated a phenomenal result. It is almost brought down the complaints by 90%, including with HDFC and other banks. So, but as I mentioned earlier, this product needs bit of approvals from the various regulators. That's where it's going very, very slow. Now we have clarified lot of points with the various regulators, mainly with the RBI and the TRAI and DOT. And our business teams are engaged fully with the banks to close the commercials. If I'm allowed to say, we kind of closed the commercials with one of the largest banks in India, but we just about to close an agreement. So, as and when we close one agreement, that agreement, we should be able to go live, and then it becomes easier for us to close with other enterprise.

Amit Chandra: Okay, Uday. And thank you and all the best.

Uday Kumar Reddy: Thank you. Thanks, Amit.

Deepak Goyal: Thanks, Amit.

Operator: Thank you. We have our next question from the line of Balaji from IIFL. Please go ahead.

Balaji Subramanian: Good afternoon. Congrats on a strong quarter. So, I have two questions. So, first is, what is the status of the deal that you signed with the largest e-commerce

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player, which you announced during last quarter's result? Number two would be, can you just remind me on how the NLD, SMS pricing stacks up with respect to other channels, especially after this price increase? Thank you.

Aravind Viswanathan : Deepak, you want to take both the questions, please?

Deepak Goyal: Yeah. Sure. So Balaji, the international customer which we mentioned last quarter, the onboarding is complete and we already started seeing some revenues and some traffics flowing into our platforms. But it is not completely fully ramped up as of now as it takes time. But we feel that in Q3, the ramp-up would be completed and we'll have the full capacity coming onto us by the time we exit Q3. So it has already started. The customer is onboarded and the

business has already started in Q3. So that is one. And what was another question?

Balaji Subramanian: The other one was on the, after these NLD price hikes, how does the NLD price stack up with respect to other channels like, say a WhatsApp, or an RCS, or even an email for that matter?

Deepak Goyal: See, the NLD price is still cheaper than other channels like RCS and WhatsApp even after the price increase. But yeah, RC

S and WhatsApp have their own features, their own advantages. So it all depends. Now, it is more like providing a complete mix of the channels to the customer and the customer would decide which one to pick up, because WhatsApp, and RCS, and even Truecaller, they provide rich media, they provide conversational facilities and long messages. So, their customer has a choice to move to those channels as well.

Balaji Subramanian: Okay. And just a quick clarification follow-up on the first question, on the largest e-commerce player. When you said that the ramp-up would be completed during 3Q. In the last quarter you had said that your endeavour is to handle about two-thirds of their traffic on your network. So, by the end of 3Q, will we be somewhere close to that?

Deepak Goyal: Yes, absolutely. This is what we are striving for. Yeah.

Balaji Subramanian: Okay, thanks. Great. And all the best.

Deepak Goyal: Thank you.

Operator: Thank you. We have our next question from the line of Deepak Chokhani from Reed Capital. Please go ahead.

Deepak Chokhani: Thank you for this opportunity. I just have one question. The others have been answered. How many new platforms are we currently working on? And will there be any platform which will be commercialised apart from ATP in this fiscal year?

Uday Kumar Reddy: So, Deepak, it's a good question, but it's too early to comment. As you know, in fact, you did visit our Innovation Experience Centre in Hyderabad. That centre is basically established to come out with a lot of new platforms. But definitely, we'll inform the market as and when we're ready with a new platform.

Deepak Chokhani: Okay. Thank you.

Operator: Thank you. We have our next question from the line of Amit Agarwal from Leeway Investments. Please go ahead.

Amit Agarwal : Hello?

Operator: Yes, sir, you are audible. Please go ahead.

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Amit Agarwal : My question is regarding WhatsApp segment. We have 15% market share in WhatsApp segment. Any reason that we have such a low market share in that particular segment? Plus, WhatsApp itself is coming out with a lot of business solutions, so do you take it as our competitor or our enabler?

Deepak Goyal: Should I answer this?

Amit Agarwal : Hello?

Uday Kumar Reddy: Yes, Deepak.

Deepak Goyal: Okay. So, just to -- I mean, I don't know if you have missed that. Karix Mobile has been awarded as the Growth Partner of the Year in this year by Meta. In the recently held event, there was a very huge Meta event that happened in Bombay, and we've been awarded as Growth Partner of the Year. And that is one.

Number two, with ValueFirst coming in our market share, combined market share is much higher now.

Number three, we have been growing very, very fast. The reason why our market share is lesser is, the reason is that, there are historical reasons to that. And wherein, there is another competitor of ours who had got a couple of years of head start against us, who are the only exclusive partner for Meta for a couple of years. So, obviously, we started late, but we are catching up. So, we are doing really very well. We have been acquiring lot of customers. We have been building a lot of use cases. We are building lot of user journeys. And you would see that, and our WhatsApp business is growing very fast. And not only WhatsApp, just to tell you, it is not about WhatsApp, it is about overall OTT as a play, right.

So, WhatsApp is one of the channels in that. So, we started doing very well on RCS as well. We already have exclusive partnership with Truecaller. We are building lot of use cases there as well. And so, if you see, we have the largest OTT network today in the country to offer to our customers, and you would see that we would be winning lot of business on that.

Amit Agarwal : So, what is our expectation in next two to three years, what would be our market share

in this particular segment?

Deepak Goyal : I mean we are already starting to gain more and more market share, right. So, it's tough to comment. But we would be increasing our share very rapidly.

Amit Agarwal : And my last question is regarding about UPI transactions. So what market share you have an UPI transaction? How many UPI transaction come to us?

Deepak Goyal : See, we at present you are aware, right? We are present at lot of BFSI, I mean a lot of banks, and the BFSI segment. So from where these transactions are getting originated, we are present at about 70% to 80% of those customers. So, naturally, if the UPI transactions go up, our share also goes up and our business also goes up. So this is how it works. So, you are aware we are present at about seven to eight of the top 10 banks, let's say. So -- and all these banks are getting UPI transaction as well.

Amit Agarwal : Okay. Thank you. That's my only question.

Uday Kumar Reddy: Thank you.

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Operator: Thank you. Ladies and gentlemen, to ask a question please press star and one on your phone now. We'll take our next question from the line of Mohit Motwani from Nuvama. Please go ahead.

Mohit Motwani : Hi. Thanks for the opportunity and congratulations for a good set of numbers. My first question is with respect to the greater than ₹50 crore client bucket. Previous quarter, we had 19 clients in that bucket and there were some two clients of ValueFirst. Now, from total of 21, this has come down to 17. So, just wanted to understand, is this a major customer loss or a loss in wallet share, or is this because of lower spends by the enterprises that it has moved to other bucket?

Aravind Viswanath an: Sure. So one point there that you should look at, right, when we have given, we also have and I will kind of address the top 20 customer movement also in the same way. ValueFirst itself was a large customer of Tanla, so, in a way, when you consolidate, it becomes an intercompany customer. So, it no longer is a customer, right? So that is one of the reasons why you would see even our top 20 contribution revenues coming down drastically. So that is one.

Two is that, this is on a quarterly average basis and the one point which we should note is, they had certain amount of IPL -related seasonal spends in Q1, right. And I am confident therefore, when you again see the seasonal spends

come in Q3, you will see this number go up, right. There is no customer we have really lost, somebody moves from, ₹13 crores in a quarter to ₹12.2 crores in a quarter, which is what has happened for a couple of our customers, that is really what is causing the slip. Because if you look at from a greater than crore customer, right, you've seen a very, very significant movement. If you've seen a ₹10 crore to ₹50 crore, you've seen as significant movement.

So, maybe we can't look at only one bucket. But there is no real big loss in terms of customers, some of them have slipped down from kind of ₹13 crore run rate to ₹12 crore run rate and that's really contributing to the shift.

Mohit Motwani: Sure. And I just want a clarification, so, what was the volume degrowth for the quarter? I mean there was a ILD price increase impact which came from the last quarter. On a year-on-year basis, there would have been some benefit from ILD price increase plus the NLD price increase as well. So, what was the total volume degrowth for the quarter, if any?

Aravind Viswanathan : So, we were not really calling out volumes across the segment. It will not make sense. What we've said is on a sequential basis, our domestic business volume growth declined by 7% and that's really all we are sharing with respect to volume.

Mohit Motwani: Okay. Sure. Thank you so much for the answers.

Operator: Thank you. We have our next question from the line of Anil Sarin from Centrum Wealth. Please go ahead.

Anil Sarin: H

i, Uday, Deepak, Aravind. Thanks for the opportunity. First of all, I want to congratulate you on coming out with such a detailed presentation, and there is a press release, and then there is a letter to shareholders. So, what that has done is, it has made our job easier, so much of information. I don't think too many other companies provide this. So, that's a job well done.

My question is regarding, during the AGM, you had mentioned, Uday, that is this, you are also pursuing ATP opportunity in Saudi Arabia. So, if you could provide some update on that. That is one. Second question is, assuming all these things go through, what is the revenue impact? And I'm not asking for a

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particular revenue, but I just want to reference the TAM which is given in one of your, I think it's there in the presentation. So, as I look at the TAM numbers, current TAM, going forward in future, et cetera, the security part is pretty slim over there. So, is it true that, the ATP would not be a substantial contributor to revenue as we go forward? So, these are the two questions I had.

Uday Kumar Reddy: Yes. So, hi. Anil, Uday here. So, when it comes to Saudi, yes, we have been consistently in touch with mobile carriers over there. In fact, I personally visited along with my business team, a couple of times to Riyadh. So, the problem with both the Saudi and mainly in India right now is, in both the countries, it is about the Data Protection Bill is approved. The same thing happened in Saudi also. Probably one month here or there, that both the countries approved the data bill at the same time. And that is really pushing and that is really slowing down our WhatsApp -- sorry, Wisely ATP deployment.

What it means to say is, so this Wisely ATP has to be integrated tightly with mobile carriers, mobile operators in the respective geographies, and then people are thinking from, people are looking from the lens of data privacy and data security issues line, okay, that is really slowing down. Otherwise, the impact that it is delivering to all the enterprise, mainly to the banks is astonishing, right. So, that's number one.

Number two, when it comes to the revenue potential of Wisely ATP, what I would like to make a couple of statements here. One is, it's a more of SaaS product, meaning to say that, once we deploy with the telcos and once we start charging to enterprises, right, so we want to charge per user and per month. So, it's more

of a SaaS product, it's more of a subscription product like, okay. So, when it comes to TAM, what we mentioned as part of the presentation, one of our presentation is, the one we're talking about is what we want to keep it with us, we don't because whenever we receive the money, we have to share with the other ecosystem players, mainly with mobile carriers and other players like WhatsApp and it could be even Google also.

So, we are still working on it, right. So, what the TAM that we mentioned is what we going to keep it, potentially keep it with us. So, we're not really capturing the total TAM of this product.

Anil Sarin: Okay. Okay, thank you.

Uday Kumar Reddy: Anil, did I answer your question?

Anil Sarin: Yes, yes, that's very useful. One follow-up question is, you mentioned that Vodafone impact about that firewall impact is going to be felt in the fourth quarter. So, meanwhile, the ATP obviously would be up and running by that time, all going well, as well as the NLD increase and the ValueFirst, all of those would be there. So, net-net, how much of a set-back would be exit of Vodafone, that firewall business, have on the fourth quarter numbers?

Uday Kumar Reddy: Anil, it's difficult to answer. But our intent is to make it nearly zero. Okay. And we have lot of levers on our side. One, as you rightly said that the price increase in India, domestic price increase in India, that's number one. Number two is, we are doing

ing a lot of stuff on as explained by Deepak, we are doing a lot of solutions on OTT players, mainly on the Truecaller, WhatsApp, and RCS. So, they are on time. And so, we are not too worried about what we lost, but we are worried about how to implement new solutions on the channels that we have. So, very pretty gung-ho about the new channels that we have.

In fact, we have, ourselves have terminated or agreed not to extend the agreement with VIL, because it needs a huge potential, a huge financial

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commitment. And so, as I explained last time, our strength lies with innovation, not to offer financial commitment to any operators in any country, including India. So, to answer your question, like, we are not too worried about it, our intent is to make it nearly zero impact.

Anil Sarin: Okay. With your permission, I just had one broader question and not to do with quarters. But can I ask them?

Uday Kumar Reddy: Yes. Please, Anil. Please go ahead.

Anil Sarin: Yes. So, Uday, if you go back in your own history, many years ago, you had operations in I don't know how many countries, at least 20 countries. So, international is nothing new for Tanla. Why is it that you are still confined to India when you have a history of operating in multiple countries in the past?

Uday Kumar Reddy: See, good question, Anil. We did operate when we are very small, when we are very young in most of the markets. Absolutely, I completely agree to agree with you. But we have slightly changed our strategy. One is, we see India is the biggest opportunity for all of us, mainly for Tanla, because we understand the local market very well. We understand the local tariff very well. And also, the way we would like to see ourselves is, wherever we operate, we would like to be the market leader. We don't want to spread into 20, 30 countries and where we would like to generate around ₹50 crores, ₹100 crores in each geography, which we are not good at, right.

So, wherever we enter, we would like to make ourselves as the market leader in that geography before we move to the other geography. So we are not in a great hurry to move to 20 countries and impress the market. No, we are not in this mood.

Anil Sarin: All right. Okay. Thank you for the clarification. Wish you all the best for the coming quarters and years.

Uday Kumar Reddy: Thanks. Thanks, Anil .

Operator: Thank you. We have our next question from the line of Tejas Shah from Laser Securities. Please go ahead.

Tejas Shah: Hi. I heard part of the why discussion, why did we lose that customer. Another thing is, we are losing -- are we losing a lot of customers to Route Mobile for any pricing pressure or any services issue?

Ritu Mehta : Can you repeat your question again? It was not clear.

Tejas Shah: I have a clarification on why Vodafone basically, why did we lose that customer and why are we losing more customer to Route Mobile? Is it only purely on the pricing power or are we losing something on the features?

Deepak Goyal: Deepak, here. Yeah, yeah, Uday, please.

Uday Kumar Reddy: No Deepak, please go ahead. Go ahead. Go ahead.

Deepak Goyal: Yeah. So, you asked kind of specific questions. So, a specific answer. No, we have not lost any customer to the said company. And as far as our technical capabilities and our features are concerned, we are far, far superior.

Tejas Shah: Okay.

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Uday Kumar Reddy: And let me also add, sorry, Tejas. Let me add one more important point here in addition to what Deepak has mentioned, right. I encourage you to read the Gartner Quadrant report, which they released a month ago. In fact, we are planning to send to all our shareholders from next Tuesday, Wednesday onwards. Look at where we are in relation to our competitors globally. Okay. We have recognised, they have recognised, Gartner has recognised Tanla as one of the most inn

ovative partners globally, right. So that speaks volumes about our innovation, that speaks volumes about our platform's capabilities, right. So, I hope I answered your question, Tejas.

Tejas Shah: Yeah. But then, how quickly we'll be able to grow our EBITDA or margins, because our products are superior, services are superior, but then are you facing any pricing pressure from anywhere?

Uday Kumar Reddy: Deepak?

Deepak Goyal: See, pricing pressures are there. Okay. And I would say, India is such a market that where customers are very, very sensitive about pricing. Okay. They want the best of the world. They want best of the solutions. At the same time, they would still look around and ask for the, who can give us the best price, right. So this is what it is. But if you really ask me, we have been innovating, not just in terms of platforms, we are innovating in terms of our solutions, we are innovating in terms of overall offerings.

So, what we are doing right now is, we are going to the customer, we are saying, hey, how we can bring your overall spend down and how we can give you better ROI, how we can give you, how we can add value to your business, provided, if today my share is 50% or maybe 45%, would you give me your 80%, 90% share if I bring your overall cost down? Right. So this is what our pitch is, and that is helping with, as I mentioned, with our overall offerings. We have our, as I said, largest OTT network today, which helps.

Now we can differentiate, let's say it's not necessary that for every transaction or for every communication, you have to send an SMS. You can send an SMS, maybe you can send a RCS or a Truecaller or WhatsApp, where you see a

better engagement, where you see better ROI. Okay. So, we can provide, we are providing that kind of platform today to our customers, and we are seeing good penetration on that and good acceptance on that. So this is how we are changing the game here.

Tejas Shah: Thanks a lot. Thanks. That's all from my side. Thank you.

Operator: Thank you. We have our next question from the line of Amit Mishra, an Individual Investor. Please go ahead.

Amit Mishra: Good afternoon, everyone. Hi, am I audible?

Operator: Yes, sir.

Uday Kumar Reddy: Yes, yes, Amit. Go ahead. Go ahead.

Amit Mishra: I have two questions. So, first one is, what's the progress on Kore.ai partnership? Did we sign up the first client? And if not, what's the timeline?

Uday Kumar Reddy: So, Amit, like, we had a partnership with Kore.ai for last one, for little more than one year. But what we realised is Kore.ai, the platform is mainly meant for large and mainly meant for European and American customers rather than Asian customers. Because the flows are different, the regulations are different, and

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compliances are different. That's what we noticed after working closely with large banks in India.

So, what we decided to do is not to work with only Kore.ai. We decided to work with even other similar platforms. So, the Board and the senior management have taken the conscious decision last month, to not necessarily to work with only Kore.ai but also to work with other similar platforms where they can help us build more business in India. So we don't really worry about the Kore.ai on that front, Amit.

Amit Mishra: So, as a follow-up. So, is it like shelved for now and you will see when the better opportunities arise like in countries like Indonesia or elsewhere?

Uday Kumar Reddy: Yes, yes. No, still, yes still, like as and when we see like synergies where we think we can take Kore.ai to the large deals, Kore.ai is open, we are open, but meanwhile we would like to work with even other similar platforms, because we don't want to lose the business.

Amit Mishra: And the second question is related to the Vodafone contract which we lost on platform business side, and I understand y

es that it was due to complete in November. They probably got a better deal elsewhere, or like cheaper price. But what are we doing to protect our platform side of business? Because Wisely being the head line product for Tanla, we should be better like in protecting our business or clients because Wisely provides XYZ.

Uday Kumar Reddy: So, Amit, yes, Amit, just now, as I mentioned earlier like, so we have decided not to extend the agreement with VIL. That's number one. Number two, what you need to understand is in fact, once you deploy the platform with any enterprise or mainly with Telcos or any other service providers, and this is the first time that we lost. I mean we kind of decided not to extend our agreement. i are reasons best known to all of us, the situation that VIL is right now is in. So we don't want to take any financial risk. That's how we have decided to not to extend with the particular Telco, right? So, we have not pulled out just because the product is not functioning, in fact product is performing so well. But they need some financial commitment, situation that they're in now, right now. But we have decided to not to get in to that relationship anymore.

Amit Mishra: So, as a follow-up, is this because Vodafone finances are not in good shape and they are probably negotiating on all of their deals, all the vendors?

Uday Kumar Reddy: Amit sorry, it is not fair on our part to comment on behalf of our partners. We have a very, very strong relationship with Vodafone, probably one and a half decade partnership. We are still the largest partner for VIL, so I don't want to really discuss certain things which I'm not authorised to discuss. So, I would like to leave it there.

Amit Mishra: Agreed. Fair enough. Just one last question if I can squeeze in, please?

Uday Kumar Reddy: Yes, please. Please, Amit.

Amit Mishra: Yes. So, we had this co-sell arrangement for Wisely with Microsoft. Is there any progress on that or are we utilising or having some traction there? That partnership seems to be, we haven't received any update.

Uday Kumar Reddy: Yes, I agree with you Amit. Like, yes, of course that's a long-term agreement with Microsoft, but the technology has moved on in the last -- at least mainly in the last one and a half year. A lot of technology changes in the cloud space, and mainly on the stack and AI and ML. So, we are closely watching this area, and mainly because of the DPDP bill was tabled and approved in the Parliament a

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couple of months ago. So, regulations have changed, the technology has moved on, the enterprises, the demand is gone to the next level. So we are closely looking at the situation like, so that's the reason where we're not able to give an update.

Amit Mishra: Fine. So, and this is all. Thank you and congrats on the good set of numbers in Q2.

Uday Kumar Reddy: Thank you.

Amit Mishra: Hopefully, we will get more growth in Q3. Thank you. Bye.

Uday Kumar Reddy: Thanks, Amit.

Operator: Thank you. We have our next question from the line of Swapnil Potdukhe from JM Financial. Please go ahead.

Swapnil Potdukhe: Hey, hi Uday. Thanks for the opportunity. So, just I wanted to check with you on the Vodafone India deal. From what I understand, the impact will be on the international traffic that we have mentioned in our press release as well. Now, could you help us understand, does that mean that any traffic, ILD traffic that flows through Vodafone, that will no longer flow through Tanla henceforth? Or is it something else? Basically, I'm just trying to understand the impact from a layman's perspective, what were we getting earlier and what we will not be getting henceforth. Thank you.

Uday Kumar Reddy: So, Swapnil, it's a good question. A is, it does not have any impact on our ILD business. Zero impact on our ILD business, right. Suppose assuming that Deepak and the

business development team is winning the international deals, and so they don't really care whether our platforms are deployed with any particular Telco or not. Okay. They continue to win the deals with the large tech giants globally and does not have any impact on what's here. That's number one, right. Number two, like, yes, that the minute we pulled out our platform, it doesn't mean, either I can submit to the new platform or I can submit the same traffic through other Telcos who will bring to the VIL through interconnects. So nobody has any control on any traffic. So, it has got a zero impact.

Swapnil Potdukhe: Okay. Got it.

Aravind Viswanathan : Swapnil, does that answer your question?

Swapnil Potdukhe: Yeah, I mean, if you could just go a little bit more simpler, because, see, the issue here is like, it obviously we don't understand the technicality so well in terms of how the deal was.

Deepak Goyal : So, Swapnil, currently we are managing their Firewall. Okay? So once our deployment is over, we will not be managing that Firewall. What does it mean is the Firewall, what Firewall does is, it detects which are the international messages and which are the domestic messages and it blocks the domestic messages and it allows only international messages to pass through, so that there are no revenue leakage for the telecom operator, right. So this is what our Firewall is doing currently and for that, we have a revenue share arrangement with the telecom operator and which we have already stated that, what would be the financial impact once the deal is over.

But as far as our ILD business is concerned, let's say ILD business here is done by Karix Mobile or now even ValueFirst. So, and similarly a lot of other companies, so we are unaffected by that, okay. So, we would still continue to

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connect with all the operators and continue to enjoy the same similar pricing. And so there would be no impact either on pricing or on our services.

Swapnil Potdukhe: Got it. Very, very clear. Thanks a lot for that explanation.

Uday Kumar Reddy: Thank you.

Operator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Ms. Ritu Mehta for closing comments. Over to you.

Ritu Mehta: Thank you for the call. That was the last question for today. In case we did not answer your questions, you could reach out to us at investorhelp@tanla.com. Thank you very much. Good evening.

Uday Kumar Reddy: Thank you.

Operator: Thank you members of Management. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2024

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Date: January 30, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra -Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call for UFR Q 3-FY2023 -24.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015 , please find attached herewith the transcript of the Earnings Call on Un-Audited Financial Results of the Company for the quarter and nine months ended December 31 , 202 3, held on Wednesday , January 24, 202 4, at 4:30 PM IST .

The transcript is uploaded on company's website as well on below link :

https://www.tanla.com/media/announcement/ec_transcriptq3fy24.pdf

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel & Company Secretary
ACS -15519

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Tanla Platforms Limited
Q3 FY24 Earnings Conference Call Transcript
January 24, 202 3

Call Duration ■ 47 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Balaji Subramanian - IIFL
■ Amit Chandra - HDFC Securities
■ Deepak Chokhani - Reed Capital
■ Anil Na hata- Individual Investor
■ Ram – Individual Investor

Operator: Ladies and gentlemen, good day, and welcome to Q3 FY24 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms Limited. Thank you and over to you.

Ritu Mehta: Good evening and welcome to Q 3 earnings call. Joining with us today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director, and Chief Business Officer; and Aravind Viswanathan, CFO. After his opening remarks, we will be happy to engage with participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and the transcript will be available on the website soon.

I now hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. Very warm welcome and thank you for joining this call. I'm sure you had a chance to go through our investor presentation and my letter to say about us, which are very detailed. Let us straight away get into Q&A. And me and the management team will be happy to get into more details in the call. Yeah, Ritu, let's open the question.

Question-and-Answer Session

Operator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on the touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets, while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Balaji Subramanian from IIFL Securities. Please go ahead.

Balaji Subramanian : Hi, thanks for taking my question. So, firstly, you have disclosed the ILD and the NLD SMS revenue contribution approximately, which is 25% and 50%, respectively. And you have mentioned that ILD has been facing softness. So just wanted to understand on an organic basis, what would be the NLD business be growing at? Would it be growing in double-digits, high-single digits, mid-teens? What is the approximate number, which the NLD business is growing at. That is number one and the related question is on the ILD front. You have mentioned that, I know, the worst is behind, and it should no longer decline, even though the growth may be a little sluggish going forward. So, what gives you the confidence that we have seen the bottom of the ILD revenues? So that would be my two questions.

Aravind Viswanathan : So, we've been talking about a fact that we saw some amount of momentum that we expected in Q3 on the domestic business. I would say, in fact, we have covered it as part of our call also last time. I would say that we kind of showed a growth in the mid-single digits on a sequential basis in Q3 vis-à-vis Q2. So, there was good growth as far as the domestic is concerned. On ILD, I'll ask Deepak to chime in more from a perspective of the market environment, both in ILD and

domestic, but like Uday had written in his letter also, right, there was a shift in certain use cases for some tech measures on to OTT channels,

which caused

a big impact from October. Now we've kind of don't see further shifts at this stage, which is why we are pretty confident that it has kind of comedown. But we do see the growth in this space to be a little sluggish. Deepak, can you chip in?

Deepak Goyal : Yeah, sure. Hi, Balaji, Deepak here. So as Aravind mentioned, see first of all, as far as ILD business is concerned and ILD pricing is concerned, we all know that the price for ILD is almost 40x, 50x as compared to domestic price. I mean, it's around ₹4 to ₹5 compared to ₹10 paisa or ₹12 paisa as domestic message. So, it is always there's a pressure from the customers, and they don't want to pay that kind of money, and they keep looking for alternate channels and alternate mechanisms to see how they can save their costs or, how they can optimise their volumes, okay by not sending so many messages, just to save the cost. So, this is a continuous exercise from the customer side. And last quarter, we saw that, even some of these volumes move to WhatsApp. I don't know how many of you use Microsoft, but if you see Microsoft messages are coming from WhatsApp rather than coming from ILD routes. So, that has actually dented the overall business to a certain extent. But as Aravind said that is the bottom. We already touched the bottom. Now going forward basis, why we don't see that will not go further down is one of the reasons is that even WhatsApp is it's kind of, but they are going to from March onwards or maybe April onwards, they are going to increase the prices, or they are going to completely stop supporting ILD messages on WhatsApp. So that could be one driver where we would see that the volumes can come back. But overall, I mean, the major customers are, I hope we all know, there is Amazon, there is Snapchat, there is Microsoft, and few others, which are the -- these are large ones. And these are the guys who always they are sending message only when it's absolutely necessary. And that's why Aravind said that the growth is going to be a bit sluggish as far as volumes are concerned.

Balaji Subramanian : Okay. Thanks for the elaborate answer. I just had a couple of quick follow-ups. So, I know a couple of years back, the narrative used to be that A to B messages are likely to grow in mid-teens, not just in terms of volume, but also in terms of numbers. With all these developments, what do you think is closer to the steady state growth for your enterprise business? Again, platform is a completely different cup of tea, and their growth is fairly robust. So that would be the first follow-up. And the second follow-up is with the ILD contribution coming off, what will be the typical gross margin impact? Will it be significantly diluted considering that you did see pretty healthy realisations there?

Deepak Goyal: Okay. So, first of all, about the industry growth and about the volumes growth, okay. So, what I spoke about was specifically to ILD volume. And if you see though ILD, it is about 25% of our overall revenues, but in terms of volumes, the volumes are very, very small compared to our overall volumes, right, because ILD revenues are high because the price points are very, very high. So, if you look at our domestic market, it is growing very well, All right. I mean, there is lot of new use cases are coming up, market is growing, it's in double-digit for sure. And the good part is that now, customers are adopting alternate channels. So, the dependency is not just on SMS now. So now, OTT is the play where we are seeing lot of traction on WhatsApp, we are seeing lot of traction on RCS, which is Google's own ed channel. We are seeing traction on Truecaller. So these

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channels, what is they are growing very well. And with that, the number of use cases are growing and overall number of messages are growing. So overall growth in India is pretty good.

Balaji Subramanian :

And final question on gross margin impact?

Aravind Viswanathan : So, I will take that Deepak. So, Balaji, while the realisations are higher, the cost is also higher. So, it's not that the margin profile of ILD is significantly better. In

fact, I would say it's probably lower. Absolute terms per message you make more money, but as a percentage it is lower than what you make in domestic, is a classic onset offshore kind of construct. So higher realisation, but higher costs. So, percentages are actually not high. So, you will not see a percentage dilution because of the softness in ILD.

Balaji Subramanian : Okay. Thank you. That is super clear and all the best.

Operator: Thank you. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra : Yeah, thanks for the opportunity. My question is, firstly, on the ILD part of the revenue. So, you mentioned that the worst is behind for ILD, but seeing the kind of cost cutting initiatives these larger measures are taking in terms of finding alternatives. Do you see the shift to other channels to continue in ILD? And also, in terms of the volume break up, so the transactional messages, which are the compliance link, so that can remain on the normal channel, but the promotional part of the ILD messages can actually move to RCS, WhatsApp. So how do you see that evolving? And also, from the NLD aspect, do you think that with the rising popularity of RCS, you think the promotional messages of NLD can actually shift to RCS, which is much effective mode of communication. And although the regulations are higher, but the impact is also higher in terms of the promotional messages in NLD.

Deepak Goyal: Hi, Amit. So, first of all, you asked about promotional messages on ILD going away. So just to tell you that, nobody does any promotions on ILD for past till many quarters now. I think it used to happen about four or five years back. But when the prices have gone up, no customer sends any promotional messages on ILD. I mean, barring could be very negligible, I would say or maybe nothing, right? So, it is mostly OTPs you would see, or you would see like, I mean, if you buy things from Amazon, you would see messages coming in like, hey, your parcel is out for delivery, is your PIN, right? So, you get such kind of messages, these are more informative in nature or transactional in nature. So, this is what they've been sending. And then moving to other channels, which I've already answered. Yes, some part of these messages did move to, let's say, WhatsApp and last quarter. But going forward basis, as because we keep talking to Meta and everybody, even Meta is planning to increase the prices and we do not see that continue for a longer time. So, this is an update on ILD, but we will let you know as and when it happens.

Now, coming to on the domestic side and the promo on RCS, yes, you are absolutely right. RCS is our great channel, because it supports rich media compared to SMS, where you can send only a plain text message. So, when a promo message is being sent, obviously, when you're sending an RCS message, you can display your brand very well, you can send a rich media message, you can have a banner, you can have multiple banners in fact and all of that. So, the ROI is far, far better as compared to SMS. And as I mentioned earlier, Karix and ValueFirst combined today, we are having the largest share in the RCS market in India today that is upwards of 40%. And we are onboarding lot of customers. We are doing really very well in RCS. We are seeing great success on RCS.

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Amit Chandra : Okay. And like moving on to the platform side of the business, so there also we have seen some softness. So there the softness is largely linked to the Vi deal going away or is there any some other reason in the platform side of the business?

And also, we mentioned that we have closed some deals on the ATP side. So how do we see that, how the commercials are looking there? And is it going to come in like from the next quarter onwards?

Aravind Viswanathan : So, if you look at it, Amit, from a platform business perspective. We've grown 22% YoY and 24% YoY on GM, right. So if you look at that trend, that has largely remained in line with our growth rate. We've seen some impact in Q3 on the Vi, more driven by the reduction in international messaging market that we talked

about, right. And we expect to see the further impact in Q4 on the Vi contract exit. But we've also kind of been growing in other platforms quite a bit, right. So that's why you've seen us maintain this 20% growth trajectory for more than 14 quarters now in a row, right. Wisely ATP, we announced that on 10th of Jan in terms of the first customer that we have signed a commercial contract with. We expect that to go live in the current quarter, we'll start seeing revenues. And obviously, there is a pipeline that we are aggressively pursuing in terms of. We labelled a full impact of all of the customers that we're looking at onboarding may happen in Q1, but you will see some impact in Q4 also.

Uday Kumar Reddy : Yes. To add to that, Amit, Uday here. Just to add to that side, the beauty of this ATP is like, it is more offered on a subscription model, meaning we say that the customers are paying per user per month, okay. So, they have to buy the subscription for the ir users, and they have to pay every month. So, the contract that we've signed, they bought one -year subscription. So that's the beauty of this. This is a typical SaaS platform.

Amit Chandra : Okay. So is it fair to assume so that the new deal on the ATP side can totally offset the Vi impact or is it in terms of size going to replace, I mean what we have lost on the Vi side?

Uday Kumar Reddy : No, we're not trying to compare this to in a sense like whatever we lost, we lost it for good. That's what I strongly believe it. But I'm not too worried about the Vi going out. In fact, we lost at least 30%, 40% of the traffic on the Vi hub for the last 2 months in Q3. And so, and it will continue for the next couple of more months. I mean, it will continue up to end of March. So, we don't see any effect of the Vi on platform business coming quarter. By the time, we should be able to close other platforms mainly on ATP, should go live with even other customers. So, I'm not too worried about Vi going out in terms of that, it will not have any effect on our platforms.

Amit Chandra : Okay. And last question on the like WhatsApp revenue like target that you have mentioned about around ■100 crores per quarter, so what is the run rate as of now and by when we expect this to reach ■200 crores?

Aravind Viswanathan : So, Amit, we have already reached ■100 crores, that's the message, right. So we've gone exponentially on OTT, it's been a big area of focus, right. So we've crossed the ■100 crores quarterly run rate mark in Q3.

Amit Chandra : So, Amit, we have already reached ■100 crores, that's the message, right. So we've gone exponentially on OTT, it's been a big area of focus, right. So we've crossed the ■100 crores quarterly run rate mark in Q3 .

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Amit Chandra : Okay. Great. Thank you. And all the best.

Operator: Thank you. Next question is from the line of Deepak from Reed Capital. Please go ahead.

Deepak Chokhani: Thank you. Good afternoon. I have three, four questions, so if you can kindly allow me, I'll be quick. First is on Slide 36, where we are talking of Era 3 in Tanla's journey. Could you spend a minute or so and just explain us what are we trying to say here? Will it be largely driven by platforms .

Aravind Viswanathan : So, it's an interesting question. So, if you look at it, we've kind of captured our history in many ways. And we've

e talked about how we have built the platform business from scratch and how we've scaled our enterprise business. I think when it comes to Era 3, definitely the big trust is on pl atforms across the dimensions that we have talked about, while also scaling the enterprise business. We're not looking at either or, but there is a lot of innovation that we

are doing that will come through from a platform side .

OTT is another big area of discussion point that we will see come. We will come into our own in that aspect also. So, there is a little bit of structural investment that we have made, and I think that will come out in terms of Era 3. You will get more details of it over the course of this quarter as we make announcements. So, you've seen it in Uday's letter on our plan, so that is the direction you will see.

Deepak Chokhani: Okay. So, I just want to expand a bit, Aravind. I believe it will be largely driven by the Platform business and given the current state of Platform business, it's a run rate of ₹400 crores, ₹500 crores per annum with a huge potential going ahead. You guys are investing a lot of Capex, lot of platforms are in the pipeline and flat margins are around 50%, 60%, which is pretty chunky. With my past experience as a banker, I think maybe the management should think of how to unlock this Platform business and create value .

What I'm trying to say is that, why not think in the direction of de -merging the platform business and listing it separately? Because the way I think is the Enterprise business will continue to grow, but the growth in Platform business and the kind of multiples we can get in the Platform business will be far superior versus Enterprise business. And if I as an investor want to invest in Platform business, just that Platform business, unfortunately, I don't have that option. And I again believe given the numbers of Platform business, the kind of valuation which Tanla as a whole is getting, just the Platform business can potentially achieve that.

Uday Kumar Reddy : Deepak, Uday here. First let us build the business, then we think about the valuations, right?

Deepak Chokhani: Okay. Just a point for the management to consider going forward.

Uday Kumar Reddy : Yeah, first, we are putting all our energies to build the platform business. There is no doubt about that. We are investing, as you rightly said, you will see a lot of upside in the platform business going forward. So we have all the energies, I mean they investing behind building the business.

Deepak Chokhani: Okay, fair enough. My second question is on the TAM slide, which is Slide number 34. As I can see that presently the TAM is around \$2 billion to \$3 billion, which can more than double to \$5 billion to \$6 billion by '27. So my question is, is this largely back ended or will it be spread equally for the next three, four years? And can then one imply that Tanla will also grow in a similar kind of fashion?

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Aravind Viswanathan : So, it's not back ended, but obviously there are new dimensions where the growth rates are going to be larger. So, if you look at it from a communicate standpoint, it will be much more even, but maybe from an experience point it's a little more exponential. So, the different categories actually will grow differently within the bucket. So, I think there are certain portions of the TAM, which is more steady state Deepak, and you will see us and grow in that manner. But there are big bets that we are taking, and you will hear more about it as we detail it in nowadays, where the opportunity becomes larger, right.

So that's how one should read this. So, the opportunity, at least when we look at it in our innovation hub, this is where we say we want to play. That's very clear. And

we are also seeing how you want to innovate to capture this TAM. So that's how we are looking at it. This is the opportunity that is in front of us.

Deepak Chokhani : So, is it fair to say that we are becoming, and the focus is more on the tech side going forward? Is that fair to say more innovation, more tech?

Aravind Viswanathan : Absolutely. I think deep tech has always been something, which is very core to us, as is innovation. So clearly the future will be a congruence of both of these coming together.

Deepak Chokhani : Okay. On ATP, I mean I know you can't share the numbers, but just to understand I mean a big size bank, how many users can actually use the product and within the organisation, is it scalable? So, let's say you start with 10 users a month. Is it scalable within the same firm and just abroad, how many users in a big bank can use it per month basis?

Uday Kumar Reddy : Unfortunately, we cannot really diverse this name, Deepak, but all I can see is one of the largest private banks in India. We're not allowed to mention that. But definitely they have very, very massive user base. So, it's not a small bank, okay. So, we have done the PoC, which we have announced as part of our updates to exchanges earlier. So, this is one of the banks. So, we have done the PoC's, they have seen the results, we went back and forth in terms of regulation side. So, they finally said, okay, we'll be kind of convinced about the impact. So, that's how they closed the commercials. But as I told you, it is purely on subscription basis wherein they have to pay us on monthly basis per user, per month. That's what the deal is.

Deepak Chokhani : Yeah, I understand that. What I'm trying to understand is, within the bank, is it scalable? So, let's say you start with 10 people using on a subscription basis within the bank.

Uday Kumar Reddy : No, it all depends, Deepak. For example, if the bank has got just the sake of our illustration, they have 1 million users, okay. They may take to a 100% of 1 million users. They may start with 50% of the 1 million users, right. But for this bank, they have taken 100% of users, okay. So, they have gone -- they want to ring fence their entire user base so because they have seen the PoC results. So, they have decided to ring fence their entire user base.

Deepak Chokhani : Okay, so just on that. Sorry, I'm extending it a bit. Why aren't organisations willingly coming forward to adopt this? I mean you did mention or share your frustration about the lack of urgency from regulators. What's stopping the organisations or the regulators to push this?

Uday Kumar Reddy : That's what we are also struggling to understand, Deepak. We have been working with various regulators including RBI, IRDAI, SEBI and various regulators. So, we are trying to understand their regulations. We are also trying to navigate the discussion. That's how we could be able to close with many very large bank where RBI is governing them. So, they have their own understanding.

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They have to go to their regulators to get their approval before they go live with these kind of products, right? So, I cannot really discuss in detail, why the regulators are going slow, but we are pretty frustrated. But that's the beauty of the platform, first couple of one or two deployment, it takes bit of time. Somebody has to take the decision. Once you take the decision, RBI and other banks and other entities are going to follow it.

Deepak Chokhani : Sure. All the best on that. My last question, Aravind, and maybe you can answer this by when is the VF Middle East Indonesia merger expected?

Aravind Viswanathan : So, we've been kind of getting delayed on it because the regulatory approvals are taking longer, Deepak, but we are confident to close it in this quarter.

Deepak Chokhani: Okay, that's it for me. Thank you so much.

Aravind Viswanathan: Thanks, Deepak.

Operator: Thank you. Participants, you may press star and one to ask a question. Next question is from the line of Anil Nahata. Please go ahead.

Anil Nahata: Uday, Deepak, Aravind, good evening. Congratulations on a good result, which has been in a very adverse environment. You've been able to maintain margins and you've been able to most importantly, as far as I am concerned on the 10th of January, the news that you announced was really very encouraging, which

was the first sale of Wisely ATP to one of those three top banks. So, I have basically three questions. One question is more of a broader question that for the last multiple quarters the volume growth of messaging has been soft. So, when do you see, I mean what are the key reasons behind that? Is it the price hike, is it the technology change, et cetera? And how confident are we -- that we should be able to deliver double-digit volume growth from the coming year onward? That was my first question.

Uday Kumar Reddy: Deepak, you want to give a view on how the market is playing out from the messaging perspective?

Deepak Goyal: Yeah, sure, Anil. So, as you know, our majority of our customers and our volumes come from the BFSI sector and also the banking and finance sector. And initially we saw a huge growth in volumes because of UPI transactions and a lot of other volumes were there. But then for last few months we saw because the bills were going through the roof and banks have started looking at the volumes, how they can optimise it.

Let's say for example, they looked at, I'm just giving you a few examples just for you to understand that, hey, there are certain messages which are more than 160 characters. So how they can and if it is more than 160 characters, then you would charge for two messages. So, they just wanted to bring it down. So, they're doing their own stuff. They decided, banks have decided to not to send messages for less than ₹100 UPI transactions, though RBI very clearly mandates that you are supposed to send message on every transaction. But we saw that some banks have cut down on those. Some customers have cut down on the promotional spend for last six or eight months, which is not just for BFSI, this is almost for everyone.

We also saw gaming company; I mean gaming was another sector which was very big for us. And we saw the gaming companies cutting down on the budgets in a big way, primarily because of all those, the tax issues they are facing with and GST issues and blah, blah, blah. So because of that, we saw some volumes coming down. But overall, if you see number of transactions are going up, okay. All our customers are growing. So, I would look at it as, it's like a temporary

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thing. It is behind us and going forward, we are seeing growth. In fact, even the gaming companies are coming back. Things are getting settled now. Even our promotional volumes are coming back. We also seeing, as I mentioned earlier, customers were looking for a better ROI and we are providing options via WhatsApp and RCS. And we have onboarded some very large customers on WhatsApp. We have onboarded some very large customers on RCS as well. And our customers are seeing a great ROI through these channels for promotions. So overall, I would say that things are getting better going forward basis.

Anil Nahata: Okay. Thank you, Deepak. So, we are confident of double-digit volume growth in the coming financial year fiscal '25?

Deepak Goyal: Absolutely.

Anil Nahata: Okay, fantastic. My second question is more of data oriented. Like we have been spending quite a bit on different, different products. So, what has been the R&D spend in the third quarter? And what has been the nine-month R&D spend?

Aravind Viswana

than: So, the total R&D spend I would say would be about, and I'm talking purely with respect to the platform side would be about ₹40 crores over nine-month period.

Anil Nahata: Okay.

Aravind Viswanathan: And we spend on an average about ₹12 crores to ₹14 crores a quarter on R&D.

Anil Nahata : Okay. My last question is for Uday. Once again, Uday, congratulations on this much awaited sale to one of the three top banks. I'm sure that other banks in

the same grouping and even outside the grouping would now feel more confident about stepping up and all. And also, in particular, you were insisting on subscription-based and you have got the subscription base. So, congratulations once again, because the quality of revenue is much higher because bank accounts don't get closed, like they are always on. And as long as your technology is doing the job, the bank should have no reason to discontinue your services. In that way, it becomes an annuity income stream, so which strengthens our company quite well.

My question was within a ballpark, what is the revenue implication of one of these banks, like the one that has already happened and maybe a few others will happen. Per bank, how much of ballpark revenue can be achieved? Because we know the number of customer, the account holders and it is per month, and so there are 12 months. So roughly what quantum of revenue is possible from a single, or let's say from this category of Wisely ATP that you have recently had success with?

Uday Kumar Reddy: Yeah, a little tricky question, right? A couple of things, all I can say at this point of time is we have done the PoC with up to three top banks and one bank went ahead and closed the commercials and another bank, what they did was they asked us to do one more PoC, which we started probably 15 days ago. And this two PoC is likely to end around 15th or 20th of February. Post that, they should be able to touch the call and let's hope for best. That's the first point. The second point is I cannot really talk about the revenues per bank. All I can say is it will definitely add a meaningful impact to our pack. Probably if I have to generalise, each bank should be able to contribute around ₹10 crores net profit per annum in terms of pack.

Anil Nahata: That is fantastic. And just one follow-on, Uday. This is just a starting banks and I hope, and I'm confident that other banks will also step forward, because these three banks are the opinion leaders, they are the biggest brands that we have.

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Other banks will also then feel encouraged to come. So that's a very happy outcome, which whenever it happens it will be great. But an even bigger opportunity lies overseas where you can tie up with the telecom companies and we all know that telecom revenue, telecom charges are much higher in other parts of the world compared to what they are in India. So, if you can convince the telecom companies outside of India, the revenue per subscriber can be much higher over there, even though the number of subscribers given the small populations in other parts of the world. But net-net, it will still be meaningful. It would be great if you can throw some light on that opportunity and any initiatives you are taking towards that opportunity?

Uday Kumar Reddy: Yeah, good question, Anil. As I mentioned in my letter, okay, right, so most of the neighbouring countries, mainly Saudi, Singapore, and Australia, the local regulators, whether it is banking regulator or a telecom regulator, they came out with what they call for the paper?

Anil Nahata: Regulatory framework.

Uday Kumar Reddy: Yes. So, they came out with the paper where we are, in fact, we have given feedback which I mentioned as part of my letter, okay? So, we are closely monitoring different countries, okay. So once the regulation is in place, okay, when

her it's telcos or the banks or any enterprise, they have to adopt such products. So, we're closely monitoring the regulations around different countries and we're also helping them to shape up the regulations. That's what I have written. In fact, I have left even the links also where we have contributed. It took a lot of time for us to put a lot of efforts and updated those papers. So, let's hope for best. Our intent is to go outside India and deploy this platform. But this platform is mainly driven by the regulators, okay? Once the regulators sign off the regulations and it will be easier for any bank or the telcos to adopt this platform. So, we need to go step by step.

Anil Nahata: Okay, great. Absolutely. The last question, you have been mentioning on Twitter

as well as in other public forums that you've been accumulating, you have been adding a lot of top tier talent. So , if you could, for everybody's benefit, talk about any new products that are in the pipeline, that would be helpful.

Uday Kumar Reddy: As you mentioned, we have as Aravind mentioned, we spent already ■40 crores, ■45 crores towards Cap ex. That all went towards R&D. I'm not sure whether you have visited our R&D centre. That's where we are trying to work on the platforms, products, and solutions like. Yes, definitely we will let the market know once we release these products.

Anil Nahata: Okay, great. Thank you and wish you all the best.

Aravind Viswanathan: Thank you.

Uday Kumar Reddy: Thanks.

Operator: Next question is from the line of Ram .Please go ahead.

Ram: I just want to understand, for the digital platform, what kind of growth are we expecting for the next three to four years. Now I see we are picking around 20 plus in terms of gadget when it comes to digital platform. So can we sustain the same numbers, o r we can have better numbers because we have Wisely ATP and more platforms that are coming in, and also, we are focusing more on the digital platform. What kind of growth numbers can we expect in the next three to four years as for the total addressabl e market, the market potential for this digital platform?

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Uday Kumar Reddy: So, Ram, as we covered in earlier discussion, we are investing in the platforms. We see huge opportunity. We are always up to the greenfield opportunity. We are not here to copy someone. We are not here to refund and replace any other platforms. We always loo k for greenfield opportunities. So , we have been building that the platforms for quite some time. We see a lot of opportunity here. So, to answer your question, of course, unless and you go 20%, there is no reason for us to put in so m uch of effort in terms of the energies as well as the money. So , we should be able to grow a minimum 20%. There's no doubt about that.

Ram: That's all from my side. Other questions I got answered from the questions of others. Thank you.

Operator: Thank you very much. I will now hand the conference over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you, everyone. That was the last question for the day. In case we could not take your questions due to time constraint, please reach out to Investor Relations team. Good evening.

Operator: Thank you very much. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Apr 2024

Date: April 30, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Audited Financial Results of the Company for the quarter and year ended March 31, 2024, held on Friday, April 26, 2024, at 4:30 PM IST.

The transcript is uploaded on company's website as well on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519 SESHANURA
DHA CHAVADigitally signed by
SESHANURADHA
CHAVA
Date: 2024.04.30
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Tanla Platforms Limited
Q4 FY24 Earnings Conference Call Transcript
April 26, 2024

Call Duration ■ 56 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked the
questions ■ Amit Agrawal – Individual Investor
■ Anil Sarin – Individual Investor
■ Amit Chandra -HDFC Securities
■ Anil Nahata- Individual Investor
■ Brahmanand Reddy – Individual Investor
■ Anil Sarin – Individual Investor
■ Sharad Kohli- Individual Investor

Operator: Ladies and gentlemen, good day, and welcome to Q4 FY24 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta, Investor Relations. Thank you and over to you.

Ritu Mehta: Good evening and welcome to Q4 earnings call. Joining with us today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director, and Chief Business Officer; and Aravind Viswanathan, CFO. After his opening remarks, we will be happy to engage with participants and address their questions.

Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and the transcript will be available on the website soon.

Hope everybody got a chance to go through our investor presentation and shareholder letter. The management team will be happy to answer any questions.

We now request the operator to open the floor for Q&A

Question-and-Answer Session

Operator: Thank you very much. We'll now begin the question-and-answer session. Any one who wishes to ask a question may press * and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking your question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles. Participants you may press * and 1 to ask a question.

The first question is from the line of Amit Agrawal individual investor. Please go ahead.

Amit Agrawal: Good afternoon. My question is regarding the presentation is showing that in the quarter four, we have Platform business is going at the rate of 10%. Previously, it was going at a higher rate. So, is this the new normal and any particular reason that it has slowed down in the fourth quarter?

Aravind Viswanathan: Yeah. Thanks, Amit. So, Amit, if you remember, we had talked about, exiting one of the firewall deals with Vodafone sometime back. And this quarter showed a portion of that impact. If you normalise for it, the gross margin of the Platform business grew by 35%. So, in many ways, we've been having that impact and we overcome it. So, I would say the momentum of the business is very much intact. If anything, we are doing quite well there. We onboarded first commercial customer on ATP. We started seeing revenues flow in. So, we're quite bullish. I definitely don't see 10% as the new normal, 35%, that's the number I've already mentioned. So, we kind of seeing a very, very strong growth. And I think as the other platforms, particularly newer ones, scale up, Amit, you will see this go back to the growth rates that we've seen before.

Amit Agrawal : So, would you see the jump in the next quarter immediately or after two or three quarters?

Aravind Viswanathan: So, Amit, we don't really want to give a guidance, but let me put it this way. As we look out from the year ahead, we are quite bullish on the Platform business. So let me leave it at that.

Amit Agrawal: And the second and last question is, like, if you read the newspaper, the UPI transaction is going at the rate of 40% or 50%. But that doesn't show in our -- and we are I think that is proportionate to UPI transactions. But this is not growing at that rate. Any particular reason?

Aravind Viswanathan: Deepak, do you want to answer that?

Deepak Goyal: Yeah, is it question pertaining to the UPI transaction you're talking about?

Aravind Viswanathan: Yes. The question is UPI transaction is growing very fast and how is that reflected in our growth rate given our share? That's the question.

Deepak Goyal: Yeah, right. So, yeah, the UPI transactions are growing, but what has happened is that banks are not sending notifications or messages on each and every transaction, so they are curtailing that, though that is, and this is under discussion. So, I mean let's say some banks have not sending messages for up to 100 of transactions. So not everything is actually resulting into messaging business for us.

Amit Agrawal: So, that's a disappointment or in the future that would likely be proportionate to our growth rate?

Deepak Goyal: No. So, how we see it is that the discussions are going on even banks are talking to a regulator and all that is going on right now. And I would see that that should in the future, the transactions will start coming. I mean, notification will start going for those messages as well.

Amit Agrawal: Okay. Thank you.

Operator: Thank you. Next question is from the line of Anil Sarin Please go ahead.

Anil Sarin: Good evening, management team. Congratulations on good results for the quarter. I have two questions. One is that if you could give details about OTT revenue as a percentage of total revenue in the fourth quarter and similar percentage for the fiscal '24? So that is one question. Second is that if you could throw some more light on ATP, we were expecting more licensing deals to happen this quarter. So, if you could give an update regarding where ATP is based on expectations, what has been the performance? Thank you.

Aravind Viswanathan: So, let me give a view on the first question that you asked, Anil. For the quarter, the OTT contribution was around 18% of our total consolidated revenues. For the full year, it was about 12.5% and for FY '23, that

number was about 4%. So, it kind of indicates to you the kind of shift that we have done and the kind of pivot that we have done to scale our business from an OTT standpoint. So, on ATP, I think see anytime you are launching a platform, which is greenfield without competition in the market. The process of price discovery, process of sales is always trickier and longer. The sales cycles are longer. Now we've got our first kind of, signed client in January, when we disclosed to the market. So, we are having multiple talks. And definitely, there is a lot more definitive traction because there is one proof of the pudding is there in terms of one deal. So that is happening. And I think Uday mentioned it last quarter. I mentioned it this quarter. Obviously, the pace is a little slower than what we would like, because the problem is real. The solution addresses this problem. But I still see a good amount of funnelling and interesting fraction as far as this concern.

Anil Sarin: Okay. I had a couple follow-on questions. One was regarding ATP itself. In this, I mean earlier on, we have articulated a vision of achieving 100 crores gross profit in each of the segments of Wisely. So, would we be able to achieve this 100 crore gross profit in the case of ATP Wisely in the coming year? That was one follow-on question.

The second follow-on question is, if you could also break out what was the SMS revenue last year full-year, this year full-year, last year fourth quarter and this year fourth quarter?

Aravind Viswanathan: So, Anil, your first question on ATP. That is obviously, if you look at the problem that we are trying to address, definitely, there is a market which is probably much higher than the number that you mentioned. So obviously from a perspective of the opportunity ahead of us and these are global opportunities. They're not just limited to India. Definitely, we see that potential. Now the timing of how quickly we will realise it, whether we will realise it in here, whether we will realise that's very difficult to kind of predict. But all I can tell you is a from opportunity size for this area and this platform, it's quite high. But I can't give you a timeline on by when we can reach it. So, I've given the numbers for on OTT. Everything other than OTT effectively is SMS. So, if we have like 18% of our revenues to be OTT in Q4, I mean there's a very small component of email and voice, but everything else largely is SMS.

Anil Sarin: Okay. I was more interested in knowing whether the international SMS headwinds that you have been facing, have we sort of -- has that process bottomed out? Has it got completed? Or is it like in the third quarter, there was a volume decline in international or ILD SMS. What was the experience? Was it still declining in the fourth quarter, and can you say that that process is now over or a few more quarters are more left for that, for international SMS's to find their bottom and then start growing from there again?

Aravind Viswanathan: So maybe I will give an answer, and then I will request Deepak to supplement this, Anil. So we talked about this entire shift to OTT and having that as an impact on the International Messaging business. I think we had some residual impact of whatever decrease in volumes happened in Q3 and Q4. But I would say that there was not necessarily incremental impact beyond the residual impact or carry forward impact of Q3. So, I would think it has bottomed out in that sense from an opportunity. So today, the international messaging business contribution for us is around 25%, and not all of it is subject to what we call ILD. So, there are also international businesses that we have. But I will also ask Deepak to give you a perspective on how he sees it and what we are doing on this case. Deepak?

Deepak Goyal: Yeah, sure. Hi, Anil, yes so as Aravind said, that process has bottomed out absolutely. We shared in the previous quarters that even WhatsApp, some business move to WhatsApp, now you must have heard that WhatsApp has increased their prices for ILD messages and they are going to relaunch it from July or something. So how we see? We see it as an opportunity for us to grow that business now, so not only on the ILD SMS side, but also you see that tech giants would adopt to WhatsApp, and we are in good situation to have a play there and new use cases would emerge around that. And we see that overall, this business, we will see some growth in going forward basis.

Anil Sarin: Okay, great. I think if I were to just get one more comment from you. Is that, look, there is a kind of a cancelling out that was happening during especially the third and maybe the fourth quarter also where SMS revenue was -- on the international side was declining and WhatsApp and RCS revenue, OTT revenue was going up. So, this can be taken, fiscal '24 can be taken as a year of adjustment you can see. As you look ahead, I mean assuming that the ILD SMS revenue has bottomed out and the national SMS anyway has its own growth momentum, and now you mentioned that 18% of fourth quarter revenue came from OTT and also in the letter it is mentioned that ₹500 crores run rate for only WhatsApp. So, I mean, can you sort of throw some light on fiscal '25 where the headwinds no longer are operating, and the tailwinds come up? So, what is the outlook, I guess taking into account the slowdown of SMS and the rapid growth in all these OTT platforms that you have invested in?

Deepak Goyal: Yeah. Absolutely. Yeah, Aravind, please.

Aravind Viswanathan: No. So maybe I'll give a view, and then Deepak and Uday can add additional. So, we don't give guidance, unless you well know. So, you will not be able to get me to give a number on that. But clearly, as we said, and we've kind of talked about it in our launches, in our partnerships, we are betting big on OTT. We are betting big on platforms and those should definitely accelerate. And as Deepak said, we have a good rhythm. We've added a lot of customers in FY '24. That will also

schedule well. I think we are definitely optimistic in terms of the opportunities ahead of us. Some of them we need to see how quickly they translate. But that's how I would kind of summarise our outlook at this point.

Anil Sarin: Great. I will come back in the queue. Thank you.

Operator: Thank you. Participants you may press * and 1 to ask a question. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah. So, thanks for the opportunity. So, my question is on the OTT revenue, obviously, we have seen significant scale in OTT coming. So, from here on, how to see the growth rate for OTT? If you can throw some light on how big the market would be and what our market share would be in the OTT space and how far the market is expanding? And also, in terms of the recent tie-ups we have done on the ONDC side and build tie-ups with Google and Meta. So how this would impact our OTT revenues and how do we see it say from the two years from here?

Aravind Viswanathan: So, Deepak, do you want to give a perspective on what we are seeing on OTT? I can come with the numbers later, but maybe it'll be good to get a perspective on where you are seeing the opportunities on OTT.

Deepak Goyal: Hi, Amit. As far as OTT as a market is concerned, if you see that each and every band is adopting it in a big way. Earlier it was more about marketing messages, promotional messages and so on. Now there's a big focus is there on utility where enterprise customers want to send bills, they want to send all those PDF files, statements, all of that on OTT. I mean even the largest of the banks you would see; they are using WhatsApp and other channels a lot. So, as far as growth is concerned of this overall OTT as a space

is, I mean, is growing by 60%, 70% if you really see. So, it's a huge growth, which is happening in this particular space and brands are adopting it in a big way.

Amit Chandra: And in terms of market share, if you can share a number that how big the market would be in India right now? And obviously, like is it fair to assume that we are the one of the largest player operating in OTT or, like, second largest?

Deepak Goyal: Aravind, you would like to answer.

Uday Kumar Reddy: So, Amit, Uday here. The way I see is, if you look at the Meta revenues of last year, our estimate is they have clocked around ₹1,600 crores for last year. The total revenues of Meta, that is WhatsApp revenues for India, ₹1,600 crores. Out of that, we did around, ₹365 crores to around ₹400 crores last year. This year Meta, which is WhatsApp is expected to do around probably ₹2,500 crores. And we have plans to double our revenues from last year, which is around from ₹370 crores should be able to move to around ₹700 crores. That's on Meta, which is on WhatsApp.

Secondly, when it comes to RCS, as we mentioned in my last letter, we are the market leaders, and we would like to retain that. So, it's too early to comment. RCS just started the journey last year, and as RCS revenues, the Google revenues from RCS from India is pretty, I mean, basic last year. But this year, I think we are expected to do well. And out of that, we would like to retain, we would like to have at least 50% revenue market share.

As we mentioned earlier, we are deploying our MaaP platform with Vodafone. So that I mean, with that what happens is our margins will be better off on the RCS. And definitely, we would like to have 50% revenue market share on RCS. That's the second one. When it comes to Truecaller, we have the exclusive partnership. We have been doing with the business for the last two years with them, and we have extended our partnership with the Truecaller for the next two years on the exclusive basis.

So, 100% will be with us, and we're doing good, and we're going to accelerate even on the Truecaller. So, if you look at the blended OTT, probably we'll be the largest OTT player from India. I think the second and third, fourth, three of them together are not even equal to us in the next 12 months. So, I'll let to leave it like that.

Amit Chandra: Thanks for the explanation. And also on the enterprise side, if I look at WhatsApp, so there has been softness in the enterprise organic revenue ex of like ValueFirst, if I see. So that obviously is coming through the ILD weakness. And you have mentioned that it has come down from say 40%

revenue to 25%, 100% of revenue. So, if you can quantify what has been the drop in revenues for ILD in FY '24, that would be helpful. And in terms of the fourth quarter contribution, how do we see it, whether it has bottomed out or we can see some more softness? And also, the volumes that are coming on to the ILD as of now, is it more like critical volumes or there is a probability of these volume also to shift to other alternate channels?

Aravind Viswanathan : So maybe I'll start, Amit, and then I'll request Deepak to add on to it. See you're not calling out at a channel level on growth rates for all of these. So, we're more giving a perspective, I would say that we had a sequential degrowth starting from Q2, which also flew into Q3 and had an impact in Q4 also more from a residual perspective. I think it is kind of bottomed out now, because most of the use cases are really not so replaceable in that sense.

But I don't see this to be a very big or kind of flattish kind of business or marginal growth. It's not going to be a big growth engine per se in the coming year. But Deepak, it'd be grateful for you to share the perspective.

Deepak Goyal : No Aravind, I mean, I think you said it. So, yes, I agree with you.

Amit Chandra : Okay. And on the platform side, so we had the ATP revenues coming in and also, we had the impact of the exit of Vi deal. So how much like would be the exit impact and how much would be the residual impact as you said will kind of come in quarter one as well. So, if you can just give some sense on that. And also, on the ATPs and the ATP revenue side, you mentioned that the ATP talks are going on with banks, but the conversions are a bit lower. So, what is the reason as per your understanding why the conversions are lower? And also, in terms of the ATP revenue contribution, whether it's a start and we can see some more adoption or is it or the ATP like revenues is linked to volumes, how is the revenue model out there?

Aravind Viswanathan : So, Amit, let me answer the first question. Like, we said we exited the deal. There will be some impact in Q1, but I think we are also seeing a lot of traction in the platforms that we have deployed. So, I don't want to give a guidance at a platform level, but definitely, I don't expect a repeat of what happened in Q4 and Q1 from a sequential standpoint.

From an ATP, two elements to it. One is it's a very unique deal in the sense that it's a subscription-based revenue stream. In the purest of the sense, it's a pure SaaS subscription-based billing per user, per month kind of construct that one has. So that's the kind of nature of the revenue there.

The reason for delay of them, it's a product that doesn't have too many comparable. So, there are a lot of internal discussion that ends up happening with the customer just to get the process right. A lot of questions. The sales process is long. So, we're going through it. We've created a lot of leads and then we are hopeful to convert a few.

Amit Chandra : Okay. Thank you. And all the best

Aravind Viswanathan : Thanks Amit.

Operator: Thank you. Participants, you may press star and one to ask a question. Next question is from the line of Anil Nahata. Please go ahead.

Anil Nahata: Yeah, hi. I will just follow-up on the question from Amit regarding the pending losses or whatever losses are still to be there on the Vi firewall deal. I mean, if I look at the gross profits, margins that you have reported and the gross profits, I mean, you have mentioned that 13% has been the gross profit year-on-year growth. And but for the Vi deal, going away, it would have been 35%. Basically, it means that ₹17 crore nearly has gone out of this quarter. If I just add up these numbers and do the mathematics, and if I also recollect the Vi entire impact was supposed to be around ₹65 crores to ₹70 crores, which you had reported a couple of quarters back. So, I mean, ₹17 crores annualised will lead up to that number. Then why are we saying there's still some more pain to come on that account?

Aravind Viswanathan: So, I don't think you're doing the math right, Anil. I'll share with you separately. See you have to remove both from the current quarter as well as the base. So, what we are saying as 35% growth is the growth if there was no network Vi deal in Q4 of last year vis-à-vis Q4 of this year. So, the

base also changes and that's the basis of this. As we have captured, the total revenue size on a quarterly basis, which we communicated is very much true, that's about ₹18 Cr to ₹19 Cr, a quarter. That's the cumulative impact of the Vi deal, which is kind of getting spread out over Q3, Q4 and some amount of residual in Q1.

If you remove it from both the numerator and denominator from Q4 of this year and Q4 of last year, then you would see the full impact. And that's why if you see this growth, and just to give you a sense, if we say that, we delivered a GM in this quarter of ₹88 Cr. And we delivered a GM last year same time of ₹78 Cr. And let's say ₹78 Cr the full impact. So, excluding that would be something like ₹59 Cr. So that's how you should do it, then

then you will understand why this 35% is coming in.

Anil Nahata: Okay. That's a very unique way of doing this thing, but fair enough. I will do it in that way, Aravind. So, can you quantify what is left to be absorbed in the quarter or that is something that is not possible?

Aravind Viswanathan: It will be around ₹5 Cr left, Anil.

Anil Nahata: Okay. That's good enough. Thank you so much for that. The second thing is, on the Wisely ATP. I mean, this was, Uday had touted it as one of the best products to come out of Tanla. And sincerely, I had seen a demo, and I believe that's to be true. And it's an extraordinary product. And it has been like nearly four, five months when the three banks' trials were over and everything. And probably one of those banks have picked up a deal with two or maybe it's another bank. I don't know the answer to that.

I mean, with this kind of a product, which are able to bring down the more, the losses and the spamming and everything else, I mean, even after the commercial trends, I understand there's a price discovery mechanism and all, but it is still a lot of time. So, are there any regulatory hurdles that you are seeing in this? Or there is lack of regulatory tailwind, which is impacting this? I mean, price is one thing, but price can be discovered. But other than prices, are there anything else that is going on?

Uday Kumar Reddy: So, Anil, I think a lot of people wants to know more of on the ATP. Let me -- I owe you guys an explanation here. Let me explain that. So, the problem is so big. A lot of scams are happening on SMS. A lot of scams are happening on the voice. The problem statement is so big in India. Not only in India, globally. That's number one.

And secondly, the platform is able to curtail the scams that we have demonstrated to all three banks. That is also fact. That's the second one. Where we are facing the bit of challenge is see, for example, I cannot really pick up any bank here. What is happening here is, probably, the central bank is not very clear whether who's going to carry this liability.

So, for example, somebody's going to, I mean lose the money, because somebody's was scammed. And if other banks are liable for the money or the individual is liable for the money. The banks strongly believe that it is an individual who has to take care of themselves. They are the one who has given their credentials to the other scammer. Bank never ask you to share your credentials. So that there is a bit of confusion here, unless until the regulation is clear. Once any bank customer who loses the money, who's going to take the liability? Is it the customer himself or herself like or the bank?

There's a bit of confusion here. So that's where the banks are saying that, like, we are not liable to pay the money to our customers. Because they are the one who has given away their credential's life. So that is one of the reasons why though the banks are under the impression that like that their customers are losing a lot of money. And secondly, they're also worried about their brand. Not that I'm not saying that the banks are not worried about their customers. They're not worried about the brand. But there is a bit of the confusion here. Who's going to pay that liability?

So that's the reason, like it's -- yes, the banks are agreeing with us that this problem statement is so big. The solution is very good. But like, why should we pay the money to you guys? So why don't we collect the money from the users? So, there is a bit of confusion here. Till the time the regulators are very clear about who's going to carry the liability.

Anil Nahata: Thanks, Uday. That seems more understandable, because otherwise there's no reason much product. Thank you for that answer. Thank you so much.

Uday Kumar Reddy: Thanks.

Operator: Thank you. Next question is

from the line of Brahmanand Reddy, Individual Investor. Please go ahead.

Brahmanand Reddy: Hi, Uday and team. Congratulations for the excellent performance. Two questions I had is, one in digital platforms. I am assuming that based on your numbers, it contributed 50% on the gross margins. In the ₹759 crores, what we achieved almost 50% is contributed by digital platforms. If so, when can we see a growth of 25% range in the digital platforms? And do we see any competition in the digital platforms with other companies?

Aravind Viswanathan: So, Brahmanand, digital platforms contribute about 34% of our gross profits for the full year. We've kind of had a track record of growing over 20% gross profit YoY for almost 14 quarters in a row. This is the first quarter; I think in the last 15 quarters where the growth rate has been sub ~20%. And that's because if you've seen some of the earlier questions in the call, which we addressed on one particular transaction kind of scaling down. So, this is something that we are quite bullish on. We've done a lot of work on this. So that's how we are seeing it. So, we have a lot of potential here and platforms to take us to the growth rates that you are talking about and beyond.

Brahmanand Reddy: Any foreseeable competition from any other companies?

Uday Kumar Reddy: Yes and no. Okay. For example, when it comes to the threat intelligence, which you call it as a Wisely ATP. So, we don't have any competition, not only in India, but global market. But certain platforms, we may tend to -- for example, when it comes to our DLT platform, which we call it as a Trubloq platform, there we have the consortium with Tech Mahindra and IBM. So, we cannot afford to say that we are the only one player in India. We kind of have the consortium between, I mean among ourselves life. So yes and no. Certain places, like we collaborate. Certain places, we compete.

Brahmanand Reddy: That will be helpful. Thanks, Uday.

Uday Kumar Reddy: Thanks.

Operator: Thank you. Next question is from the line of Anil Sarin. Please go ahead.

Anil Sarin: Thanks for the opportunity once again. So, Uday, this is on a broader basis. See, you've been investing very heavily on technology, and you've been hiring top talent over the past many quarters. So obviously, this is in anticipation of some developments. And in the past, you have shared that perhaps, I mean, the Indian regulators are not moving in terms of data privacy, et cetera, at the pace which you would have liked. So, if you can give a fresh comment on that, that is one part.

Second was that on ATP now, we have some actual data like real-time, real-world data is available of how it is performing with one of the banks. Within India, there is a confusion regarding who carries the liability, individual or the bank. And you had opened a subsidiary in Saudi Arabia also some time back. Can this not be sort of taken overseas based on the real-world data that we have now and approaches the Telcos who might rightly be the candidates for buying ATP?

Uday Kumar Reddy: So, Anil that's a good question. So let me, when I say regulators, I'm not intending at Indian regulators, whether it is central regulator or be it the telecom regulator. I'm talking about the global regulators. But having said that, as I reported earlier like, for example, Singapore came out with the regulation, and so is Australia. The governments are now coming out with the regulations plan.

In the sense, like, who's supposed to implement this product, whether it is a bank or the Telco, whether in case of Singapore, what the Singapore regulators that are for examples, telecom

regulator has closely worked with the banking regulator. And both decided to take the ownership saying that, now we both have to come together and take the ownership of curtailing the scams. So, it all depends

ends on the regulator. So, who's going to blink first?

But at the end of the day, the regulation has to be in place, whether it is a telecom regulator or the banking regulator. They have to have regulation. Before for example, even if you look at the DLT platform, which we deployed in 2019 February. Till the time we have the regulations, nobody has deployed to prevent the spam.

Similarly, we are looking for a regulation, whether it is in Saudi, whether it is in Australia or in Singapore. So, we definitely, this product needs bit of regulation. And what we see, the problem statement is so big. The solution is there. And who's going to pay the money? It all depends on the regulations; we'll clarify who's going to pay the money. So here we're just waiting for the regulation in India and outside India.

Anil Sarin: Great. And considering that, the Singaporeans have already taken a few steps. Can one expect in the coming quarters something on the overseas side as regards to ATP?

Uday Kumar Reddy: No. That won't move that fast, Anil. Like once the regulation comes, they give for almost a year to deploy the platforms. It's not that only Tanla has got the platform. We don't know who's going to dollar fit. So, it takes a bit of time. Once the regulation is clear, they'll give a bit of time to the banks and the Telcos to implement any in the platform. It takes a bit of time. But once we have the regulation in place, it's a question of time.

Anil Sarin: Okay. Great, Uday. And one last thing on GDPR, etc, like in Europe etc data privacy has really acquired a lot of importance. Anything on India side that you are seeing and where your products can be more relevant?

Uday Kumar Reddy: So, when it comes to data privacy, the DPDP bill, as you know, this is passed by both the parliament and but the Board has not formed as yet. Probably, they'll form the government,

post-election, they'll form the Board. Once the Board is in place, they come out with the regulations and business rules. And probably, they may give one year's time for us to implement with the consent of different management, the tool.

Anil Sarin: Okay. And this is for EU, not for India, right?

Uday Kumar Reddy: I'm talking about India. So, both the Parliaments in India, how fast the DPDP bill? But for them to implement DPDP bill like, they need to have a Board. The Board comes with the business rules. We are expecting the Board to form and come out with the business tools by sometime in August of this year.

Anil Sarin: Great. Thank you so much.

Uday Kumar Reddy: Thanks.

Operator: Thank you. Next question is from the line of Sharad Kohli, Individual Investor. Please go ahead.

Sharad Kohli: Hi, guys. I just had a few questions around the gross margin. Now that WhatsApp has scaled to a reasonable number of roughly ₹400 crores, could you just share what the gross profit, rather gross margin on that business is relative to the rest of the enterprise. I know the blended number for the Enterprise business is close to 19.7%. But can you just specifically give me an idea of what it is for the WhatsApp business?

Aravind Viswanathan: Yeah. So, we're not calling our gross margin, but it will be reasonably similar to the enterprise margins. Given that we are in a little bit of investment phase, it may be marginally lower, but not very different for the year.

Sharad Kohli: And is the model, similar to what it was with the Telcos wherein you get like, what are the numbers, like close to 20% or 15% to 20% of the what you collect on behalf of the Telcos, so that as the business grows, at least on the Telco side, what I understood is that if they jack up the

prices by, they doubled the prices from 12 paisa to 25 paisa. Is the pricing for WhatsApp similar to that? So now WhatsApp is doubling its pricing starting what Deepak

shared some time in July.

Does that automatically mean that Tanla received double that amount?

Aravind Viswanathan: Say, in general, the philosophy is same, when it comes to the fact that if the input cost goes up, the output revenue goes up. That model is not different. But there are a lot of nuances. Billing is not per transaction in WhatsApp. It's per session. It's about a 24-hour session. So, there are nuances, but obviously, input price goes up, the output goes up also.

Sharad Kohli: Got it. And on the collection part.

Aravind Viswanathan: But one other clarification, Sharad, is just from what Deepak mentioned. That was specifically on international messaging. So, there is a huge price difference between international messaging and domestic messaging. But from a WhatsApp perspective, the pricing was not different. So, there was a very big arbitrage of WhatsApp being much cheaper than international SMS messaging. So that is getting normalised in some way with the price increase that WhatsApp was mentioning. It is not for domestic price, which is majority of the market today. Just to clarify that.

Sharad Kohli : Got it. And on the receivable side, is it again similar that you collect to disperse with basically negative working capital for the most part?

Aravind Viswanathan: No. I cannot say it will be negative working capital, but it will not be too dilutive. I think on an average, you collect in about 60 odd days from invoicing, and you may pay in 60 odd days from invoicing. So, it'll be more neutral, I would say.

Sharad Kohli : Got it. And do you expect the same kind of model for RCS when it gets implemented? Or is it going to be different?

Uday Kumar Reddy: No. I think so when it comes to RCS, what the Google is trying to do is, at least for India, like if they have decided to go through Telcos. Like, the way we buy the SMS from the Telcos, we do the same thing with the RCS also same model. Effectively, we have to buy from the Telcos, and we have to build our solutions on top of that and sell it to our customers. So, the Google model is slightly different from WhatsApp. Google have decided to go through Telcos. At least in India, I don't know much about the global market, and they have to decide. But for India, like they decided to go ahead with go through Telcos. Whereas other OTT channels including the Truecaller and the WhatsApp, we have nothing to do with the Telcos. It is more to do with the OTT platforms.

Sharad Kohli : Got it. And my last question just to understand, after this rise in prices from WhatsApp, what is the gap between call it the Telco side, which is roughly equivalent after I saw it, what is the catch up coming up to now? Because one of the debates here is the Telcos have been complaining that OTT has been -- you have not had to spend any money on the infrastructure, we spend all this money da, da, da. So, the question then becomes, is there a regulatory move the re where they now money to compensate for the investment capital that Telcos have put together? Can you shed some light on that and how the price catch up that's happening in July? How much of the gap that bridges?

Uday Kumar Reddy: So, Sharad, the way I see is, first, it all depends on the use case. For example, the banks cannot afford to use WhatsApp or any OTT channel to disseminate onetime password. The Central Bank, which is RBI in this case, is not allowing any banks to send OTPs other than SMS. Other enterprise other than banks are not allowed to send OTPs. That's number one.

Number two, even in case of other use cases, the price per -- there is a bit of difference with WhatsApp is definitely expensive than SMS, when it comes to pricing. What you're referring to is the ILD messages. For example, the Telcos are selling at \$0.05 per SMS for ILD messages. And I think, Deepak, I think WhatsApp is coming out with \$0.03, right?

Deepak Goya

I: About \$0.03, yes.

Uday Kumar Reddy: \$0.03. So, they are directly competing with the Telcos. Because, like most of these messages are either from the Facebook or from the Google or from the Amazon. We are not there. They're not

regulated either by the RBI or by any other regulator in India. So, they're free to use whichever channel they want to use. So, net-net effect like, there is -- I strongly believe that the TAM of the ILD market may further reduce. But I think, WhatsApp is going to eat into on the ILD SMS messages. But when it comes to CPaaS plus providers like us, it doesn't really matter, because our margins are same. It may have bit of impact in terms of top line, but in terms of our margins, it's going to be intact.

Sharad Kohli: Got it. The one thing that, I'm just not able to grapple my head around there. Maybe it's just me being slow. But I would have thought that WhatsApp I mean, obviously, I carry an India phone and I cannot get all these marketing messages, all these promotional messages and it's now especially from the banking perspective, now getting statements doing transactions to WhatsApp has become really convenient. My logical brain tells me that the margin profile for WhatsApp and I get this whole thing about who initiates the session, is it the customer who initiates the session or the enterprise that initiates the session, there is a pricing differential there. I am just not able to grapple the fact that the margin for the WhatsApp is similar to the traditional SMS margins. I would have thought it's a lot higher. And so, I would have thought that there -- as WhatsApp and RCS get a bigger proportion of enterprise revenues, I would have thought that margin profile for the enterprise business will actually be significantly higher. So maybe you can just help me understand why the margins are the same?

Aravind Viswanathan: So, in many ways, Sharad, I think it's also a question of where we are from an evolution standpoint. So today, we are doing a lot of investments as far as the business is concerned. And you will find that at a sense everybody knows what the input price is. So, there is always a certain amount of profitability on top. So, if you look at WhatsApp, it's somewhere between, it's aligned to the domestic business, obviously much better than the international business. But, as we build

more solutions, build more IP, we have a headroom for improvement in profitability. But as it stands today at the growth rate that we are doing right now, the profitability is broadly similar.

Sharad Kohli: And just one last question on the pricing front. When you negotiate these prices, can you just like help me understand the process, because I know from a standpoint of when you were Telcos, you're just a price taker, right? Is it similar to on the WhatsApp and RCS side or there is some negotiating room there, like in terms of what you can carry from the enterprise side?

Aravind Viswanathan: There is negotiating room on both sides. You have negotiating room on the enterprise side. You have negotiating room on the supplier side. And that all is a subject of scale that you bring to the table. So, to that extent, it is not very different in that sense, but the sales process, the value proposition tends to be very different when you are doing a solution sale on OTT compared to maybe a transaction messaging that one is doing on SMS. So that process is different, but I wouldn't say that some of the rules are not very different.

Sharad Kohli: Got it. And is there any, I know we are early in the investment cycle, but is there a vision that you guys think that over time as the volumes on WhatsApp, RCS, the OTT channels become significantly larger in the business profile? Again, I'm going back to the same question. Logically, I would think that given the investments that have been made, it's more attraction driven. Do you see it

his margin profile changing in the next three to five years?

Aravind Viswanathan: So, the margin profile of the OTT business, whether it would change over the next three to five years. It's early to comment. I think let me put it this way. I think Uday made this point. We did our first win on the MaaP platform from an RCS standpoint. The minute you have with your MaaP platform, chances are that you will run at much higher profitability. So, in some way, OTTs will give you an opportunity both on the platform side and on the enterprise side.

At a collective basis, definitely you can drive higher profitability. But you will have to see how it evolves. Like today, I would say on Truecaller channel, we drive higher profitability.

Uday Kumar Reddy: So, Sharad, the way I see is for any channel, even be it SMS. Even if you look at SMS, we have a revenue share at SMSC level, and we have a revenue share at the Trubloq level, which is a DLT platform. And then we have the margins at SMS when Karix, the ValueFirst buy and sell as a channel. So, the crux of the issue here is we need to have the platforms. And secondly, we need to have the control on end-to-end from the Telcos to enterprise or in case when it comes to OTT, we'd like to deploy our platforms at OTT, as well as with enterprise. That's where we have tremendous control in terms of quality of services and in terms of the better margins. For example, RCS. There we have two choices. One is we just go and tie-up with the Telcos. There we

have the margin is only on RCS. But when with the minute we deploy a platform with the Telcos, okay, our margins will double just by default. Not only we have the control on the quality services, but the margins will double. So, my point is like, the enterprise business will drive the platform business. Once we have the scale, once we have the volumes, they will allow us to deploy the platform either with the Telcos or with the OTTs.

Sharad Kohli: Got it. And I know I'm just saying last question, just because I promise this is the last one. On the capitalisation of expenses, so I know that the comment that was made in the share holders letter is that you're capitalising both the employee costs and the platform costs under the balance sheet obviously. Can you just give me a sense of how you capitalising 100% of the employee cost or there's something that's flowing through the income statement for the platform side? And on the enterprise side, is there a similar dynamic or all of that is being expensive and consistent?

Aravind Viswanathan : Yeah. So, the straightforward question, answer to the question is it's not all of the expenses. It is people who are working on the product development of new products where there is a new revenue stream. And that is the only component of the employee cost that is getting capitalised, which are purely working. So, people who are on support.

Uday Kumar Reddy: So, in other words, in case of ValueFirst and Karix, we expense it out 100% of our service. That's number one. When it comes to Tanla, wherever we have to run garages, we will expense it off.

Wherever we have built garages in the sense like, OTT platforms are still in the build phase. Where the salary of that garage will be capitalised, Sharad Am I clear?

Sharad Kohli: Okay. Yeah, and just a follow-up to that. And what is the typical split like? I mean, I'm guessing it's -- I don't want to throw numbers there, but is the employee cost working on product development 80% of the cost and the tech is 20% like what is the split between employee versus product?

Uday Kumar Reddy: So, it depends. When the platform is under the build, most of the money is going to be salaries. But once it goes to the deployment, then it's other way around. Like, we need to deploy with lot of hardware, a lot of stack, a lot of -we need to integrate with a lot of tools and so on and so forth. During the build, it's going to be mainly to employee cost. When it goes to deployment, it's other way around.

Sharad Kohli: Okay. Thank you.

Operator: Thank you very much. Ladies and gentlemen, we'll take that as the last question. I now hand the conference call over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you everyone. In case we could not take your questions due to time constraint, please feel to reach out to Investor Relations team. Good evening. Thank you.

Operator: Thank you very much. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2024

Date: July 23, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter ended June 30, 2024, held on Friday, July 19, 2024, at 4:30 PM IST.

The transcript is uploaded on company's website on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
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SESHANURADHA CHAVA
Date: 2024.07.23
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Tanla Platforms Limited
Q1 FY25 Earnings Conference Call Transcript
July 19, 2024

Call Duration ■ 39 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Aravind Viswanathan - Chief Financial Officer
Participants that asked
the questions ■ Amit Chandra – HDFC Securities
■ Anil Zarin – K16 Advisors
■ Deepak Chokhani - Jade Capital
■ Amit Agrawal -Leeway Investment
■ Kawat - Yogya Capital Market Services Ltd

Operator: Ladies and gentlemen, good day, and welcome to Q 1 FY25 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta. Thank you and over to you.

Ritu Mehta: Good evening, and welcome to our Q1 Earnings Call. Joining with us today are Uday Reddy, Founder, Chairman, and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Aravind Viswanathan, CFO. Uday will share his perspectives on business imperatives and strategic progress made. After opening remarks, we'll be happy to engage with participants and address their questions.

Before I hand it over to Uday, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements, other than statements of historical facts could be deemed forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be predicted or quantified. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and the transcript will be available on the website soon.

I now hand it over to Uday.

Uday Kumar Reddy: Thank you, Ritu. In addition to Aravind and Deepak, Abhishek who's our new CFO is already on the call. He has joined a couple of days ago. A very warm welcome, Abhishek. So, good evening, I am sure you have had a chance to go through our results. We delivered 10% YoY Revenue growth and was flattish on a sequential basis on a seasonally weak quarter. We improved our gross margin % on both YoY and sequential basis. The numbers do not reveal the full picture – over the last 4 quarters, we have seen a material shift in the market. We had flattish organic growth on

a YoY basis. We

saw a severe disruption in international messaging business on the back of consolidation between CPaaS players globally as well as shifting of use cases to OTT channels. We had exited the ViLD deal in this background. This would have had a cumulative impact of around ~Rs. 120 Cr of Revenues and around Rs.30 Cr of gross margins.

But how did we react to this disruption – by focusing on things we can control, building great platforms, winning new customers and delighting existing customers with new offerings and creating a winning culture delivering great service to our customers.

What did this translate to – we completely mitigated the above impacts with incremental growth in our focus strategic areas. If you normalize for ViLD impact, we have grown 13% organically as a company. Growth was led by our pivot to rich media – OTT contribution to revenues moved from 8% to 20%, an incredible growth of 177% YoY. This is also reflected in our customer metrics – the new clients we added in FY24 contributed to Rs.59 Cr of revenues in Q1. Our customers greater than 1 Cr was 329 and we have retained and grown our large clients. 12 of our top 20 customers of last Q1 continue to be in Top 20 in the current Q1 and the remaining customers are in the Top 30. Our focus on customers and newer channels have helped us overcome the negative impact of market shifts and the worst of the base effect is behind us.

In parallel, we have not lost our focus on innovation. Our MaaP platform for Google RCS has gone live in July and I expect the revenue stream to start in Q2. I expect RCS to scale up quickly and be meaningful by end of this financial year and we are best placed

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to capture this space. On Wisely ATP, we have signed a commercial agreement with a global tech major to address the menace on scam on their messaging platform. Due to confidentiality clauses, we cannot disclose anything more on this engagement at this time.

In closing, I will say that Tanla is a market leading position. We have recognition from Industry analysts like Gartner as a Visionary in the CPaaS magic quadrant two years in a row. We are moving up the ranks every year and things are very encouraging. As a team we are hungry and humble. Our work is more than just technology – it is about empowering users. When your aspiration is inspiring, people want to be part of this journey – we have employees joining us from the most leading brands in the world of technology and consulting.

We will continue on this mission in Q2, I'd like to thank all of you for the trust. We're going to keep working hard for you.

Question-and-Answer Session

Operator: Thank you very much. We'll now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch -tone telephone. If you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking your question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles. Participants you may press * and 1 to ask a question.

The first question is from the line of Amit Chandra HDFC securities. Please go ahead.

Amit Chandra: Yeah, thanks for the opportunity. My first question is on the WhatsApp revenue. Obviously, can you hear me?

Operator: Sorry to interrupt, there is a slight echo from the management line.

Amit Chandra: Okay.

Operator: Sorry to interrupt, there is a slight echo from the management line.

Aravind Viswanathan: We can hear you clearly, Amit. Go on.

Amit Chandra: Okay. My first question is on the WhatsApp revenue, which is driving the enterprise growth. But if I see the WhatsApp growth in quarter -on- quarter it has been the lowest in the last four, five quarters. So, is it fair to assume that the WhatsApp has rescaled and from here we can see some like moderation in growth? Or

is it fair to assume that the momentum will continue? And secondly, the enterprise growth ex of OTT has been soft for the last three quarters. And as you mentioned it was due to drop in volumes and also from the ILD volumes. So, what's the update there when we can see the volume growth recovering there in terms of seasonality quarter two, quarter three is strong in terms of seasonality. So, are we on the track to have a good quarter two or quarter three in terms of the Enterprise

Operator: Amit, are you done with your question?

Aravind Viswanathan: Amit, let me take this, this is Aravind here. Hope you can hear me clearly.

Operator: Yes.

Amit Chandra: There is a little disturbance in the line. Now I can hear it clearly, yeah.

Aravind Viswanathan: Okay. Sure. So, Amit, WhatsApp last year when we probably started this was a sub - INR 50 crore a quarter business. Today, we are close to INR 150 crore a quarter business, so obviously we have scaled up substantially. And growth continues to be close to double-digit sequentially, but it's probably not 50% sequential or 30% sequential that we have seen. So, there is obviously a base effect at play. But the good part is the incremental revenue in absolutes are not coming down.

That's important because before a growth of 50% on an 8% of the business, vis-a-vis, something on 20% of the business. Even if the smaller growth it contributes more to the overall company growth. So, in that sense, I would say, we are still very, very bullish on OTT growth, not just WhatsApp. Like Uday mentioned in his opening remarks on RCS, on Truecaller. So that is something that we continue to be very bullish on. And I think that market is growing, and we are quite confident as far as that is concerned.

To your second question, on the non -OTT, which is basically on the SMS side, you are absolutely right. Q1 is always little seasonally the Q4, so is little seasonally, Q2, Q3 are typically stronger, particularly from a domestic side. So, I do think domestic will pick up in Q2, Q3, in line with historical trends. ILD, I think probably is close to bottling out. Because we've seen a lot of erosion there. So that's how we see the market as far as Q2, Q3 is concerned.

Amit Chandra: Okay. And on the Wisely ATP deal on WhatsApp, that you have announced, so if you're not disclosing the size. But is it fair to assume that this is similar to what we did with Trubloq in '18? and in two to three years down the line, we can assume a similar scale in that?

Aravind Viswanathan: So, first point is, I want to just clarify, Amit, that we have not announced which OTT it is, so I will not be in a position to comment on that. And at this stage, we really can't share anything more than what Uday mentioned in his opening remarks. When the time is right, obviously, we will share it. But right now, we are constrained to share anything more than what was shared, what is there in the public domain already.

Amit Chandra: Okay. And in terms of margins, obviously, we have recovered margins in this. So how do you see the margins? Is it the drop in the platform revenue, going to have some impact in revenues, or maybe the newer revenue streams that are getting added that are having lower revenues, or we see the margins to be steady in that?

Aravind Viswanathan: So, in a way, if you look at it, Amit, and I think that's an important kind of take away. We have had an impact in the platform business because of one of the deals that we exited. And despite that, we have kind of held margins. Because that's the kind of growth the platform business has done outside of that. So, if you look at it, the business has kind of grown 30% plus, if I normalise for this impact, and that's how we've been able to kind of hold it. Now there is no impact going forward from a negative standpoint.

So as some of our newer platforms scale

le out, that will definitely help shifting the mix towards platform. And that's how we see it? I don't think we will see a big shift directionally in a quarter or so. But if you look at as RCS scales up, as MaaP scales up, you will have a more growth in platforms and the shift of mix will definitely help in the medium term.

Amit Chandra: Okay. Thank you, and all the best.

Aravind Viswanathan: Thanks, Amit.

Operator: Thank you very much. Next question is from line of Anil Zarin K16 Advisors. Please go ahead.

Anil Zarin: Good evening, management. Thanks for the opportunity. These have been tough times

where international SMS revenue has been going down. I just wanted some very basic questions to be answered. When you say digital platform revenue, what exactly does it mean? Enterprise I can understand, but digital platform if you can just put it in layman's terms, what it means? That's my first question.

Aravind Viswanathan: So let me kind of explain that to you, Anil. Digital platform revenue is where we have deployed a platform where we get either a revenue share or a subscription fee where there is no cost of services, right, as part of it. So, this business typically operates like a typical SaaS model, where you have deployed the platform, you either get a license fee or you get a subscription fee, or you get a revenue share fee and there is no cost of services there. So, this platform holds on a standalone basis and runs at very high gross margins, is predictable. It has all of the SaaS elements. So, something like a Trublog, something like Wisely ATP. All of these will form under the digital platform business.

Anil Zarin: Okay. Thank you. That's useful information. What was the Vodafone revenue over all and of course in the first quarter, what was the drawdown due to Vodafone, not been there? So, what was the revenue last year same quarter of Vodafone, which is not there in this quarter?

Aravind Viswanathan: About INR 22 CR, both revenue and gross margin more or less are similar there about INR 1 crore difference. But Q1 of last year was around INR 22 CR of revenue, which is zero in Q1 of this year, and almost an entire piece has flown into gross margin also, Anil. So, it was INR 21 CR of gross margin, which has become zero in Q1 of this year.

Anil Zarin: Okay, thanks. That's very useful. Also in the OTT business, what is your market share now? OTT is a very broad word, but let's say, WhatsApp, where last time you had mentioned that you are number two in WhatsApp, or was it number one? So basically, just talk about your market share and who are the main players in WhatsApp and Enterprise business in India?

Aravind Viswanathan: So, it's kind of difficult to give a market share per se, right? But I would say we would probably be at an aggregate level. It's a guesstimate across all OTTs at this stage, will probably be around 25% of the market. But we've kind of gaining a lot of share. I think, this number would have been closer to 20% last year, or even lower. So that's really what has happened as far as the OTT side of the world is concerned

Anil Zarin: Okay. One thing, like now that you're adding. So, a couple of questions on that. How does RCS compare technically, which like what are the three use cases, that RCS has, which will help it take care in the OTT market?

Aravind Viswanathan: So, I would say that historically, right, if you look at, I think, RCS, where we will play a big role, will be to starting with on the promotional side of things. So, if you look at it, RCS, I don't know if you have seen an RCS message, Anil. It's a rich media message. So, it has a huge improvement and click-throughs on promotional that we've seen from a use case standpoint. It also has conversational, but I would say probably WhatsApp at this stage is superior on conversational, but on typical promotional messaging, I think

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RCS is very, very good.

There are a lot of use cases that we have built on RCS, where including workflows, rich media, in terms of delivering messages with PDF and attachments where you see a differentiation. So, I think it holds to start with somewhere between SMS and WhatsApp and the full potential of that channel has to be explored, right? And I think it's a little

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bit of market development that we will end up doing, which will give us a head start in terms of capitalising on the market.

Uday Kumar Reddy: So, Anil, Uday here. I'll tell you the difference between RCS and WhatsApp. WhatsApp has got its own application. So, myself, you use every day, like it's got a dedicated application on your handset setting, okay? So, unless and you have a WhatsApp application where you cannot communicate with your contacts, okay? Whereas RCS normally sits in your SMS inbox. It doesn't need any separate application. So, whenever we receive RCS, it goes and sits in SMS inbox. So that's a basic difference. When it

comes to functionality, it is probably , absolutely same -- RCS is same as WhatsApp, in most of the use cases

Anil Zarin: Okay.

Uday Kumar Reddy: Am I clear, Anil?

Anil Zarin: Yeah, that is helpful. Uday, if you can just -- so this would be in terms of pricing, it will be cheaper than WhatsApp and more expensive than SMS? Or I mean, what would be the value proposition to the ultimate customer? Why should he choose RCS over WhatsApp or over SMS?

Aravind Viswanathan: It's a good question, Anil. So, WhatsApp is owned by the Meta, as you know. But whereas RCS in terms of technology, it is owned by the Google, but it is driven by the mobile carriers. So mobile carriers are the one who are going to decide the price. So, as you rightly said, RCS is in between SMS and WhatsApp in terms of pricing.

Anil Zarin: Okay. Okay, great. One last thing. You said, Wisely ATP you have sold in international market. So, what is the outlook in terms of your distribution and branding initiative such that we hear more good news about Wisely ATP in the international market? Domestically, you have already highlighted Uday that probably, there is more effort that needs to be done by the government. So better to try to push on the international side. So, if you can talk without getting into specifics of the order, like what are you doing over there?

Uday Kumar Reddy: A couple of things like the global messaging platform that we just announced a couple of days ago is a global contact line. So, the minute we find the scammer, the minute we find a scam. All we have to do is the minute, Wisely ATP finds a scammer and scam we need to push these details to that platform. And they bring down not only the links but also, they go ahead and close the account, okay? So, it's a global contract. That's number one.

Yes, we are trying to sell in India. Let's hope for best. But in international market we have not really pitched the solution to the international, the Telcos unless and we see the result, good result in India, we don't want to really rush to the international market.

Anil Zarin: Okay. Just last question on ATP. What is the outlook for the rest of the year domestically, with the banks, or with other users?

Uday Kumar Reddy: So, Anil, like we're not giving any guidance. So, let's hope for best. We are putting all our efforts. So, whenever there is an update, definitely we will update the market.

Anil Zarin: All right. Thank you so much. And once again, congratulations on all the presentations and the Shareholder Letter, and the Chairman's Message. Those are things which really help in understanding the company. So please keep up the good work. Thank you.

Operator: Thank you. Participants, you may press star and one to ask a question. Next question is from the line of Deepak Chok

hani from Jade Capital. Please go ahead.

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Deepak Chokhani: Hi Aravind. I have a couple of questions. You mentioned in your speech, the ValueFirst international acquisition is to close this month. And since it's been almost a year since the last update, is it possible to add some odd numbers which this particular unit achieved last quarter in terms of top line and EBITDA so that we can get an idea as to how big it can be?

Uday Kumar Reddy: Deepak, Uday here. So, we are on the final leg, and we hope we will get the final note from RBI in the next couple of weeks. So, once we get a note from our final, I mean RBI will be able to close the VF international deal. So that's number one. number two, we are looking at INR 200 crores on an annualised basis in terms of revenues on an annualised basis.

Deepak Chokhani: INR 200 crores on the revenue side and what would be the EBITDA margin be?

Aravind Viswanathan: So, the EBITDA would be in low -single digits, Deepak.

Deepak Chokhani: Got it. Okay. And next question is probably on the...

Operator: Can you please come in better reception, your voice is breaking

Deepak Chokhani: Can you hear better?

Operator: No sir. It's still breaking.

Deepak Chokhani: Okay. Can I go ahead with the question please, because maybe in a bad net

Operator: Sorry to interrupt you. Your voice is breaking. Can I request you to re-join please? Thank you. Next question is from the line of Amit Agarwal from Leeway Investments. Please go ahead

Amit Agrawal: Good afternoon. My first question in news that came into the newspapers that our Daily Metro business has gone to our competitors. Any reason that they have been able to get their business and we were not able to do that, is it because of the technology or pricing? What is company's thought on this news

Uday Kumar Reddy: So, Amit, can you please repeat the question? Sorry, we didn't get that. Your line was bad.

Amit Agrawal: There was a news article that Daily Metro business has gone to our competitors. What is the reason that we were able to get the business? Is it because of technology or is it because of pricing?

Uday Kumar Reddy: Deepak, you want to comment on that, Deepak.

Deepak Goyal: Hello?

Uday Kumar Reddy: No, I think Deepak is also in the bad network. Can you just pass on that let him come back? Amit, we will answer your question. Do you have any other questions?

Amit Agarwal: Yeah, my other question is regarding the Platform business. You were told that Platform business is a very unique model. Vodafone business could be shifted to other supplier not to us, because I was told that Platform business is a patent business. And to shift that business should be very difficult for other person to handle the business. Any comment on that?

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Uday Kumar Reddy: In fact, we are the one who has first exited the deal. We have not lost the deal just because of technology, okay. Vodafone Idea Limited was asking for minimum guarantees. Our position is very clear. We are not in the business of giving the minimum guarantees. We play to our strength, which is our core strategies technology. So, we have exited this deal. And I'm sure it was a very, very good decision for Tanla. So, we were very happy with our decision.

Amit Agarwal: And my other question is regarding MaaP model, and is it a Platform business or an Enterprise business model?

Uday Kumar Reddy: MaaP is a platform business, Amit.

Amit Agarwal: And how much revenue are we expecting in first year?

Uday Kumar Reddy: Yeah. We don't want to give the guidance definitely, but whenever we deploy a platform, it is expected to fetch a meaningful revenues on a yearly basis. We just went live with Vodafone, and it is expected to show some of the revenues will flow in Q2 onwards.

Amit Agarwal: Q2 onwards. And how much have we

invested on the platform and any patent?

Aravind Viswanathan: Sorry, how much have been invested in this platform. And do we have any patents?

Uday Kumar Reddy: We should be able to share an update early next week on that Amit, on the IP.

Aravind Viswanathan: On the patent side, from an investment standpoint, typically, our investment is more holistic, right? So, we've not called out a number, but you have a view in terms of what we are investing in platforms every quarter.

Amit Agarwal: Okay. So, my only question left is regarding the Delhi metro business.

Uday Kumar Reddy: Deepak, are you back?

Operator: Yes. Deepak, can I request you to unmute your line and go ahead with your question.

Deepak Goyal: I'm back. Am I audible?

Amit Agarwal: Yes.

Deepak Goyal: So, what I was saying that there are many cities which are coming with Metro services. And we have won Chennai Metro. We are providing excellent solutions, technology, and use cases. We must have missed out on this one, but it's not because of any technology or anything.

Amit Agarwal: So, any further business from any Metro that we can be hopeful off in future?

Deepak Goyal: Yeah. We actually have few deals in our pipeline, and we will as soon as we close those, we will let you know. But let me just tell you, this Metro business is not like, very high revenue numbers or anything, it's not going to be like a very high revenue business or something, right. So, we have much bigger deals in our pipeline.

Operator: Deepak, we lost your audio. Can you hear us?

Uday Kumar Reddy: No, no, no. I think what Deepak is trying to say is this Metro, I mean, we have been dealing with the Chennai Metro for quite some time. And we have launched most of the solutions on the Metro deal. And so, it's nothing new to us. We have not lost the deal because of the technology to our competitors who are mobilised. And we don't see a

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huge potential for this Metro business, right. Let's say, it's probably -- is it sub INR10 lakhs per month or probably even less than that.

Uday Kumar Reddy: Right. It's less than INR10 lakhs per month business like so we don't even spend too much time discussing about these issues in our management meetings.

Amit Agarwal: Okay. Thank you.

Operator: Thank you. Next follow-up question is from the line of Deepak from Jade Capital. Please go ahead.

Deepak Chokhani: Am I audible now?

Operator: Yes.

Deepak Chokhani: Two quick questions. Reasons to cash, what's the plan, buyback or acquisition?

Uday Kumar Reddy: So, Deepak, we have not really decided on anything. We had a Board Meeting yesterday as you know. We have not really discussed on that. Whenever there's an update, definitely, I mean, we will definitely inform the exchange

Deepak Chokhani: Last question, in terms of ATP conversation with Indian banks, how do you see that planning rather?

Uday Kumar Reddy: Yeah, so we are showcasing this ATP to a lot of the banks and let's hope for best, Deepak. Let's hope for best.

Deepak Chokhani: Okay. Thank you. All the best.

Operator: Thank you. Next question is from the line of Ka wat from Yogya Capital Markets Services Ltd. Please go ahead.

Kawat: Hello, am I audible?

Operator: Yes.

Kawat: Yeah. So, I have a couple of questions. So, first of all, do Telesign needs our company name for terminating messages in India or any other region?

Uday Kumar Reddy: Sorry. What's that?

Aravind Viswanathan: Are you talking about Telesign?

Kawat: Yes.

Aravind Viswanathan: Telesign is an international aggregator. They don't have direct connectivity to -- so it's an international aggregator, Kawat.

Kawat: Okay. So, the next question would be regard to pricing. So how will the pricing trend for NLD and ILD messaging in India?

Aravind Viswanathan: What's the pricing trend in NLD and ILD?

Uday Kumar Reddy: Deepak, d

o you want to take the question?

Deepak Goyal: Yeah. So, can you repeat the question? You said about the pricing for NLD and ILD?

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Uday Kumar Reddy: Yeah. So, let me take the question, Deepak, if it's okay with you. So, Ka wat, effectively what -- it's a very I mean, in the sense that sometimes what happens is Jio and Airtel, I'm allowed to say, has got the direct deals with the large tech companies. They have long-term deals, which they closed long back, okay. Whereas Vodafone to our knowledge have not closed any long-term deals with any tech giants, right. So that's number one. Number two, sometimes aggregators do bring the traffic to India and were depending on the volume, depending on the commitment like they do get the differential pricing from the different carriers. So, it's very difficult to say it's not a one single price across all the price points. It differs from one aggregator to another aggregator. The same thing applies to even NLD.

Kawat: Okay. Understood. And my further question is in terms of our non-OTT business, you said that we did see some erosion earlier. Can you please explain what was the erosion about and how are we confident that we are in a bottleneck?

Aravind Viswanathan: So, we basically talked about erosion of business on the international messaging, largely because of two things, right. One is that there has been like Uday mentioned, a lot of the big enterprises are saying direct deals with the telcos. The other aspect is you've seen a lot of migration of messaging into OTT channels like WhatsApp. And therefore, that entire volume market has shrunk, Kawat. So that's really the impact. Why do we think it may have in the bottom? Because we've seen a lot of erosion already, right. And now what we've seen at least in the last three, four months is things have been little more stable. But we will have to keep watching it. I mean, we can't comment forever on this. But at least we believe it's closer to the bottom compared to where it was a year back, for sure.

Unidentified Analyst: Understood. And my other question was regarding the competition. So, how is the competition shaping up in the CPaaS industry domestically? I think Airtel is working with its own CPaaS wing. How are looking at them any other telco player do similar to thing like Airtel?

Uday Kumar Reddy: No, I think competitive environment is largely the same, right. Whatever you're talking about is a development of 2022, right. I think things have moved on from there, right. I would say it's a normal environment which you can expect in any industry from a competitive standpoint. I don't see any big shift in competition perspective.

Kawat: And Jio it's a user like Airtel or is it something like being better at any telecom player?

Aravind Viswanathan: No. Actually, for us everybody who is competing as a competitor. So, we don't really differentiate on that basis, right? So, the environment has not changed from what it was.

Kawat: Yeah. Okay. Understood. Okay. Thank you and all the best.

Aravind Viswanathan: Thanks.

Operator: Thank you very much. Ladies and gentlemen, we'll take that as a last question. I'll now hand the conference over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you, everyone. That was the last question for today. In case we could not take your questions due to time constraint, please feel free to reach out to the Investor Relations team. Good evening.

Uday Kumar Reddy: Thank you.

Aravind Viswanathan: Thanks.

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Operator: Thank you very much. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2024

Date: October 23, 2024

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter and half year ended September 30, 2024, held on Friday, October 18, 2024, at 4:30 PM IST.

The transcript is uploaded on company's website on below link:

<https://www.tanla.com/investor-relations/quarterly-results>

Request you to take the same on record and oblige.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

Tanla Platforms Limited
Q2 FY25 Earnings Conference Call Transcript
October 18, 2024

Call Duration ■ 39 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Abhishek Jain - Chief Financial Officer
Participants that asked the questions ■ Amit Chandra – HDFC Securities
■ Deepak Chokhani- Jade Capital
■ Yash Mehta- Arth Ventures
■ Balaji Subramanian- IIFL
■ Brahma- Individual Investor
■ Gopinath Chopta – Individual Investor
■ Dhaval Jain- Individual Investor

Operator: Ladies and gentlemen, good day, and welcome to Q2 FY25 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta . Thank you and over to you.

Ritu Mehta: Good evening, and welcome to our Q2 earnings call. Joining us with today are Uday Reddy, Founder, Chairman, and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Abhishek Jain, CFO. Uday will share his perspectives on business imperatives and strategic progress made. After his opening remarks, we'll be happy to engage with participants and address their questions.

Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements, other than the statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available.

I now hand it over to Uday for his opening remarks.

Uday Kumar Reddy : Okay, thank you, Ritu. Hi, everyone. Good evening. I'm sure you had a chance to review our investor presentation and my detailed data. Our revenue for this quarter stood at ₹1,001 crores and Q2 saw a flat revenue, mainly due to slowdown in international business. We are witnessing several structural shifts shaping the CPaaS market.

Digital interactions in India are surging, largely driven by the public business infrastructure. While SMS remains relevant in price tends to market, OTT channels are becoming increasingly dominant. WhatsApp has reduced the price of

utility messaging from 30 paisa to 12 paisa, nearly matching the cost of domestic SMS. This price parity is making OTT channels a more attractive, cost-effective options for enterprises. As we move forward, we expect OTT channels to become the preferred medium to customers' interactions. While certain market segments remain subdued, we have successfully adopted to these changes and captured additional revenue market share. Aligned with our strategic focus for FY25, we have strengthened our presence in OTT, particularly by leading category in RCS.

Revenue from OTT channels have risen from approximately 10% to 20% in Q2 FY '25 with the OTT revenue exceeding ₹200 crores for the quarter. We remain Google's largest global RCS platform partner and have been named Meta's Growth Partner of the Year for the second consecutive year.

In our Platform business, we consistently focus on solving business challenges with a strong emphasis on greenfield innovations. In response to TRAI's mandate, we are the first in the industry to launch CTA whitelisting on our Trubloq platform. To the date, we have whitelisted 1.7 lakh URLs, representing 98% of all URLs across Telco, OTT as the platforms in India. So, this is milestone.

Wisely ATP is also gaining a momentum, especially with the growing regulatory emphasis on user protection on spams on scams. We recently signed another agreement with one of the largest banks, which is nothing, but Axis Bank for this solution.

Finally, I want to take this opportunity to welcome François Ortalo-Magné, Executive Dean at London Business School, to the Tanla Board.

Let's move into the Q&A. The management team and I are happy to answer any questions. Ritu let's open it up.

Question-and-Answer Session

Operator: Thank you very much. We'll now begin the question-and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking your question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles. Participants you may press * and 1 to ask a question.

The first question is from the line of Amit Chandra HDFC securities. Please go ahead.

Amit Chandra: Yeah. Thanks for the opportunity. My first question is on the WhatsApp revenue. So obviously, we had seen good momentum there in WhatsApp, it has reached around ₹100 crores to ₹200 crores. But if I see the sequential growth, it has been flat sequentially. Obviously, you mentioned that it was because of the WhatsApp pricing cut. But, if you can elaborate on what was the pricing impact because in my calculation, the pricing impact was for two months and it was only for the utility messages, which roughly is 40% of the volume.

So, the roughly impact would be around 20% from pricing. So, is it the volume growth was 20% and how do you see the volume growth panning out? Maybe with the pricing being similar to WhatsApp of SMS, are we seeing a shift, maybe a more cannibalisation can happen of the domestic messaging volumes to WhatsApp channel? How do we see it more from a structural perspective?

Abhishek Jain: Hi, Amit, thanks for the question and Abhishek here. Just taking a step back, right, WhatsApp grew almost 100% to ₹100 Cr or little less than that or ₹50 Cr couple of quarters back or six quarters back, right. We have come over ₹150 Cr per quarter now, so that has been a robust growth journey, right.

We do acknowledge that this quarter was definitely soft due to

pricing change, and if you see the pricing has come down by one-third right. We saw significant volume growth and from a channel perspective we are seeing a good use case day-by-day in WhatsApp and hence we are very, very bullish from a WhatsApp perspective. From a volume perspective, broadly you're right, I did not follow volume growth, but broadly you are in directionally in the right side. I can only say we continue to scale up adoption of areas of the prices and we continue to be very, very bullish as WhatsApp as well as the OTT.

Amit Chandra: Okay. So, we also mentioned that the domestic messaging or the NLD volume growth has been 8% to 10% and the earlier commentary was that the ILD volumes have mostly stabilised, but again we are seeing some kind of drop there. So is there any change that has happened, which is considering these drops in ILD message then, we earlier used to give the contribution of the ILD to the revenue. If, what the contribution has been, because earlier it was 25% of enterprise. What is the number of ILD, if you can share that? And how we see the overall because the volumes are increasing, but the mix is changing and the ILDs is going down. So, the overall impact is we are not seeing the growth for the last four, five quarters. So how do we see the overall growth scenario over the next few quarters?

Abhishek Jain: Sure. So, I'll take it up and maybe I'll request Deepak to add after I finish. So, you're right, what we've called out earlier, ILD composition was nearly 25%. It has been a little bit lower than that, but not way off than 25% mark, but it would be definitely lower than 25% what we have disclosed.

Primarily two shifts we're seeing, right, where we have seen ILD use case towards migration towards OTT as an alternative channel and maybe one or two enterprises would have contacted with Telcos directly, right. But having said that, what we have seen is that in Q1, we saw May, June or primarily May mid and June we saw a sharp drop. From then to now, we have seen a drop, but not that bad against Q1.

As we've called out in the letter in that from last one to two months, we see a volume little bit on a stagnant side or flattish. So, we hope that we should not see a big deterrent from here. As you've been seen that even earlier just to follow-up that, while the ILD SMS channel could be dropping, but we are trying to see an alternate source to WhatsApp where we continue to gain

the market share, right. So, I would believe that we should have seen worst from an ILD and international perspective but yes, we can't say it is done, but I don't expect a significant downside from here.

From an NLD perspective, the volume continues to grow. We have seen how UPI volumes have grown up. So, from an NLD perspective, we continue to see a volume growth from a market perspective, and we believe we're only gaining market share there. Deepak, if you want to add something on this.

Deepak Goyal: Yeah, Abhishek. So, I agree with you as far as ILD is concerned, you already stated. But on terms of overall growth, what we are seeing is, we have a large chunk of existing enterprise customers. We have present in almost 70%, 80% of the customer, where the CPaaS business is getting originated. And, currently, what we are doing is we are penetrating with RCS and WhatsApp and Truecaller to these customers.

And you would see in going forward basis that our wallet share is getting increased at these customers, which is definitely a very big growth lever for us. We're going to focus on that. Also, your earlier question was if WhatsApp is cannibalising SMS volumes. Yes, there would be some sort of cannibalisation, but that is good for overall, goo

d for the industry, I would say, because a lot more new use cases are getting opened up with WhatsApp and RCS and Truecaller.

So, while there could be some sort of cannibalisation, but there'll be a good amount of growth would be coming in overall volumes, because customers are clearly seeing ROI through these channels. And our focus is on omnichannel experience to the customer. And that is really you would see in the coming quarters; it is where you would see a lot of growth coming in.

Amit Chandra: Okay. And then in the Platform segment, obviously, ex of the Vi deal, the growth is there about 16%, 17% Y-o-Y. But in terms of the journey that we earlier alluded in terms of reaching say, ₹100 crores run rate in new products, obviously, we have won some deals on the ATP side. But what is the thought process there? Are we on track or like or we need some more innovation there? And also, in terms of the intangibles also there is some sharp increase in the intangibles in the balance sheet. So, if you can also allude that this is largely related to some like newer products getting into the monetisation stage.

Abhishek Jain: So, Amit, hi, Abhishek here. So, you're right. I think the vision continues to be the same. We're very, very positive on platforms and couple of platforms that we are already in cashing in ATP that you've heard. So, Wisely, MaaP, this is on RCS side, the Trubloq, which is our home-grown platform has been doing very well.

Coming back to ATP, we had signed one large contract earlier in quarter one and we signed another one in quarter two. And with the focus that we see from TRAI and DOT, to protect users both from spam and scams only elevate us in terms of where we stand. One of the large Telcos also launched recently an anti-spam solution, which has also raised awareness, and from there on we see even more larger interaction from the banks on it.

So, it certifies us in terms of our early on production and gain towards ATP that we have seen where we not just need to find the scam, but also the scammer, right. But yes, the price discovery and the contracting process is little bit longer, but our vision to take the platform to an ₹100 Cr run rate, which we have called earlier remains intact. Rather once we see a success and couple of good customer success story here, we would like to take it to international as well, but it's too early to comment on that, right. So that was on the platform. Second, on enhancements, you're right, since couple of platforms has been under development, under progress, few we have called out is very difficult to call out at this stage and that's why you see some increase there. We do expect some capitalisation to happen in next one or two quarters as some of the

products that where been progresses already converted to POC and is in implementation stage. So that's where we are.

Uday Kumar Reddy: But Amit, let me add couple of points on ATP, okay. Sorry, Uday, here. We were the first one to recognise the problem statement in India, okay, back in probably 2022, okay? We're the only one who has recognised this problem statement. Secondly, we not only recognised the problem statement, but we also came up with the solution, okay, right? And we have deployed this platform with ViL, and we demonstrated this impact with all the regulators and watch that's in India, okay. But people are very apprehensive about using the AI and ML models. They're not

very clear, regulators are not clear, telcos are not clear. But with the launch of Airtel, Gopal has launched the platform maybe on the voice couple of weeks ago and it has really gone very well. So, what we're really trying to say is, since now Airtel has come out with this platform, it will help us address these issues. O

ne, the problem is big, so that Airtel is the first one to identify that and acknowledge it by launching the solution and they're are using the AI and ML model. So, they got approval from the regulators. So, with this background, we should be able to accelerate our GTM on ATP.

Amit Chandra: Okay, thank you and all the best.

Uday Kumar Reddy: Thank you. Thanks, Amit. Thanks

Operator: Thank you. The next question is from the line of Balaji from IIFL. Please go ahead. Balaji, your line is unmuted. Please proceed with your question.

Uday Kumar Reddy: Let's move ahead.

Operator: We'll move on to the next question. Yes, the next question is from the line of Deepak Chokhani from Reed Capital. Please go ahead.

Deepak Chokhani: Hello. I've got two questions. The first question is out of the Enterprise and Platform segment, which segment you think will drive the growth more or which sector is in your view for the next one or two years is going to give bulk of the growth? And second question is, when do you think that Middle East mergers can happen? Thanks.

Uday Kumar Reddy: So, Deepak, couple of things like, so, I think both the platforms and enterprises are growing. And in fact, platforms to certain extent are growing on the back of our enterprise business, okay. I'll give a couple of examples here. Whenever that SMS, the volumes go up, okay, the Trubloq is the first beneficiary of this one. So, they have to go hand- in-hand. And as of today, enterprise business is very, very large and relatively the Platform business is smaller. So, it's difficult to say, but both are our growth engines and they're not growing at the cost of other side. They have to grow hand- in-hand. So, our focus is to grow on both engines. There is no doubt about that. That's number one. Number two is on ValueFirst. We have an agreement to go up to March 2025, where we're going to settle with outgoing management by end of March. Do you want to add on that?

Abhishek Jain: Yes, just to add on that, I think the question was when the Global will be integrated. So, I think we are still awaiting regulatory approvals. As soon as the regulatory approvals are in place, we should be able to integrate pretty much. We are in constant touch with authorities and the old owner is clarifying all the doubts they have. It's more of a simple name change and so forth. As soon as we get it, it should be integrated. We hope to get that done this quarter, but sometimes it's very difficult to give a clear timeline.

Deepak Chokhani: Got it. Thank you so much.

Operator: Thank you. The next question is from Balaji from IIFL. Please go ahead. Balaji, your line is unmuted. Please proceed with your question.

Balaji Subramanian: Okay. So, thanks for taking my question. I had a couple of questions. So, first is on the CTA whitelisting through Trubloq that you have mentioned. So, what is the revenue model here? I mean, is it one-time in nature? And is it fair to expect any meaningful revenue from this? The second is also related to the statement that you made on 98% of all whitelisted URLs having been processed through your Trubloq platform. So, this would be, again, how is this well above the 63% market share that you have in Trubloq? Is it because, it will be for, you'll be doing it for different enterprises and the 63% is your share from a telco perspective. So, I was just trying to get some colour on that.

Uday Kumar Reddy: So, Balaji, it's a very good question. Let me first answer on CTA registration and the monetisation model like, okay. When the regulation came, and we already have one month time to roll out and it came in all newspapers and then all the enterprises have reached out to us, and we quickly innovated it and launched with all telcos. So that's a big achievement right now, right? So, our priority was to enable our customers, our enterprises. So that's number one.

Number two is, yes, sometimes what happens is like some enterprises are, so this platform is used by, I mean, this platform is deployed with most of the telcos and sometimes what happens is not necessarily each and every enterprise is using our platform to push their SMS. But when it comes to this kind of challenges like, they kind of reach out to us, we always help them to register on the CTA, but there our customers are not really matter to how it matters, but at the end of the day when they reach out to us, Deepak and rest of our team they always help them to register and help them to comply with the regulation. That's what we did it in 2019 and when we launched Trubloq.

Again, this is how we did it given the CTA registration. So definitely more than 98% of CTAs , which are registered as of today also registered on our platform. It shows how committed we are to help our customers to comply with regulations, right. When it comes to monetisation, like we were not giving a lot of time to think on those lines and we have not yet monetized as of today, but we can't rule out in the future. But right now, we have not yet monetized.

It's difficult to quantify like whether it is really important for us to roll out etc, etc, but at the end of the day, with this CTA registration, Deepak is the right person to comment on that. Probably, we might have more traffic. So, Deepak, do you want to add here?

Deepak Goyal: Yeah, Uday. So, Balaji, how it works is that it actually establishes our leadership position over here that we are the first one whenever, and be on the right side of the regulatory, there's a regulatory, the TRAI came up with this guideline. No one was ready. We were the first ones to roll it out and to ensure that, you must have seen a lot of news articles are coming in the newspaper that, the whole SMS would get disrupted and stuff like that.

But nothing of that sort has happened. That is primarily, because we were able to roll out before anyone else and able to provide a kind of confidence to our customers, that you are in the right hands. So that actually helps us in to ensure that our customers are sticking with us, and they are, in the future they would give us a larger wallet share, right? So, this is what our CTA whitelisting solution has done so far.

Balaji Subramanian: Okay, got it. Thanks a lot, and all the best.

Deepak Goyal: Thank you.

Operator: Thank you. The next question is from the line of Yash Mehta from Arth Venture

Yash Mehta: So just two questions. I wanted to ask that we have registered a growth rate of 4% in the first half of this year. So, will we be able to surpass this growth rate in the next two quarters? And will there be an EBITDA margin improvement in the next two quarters?

Uday Kumar Reddy: Mr. Mehta, right now we would like to stay away from making forward-looking statements I like let's hope for best.

Yash Mehta: Okay, all right. Thank you.

Operator: Thank you. The next question is from the line of Brahma, who is an Individual Investor. Please go ahead.

Brahma: Yes, thank you. In digital platforms, what is the revenue we booked in quarter two from Vi? And will there be any revenue again booked from Vi in quarter three? Or can we expect the similar growth of 15% to 20% in digital platforms in Q3?

Abhishek Jain: So Mr. Brahma, hi, this is Abhishek here. Are you referring to the ViL firewall deal.

Brahma: Yes, the business which we have with Vi and which we have winded up, okay. To what extent it is included already in Q2?

Abhishek Jain : So, the last revenue that we had was for Q4 last year. There was small number in Q4. In Q1, Q2, both we have

zero revenue from ViL firewall. So, we don't see any headwind because of that going forward.

Brahma: Okay. So, because I've seen somewhere the statement given as it is normalised to 16%, wherein it actually de-grew by 7.7%.

Abhishek Jain: So that was the reference for year- on-year. Last year in quarter two, we had close to ₹20 Cr as part of our top line and margins. That is not there in the current quarter. So, if I normalise for that, we would have grown 16% gross profits.

Brahma: Okay. So, can we expect the lineup growth of about 16% to 20% in digital platforms in Q3 also? Or my other question was with the Axis Bank which we closed the deal. Will there be any revenue recorded in Q2 or will it be reflecting in Q3

Abhishek Jain: So, on the first question, it's difficult to comment. As Uday said, we will avoid giving a forward-looking statement. Only we can say that we feel very, very robust in terms of the platform that we have developed and are developing. Second, from an ATP perspective, yes, the second customer that we have signed was mid of the quarter. So, we did get partial revenue in quarter two. The full quarter benefit should flow through to us in quarter three

Brahma: Okay. Do you mind quantifying it or again you would want to avoid that?

Abhishek Jain: I think, we have not disclosed that. So, we will avoid that.

Brahma: Fair enough. No issues. Thank you so much.

Abhishek Jain: Sure. Thank you.

Operator: Thank you. The next question is from the line of Gopinath Chopta, an individual investor. Please go ahead .

Gopinath Chopta: Hi, good evening, everyone. I wanted to understand an outlook on the MaaP platform. I mean, more in the sense of what the management team thinks of its potential. And let's say, you consider Truecaller partnership and MaaP in four quarters from now, which platform do you think would perhaps add more to the bottom line, right? That's question number one.

And the second question that I have is, is on the international expansion. And in the last five quarters, we've more or less in the top line stagnant. And, I mean, do the management think the future growth is dependent on how we expand internationally and how soon can we expect international markets to contribute meaningfully to the bottom line?

Uday Kumar Reddy: So, Gopi, couple of things without attracting the forward-looking statements like, all I can say right now is you can expect some news in the next couple of months on both on MaaP platform

as well as on the geography expansion like. So, we have been working on both the trends for the last one year, and let's hope our best. I don't want to give any, I don't want to make any forward-looking statement, but let's hope our best. And all I can say right now is our MaaP is going to be big and RCS and as a channel is going to be big.

Abhishek Jain: And so, we are investing a lot of our time and money behind our MaaP platform and RCS as a channel. And just to add from an RCS perspective, it's a rich media we have seen from a promotional messaging perspective, it's very, very good. We have started seeing many use cases in terms of delivering visitors to PDF and so forth, right. So, we are seeing a good traction in domestic market and as Uday just pointed out, we do wish to expand it and take it further from here.

Gopinath Chopta: Got it. Is there any sense of when the international markets could meaningfully contribute to the bottom line, is that something, I mean, at least not as you're able to look at in the next five quarters or so?

Abhishek Jain: So, I can only say that two things, right. One, the OTT channels are very, very promising. So, from a domestic market perspective, we have while the SMS volume is growing. Our ultimate focus as well has been on developing and on growing our OTT channels and the platform business.

On the international markets, I think it would be difficult to talk anything further than what Uday just said. We're all invested in; you would have seen the investment that we have been making out in these areas and it takes time to set it and generate a meaningful revenue.

Gopinath Chopta: All right. Thanks a lot for answering the question. I wish you all the best.

Abhishek Jain: Thank you.

Operator: Thank you. The next question is from the line of Dhaval Jain, an Individual Investor. Please go ahead.

Dhaval Jain: Hello?

Abhishek Jain: Hi

Dhaval Jain: Yeah. I just wanted to like, I have been on the call, and I thought you were going to be able to get forward guidance is on the revenue decline. I just wanted to know because we have been stagnant in our revenues for almost four quarters now and it's an achievement that we have been hitting on ₹1,000 crores marks. All right.

So, I just ask you that on a financial front of ₹44 crores of employee expenses have increased to ₹54 crores. That's almost a 20% jump in the employee cost, and that has led to a margin dip of 2% I see. So, unless and until we are not doing a revenue growth, if it's fair enough to understand that our margins will decrease further or it's going to stay constant?

Abhishek Jain: So, Dhaval, I think growth is our priority, so we'll continue to hunt. I think Deepak, Uday and all other leaderships are properly focused on growth, without growth, no company can sustain margin that is for sure. So, I think our prime focus is definitely growth and a profitable growth.

Coming back to margin, if you see our gross margin, the gross margin has been a narrowband of 26% to 27%. We dropped despite VIL network impact, which had an impact of 200 basis points, our margin has been able to sustain with narrowband as I said, right. And we saw a slight dip of 60, 70 basis points quarter-on-quarter.

Having said that, we continue to focus on growth, and hence that would help us sustaining our gross margin. Coming back to indirect cost, it's a conscious investment that we have made. We're doing our investment on both market and product solution, newer OTT channels to fuel up

future growth, right. So those are the investments that have been consciously being made by the management. But as I said, our prime focus would be a profitable growth and our entire focus is.

Dhaval Jain: Another follow-up question. I see that trade receivables grow consistently. So, I think the March of FY'24, we had ₹842 crores of trade receivables., but we see 20% jump in trade receivables as well. So, I just wanted a more clarity.

Abhishek Jain: Sure. I think Dhaval, the reason for two reasons, right. One is from the shift of international business to domestic. We've generally seen international has a lower DSO Days. So, their collection is much better in international markets. So that is one reason.

Second is, if you see our cash have been ₹705 crores despite giving a dividend during the last quarter. We did see some delays in getting the POs and hence collections getting spilled over to next quarter. We have almost collected ₹150 Cr plus by 15th of October and so forth. So, I think it's more to do with the mix of business moving from international to domestic. I think we should see a good collection this quarter. I'm not too much worried frankly about it.

Dhaval Jain: So just the last question, I'm not again trying to ask your forward guidance. I just want to understand that our trajectory of our company has been phenomenal in the last five, six years of the revenue growth. I just want to ensure that going forward, are we going to stay on course, an

d how are we going to move, how is it going to plan out, because now we have reached ₹1,000 crores of constant revenue in a quarter. So, going forward, so with the revenue run rate, be like ₹1,250 crores per month per quarter of the revenue or do we have some target on that?

Abhishek Jain: So, we do have our internal targets and as I said earlier, it is difficult to share forward-looking. But I can assure you that we are not sitting complacent, right. I don't think our ambition is to be at where we are today. Our ambition is much beyond what we stand today. Entire focus of Deepak, Uday and the leadership are towards growth, as I said. So, I would not be able to reveal any other numbers from here, but definitely we are much more ambitious than what the number reflects as we see.

Dhaval Jain: All right, sir. Thank you so much.

Abhishek Jain: Thank you.

Ritu Mehta: Thank you, everyone. That was the last question for today. In case we could not take your questions due to time constraint, please feel free to reach out to Investor Relations team. Good evening.

Operator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2025

Date: January 28, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Sir / Madam,

Subject: Transcript of Earnings Call for Q3- FY'25

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter and nine months ended December 31, 2024 held on Wednesday, January 22, 2025, at 4:30 PM IST.

The transcript is uploaded on company's website on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Kindly take the same on record and disseminate on your website.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

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SESHANURADHA CHAVA
Date: 2025.01.28
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Tanla Platforms Limited
Q3FY25 Earnings Conference Call Transcript
January 22, 2025

Call Duration § 39 minutes
Management § Ritu Mehta - Head of Investor Relations
§ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
§ Deepak Goyal - Executive Director & Chief Business Officer
§ Abhishek Jain - Chief Financial Officer
Participants that asked
the questions § Deepak Chokhani - Jade Capital
§ Sharad Kohli - Individual Investor
§ Amit Chandra – HDFC Securities
§ Tejas Shah - Laser Securities
§ Aashish Gupta - AG Capital

Operator: Ladies and gentlemen, good day, and welcome to Q 3FY25 Earnings Conference Call of Tanla Platforms Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta. Thank you and over to you.

Ritu Mehta: Good evening, and welcome to our Q 3 earnings call. Joining us with today are Uday Reddy, Founder, Chairman, and CEO; Deepak Goyal, Executive Director and Chief Business Officer; and Abhishek Jain, CFO. Uday will share his perspectives on business imperatives and strategic progress made. After his opening remarks, we'll be happy to engage with participants and address their questions.

Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements, other than the statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risk and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available.

I now hand it over to Uday for his opening remarks.

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. A very warm welcome and thank you for joining this call. I wish you a very, very happy new year to all of you. I'm sure you had a chance to go through our investor presentation and my letter, which are very detailed. Let us straight away get into our Q&A, the management team, and I will be very happy to get into more details in the call. Ritu?

Let's move into the Q&A. The management team and I are happy to answer any questions. Ritu let's open it up.

Question-and-Answer Session

Operator: Thank you very much. We'll now begin the question-and-answer session. Anyone who wishes to ask a question may press * and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue you may press * and 2. Participants are requested to use handsets while asking your question. Ladies and gentlemen, we will wait for a moment, while the question queue assembles. Participants you may press * and 1 to ask a question.

The first question is from the line of Deepak Chokhani Jade Capital. Please go ahead.

Deepak Chokhani: Good evening, Uday and everyone. I have three questions. First is how long before we see industry tailwinds to do away with and how do we plan to grow our revenues? That's question number one. Question number two is VF International acquisition. When do you expect the approvals? And the last question is how do you plan to deploy the cash? Thank you.

Uday Kumar Reddy: Abhishek, do you want to take this?

Abhishek Jain: Sure. Thank you for the question, Deepak. Let me tell you on the growth story side. We are seeing evolving market right there. We continue to see a good volume growth from an NLD perspective. Of course, it's a very, very price sensitive market. So, we do

see dynamics in terms of playing out and it is not reflected in our top-line. But as we see certain stability or come back on the pricing, we should see the growth momentum also building up. That was more from an NLD perspective. International business, especially ILD, continues to be impacted. And hence, if you see our enterprise business overall was a little sombre. But on a positive side, if I have to talk about it, OTT business continues to really do well. The contribution from 15% to the overall revenue has moved to 23%. All the challenges, whether it be WhatsApp, RCS and anything that I missed is doing phenomenally well. RCS has seen a 4X growth. We were recently awarded as RCS growth partner of the year award. And, WhatsApp has also shown a good resilience despite the pricing correction that we saw from last quarter, where we had a full quarter impact this quarter. We see a good growth momentum build up as well in that.

So overall, I would say, it's an evolving market, it's very difficult to predict for me to say when we see the industry moving out. I can only assure you that we continue to maintain the market share and our market share in terms of the volumes and in terms of penetration, both from an OTT channel continues to be robust.

Your second question was on VF International. I think we are also waiting for that D-Day, we have approached RBI and other regulatory authorities for the necessary approvals. We don't want to call out the date, but as soon as we get the approvals, we will inform to the stock exchange and to the other stakeholders.

The third question was on cash. Yes, I think we are proud to say that we had a solid run both from the sales and finance and other teams supported to generate a solid cash flow this quarter. We had free cash flow of 180% of the PAT, which was highest in last few quarters. We have two plans. I think, A, we will continue to invest in the innovation and the talent, which is more organic investments. I think Uday have spelled out earlier and we continue to innovate ourselves and we will continue to focus and continue to invest in that area. Second, our capital allocation policy which is 30% return to our shareholders continues. Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. We have declared an interim dividend of INR 6 per share, which should be credited soon. And third, we will continue to look for an asset whether be organic, inorganic in

investments. We will continue to look for an opportunity. So those are the three, I would say, three areas where we'll continue to invest.

Deepak Chokhani: Right. Thank you so much. All the best.

Uday Kumar Reddy: Thank you.

Operator: Thank you. A reminder to all participants you may press * and 1 to ask a question. The next question comes from Sharad Kohli, who is an investor. Please go ahead.

Sharad Kohli: Hi, guys. I have a few questions here. The first one is, you guys talked about OTT volumes going up, but unfortunately there's like almost a fight to the bottom, right? So, we have the telcos that are now getting into the space, where Bharti's been there for a while. They've been facing now competition from the OTT guys and OTT guys are cutting their prices. So, unfortunately, we are price takers, right? So, what is your perspective in terms of when does the bleeding stop, right, because I don't see an end to this, right? And so that's my first question. Let me be more specific on that question like where would you see a trigger point, where the OTT players, because to me, it's such a – when you look at a player like WhatsApp, it is such a small market for them in terms of the overall business that they do globally, right? So, if when I look at this whole market, I don't see, like, why would they stop at this 30% correction in pricing that they did the last quarter, like, why wouldn't they go lower to get more

business in India, right, and then kind of cut off Bharti's legs and stuff, right? So, I'd

like a more thoughtful response on that. My second question has to do, I know, you made a comment on free cash flow. I mean, it was great this quarter, but I'm guessing that's because of all the cash that was held up by VIL. And now that we are no longer the clients on this front, it's 183% of PAT. But if I look at the last two quarters, we had recovered 40% and 46% as a percent of PAT. So, we were lower than historic numbers, which are closer to 85% to 90%. So, I think this is just playing catch up. And on that point, on the dividend versus share buyback, I think it's great that the stock is corrected. But I really think a good capital allocation, at least from a shareholder perspective, I mean, as a shareholder perspective, end up paying 36% tax on dividends that are come, right? So, I think, if you look at all the players globally, who do a good capital allocation, they buy back their stock, if they think the stock is undervalued, they buy back the stock. And specifically in the case of India, if you bought back your stock as a shareholder, I could exit the stock and pay the 20% or 15% long-term capital gains tax – sorry, 12.5% long-term capital gains tax, as opposed to paying 38% tax on dividends. And that should apply to all shareholders, including the management as well. And finally, I had a question on the balance sheet. There was a massive increase in the platforms internally developed number, right, it went up from INR 85 crores to INR 146 crores. So basically, we are essentially capitalizing all of our expenses of development, where if you look at global platforms, they typically expense it, right? So, obviously, I can make two arguments here, which is that – I want to understand the logic of doing this every quarter, because normally there would be a balance between capitalizing everything versus expensing it. And when you capitalize something, you're kind of overstating your profits. So, if you can shed light on the reason why everything is being capitalized, and the number jumped up by almost INR 62 crores here in one quarter, so I'd like to better understand, and I know the MaaP platform came into being and that's why this was capitalized. But I'd like to understand more the logic between capitalizing versus expensing. That's it. Thank you.

Abhishek Jain: Sure. So let me take the question from backwards and the

then I'll ask Deepak to help me

answer on others. So, let me take your last question, right? The last question was on the balance sheets. The way to read is that we are a fast company, right? And we have two arms. One is enterprise business and second is the platform. Enterprise business, whatever we do, as you rightly said, is not a made for long-term, it is for here and now, which we are serving for our customers and none of those expenses gets capitalized, right? Which is the core business, or I would say, a significant portion of the business. Second portion of the business, which you call out as a platform business, is for future, right? So, we are developing a platform which needs to be used for perpetuity – I won't say perpetuity, but in some sense for a very, very long period, right? A very good example of that is the SMSC and the Trubloq that we installed in 2018-2019, which is still being used without any major upgrades, right? So why asset is being put to use now, it takes a certain time, say, maybe 6 to 9 months to develop a platform. And when we are developing a platform, any SaaS based company, I'm sure, take it to work in progress. And once we go live, we capitalize it. So that has been our philosophy.

We see a big uptick in the capitalized value, because MaaP, which is one of the successful RCS platforms for us, has gone live. We have seen a very good uptick in the volumes. We touch a billion volume in a month after we go live. And hence, you see a higher calculation that you see in our books. But we have a very clear philosophy of what to be capitalized and what not to be capitalized. And very clear called-out depreciation policies, which get some more times of the period and is very clearly stated in our financials and all relevant areas that you would like to see.

Second question was on free cash flow, right? I think it's not fair to assume VIL deal, and we've got a catch-up collection. I don't think so that's the right thing. This quarter, I don't think so other than the normal business that you would have done with the partner you mentioned, any catch-up we have got from a cash commission. I

think I would say, yes, you're right, that on a YTD basis, in H1, the free cash flow percentage was left. But there's no one-time major long outstanding payment that

got collected has impacted our free cash flow.

We do see some kind of a little bit of seasonality, some kind of delay. And hence, even if I take on a YTD basis, it would be roughly approximately nearly 90% of our PAT, which we have delivered at the free cash flow from a full year basis, right?

The third, I think we'll put the position on dividend and buyback, which is return to shareholders. I think buyback, if I understand correctly, is not anymore same tax efficiency or tax policies. I think the regulation has changed mid of this year. Having said that, we do keep evaluating this every quarter with our Board, and we'll take your recommendation, we'll decide whatever Board recommends, we'll take it forward. And the first one, on OTT channels, and maybe I'll help request Deepak to help us here. Deepak, if you're there.

Deepak Goyal: Yeah, I'm there, Abhishek. So, on OTT side, I would like to say that yes, there is WhatsApp did reduce the prices for utility messages. But they also increase the prices for promotion messages. And today, WhatsApp's more than 85% of the revenue comes from promotional and marketing messages, and only 15% to 17% coming from utility messages. So that's the split. Having said that, we should also remember that most of the utility messages are transaction messages, which are getting transacted in India today. Most of them are regulated. Whether

it's banking, or it is insurance sector, or it is SEBI, the market alerts and everything. So, these messages cannot be replaced by any of the OTT players. So there, the SMS is going to stay. So, it's no threat from OTT channels over there.

But other than the regulated message, yes. So, there is a play in transaction side. But there's a very big play on the marketing side. And that's where we are working. So, as Abhishek mentioned, it's not just about Meta. We are working very closely with Google. That is our next big thing. And we are seeing huge growth over there. And price wise also is quite competitive compared to Meta.

Customers are very happy with the kind of response they're getting and the ROI they're getting. We are building a lot of solutions around that. And currently we are creating stickiness, not only from the backend side of it where we have Tanla's MaaP platform deployed with the telcos, but we are also building a lot of solutions on top of it, so that we can have a huge stickiness with our enterprise customers, and they see the real value over there.

So, if you really asked me a few months from now, we would see a huge, not only growth, but our market share is also going to increase in a big way.

Sharad Kohl: Can I follow up with those responses, please?

Deepak Goyal: Sure.

Sharad Kohl: Okay. So, first thing, since I have Deepak who just responded, so Deepak, my first question to you is, in terms of market competitiveness, right, I know that you're saying, so my first question is the MaaP platform, is that exclusive to you guys? Like, what is stopping, a Route Mobile, or Bharti, or Gupshup, is this exclusive deployment for Tanla on the telcos platforms? Or can those guys develop their own MaaP platform and also have their base set up with the telcos?

Deepak Goyal: Uday, you would like to take this?

Uday Kumar Reddy: Yeah, it's not exclusive partnership, like, as you rightly mentioned, Sharad like they can develop on their own and deploy. But having said that, I have not seen any telcos developing the platforms in deploying on their own.

Sharad Kohl: Yeah, because I'm just looking at the word which Deepak said stickiness, right? It's for

stickiness to be there. I mean, unless it's exclusive, tomorrow, like, people come in undercut pricing and all that stuff.

Deepak Goyal: Sharad, stickiness most of more – see, I tell you, okay, let me explain. So, when we talk about MaaP platform, it gives us end-to-end visibility, right? So, we are in control of our entire messaging journey, right? So, we have a full control over it. And the stickiness comes when we have our solutions built over it. And customers are tightly integrated to that. Let's say, for example, we are doing for a couple use case for metro rail, right? So, once you are there, you have closed a customer. And there are a lot of journeys we build. So, customers are going to move away. I mean, we have recently Axis Bank, they were very happy and we are building a lot of journeys for them. So, they are not going to – because it's going to be a huge task to move to someone else, right? So, we are integrating a lot of such journeys, a lot of such use cases on RCS and on other OTT channels, which is going to give us huge stickiness. And as far as enterprise customers are concerned, they would see the value over it, they would get beyond a point, they don't want to see a price or price they're paying, they will see what ROI they're getting on those channels.

Sharad Kohli: Okay, let me just be more direct, right? So, I'm just like tracking this for, I've been with you guys for 9 years now, right? And there's been literally

no growth, the only growth that's really come from and I get the whole argument volume versus pricing and all that stuff. I've been long enough in the stock and this industry globally to understand how this works, right? My only concern is that this is typically our best quarter, and our numbers were very disappointing, right, and I understand investments made in employees and all that stuff.

It's actually a very simple question like what triggers are you going to look for or are you going to be looking for? So that I have a better understanding where you say, okay, I think the bleeding is stopping and this is more a general question. It's obviously not in your control and I understand that. Like when do you see the industry players like stop totally like saying, okay, let's stop screwing everybody over and let's like to press the stability. Do you see that in the near future, or do you have no visibility on that?

Uday Kumar Reddy: No, Sharad, let me answer like in the sense that I'm also going to give a direct answer like we're not in control of the industry, okay, right, and the telcos are involved, tech giants are involved, right, the enterprises are involved, everybody's involved right now. We are not in control of everyone, right? So, the price war happens in a number of times. This is not the first time, right? So, we don't know when it's going to stop, which is not in our control. Let me be very, very clear here.

Sharad Kohli: Okay. But is there something which – sorry, go on.

Uday Kumar Reddy: Your voice is cracking, Sharad, come back.

Sharad Kohli: Yeah, but I mean typically you would get some sense, right, in terms of discussions either through your take rate and stuff. I mean, is there an argument to be made that you guys are delivering a certain service, right? Like in terms of getting on these servicing guys, making sure the promotion is going up. Is there an argument to be made that your take rate goes up to make sure for the shortfall in pricing cut? Are you guys in a position to have that conversation with WhatsApp and other players that,

“Hey, listen, instead of getting a 20% take rate, then you go up to 25% to kind of you guys are still providing a service, right?” Is there enough length or strength you guys have to have those discussions?

Uday Kumar Reddy: Someone like WhatsApp, like in the Meta, all the decisions are made at headquarters, and also there is a global pricing policy. They're not targeting just for India or some parts of the world, right? So, it's a global policy. So, we don't have any preview to WhatsApp strategy but having said that they always talk to the large players like us to get the feedback, but it is up to the meta how they want to implement their strategy.

Sharad Kohli: Okay. And just a follow-up question for Abhishek. Abhishek, how does that INR 85

crores going up to INR 146 crores? That's 62 crores, right? I've asked this question in the past. And your comment on SaaS platforms, that SaaS platforms do capitalize. Yeah, SaaS platforms do capitalize, but they capitalize the tech part of it. So, I had asked these questions about 2 years ago. What percentage of this capitalization is actual tech versus employees? What is the split?

Abhishek Jain: Okay. So, there are two things, right? One, any platform that you deploy would have, A, hardware; second, licenses; and third, employee cost would be fully integrated to develop the software, right, of those platforms. Now, it would be unfair that we will capitalize only in hardware and software, and not the muscles behind the mind who is creating that platform. So, what, as I clearly said, the enterprise business has zero capitalization, which is run the mill which is both Karix and ValueFirst from an enterprise perspective. While Tanla is primarily focused more on platform

and SaaS,

were only R&D team working on the platform business, those employee costs to the extent they are deployed and working for the platforms are capitalized. For example, any corporate support, any customer service team, those employee costs are not capitalized at all. Now, you see this as a bigger number, because, as I said, any platform, all platform takes a cycle of 6 to 9 months to develop and get deployed, and that's why it looks a little bit of over number, a bigger number. But just the example that I gave right now is a very classic example of Trubloq, for example, which has been deployed for the last 6-plus-years, right? And we have hardly had any major upgrade post that barring some silos and so forth. So that's how we have to see it, frankly.

Sharad Kohl: That's fine. And my last response to you on the comment you made on buybacks, I completely disagree with you on that part. I mean, I've been in this market for 25 years, I ran a fund. Buybacks are done when management thinks...

Uday Kumar Reddy: Sharad, it's late. Let's allow others to ask the questions, right?

Operator: Thank you. Our next question comes from the line of Amit Chandra with HDFC Securities. Please go ahead.

Amit Chandra: Yes, sir. Thanks for the opportunity. So, you mentioned that we have seen the impact on the ILD volumes, as there has been a shift to WhatsApp. So earlier in earlier calls, you mentioned that most of the ILD volumes now are no critical volumes, and the shift has almost stagnated, or it has been stabilized. But we are still seeing the shift happening. And also, if you can give some more colour in terms of what proportion of the ILD volumes, you still see that as a risk of shift happening to WhatsApp. And also, if the shift happens what kind of gross margin impact we see, because in general ILD is high gross margin in terms of absolute margin versus in WhatsApp what we make is lower absolute margin, because of the pricing difference? And, secondly, we have seen scale up on the WhatsApp OTT side, but because of the pricing impact how it has impacted the gross margins, because we have seen the gross margins for the enterprise business also coming off?

Abhishek Jain: Yeah. Hi, Amit. So, you're right, we have called out earlier that we have only seen the bottom of out of ILD business. But that's why we will not comment on the timeline out of give a revised hope. So, we do believe that there's nothing further substantiate left to see a further drop out of here. But it's very difficult to call out considering what we saw in the last couple of months, right? And, especially, I do remember that in last quarter or Q1, I have called it out. But this is not what we see. Having said that, what is at least good in some extent is that while we see ILD volume is coming down, it is to some extent getting either compensated through an OTT channel shift or through an international market. So, we are able to maintain and sustain the overall revenue top-line to a very narrow range, because of our international business and also the OTT channel shift. Second one, gross margin. If you see my gross margin has been a narrow range, right, we still deliver 26% gross margin, despite ILD dropping significantly year-on-year, right, and not just quarter-on-quarter. So, I would say, instead of getting to what the price scenario would be, because even WhatsApp is evolving from the pricing point of view, their structure point of view, I can only say that our endeavour would be to sustain at a similar level of gross margin at overall

level. And, I think, I don't see any reason why we should significantly lose that even in the near future.

Amit Chandra: Okay. And you said that the pricing impact has been at this quarter. So, the shift of volumes in terms of lower pricing is already there in the quarter. So, from here on, from the next quarter onwards

, we can see the volume growth happening that is there on the WhatsApp channel. That is reflecting on the WhatsApp revenue. Or still you feel that there is a pricing risk score, some kind of adjustment on the WhatsApp side. That is first.

Abhishek Jain: Amit, your specific questions...

Amit Chandra: No. On the enterprise side, X of WhatsApp, the fall has been very steep, obviously it has been because of the ILD decline, but despite the domestic volume going up, so the ILD is causing a lot of pain for us in the last three, four quarters. So, obviously, you explained that. But, on the WhatsApp side, obviously we have a lot of triggers, but what was the volume growth, if you can give some clarity on that, so that we can get a picture on how the growth will depend on this like next quarter in terms of volume growth?

Abhishek Jain: So, I think it's very difficult to segregate these pieces, right? I can only tell you a couple of things, right? OTT as a channel continues to really do that, right? Our share from OTT channel at 15% moved up to 20% at the first of the year. And Q3, we are at 23% at the overall mix. I don't see any reason why between RCS and WhatsApp and other challenges within OTT, why will they not continue to grow? I think one of the growth trust areas, OTT for us, and we do strongly believe that both WhatsApp and RCS will continue to do well. It's difficult to segregating what would be the volume growth versus drive and so forth. But as we speak, we are able to create a lot of new use cases, we are able to create a lot of promotional differentiation, even in various OTT channels that we are working with our customers. And we are also trying to create an agnostic platform or agnostic solution for our customers where they can hook in and choose what channel that they want to use. So, I think, OTT will continue to be promising, including WhatsApp. Your second, yeah, so I think that's what was your overall question. Did I miss anything, Amit?

Amit Chandra: No, thank you. I will be back in the queue. Thank you.

Operator: Thank you. The next question comes from Tejas Shah with Laser Securities. Please go ahead

Tejas Shah: Yeah. Hi. I just wanted to understand, we are always trying to – if we see the presentations, we are always saying, okay, if we had Vodafone, then the business would have grown 18%. Now the Vodafone, I think we have lost that client, correct?

Abhishek Jain: Yes. That's correct. Just to clarify, why yes, you're right, Vodafone revenue, which was the VIL firewall deal, it's not clubbed the entire Vodafone because we still continue our strong relationship. But the firewall deal that we lost do not have revenue based both in quarter 2 and quarter 3, which means quarter-on-quarter, there's no impact effect. Having said that, Q3, which is the same quarter last year, we did have INR 14 crore, INR 15 crore worth of business with them. And hence, to do a right comparative reflection, we do call out that number saying, if I keep X of Vodafone, our growth rate would happen in this. Now, of course, I do understand investor sentiment to that matter, Vodafone is no more associated from a deal perspective. But just to bring a clarity to our investors and to shareholders, it becomes important for us to discuss.

Tejas Shah: Okay. And do we see our margins going up again or this will take around 2 or 3 quarters more?

Abhishek Jain: So, gross margin if you see had been in the narrow range, if I see last 12 quarters, we have been in the range of 25% to 26.9%, right, so we have been in that bucket of 25%

to 27% I would say. I don't see and I do believe that while I don't give a forward guidance just to reflect on it that we believe it should be in a narrow range from a gross margin perspective. When it comes to PAT in indirect cost if you see this time we were significantly impacted by one-time Forex loss,

which is the Euro currency depreciating significantly. We believe and if I go back for a longer period that Forex has neutralized over the period of last 4 quarters prior to Q3. So, I think those in fact, the Forex in fact at least should not be there next quarter is what we believe. And that was the tune of 4.5 to 5 Cr.

Tejas Shah: I think normally the third quarter is the best quarter that as a company we get. So, going forward is there any chance of increasing the top-line somehow wherein because it's been stagnant, the topic has been stagnant. Either we are losing some customers, gaining some customers but then we are not moving anywhere in terms of the top-line.

Abhishek Jain: I think I would say that the whole discussion with leadership and the management on the ground. I think we leave print and work only on growth which is growth. I appreciate your feedback, but I can only say that the almighty and all minds are behind saying how do we grow whether platform through OTT channels to global expansion and so forth. So, our endeavour would be to continue to push while external challenges are there. Our endeavour would be to continue to put through all three levers to ensure that we come back.

Tejas Shah: If you can throw some light on the, I think, gaming what it is. sold some subsidiary if you can throw some light on that. Gamoooga, I think it's something else.

Abhishek Jain: Okay. No, I don't think so. We have sold it as just a change of ownership. So, I think, what we believe is that Gamoooga best fits with Karix in terms of what we deliver and what we serve to our customers. And, hence, from a synergy perspective, we are just merging it with the Karix. So just it continues to be our own company, our own platform, and truly just that it's changing from Tanla Platform to Karix, our own 100% entity.

Tejas Shah: Okay. Thank you.

Abhishek Jain: Thank you.

Operator: Thank you. The next question comes from Ashish Gupta from AG Capital. Please go ahead.

Ashish Gupta: Hello, sir. Good evening. Sir, I have a very quick question. One is regarding the platform-side business. So, we are seeing from last few quarters, we are going somewhere around 15% to 16%. So, I wanted to understand some colour on whether this growth will be sustainable for 2 to 5 years, or do you think that it will be papered off, or we can do better than this? That's my first question.

Abhishek Jain: So, Ashish, we don't guide, but I can only tell you that platform is one of the growth areas where we continue to focus. We had two old platforms, Trubloq, SMSC, which has been consistently doing well. We launched ATP. We had one couple of customers there. We have launched MaaP, and we have touched a billion-volume last quarter in a month. So, I would say we will continue to focus on our platform. That is an opportunistic area for us for future growth. It would be hard for me to put out a number in terms of what would the growth rate would be there in the near- and long-term future.

Ashish Gupta: Yes, sir. No, sir. No problem. So, I just wanted some sense that, okay, we could sustain this, or do better, but I got your point. Second thing, sir, I wanted to understand on the enterprise side of the business, and not from our company, but from an industry standpoint. For next 2 to 5 years, sir, what is the projected growth rate of that overall industry, if you could shed some light on that, maybe because you would have access to a lot of research reports. So, I wanted to sense of how the overall pie will grow. Is it like 5%, 10%, something like that?

Abhishek Jain: See, I think it is a little bit dynamic in my view. If I keep the pricing aside for the second, I think, in my view, NLD, which is the local SMS business should grow at a lower double-digit in all sense. But when it comes to platform and OTT, it should definitely continue to grow at a

double-digit without any second thought about it. So that's how we see. I think, if you ask me, overall industry was primarily impacted by ILD and SMS volumes continue to do well. There is definitely a price sensitivity, which we called out earlier. As soon as we see some normalization there, I think we should see a good growth in the TAM from an overall investor perspective.

Ashish Gupta: Understood. Thank you so much, sir. And last question, sir, so assuming that there is no new platform related employee cost, so sir, do you think that there is a wage inflation could be somewhere around 10% for next 2 to 5 years or do you think that this could be lower?

Abhishek Jain: I think it's difficult to call out at this stage, right, and saying, for example, we are known for our innovations, so we cannot keep our hand tight saying, we'll not innovate any more, right? So, we'll take this question, we'll keep you posted if you see an opportunity for future what you're working on, so we'll keep our investors and stakeholders updated about it. But it's very difficult to give you a very hard number saying we'll grow the wage will grow or not grow by this percentage.

Ashish Gupta: Understood. No problem, sir. Thank you so much. That's what I wanted to check. Thank you.

Abhishek Jain: Thank you.

Operator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Ritu Mehta: Thank you, everyone. That was the last question for today. In case we could not take your questions due to time constraint, please feel free to reach out to Investor Relations team. Good evening.

Operator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

Date: May 1, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Audited Financial Results of the Company for the quarter and year ended March 31, 2025, held on Friday, April 25, 2025, at 4:00 PM IST.

The transcript is uploaded on company's website as well on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Request you to take the same on record.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
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SESHANURADHA
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Date: 2025.05.01
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Tanla Platforms Limited
Q4FY25 Earnings Conference Call Transcript
April 25, 2025

Call Duration ■ 51 minutes
Management ■ Ritu Mehta - Head of Investor Relations
■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director & Chief Business Officer
■ Abhishek Jain - Chief Financial Officer
Participants that asked the questions ■ Balaji Subramanian - IIFL Securities
■ Jyoti Singh- Arihant Capital
■ Ram- Individual Investor
■ Rohan Dhira- Individual Investor
■ Sanjiv Gupta- Individual Investor
■ Amit Chandra – HDFC Securities
■ Aditya Sen- Robo Capital

Moderator: Ladies and gentlemen, good day, and welcome to Tanla Platforms Limited Q4 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta. Thank you, and over to you, ma'am.

Ritu Mehta: Good evening, and welcome to our Q4 earnings call. Joining with us today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director; and Abhishek Jain, CFO.

Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts could be deemed forward-looking in nature. Such statements are inherently subject to risks and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available soon.

Hope everybody got a chance to go through our investor presentation and shareholder letter. The management will be happy to answer any questions, and we will now open the floor for Q&A.

Question-and-Answer Session

Moderator: Thank you very much. We will now begin with the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants you may press * and 1 to ask a question. The first question is from the line of Balaji Subramanian from IIFL Capital Service. Please go ahead.

Balaji Subramanian: Good afternoon. Thanks for taking my questions. I have three questions. The first would be on the enterprise revenue. We have seen that, while you have ramped up really well on OTT platforms, including WhatsApp and RCS, there has been this continued drag from the ILD SMS volumes and revenue. So, what would be the ILD SMS revenue for the fourth quarter? The reason I am asking is just to get a sense of how much more pain is left? And when can we see the benefit from the pickup of OTT channels really benefiting your overall top line? So that would be my first question. I will come back with my second and third questions after we are done with this.

Abhishek Jain: Hey, hi, Balaji. How are you?

Balaji Subramanian: I'm good.

Abhishek Jain: Okay. So, you are right. I think if you see this quarter OTT channels have really performed well. We have been telling you over the last couple of quarters that our growth has been on OTT channel. So entire enterprise segment on a solution buildup has done fantastic work in all the various channels that we work right be WhatsApp, RCS and others in moving the needle significantly up from an OTT perspective, right?

Today, OTT is nearly 29% of our revenue base. From an ILD question perspective, it continues to be weak. But I think within our portfolio now, it is sub 10%. It is not material enough for us to materially worry for us in a future projection perspective. So, I think we have seen the weakness of ILD.

From a year- on-year perspective, it's really impactful. But from a quarter- on-quarter perspective, I think I would say it is not any more visual enough to create a big pain point for us from a FY26 perspective.

Balaji Subramanian: Thank you. That is really helpful. My second question is on the platform revenue. While I can see that the YoY numbers were impact on a reported basis were impacted by the Vodafone contract going away. What explains the relative weakness QoQ? I do know that on a full-year basis, excluding Vodafone, you have done well, but 4Q seems to be a little weak, at least sequentially. So, anything to call out there? Or it is just a seasonality issue?

Abhishek Jain: I would say it's just a blip, Balaji. We should not read too much in one quarter per se. As we have been telling you, we have put all our trust on platform as a channel and of course, OTT and a few other strategic things that we have talked about. So, we have really, really gun go about all the three, four platforms that we have talked about to you earlier.

I'm sure you would have gone through our announcement a couple of days that we have done that we have signed a deal to deploy RCS platform with two of the large tel cos outside India. So, it's the first large win for us, which is in outside India. So, you should start seeing the contribution of that by end of Q1 onwards as the things ramps up. It is completely revenue share subscription-based model there as well.

ATP as another example is seeing a good traction with customers. Of course, I do not have any good news to share as of now in terms of any new incremental win in India. But I can only tell you that it continues to be very, very promising, and we are very excited about the opportunities that is there with us. So, I would say this quarter is just a blip. We continue to believe that platform would play a story for us for FY26 and beyond.

Balaji Subramanian: Thank you. That is helpful. My last question would be on the gross margin in the enterprise segment. It has been kind of trending downwards. I understand that mix probably plays a role here. But anything you want to call out there, where should one expect the margins to trend going ahead?

Abhishek Jain: So, I think if you remember, I called out earlier as well, we would like to be in a narrow band. I think between 25% to 27% gross margin is a narrow band that we have been operating in the last couple of quarters

. While we do not guide, but I would say those are the range or range that we want to operate at.

Our industry has seen a significant headwind and a pricing pressure in the last couple of quarters, especially from an SMS perspective. I believe that hopefully, have bottomed out from a pricing perspective and any upside that we get from a price increase would only help both topline and gross margins.

We have also been working much more efficiently in terms of how we deliver to our customers, how do we build up a solution story with the customers and hence bring out a more efficient way of delivering the messages and communication channels to our customers. So that is helping us. But Deepak, anything specific that you think you should have to talk.

Deepak Goyal: No, no. Abhishek, you covered everything.

Abhishek Jain: Yes. So, I think, Balaji, net-net, I think it is more of a pricing pressure that we went through last couple of quarters, but we are doing all the way to see how do we compensate through various other channels. And I do not see a big headwind at least as we speak.

Balaji Subramanian: Got it. That is it from my side. Thanks a lot, and all the best.

Abhishek Jain: Thank you.

Moderator: Thank you. Participants you may press * and 1 to ask a question. Next question is from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh: Yes, thank you for the opportunity. Just wanted to ask your view on the industry side. So, on the SMS side, as we have continued seeing the volume decline and shifting on the WhatsApp. So, what is your view for the positive FY26 and how we are seeing going forward? Any kind of visibility that we are seeing in India for the messaging side? And what is your overall view on the industry side?

Abhishek Jain: I will take it and then I'll maybe request Deepak to add on it. I think to be honest, FY25 has been a very tough year for us. But from an industry point of view, but nothing to do with volume is, of course, more to do with pricing and every player in the industry wanted to be a little aggressive in gaining the market share.

From a volume perspective, I think industry would have only grown or at least between 15% to 20% double-digit growth. That is not reflected completely on the top line is primarily because of the pricing and the price erosion that we have seen over the last couple of quarters, and we have been calling it out.

We strongly believe that we may have bottomed out from a pricing perspective and hence, any upsides that we get here from a pricing perspective would only help both top line and the bottom line. But that is one picture of the story, right.

Second line of the story, if you see ILD, as I said has not been material enough at least for us. So, we do not see it to be mutual as a headwind going forward for ourselves. The third OTT channel continues to play a very, very bigger part of the pie. We were roughly around 15% earlier last year, and now OTT contributed, that 29%. WhatsApp, RCS continues to play very, very big role. We are reaching every day new heights, both in WhatsApp and RCS business.

I think WhatsApp has done phenomenally well for us this quarter as well. So, OTT would be the way forward. And the last would-be platform. Platform continues to be a great story. So, I am giving a bit of both industry and where we see a lot of positive things for ourselves, right? As I just said in the call earlier that for RCS we have signed with two large telcos globally. So, it gives us the first footprint to go outside India from a platform business. So, we remain very, very positive.

The good part, Jyoti, for us at least is that while we may have a headwind from a pricing perspective on SMS and ILD, our exposure to ILD business has nar

rowed down significantly, right? Be the platform and the WhatsApp capability that enterprise team has for us, creates a very differentiation between us and our competition. So, I think in that sense, we are hopefully well placed as we speak.

Jyoti Singh: So just wanted to understand that we will not be impacted for ILD at all going forward or in this event?

Abhishek Jain: No, it would be difficult for me to give a forward-looking statement. What I share two things, right? One, ILD contribution to our overall revenue today is less than 10%. So, it is a single digit. So, I would say any decline there or any impact there does not have material impact to our overall growth. And B, SMS from a volume perspective, continue to grow very well. It is just that pricing has been a little bit stretched. What happens tomorrow, we will have to wait beyond this.

Moderator: Jyoti, do you have any follow-up question?

Jyoti Singh: No. Thank you.

Abhishek Jain: Thank you.

Moderator: Thank you. Participants you may press * and 1 to ask a question. Next question is from the line of Ram from Equinox Capital. Please go ahead. Ram, may I request you to unmute your line and proceed with your question please.

Ram: I joined late. I'm not sure this question has been already asked. So, from Uday's note, I said that now we want to take it global. I mean the global footprint is what you have been, this financial year is what you are aiming at going global. So, is the baby steps what you have been contemplating to take this forward? Or is it with the kind of aggression? Can you just throw some light around that?

Abhishek Jain: So, we believe on delivery rather than calling out what we want to do. But I will give you a couple of instances that will help us understand what we are talking off, right? We do, for example, have presence in Middle East. Our enterprise business is there. And Deepak and team are trying to see how do we ramp up much faster than what we have done in previous years or previous quarters. If you see ILD, which has significantly impacted has got offset by good growth that we have seen from an international business perspective.

Enterprise business is focusing on international business. Of course, it is in certain geographies that we have restricted ourselves right now. But there we are seeing a good traction. Similarly, on a platform business perspective, I think going global is the right way for us because in India, we have both our DLT platform or RCS, which is the MaaP platform deployed with most of the telcos. So, we have now taken it to two large telcos outside India.

I would say at this moment of time; we see good tractions both in India and outside India for the platform that we have. We will be able to share more as we see the success. We want to not talk ahead of the turn, but I can only tell you that all efforts of both Deepak and Vish are on expanding business outside India as well.

Ram: Okay. So, these two international clients, is it possible to give any material numbers? How much business have you got numbers?

Abhishek Jain: So, it is a little confidential in terms of we are not allowed to disclose both the name either the country and the contract value. But it is more of a platform deployment and hence, it's a revenue share subscription-based model. As the revenue and the platform volume goes up, our revenue share towards that platform will gradually increase. So that is only I can call it out at this stage. But we will definitely share as we are allowed to as we go live with them and when we are allowed to talk, we'll give you more details about it.

Ram: Okay. So, is it a conscious effort that this MaaP platform has been marketed outside India that we got the business or it's a one-off lucky strike what we got from this opportunity? Is it any separate marketing team, sales team reaching out to other geographies?

Deepak Goyal: It is a conscious effort. It is a conscious effort. And we have a very good pipeline as well.

Ram: So, you see very good potential in this in the MaaP platform?

Deepak Goyal: Absolutely.

Ram: Okay. And coming to this Wisely ATP, I just want to understand we have anticipated a very good potential in this space. But however, the traction is not as great as what we have anticipated, right? So, in a way, is this Wisely ATP it went to a lull state or still you see the potential of traction from the market still we can keep some hopes where we can strike big deals in this space on the Wisely ATP?

Abhishek Jain: So, Ram, the way to see about this product, it's solving the problem of today and it's a very, very promising technology. And I believe both the regulatory authorities, telcos, enterprises, all are cognizant of the fact -- but any such product, whether be in India or outside India, need to prove

their success stories and so forth. We have done two success stories in India, have been with the client for almost a year now, and we are very happy, and we have renewed with the m as well.

So, the cycle time for us took a little bit longer. And now since we have proven track record of our customers being happy with us and renewing it, we are excited about this opportunity and to scale it up. As we speak, we see a great pipeline. And we strongly believe that this is an asset, which will give us a good result both in near term and in the long-term.

Ram: So, you are still excited with this opportunity, Wisely ATP?

Abhishek Jain: Absolutely, absolutely, absolutely. So, I am saying it is not excitement, right? Just to clarify, it is not exciting. See, being a technology wizard, we will always be excited about any technology that we create and launch, right.

Ram: Even the business opportunity also should be exciting, right? So, technology may be great, but if you do not have a business opportunity, business potential and that also it is more of what you have done.

Abhishek Jain: That is the point, Ram I was trying to point out that we are seeing a good traction with our enterprise clients.

Ram: Okay. Understood. And though you may not substantiate with the objective numbers, this year, can we see some kind of a growth in top line and bottom line. Last two years, it was flat. It was a testing time for all as investors, right? So, do you anticipate you have plans in place that this year, we can see some growth both in top line and bottom line? What are your confidence levels?

Abhishek Jain: See, it would be difficult for me to make a forward-looking statement. I can only tell you that we are exiting the year with a very good note, right? If you see from last number of four, five quarters, we have not grown. In Q4, we have grown 2% plus. So, we will have a tailwind from a Q4 growth perspective, right? Q4 into four itself will lead to growth. So, I think it is a good place to be at first. B, we have seen a good traction both from OTT, RCS platform, as I called out.

So, I would say we are well placed as to what we were earlier and our exit this year is much better, I would say than what we were earlier. I would say we will see how the year spans by.

Deepak Goyal: It is Deepak here. Just to add to what Abhishek has said. As Abhishek said, this last year has been a bit tough for us. But it has been quite tough for the overall industry and for our competitors also. And let me tell you, most of them are bleeding. So, if we really see ourselves vis-a-vis our competition, we really did very, very well. And we generated profits. I can very safely say that we would be, though our revenue market share may be 40%, 45%. But in terms of our profits, our share would be more than 70% of the industry.

So, we did well despite all the price pressures and everything. And we know our competition is bleeding a lot. And then

is year and going forward basis, we see much better days ahead. That much I can say.

Ram: Got it. Okay, can I ask the question, or someone is there in the queue?

Abhishek Jain: No, no, no. I just wanted to add one point, right? And Deepak, since Deepak touched upon it, I thought let me complete as well. Both leadership both from Uday sir and Deepak and other leaders' perspectives, what we believe is cash is king right. Ultimately, any business that we do should convert back to cash in the bank. And we are very excited and happy to say that we touched four digits from a bank balance perspective, highest ever in Tanla history.

Our bank balance at the exit of this year is ₹1,009 crores. Our free cash flow for the full year was 101% of the PAT and last Q3, Q4 has been on an average more than 150% of the PAT. Any industry free cash flow is really, really good. What does it mean is, A, how do I return back to our

shareholders. And hence, we have given an interim dividend and then the next interim dividend of ₹6 and Board has approved it this quarter.

B, we have cash with zero debt in our balance sheet to invest on our talent, to invest on the technology, to invest on the solution for our enterprise clients and continue to hunt for the right strategic assets that could fit our bill, right? So, I would say not just from a growth perspective, but we have been very, very conscious about converting the profitability to finally cash in our books, which becomes very, very critical for us. Yeah, sure. Go ahead, Mr. Ram.

Moderator: So, I believe there is some network issue at Ram's end. We will move on to the next participant. Before that, if any participant who would like to ask a question may press * and 1. The next question is from the line of Rohan Dhiriya Individual Investor. Please go ahead.

Rohan Dhiriya: Yes. Thank you. Thank you for this opportunity. I am slightly new to the company. So, I just wanted to understand a little bit more about our WhatsApp offering. As I understand that

Facebook also directly offers this offering through its cloud APIs at a slightly cheaper rate. So, I just wanted to understand what is the value proposition for service providers when they provide it via us, I mean, especially for large accounts?

Deepak Goyal: Hi, it is Deepak here. So, I will just take this question. Firstly, Meta, which is Facebook, so they do not provide any lower rates than us. That is number one. Number two, they do provide direct connects primarily to, I would say, a few global tech companies who are sending ILD messages earlier and that has moved to OTP on WhatsApp. But if you see that is a very simple kind of messaging where you're just sending one-way OTP message. And so, there is not much technology involved here or use case or any application is involved. And that's how Meta is taking that business directly. But that business in the overall scheme of things is not very big.

But if you really see, what the kind of value add what we are doing, in fact, okay, just to give you an example, now even Meta is suggesting that the enterprises who are working directly with Meta should work with companies like Karix because we add a lot of value. The kind of expertise we have to build the use cases, we can keep on adding more and more use cases, keep on educating the customer where all they can use a two-way communication and create bots and create journeys and user journeys, which can actually help them achieving their objectives.

So, when it is coming to only sending just one-way OTP, that is fine, but WhatsApp is much more than that. And that's where we come as a player.

Rohan Dharya: Got it. Got it. Thank you. And one more follow-up question I had is, as I understand, Meta has been also reducing charges on WhatsApp, on some of the messages. So how would that impact our monetisation, or it has no impact?

Deepak Goyal: So, if you see

that has already impacted. So, what has happened is that Meta has increased the prices for marketing messages, okay? And so, by doing that, the customers have reduced the volumes on marketing. And on the other side, they reduced the prices for utility messages, which we call it, let us say, for example, transaction message where you're sending information messages or transaction messages and all of that.

So those prices have come to a level of SMS now. So that volume has increased, but the marketing volumes have decreased. So, this is how it has happened. But that has happened like about a couple of quarters back. So that impact you would have already seen in our Q3 and Q4 results. So, as we move forward, there is not much change. But the only change we foresee what we are getting hints from Meta is that there could be a slight maybe change in the way they charge for the utility messages, but nothing major impact over here.

Rohan Dharya: Okay. Thank you. Best of luck.

Abhishek Jain: Thank you. Thanks, Rohan.

Moderator: Ladies and gentlemen, you may press * and 1. To ask a question, participants, you may press * and 1 to ask a question. Next question is from the line of Sanjiv Gupta individual investor. Please go ahead.

Sanjiv Gupta: Yeah, thanks for the opportunity. Yeah. I understand that our company has basically two enterprise business as well as the platform business and platform business is much like the margins are much higher in the platform business. But the only thing is it takes probably time to scale up like for ATP, Wisely ATP, it takes almost one year to establish the use cases. So, I would like to know a little bit more about our platform businesses and how do you look to scale it up and all those things.

Abhishek Jain: Right. Yeah, good, Sanjiv. So, let me give you a couple of points on platforms, right? So, if you see a couple of years, we started our business or when we had launched our platform business, the prime contributor today as we speak was SMSC and the DLT platform that we had deployed with most of the telcos in India.

Our aspiration is that each of the platform that we work on over four to six quarters or eight quarters, depending on the life cycle and the use case goes to ₹100 CR ARR is the wish list of the ambition that we have put for ourselves. Now the first matured platform that as I said is Trubloq, which has been successfully deployed for the last five, six years and has been doing very well. The

beauty of that product is that it is so tightly embedded with most of the telcos that the incremental efforts, whether it be on GTM or innovation, we continue to do because that is in our DNA. But more from a GTM perspective is hardly anything, right? So that is a very, very mature product that we have.

The second product that we launched a couple of quarters back was -- I'm just giving you some of the platform's name, right? So, second was ATP, where we have seen a good success with two large telcos and one small deal with one of the OTT players. I think, as I was telling earlier that we have shown a good case studies, we have shown use case, good use case. We see a lot of good traction as we speak in the market for the ATP and look very, very promising assets for us.

The third is RCS MaaP platform, which has really done well. We have seen RCS ramping up beautifully in India. We are closely tightened up with the telcos. We are seeing a good revenue share and the volume going on in the enterprise side on RCS and our revenue share as well. And similarly, the same platform has been now deployed with two of the large telcos outside India, and we wish to take it to a few more telcos outside India as well.

So, I am just talking about three out of few platform businesses that we have. But I think while, yes, the scaling takes time, as we speak, we believe we are very, very excited about the opportunity that we see for both near term and medium term.

Sanjiv Gupta: You see as investors, when you had launched that anti-phishing platform and like you were about to launch it in maybe Barcelona, the whole investing community was very much like excited that this is going to lead to a lot of revenue growth and profit growth and things like that. And probably that has taken time and those success of that platform launch has not translated into profits and bottom line as yet. So, I think that is what the main anxiety, which all the investors are facing feeling that when that can happen, like that ATP platforms resulting into bottom line growth and profits and EPS growth.

Abhishek Jain: I can only say that the asset is beautiful. It's solving the purpose and the pain that we are all going through both as a consumer as an enterprise and as a regulated authority. It is taking a little larger time perspective. We are still excited and let's see. We hope the product will do well as we go forward.

Sanjiv Gupta: Yeah, it's a real pain point. Like, every day in the first page of the newspaper, there are people who are getting scanned and their frauds and things happening. And we think that we have a solution for that, and we think that, yes, and I wish you all the best, and we are hoping for the best and staying invested. Thank you.

Abhishek Jain: Yeah. Point taken.

Sanjiv Gupta: Thank you. That's all from my side.

Abhishek Jain: Thank you.

Sanjiv Gupta: Welcome.

Moderator: Thank you. A reminder to all the participants you may press * and 1 to answer question. Next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, thanks for the opportunity. So, my first question is on the OTT platform. Obviously, we have seen very strong growth in this quarter and also for the year, the revenue has almost doubled. But as the base for this OTT has been increasing and now it's 30% of the revenue. So, from this high base, can we assume that the strong growth will continue?

And also, in terms of the market share and how the whole market is growing, if you can share how the market share has shifted for us on the OTT side? And also, if you can comment on the pricing-related uncertainty that was there. So, is the pricing for the OTT channel stabilised? And also, in terms of the shift that we're seeing from the ILD to the OTT channels, so are we seeing some shift from the NLD also to the OTT channels as well?

Abhishek Jain: Couple of points, OTT channel growth has been really good done well I think we are exiting this year with a with a very good growth. I would say I think uh we are very excited that the

enterprise team has done very well and done an extremely good job in gaining the market share I would say, while market would have grown for the OTT channel I strongly believe that we have gained the market share every quarter that has been gone by in last say couple of quarters right so. Our belief is that we have moved the market share for now. From the point of view from a price stability perspective I think we have not seen any price change. The last price change happened in Q2 and early Q3 of last year as of now we Q4 had fully baked in the price stability at this stage at least no discussion on price revisions. As we speak from an OTT perspective that's what you were talking about, I think from a shift from NLD. For ILD as told earlier it is less than 10% of overall business. Shift from NLD to OTT I would say there will be always some use case which may shift from NLD to OTT or vice versa as well, but I think at this stage I would say NLD volume has grown in a double digit between 15 to 20% and if we are able to get little bit of price increase, I think it would be a great scenario from both from a top line and a bottom line

Deepak Goyal: Yeah, just to add and give a bit more colour

er, you have seen our OTT volumes grown and our revenues have grown. We are also making great progress in signing more and more customers and we see that this year is going to be even better for us I mean just to tell you we have signed and gone live with one of the largest NBFC in the country. We have gone live with the largest gaming company in the country on WhatsApp as well as on RCS. We have signed the largest bank on WhatsApp and currently the integration is going on and we are building a lot of use cases. We have also signed with number two largest PSU bank and have gone live with them. Our integration is on with other banks and food delivery companies and lot of other companies. We are seeing great traction in whatever kind of use cases we are building and the kind of expertise we have shown to these customers they are really happy. It is just not about WhatsApp wherever we are selling WhatsApp we are also selling RCS and are giving options to customers. We are providing options for customers on WhatsApp, RCS and Truecaller as well. As far as prices are concerned customers have also realized the kind of work we are doing. So, In nutshell we are going to start charging for our services as well to these customers this year and we would see that our OTT revenues would definitely go up and our number of customers will go up on these channels and our margins will also improve.

Amit Chandra: Sir, just on OTT channels to understand the growth drivers more clearly and what is kind of client mining strategy. So how many of our NLD customers are using OTT channels and also whatever growth they are seeing is coming from existing customers or net new customers that we are

signing and also what is the stickiness in terms of the new customers that is being onboarded and how easy or difficult it is to shift from one vendor to another in terms of OTT and also adding onto margins because we have seen that OTT volumes have been scaling up and the gross margins have been coming down over the last four quarters and so is it fair to assume that OTT volume is coming at a lower gross margin.

Deepak Goyal: Abhishek, please.

Abhishek Jain: No, go ahead, Deepak

Deepak Goyal: No. You please go ahead, then I will add on.

Abhishek Jain: Sure. Fine. So Amit, I think it's a mix of both. As Deepak said, the advantage that we play out in the industry is that I think we are the only player in the industry who can offer all the channel end-to-end. And it's not just the channel offering, but the solution capability that the enterprise team has built up.

Platform team has anyways had a strong footprint in terms of technology capabilities. But I'm telling you that from an enterprise perspective, the solution enterprise team has built up is very, very good. And it's not restricted to one channel, but it's an omnichannel. And hence, that's what we are being preferred as a partner for our customers, which means that we are able to offer them the most efficient way for them to communicate, whether through OTT, whether through SMS or various other channels that our client would like to reach.

And hence, the reason I wanted out to highlight that is the same client we are able to, A deep dive and do organic growth and do a cross sell off selling OTT channels with the same client, we are able to get the market share. We are also able to win new clients on the back of OTT channels and so forth.

Second, the OTT channel is also about two way communication, rich media communications and

solutions in the top clients, which becomes the case study becomes very, very use case, use case study becomes very, very critical for us and our clients, which means the stickiness for us and our customers becomes more important, right, rather than just a utility message being sent as onetime. So, I would say, because the solution is built on top of the platform that we have, our part

ners have, whether we met all of those, it becomes a more sticky story for us along with our customers. So that's one.

From a margin point of view, we have been calling you out that we have been making investments for the future. We are making investments for growth. So, I would say, the margin shift or a little bit softness that you have seen in the gross margin, not necessarily would only mean because of the shift to the OTT channel. It is also because of we have been making Investments on various areas, whether we go to market, whether we get a cost and so forth.

However, as Deepak said, there is an opportunity for us to price it better. There is an opportunity, there is a value that customer sees for our solution built up, and hence, we will be able to price them as well and hence, as I earlier communicated, we believe that margins should be in a narrow range. That would be our endeavour as we speak. Deepak, if you want to add anything?

Deepak Goyal: No, I just want to add, I mean, if you are aware, we, as a company, as Karix, we were about three years behind as far as WhatsApp is concerned in India, because WhatsApp appointed our competitor as their sole partner. And then they opened up for others for after three years. So, it was always a catching up game for us. So, to answer your question, yes, all the customers, they want to be on OTT as well. They want to have a two-way communication with their enterprise customers.

But we, as I mean Karix and Tanla and ValueFirst, so we were serving these customers for SMS. And slowly, we were pushing them to come to us to use OTT as well. So that shift is happening now. A lot of customers from our competition, okay, moving to us now. And that's what I just

said a few minutes back that there are a lot of customers who are now signing up who are there with our competition. So that shift is happening. And definitely, we are going to increase our market share on OTT channels.

Amit Chandra: Okay. Thanks for the elaborate answers. Sir and last question would be on the platform business. Obviously, we have launched the MaaP RCS outside India. So that will obviously be a boost. But in terms of the platform business growth, obviously, Y-o-Y, it is up ex of V i. But in terms of sequential weakness, what is not working there as per your view? And also, the kind of uptick that we expected from the ATP side. So, do you think that it is not working the way we earlier thought it to be? And also, there is additional pressure from the in-house anti-phishing solutions being built by the telcos itself?

Abhishek Jain: So, I would say, Amit, we should not read too much this quarter. This is small blip. Definitely platform continues to be very, very promising. What has not worked out, I would say, would be that we didn't thought that the sales cycle would take much longer, and we have to prove ourselves from a use case perspective, because the problem is real problem is here and now. I think that is where maybe we would have gone wrong, or our assumption would have gone wrong. But from an asset perspective, I think it has got nothing to do with the offerings that our competition has launched. I think it only supplements our platform use case that is real and it's very, very promising.

As we speak, I would only say that the pipeline continues to grow. We continue to have serious interaction with our clients. We have renewed the two contracts that we had earlier, and we will share with you as things go.

Amit Chandra: Okay. And lastly, on the cash balance that you have, ₹1,000 crores -odd cash. So that is 15% now of the market cap. So, what is the inorganic growth strategy? Are we looking at some substantial kind of an acquisition outside India?

Abhishek Jain: So, two things, right? From a return to shareholder perspective, we have declared an interim dividend. Board has approved this quarter. So, we are d

declaring ₹6 as a dividend, interim dividend, in addition to what we did last quarter. Second, I think the philosophy remains the same. We are very, very strategically investing both on our in-growth talent, right, because talent

is key for the success both in the enterprise business and the platform business.

Our HR team is working day in, day out to ensure that the talent is critical, and we have the right hiring and right team in place. B, we continue to invest in the organic side on the GTM side, on the technology side, on the innovation side.

And the third M&A, as we said, we continue to look out for the assets. We do not want to rush. But whenever we believe that there are the right assets, which will help grow us faster, which will fit with us from a cultural perspective, I think we will not shy away from making those investments.

Amit Chandra: Okay, sir. Thank you and all the best.

Abhishek Jain: Thank you. Thanks, Amit.

Moderator: Thank you very much. Next question is from the line of Aditya Sen from RoboCapital.

Aditya Sen: Hi, thanks for the opportunity. So, I see that the realisation that India gets on WhatsApp is quite low, or rather I should say it is, I guess, the lowest when compared to other 30, 40 countries. So, is there a reason for the same? And do we see an upside as to matching the median realisation or going north from the present realisation that we get in all three segments, that is marketing, utility, and authentication.

Abhishek Jain: Deepak, do you want to take that?

Deepak Goyal: Sorry, I couldn't get the question properly. Can you please repeat?

Aditya Sen: Sure. So, the data, which shows that India gets the lowest realisation in WhatsApp revenue, both in all the three segments, marketing, utility, and authentication. So, is there a reason for the same that why we are getting this lowest realisation? And will we grow forward from here, northwards from here to match the media realisation of the WhatsApp revenue?

Deepak Goyal: No, I am talking about, are you comparing India's realisation with other countries?

Aditya Sen: True.

Deepak Goyal: See, that would always -- sorry.

Aditya Sen: Yeah, please continue.

Deepak Goyal: Yeah. Okay, so what I was saying that WhatsApp has kept their prices, keeping the prevailing SMS prices in that country, right? So, if you look at it here in India, SMS prices are in the range of ₹0.9 to ₹0.11. So, they kept their utility prices at around ₹0.11 and marketing messages, they have kept at around ₹0.70, ₹0.75 paise.

But in a lot of other countries, let's say, if you look at Indonesia, the WhatsApp prices -- the minimum price is ₹2.50, if I convert that into Indian rupees. And the reason is because the SMS price also over there is about ₹2.50. So, most of the countries, if you look at it, the SMS rates are much, much higher. The realisation is much higher. That's why even WhatsApp price is also much higher. So, this is how it works. I hope I answered your question.

Aditya Sen: That answers completely. Thanks a lot for that. And what the Indian enterprise segment for the next two, three years? Any guidance on that?

Abhishek Jain: I think we don't guide for future, so it would be difficult to say that. As I said earlier, we are exiting this year with a high note. Q4 has been good for us. Continues to show good traction. That's where I leave it at right now. It would be difficult for me to make a forward statement.

Aditya Sen: No worries. Thanks. That was my question.

Abhishek Jain: Thank you

Moderator: Thank you very much. I now hand the conference over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you, everyone. That was the last question of this evening. In case we could not answer

your questions, please write to us at investor help desk. Thank you so much. Good evening.

Moderator: Thank you very much. On behalf of

Tanla Platforms Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines. Thank you.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2025

Date: July 28, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Sir / Madam,

Subject: Transcript of Earnings Call for Q1- FY'2 6

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter ended June 30, 2025 held on Friday, July 25, 2025, at 3:30 PM IST.

The transcript is uploaded on company's website on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Kindly take the same on record.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

Tanla Platforms Limited
Q1 FY26 Earnings Conference Call Transcript
July 25, 2025

Call Duration : 37 minutes
Management : Ritu Mehta - Head of Investor Relations
: Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
: Deepak Goyal - Executive Director & Chief Business Officer
: Abhishek Jain - Chief Financial Officer
: Anubhav Batra, Chief Financial Officer - Designate
Participants that asked
the questions : Sambhav Jain - Vardhman Investments
: Balaji Subramanian - IIFL Securities Limited
: Amit Chandra - HDFC Securities
: Ram Tava - Individual Investor
: Deepak Chokani - Individual Investor
: Bhavin Salva - Individual Investor

Moderator: Ladies and gentlemen, good day, and welcome to the Tanla Platforms' Q1 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms. Thank you. And over to you, ma'am .

Ritu Mehta: Good afternoon, and welcome to our Q1 FY '26 earnings call. Joining us with today are Uday Reddy, Founder, Chairman and CEO; Deepak Goyal, Executive Director; Abhishek Jain, CFO; and Anubhav Batra, CFO designate.

Uday will share his perspectives on business imperatives and strategic progress made. After his opening remarks, we'll be happy to engage with participants and address their questions .

Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical fact could be deemed forward-looking in nature. Such statements are inherently subject to risks and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on the website. Audio recording and transcript will be available .

I now hand over to Uday for his opening remarks

Uday Kumar Reddy: Thank you, Ritu. Good evening, everyone. A very warm welcome to the call. We appreciate you reviewing our investor presentation and shareholders' letter. We also hope you saw our recent announcement about our AI-native platform. This platform will be launched with a leading Southeast Asian telco in the coming weeks. We are excited about this AI-native platform, which uses scalable AI infrastructure and an agentic layer. We are developing multiple applications for both telcos and enterprises.

Telcos have a vast, valuable but fragmented data, which our platform addresses directly. Our platform is deeply

embedded within the telco ecosystem, opening new use cases for both telcos and enterprises. Early results are promising, and we are confident this deployment is just the start. We're also seeing a strong momentum in our enterprise business, focusing on increasing wallet share, securing new clients and becoming the preferred partner in India's OTT space, supporting our goal of 20% EBITDA CAGR growth over the next two years.

For Q1 FY26, we delivered our second consecutive quarter of revenue growth, with the revenue up 1.6% on quarter-on-quarter, 3.8% on year-on-year to ₹1,041 crores and a PAT of ₹118 crores. We also announced a ₹175 crores buyback, bringing our total shareholder return to nearly ₹1,000 crores over the past five years through dividends and buybacks, all while maintaining a zero-debt balance sheet. I would like to welcome Anubhav as our new CFO and also would like to thank Abhishek Jain for his contribution. We wish him all the best. Now, let us move to Q&A. The management and I are ready for your questions. Ritu :

Abhishek Jain: We can open up for the questions .

Question-and-Answer Session

Moderator: Thank you very much. We will now begin with the question -and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press *

and 2. Participants are requested to use their handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Sambhav Jain from Vardhman Investments. Please go ahead.

Sambhav Jain: Good evening respected members. Congratulations on your recent performance and results, considering it was quite a challenging environment for most of the companies during this phase. And we've managed to get decent numbers while maintaining business as usual. I just have a simple question on ValueFirst as to -- when will we be able to see ValueFirst numbers reflecting? And is there some delay regarding approvals or regulatory matters as to why we are not able to get the numbers of ValueFirst because it's been a while since we've been trying that. So, just wanted to get some insight as to when we could expect ValueFirst numbers also coming in?

And my second question would be, since SBI started in the beginning of the quarter, SBI business, do the current numbers reflect SBI's business fully baked in or it's just a bit of SBI's business on our top line? That's it for me. Thanks.

Abhishek Jain: Thanks, Sambhav. This is Abhishek here. So, on your second question, right, SBI deal, as I said, it's a continuity of our services, and we got the renewal of the RPF again this term. This is effective 1st April, so the volumes that we see is for the full quarter, both in terms of the gross profit and the revenue topline. So, we should not see any incremental delta because of those. Of course, some volumes here and there would have a quarter variation, but it impacts from the first day of the quarter.

On your first question, we have completed the acquisition of ValueFirst India and ValueFirst Singapore. The other global companies of VF, while we intend to acquire, is pending RBI approval. We are working with them and clarifying all the questions that they have. We had earlier called out a date. We don't want to call out the date because really the ball is not with us. As soon as we get any update or clarifications as to when we are going to go ahead, we'll keep you guys posted. We are clarifying with all the questions that we are getting. So, we are hopeful that it should happen in some time. But right now, it's difficult to give us the date on when the global acquisition will happen.

Sambhav Jain: Thank you.

Abhishek Jain: Thank you.

Moderator: Thank you. Our next question comes from the line of Balaji from IIFL. Please go ahead.

Balaji Subramanian: Thanks for taking my questions. In your opening remarks, you talked about 20% revenue CAGR over two years. So, what is the visibility on this? So, I can see that you have signed three new deals rather. One is the AI-native platform deal and there are two other MaaP deals as well. So, just to get some colour, how much will these two deal wins help towards achieving your 20% revenue CAGR. So once this question is answered, I'll come back with my follow-up.

Abhishek Jain: Thanks, Balaji. Just to clarify to you and to all, what we said was we aspire to grow at 20% CAGR from an EBITDA perspective. Of course, there has to be a topline growth, which would convert back to EBITDA and PAT. But what we are telling our aspiration is more from an EBITDA, CAGR growth for two years.

And just to clarify on where we see things little promising at this stage is that if you see from last two quarters, it's a good last two consecutive quarters of growth. We see some momentum back. If I have to call out from an enterprise business, we continue to win new logos. We continue to mine the accounts that we are in and continue to win

market share in our existing business and overall wallet share, if we have to call out

from an India domestic enterprise business perspective .

We have also done our deals in the last couple of weeks in one, two quarters -- last couple of months on two large deal wins. One was AI -native platform, which we have talked a bit detail yesterday and day before yesterday. I think that's a good deal that we have won, and we believe that we will go live by first week or sometime mid -August, that will start generating revenue and profit from quarter two onwards. Similarly, our MaaP platform, which we have deployed with the two large telcos outside India should go live soon in coming weeks. That should also start giving us a revenue share from a market perspective.

And third, in general, our global business, even from an enterprise perspective is doing well. So, these are the opportunities that we see ourselves, which gives us the confidence that will help for us to aspire the numbers that we have laid out at the beginning of the quarter

And of course, just to clarify to all that, it's not a guidance, right? It is an aspiration that all of the management team has come together. And to be honest, we are putting pressure on ourselves because we are taking the stretch target to achieve this. So, it's kind of a little bit of forward -looking statement, but this is the aspiration that management is driving towards, achieving that goal in the next two years in terms of CAGR

Uday Kumar Reddy: Yes. Absolutely .

Balaji Subramanian: Actually, I have two more, if I have the time. So, one is that this ILD revenue contribution. So, the volumes were falling because of the price hikes that they were taken and there was migration that was happening to OTT channels, so is it fair to say that the entire ILD -led drag is now behind? And what would be the proportion of ILD as a percentage of your enterprise revenue or consolidated revenue?

Abhishek Jain: So, if you ask me, I think ILD revenue has been pretty consistent for last one, two quarters now. It is higher single -digit from a revenue contribution perspective and lower single -digit from a gross margin contribution perspective. So, it's not a significant number for us now. So, I don't see any major impact from an ILD perspective in near future for us

Balaji Subramanian: Got it. And the last question is on the platform revenue. So, I can see that from 3Q levels, the platform revenues are down in 4Q as well as 1Q . While I do understand that there is a bit of seasonality, but is it fair to say that this is down despite the SBI deal now contributing from

April? So, if that is the case, is there any legacy deal that is coming off? Or how should one look at these numbers?

Abhishek Jain: So, SBI deal is largely on enterprise side. Of course, we do have a revenue share and few things. So, there could be a gap in last one, two quarters from a platform business perspective I would say. I don't think so we have lost any large or any of the deals from the platform side. Rather, we believe we are very strongly placed at this stage. And basis the last two announcements and the commentary that I just made in terms of RCS platform going go live from a global perspective as well as our AI-native platform launch from current quarter, I think platform business looks really promising. So, I would say it was a blip and a small minor drop in the last two quarters. No major customer exits or no major business that has fallen off.

Balaji Subramanian: Got it. Thanks, and all the best.

Abhishek Jain: Thank you.

Moderator: Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Yeah, thanks for the opportunity. My first question is on the enterprise growth. So, most of the growth of the enterprise is being now driven by the OTT revenue. As the OTT revenue, there is still the enterprise ex of OTT has been declining both

sequentially and YoY over the last three quarters now. So, this decline is despite of the new deals that we have signed in this quarter and those ramping up. So, it's not reflecting in terms of the enterprise revenue. So how to read this? And do we expect increase in the enterprise revenue, which is ex of the OTT from here on?

And also on the pricing front, both on the WhatsApp pricing and the telco pricing, domestic-led telco pricing, what is the view? And what are the changes in the pricing that has happened in the recent past? Also, in terms of the margins, what we have been seeing is that the margin has been dragging downwards. So, obviously, there has been investment that has been going on to the international expansion. But still, most of the newer deals that we are getting, are these deals at a very low margin?

Abhishek Jain: Sure. Thanks, Amit. I think it's a lot of questions. So, I'll take a shot first, and then I'll request Deepak to add to what I missed. I think it would be unfair in this era to see our enterprise business ex of OTT, right? We all are pivoting. We are talking about AI. We are talking about smart communications and so forth. And hence, keeping OTT channel out would be a little unfair in some sense, right?

But having said that, what we see from an enterprise SMS -- purely SMS perspective is that A, the volume continues to grow; B, we continue to win new RFPs and wallet share, as I said; and three, it's not reflecting on the revenue stream because of the price sensitivity, right? We have seen a lot of price aggressiveness with our competition. Maybe some of those have settled, but there are still players, one or two, which are a little bit competitive, which has eroded our realisation versus the volume growth.

There is a volume growth, but because of the price realisation being lower, we see that's not reflected in our SMS business as we speak. However, we feel very confident with the mix of OTT and the domestic SMS and international business with the mix of business that we have in the plan. We have earlier called out that we will be happy in operating our operating margin or gross margin of 25% to 26%. But with the new ambition that we have set for ourselves, I think it has to slowly improve from here on to meet our EBITDA targets as well, right?

I think the new deals, I would say it is competitive, but it's not coming at a very unreasonable pricing at least the last couple of wins. But, of course, it's a price-sensitive market

from a domestic SMS perspective, which continues to be there.

And from a WhatsApp perspective, I think WhatsApp continues to do very well. I think both WhatsApp, RCS, and TrueCaller, all three other channels from an OTT perspective is contributing for the growth. And I think they will continue to be a good stream of growth even going forward.

Deepak, do you think do you want to add anything?

Deepak Goyal: Yeah. Abhishek, actually, you have answered everything. But yes, just to add to whatever you said. So, Amit, it's like this, when we go to the customer, we offer omnichannel experience. When I say omnichannel, it is SMS. It is all the OTT channels, that is RCS, WhatsApp, even TrueCaller, right? E-Mail, voice, everything has been it's a bouquet of services are offered to the customer. And basically, the use cases, we, along with our customer decide, which channel to choose now because we have multiple channels available.

So definitely, some traffic has moved from SMS to OTT channels because of a better user experience. Let's say, for example, I'll just give you an example, let's say, earlier when you send a message, SMS, this is your payment reminder, right? Now if you send the same message via WhatsApp or RCS, you can attach the PDF bill also, okay. You can, in fact, give them a payment button also. So, the entire transaction can be done immediately, right.

It is far more easy for the customer to do that transaction. It's good for enterprise also. So that way, wherever we see it's a better use case, we move that particular use case to the OTT, right? So, this is how it has been done. And as I said, when we go to the customer, we say, we are here to enhance your user experience, right? So, that is the buzzword today. And we'll be continuously working on that space.

Amit Chandra: Okay. So, just a follow-up on that, Deepak. So do we see the volume shifting from the traditional SMS channel to the OTT because after the pricing reset or the pricing changes in the WhatsApp, it has become even cheaper or even competitive to the traditional SMS now. So earlier, most of the enterprises, larger ones, they were using all the channels, SMS, WhatsApp at the same time for communication with the clients. Do you see a case where they choose only WhatsApp and don't choose SMS and we see a cannibalisation of our SMS revenues to WhatsApp?

Deepak Goyal: So, I tell you, if you really see, effectively, WhatsApp utility price, we call it utility, which is transactions, right. It has not come down, okay. Because earlier, WhatsApp was offering a 24-hours window where an enterprise could send unlimited messages, okay? Let's say earlier, the price was maybe ₹0.12 paise or ₹0.13 paise for a WhatsApp message, but with a 24-hours window. And most of our enterprises, they send more than two messages to one number in 24-hour window, okay? So, they have reduced the price maybe by 20%. But now it is just like SMS. They charge per transaction, right.

So effectively, price has not come down. In fact, it has gone up, if you really see. So, this is how it is. And as I said -- so as far as price is concerned, that is not an issue at all. But as I said, there are definitely use cases where for a better user experience, customers would move to WhatsApp, and they are moving. By the same time, the overall number of transactions are going up. So, SMS volumes are also growing, just like that. Okay.

Amit Chandra: And lastly, on the margin front, obviously, you have an aspiration of 20% EBITDA CAGR. But is it mostly top line driven? Or we also see margin expansion happening from here on because margins right now are like multi-quarter low?

Abhishek Jain: So, I'll take that, Amit. So, if you see from last couple of quarters, I've been highlighting that we have been investing in go-to-market in building up new platforms in upgrading our technologies and

so forth. And if you see each line item of our expenditure has gone up despite revenue being flattish. I think that was a conscious call by the management team. Both Uday, Deepak and other leaders have taken this conscious call on making those investments. Having said that, it would be a combination of both. The top line has to grow. But at the same time, the efficiency has to kick in, right, in terms of for example, all the investments that we made, whether it be from a go-to-market perspective on AI-native deal, an example, the revenue streams should start immediately as we speak, right, from next week as we go live. Similarly, the RCS platform that we have deployed outside India has gone through a lot of GTM investments that should also start deploying. And these are just a couple of examples that I'm giving. So, I would say it would be a combination of both the top line growth as well as efficiency-driven gross margin improvement and indirect costs.

Amit Chandra: Okay. So are we going back to 18% to 19%? Or is it fair to assume that we move back to the previous range? Or it will be more like a gradual kind of a move in terms of margins?

Abhishek Jain: Amit, if I have to achieve EBITDA of 20% CAGR, you are smart enough to do math even better than me. So, I can only say that we have aspired and given a bold decision, taken a bold decision, and it's already facing a lot of tremendous pressure internally. So, we'll stick by that right now and put our almighty to achieve that.

Amit Chandra: Okay, sir. Thank you for the opportunity. And all the best.

Abhishek Jain: Thank you.

Moderator: Thank you. Our next question comes from the line of Ram Tava with Equinox Capital. Please go ahead.

Ram Tava: Yeah, good afternoon, all. So, this is pertaining to the AI-native platform, which you

have disclosed during the AGM in the recent past, right? So, I just want to understand what is the industry benchmark for ARPU, not necessarily for Tanla, but broadly across the market, what is the kind of ARPU we can expect from this kind of AI-native tool?

Uday Kumar Reddy : Hi, Ram, Uday here. So, the way we have closed the deal with the telco is we get paid per user per month. So it is more of a subscription model, okay? So, we have closed the deal for 3.5 years and starting from, I mean, this quarter onwards.

Uday Kumar Reddy : No, no, I understood your question. All I'm trying to say is we are deploying -- I mean, basically, let me explain a bit about the platform and the solution that we are trying to build on top of this AI-native platform, okay. So, this platform is basically AI-native platform, which is being deployed as part of the core network, okay. What I mean by that is like, we will have access to the entire data of this telco of the users and the enterprises and so on and so forth. Then once we gather this data into AI-native platform, which is sitting as part of the core AI layer, data layer.

And we are building the solutions on top of the AI platform, okay. The first solution is going to go live, okay, wherein we sign this solution for the next 3.5 years wherein we get paid per user per month. So, it is more of a subscription model, okay.

The second is like, as and when we launch some more applications, which we are planning to launch some more applications in the next one-year time, we get paid separately for that solution again. So, it has nothing to do with the ARPU, okay? It is more to do with the subscription fees that we're being paid every month for the next 3.5 years, sorry. Ram am I clear.

Ram Tava: Yes, you are clear. And this AI-native platform when compared to other existing competitors in this space, how different it is and what are the key entry barriers or moats that you can expect of? I remember you were saying during the AGM that there is no competition for this product subjective to

o correction. I don't firmly remember like you made that statement. But I want to understand the moat and what kind of a competition we have in this space.

Uday Kumar Reddy : Ram, the way I look at this, I think I would like to do one more call, probably or we will come out with one more announcement once the platform goes live. I don't want to hide that from this esteemed customer. I want them to speak, this is going to be a major announcement, okay? So, you'll get to see the announcement coming from the customer directly. Probably they should be able to explain well. And probably around second week or around 10th of August, we should also give you some update on this platform. So, I would like to leave it here now, but we are very, very excited about this platform.

Ram Tava: Okay. So, pertaining to this MaaP platform, you are saying that you have implemented this MaaP for Google RCS in India. Or is it confined only to India or it's across the globe?

Uday Kumar Reddy : No. So, the platform that we won is with the Indosat telcos. There are three telcos in Indonesia. Indosat, Telkomsel and Axiata, okay. So, we closed the deal with two telcos, which is Telkomsel and Indosat. Telkomsel represents around 52% and Indosat represents around 25%. The remaining is with Axiata. Google has not closed the deal with Axiata so far. I hope they will close a deal with Axiata very soon. Once Google closes the deal, we also would like to go and close or deploy our platform. Then once we close the deal with Axiata, we should be able to go live. So, we're just eagerly waiting for Google to close with Axiata, which is the third operator.

Ram Tava: Okay. I'm referring to the other one actually. The MaaP platform, you are saying that from 10 million users, it got increased to a few billions during the AGM you are saying that is where RCS. Is it in India?

Uday Kumar Reddy : Ram, it is basically from India. Yes.

Ram Tava: India. And so, any plans to replicate it across the globe for Google with other countries or it's just confined to India itself?

Uday Kumar Reddy : This is what I just told you like. So, the one I referred to about the traffic is from India, okay? And meanwhile, we went ahead and deployed the same platform with Indonesian two operators. We are yet to close out with the third operator. But once we close the third operator, we will have 100 % revenue market share with Indonesia. So, the one I'm referring to is the two things. One, 10 billion or 8 billion traffic that I'm talking about per month is from India. Another one, the platform, the deployment we are referring to is Indonesia. So that is to go live sometime in the quarter.

Ram Tava: There's potential to replicate to other countries also in the future?

Uday Kumar Reddy : Obviously, yes, because Indonesia is a separate deployment, and we can do the same thing with other operators in other countries, yes.

Ram Tava: Wonderful, thank you. Thank you so much. That's it all from my side

Uday Kumar Reddy : Thank you.

Moderator: Thank you. The next question comes from the line of Deepak Chokhani with Rage Capital. Please go ahead.

Deepak Chokhani: Hi, Uday. Thank you for this opportunity. I have two questions. First is how confident are we of achieving the 20% EBITDA growth numbers? And will it largely be back-ended towards the end of the year or broadly equally spread over the next three quarters? So, that's my first question.

Uday Kumar Reddy : Deepak, yeah, go ahead with other questions.

Deepak Chokhani: Yeah. The next question is what other geographies are we planning to other than India, Middle East and Southeast Asia? Are we planning to enter any other geographies for now? That's it from my side. Thanks.

Uday Kumar Reddy : But Deepak, in terms of other geographies, I think we would like to quickly consolidate in Indonesia. That's where we

are going live with our MaaS platform. And we are also planning to set up an office there in this quarter. So, we are investing in Indonesia in a big way, okay? We have recruited people, and we are planning to open the office

there. So, we are betting big on Indonesia to start with, okay? So at least we would like to see how it goes with Indonesia next two quarters, quarter two and quarter three before you look at another geography. So, that's number one.

Number two, the 20% CAGR growth, yes, we have a solid plan from this quarter, Q2 onwards. You will see the growth. You'll see the numbers kicking off from Q2 onwards. So, I think we should be able to throw some more light during Q2 call, Deepak. So, I would like to leave it there.

Deepak Chokhani: Perfect, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Bhavin Salva with BK Corporation. Please go ahead.

Bhavin Salva: Congratulations to Tanla team on the new deployment and new beginning. I would just like to know about buyback. A basic thing, how do we consider that? Are we going to go like open for market buybacks or tendering? So, why did we consider tender and not the market buyback?

Abhishek Jain: Thanks, Bhavin. Open market offer is no more there as part of the regulations. And hence, we have gone ahead with the tender route. The window would be open between 29th to 4th of August. And post that, within one week or around that time frame, the cash disbursements will happen. We should send out the e-mail soon in terms of the entitlement and so forth and providing all the details in this e-mail. So, that's the details from buyback perspective.

Bhav in Salva: But is it tax -friendly after the new guidelines came for the income tax?

Abh ishek Jain: So, it will depend on the purchase price and the effective tax rate for the respective individual. So definitely, it doesn't make sense.

Bhav in Salva: It doesn't. It doesn't.

Abh ishek Jain: No, no.

Bhav in Salva: That's what I'm telling that have you gone through the new guidelines before putting in buyback because your buying price is not considered only. It is only the money which you get in your account. The full money is considered as your income and you have to pay income tax on the full amount. That's the reason buybacks have stopped, and we are talking that our buying price is considered. So, have you gone through this?

Abh ishek Jain: Yeah. We have gone through it. Basis is the portfolio of shareholders and mix of shareholders that we have and the premium that we have given basis the spot price. At the price of the announcement, there was a very clear delta and the premium that we offered. Any buyback, whether the pre-regime or now, it depends on what the investor is looking for, right? They are with the company for the EPS growth and so forth.

Moderator: Yes, sir. Please go ahead.

Abh ishek Jain: Okay. Basis the current mix of shareholders and their average buying price and others, I think basis our evaluation, it does make sense to a good proportion of our shareholders' base

Bhav in Salva: I would request if you can share your calculations and all, because I think there is a big mistake as last time also before a few years, I had told that we had calculated that our money was in liquid fund, but it was not in liquid funds. It was in debt funds,

which we had lost it. And this time also seems that there is some mistake. Please check it out and do give me the calculations of what we had done. I'll be very happy to get it.

Abh ishek Jain: No issues. I'm happy to clarify that. I don't believe there is any mistake. We have evaluated through our merchant bankers as well.

Uday Kumar Reddy : And Kotak is our merchant banker, right? So, we have done a lot of meetings with them.

Abh ishek Jain: But we are happy to get into the call with you and clarify. Thanks .

Bhav in Chawla: Great, thanks. We're waiting for call. Thank you.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Ritu Mehta for closing comments.

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Ritu Mehta: Thank you, everyone. In case you have any other questions, you can reach out to Investors helpdesk. Thank you.

Moderator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2025

Date: October 24, 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Sir / Madam,

Subject: Transcript of Earnings Call for Q2- FY'2 6

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter ended September 30, 2025 held on Saturday , October 18, 2025, at 11:30 AM IST.

The transcript is uploaded on company's website on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Kindly take the same on record.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

Tanla Platforms Limited
Q2 FY26 Earnings Conference Call Transcript
October 18 , 202 5

Call Duration § 33 minutes
Management § Ritu Mehta - Head of Investor Relations
§ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
§ Deepak Goyal - Executive Director & Chief Business Officer
§ Anubhav Batra, Chief Financial Officer
Participants that asked
the questions § Amit Chandra - HDFC Securities
§ Deepak Chokani - Individual Investor
§ Ram Tava - Individual Investor
§ Mahek - Individual Investor
§ Bhavin Salva - Individual Investor
§ Vaishnavi Gurung - Individual Investor

Moderator: Ladies and gentlemen, good day, and welcome to the Tanla Platforms' Q1 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch -tone phone

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms. Thank you. And over to you, ma'am .

Ritu Mehta: A very good morning and a warm welcome to our Q2 earnings call. Joini ng us with us today are Uday Reddy, Founder Chairman & CEO; Deepak Go yal, Executive Director; and Anubhav Batra, CFO. Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward -looking in nature. All statements other than statements of historical facts, could b e deemed forward -looking in nature. Such st atements are inherently subject to risks and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the resul ts presentation that is uploaded on our website. Audio recording and transcript will be availab le soon.

Hope, everybody got a chance to go through our Investor Pres entation and Shareholder Letter. The management will be happy to answer any questions, and we will now open the floor for Q&A.

Question-and-Answer Session

Moderator: Thank you very much. We will now begin with the question -and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touch -tone telephone. If you wish to remove yourself from the question q ueue, you may press * and 2. Participants a re requested to be use their handset while asking a questio n. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Amit Chandra from HDFC Securities. Please go ahead .

Amit Chandra: Thanks for the opportunity, and happy Diwali to all. So, my first question is on the uptick that we have seen on the platform revenue, obviously, Wise ly.ai implementation has helped us to achi

eve this. So, if you can elaborate a bit more, obviously, you have g iven now in a very detailed presentation on that. But still in terms of what i s the con tribution from Wisely.ai in this quarter whether it's a full quarter kind of contribution and also in terms of what are the other additional incrementa l revenue or how we can extend this partnership you can give a more like 1 -year kind of a view where how we can penetrate like deeper into the client?

Anubhav Batra: Hi, Amit. This is Anubhav. So, basically, in this quarter, we see the benefit, which has come from the platform deal that we had mentioned earlier in our cal ls where we have gone live with Indosat. So, the quarter captures the benefit that has come f rom the deal. The contract, like Uday had mentioned in the past, is actually a SaaS -based model, which is dependent on the number of subscriber s and the value added that we do it for protecting the users on scam. So, the c ommercials are dependent on the number o f subscribers protected. And the benefit should continue in th e coming quarters as well.

Amit Chandra: Okay. So, in terms of like cross -selling it within the existing client, that is one possibility, plus also in terms of expansion of this product across s imilar sized telcos in terms of international expansion, you can also throw some l ight there. And what could be the sustained growth we can see in the platform, and the update in the other areas like where we have invested in the platform business?

Anubhav Batra: Yes. So, Amit, the plan is to replicate the success that we have seen with the Indosat to other telcos as well as the enterprises. The results that we have seen from the deployment and the launch is very, very encouraging. The customer is benefiting out of the solution that we have deployed. And there are other solutions that are being discussed which are in the ancillary of the problem that we are solving for them. There would be more solutions coming in the related areas with the same customer, which will obviously help in upselling more solutions to them as well as we are trying to replicate the solution with other telcos globally, like this is an awesome start for our global expansion. We have been making efforts, and now they have started translating into results for us. So, definitely, it should multiply from here. And also, on the other, not just on the Wisely.ai front, but as well as on the other platforms, like MaaP platform, we should see the success should grow on MaaP platform as well in the coming quarter.

Amit Chandra: Okay. And so, on the enterprise side, obviously, OTT is going strong YoY, but on a sequential basis there has been some softness, so what's causing that maybe I'm not seeing you on quarterly basis, but what could be the volume growth that we can assume for the OTT like channel? And also, in terms of the enterprise X of OTT, how is the domestic volumes and the international volumes like panning out? And how like one should see the inherent technological risk here in terms of shifting to automated channels and whether we are seeing some cannibalization in terms of the domestic volume shifting to OTT that's why we are not seeing like aggregate growth numbers.

Anubhav Batra: No, in fact, Amit, this quarter, honestly, while the OTT sequentially has been little soft, but I would say it is not the softness in the long-term. It is basically because of certain high volumes done in quarter one for seasonal promotional spends. That is what has led to softness in this quarter sequentially. But otherwise, OTT is going strong. Not just WhatsApp, but RCS is also growing month-on-month and it should continue. So, definitely, OTT continues to be our focus area where the growth should come from.

And not just OTT, in fact, this quarter we have seen even the SMS volumes have always

grown, but kind of got cannibalized with the price erosion. But this quarter, the prices kind of behaved in a stable manner. The erosion is not that much. So, there is an uptick in the gross margin in the Enterprise Communication space, also you would see the margins have improved.

And in fact, on the OTT side, while the contribution from one or two major customers were lower because of promotional spends, but it has improved our margin mix, because the customer mix has changed in OTT, which has led to better margins. So, we hope that the growth momentum and the price stability continue in the Enterprise Communications, and it should definitely lead to growth going forward.

Deepak Goyal: Hi. This is Deepak here. Just to add what Anubhav has said. As we mentioned that in Q1, we had IPL, and during IPL, there's a lot of promotions happening on OTT, especially on WhatsApp, which was not there in Q2. And on the other side, there is an effort by the OTT players, especially Meta as well as Google, to lower the marketing messages, which are very expensive, if you will see that and move more towards utility and transactions. So, while the volumes are increasing, but there is a shift also happening, and which will continue. But, overall, as you seen we have increased our overall market share in OTT. We have been awarded as Partner of the Year by Meta. We are the largest partner for RCS with Google and that should continue.

Amit Chandra: Okay. And my last question on the margin side, obviously, we are seeing good expansion on the gross margin, we are at five quarters high there. So, how do you see the gross margins panning out from here? And what's exactly causing the increase in the gross margins in the enterprise business, despite there is pricing pressure from telcos?

Anubhav Batra: Yes. So, Amit, as I mentioned, it is actually the customer mix, the change of mix which is causing or translating into better gross margin in the Enterprise Communication

space, it should continue. The erosion from the price decline has also kind of stabilized, so we hope that the trend continues, and Enterprise Communication s continues to contribute to the gross margins. And, obviously, the major lever for gross margin uplift is the platform business, which operates at a much higher gross margin level.

So, if the higher proportion of platform sales should translate into better gross margins, like we have seen already in this quarter, it should continue. The accelerated growth has to come from the platform's business, and that should definitely impact, positively impact the gross margin going forward as well .

Amit Chandra: Okay, sir. Thank you and all the best.

Anubhav Batra: Thank you.

Moderator: Thank you. Our next question comes from the line of Deepak Chokhani from Rade Capital . Please go ahead.

Deepak Chokhani: Thank you. Happy Diwali to you all. I have three quick questions. I'll go one by one, and you can probably answer one by one. So, Uday sir, last quarter you had guided for 20% aspirational EBITDA growth. You think we are on track on this aspiration for this year, given that we may need additional ₹500 crore EBITDA in the next two quarters to achieve this aspiration?

Uday Kumar Reddy: Guys, can you hear me? Yeah. Good morning, Deepak. So, in fact, we had a long debate in the Board yesterday, and we have committed around ₹800 crores EBITDA this year, okay? And so, we see a bit of risk with around ₹50 crores. The reason being, in fact, that Deepak explained so well yesterday. See, there are two reasons why we see a bit of risk with ₹50 crores EBITDA this year. Effectively, we may reach ₹750 crores very effectively. And we may miss, I'm not sure, but maximum we may miss ₹50 crores. The reason being two reasons.

One is, the gaming industry, you know the whole story, we are one of the biggest guys who have been impacted. For example, like Dream11 is one of our largest customers and the rest is history, right . So that's number one. Number two is, we see a bit of a slowdown in terms of WhatsApp incentives, okay . So, these two items are pulling down our aspiration number. But we are trying our best to recover the next two quarters. Let's see how it goes.

Deepak Chokhani: Perfect, sir. Thank you. My next question is Indosat revenue, sir, was for the entire quarter two or part of quarter two?

Uday Kumar Reddy: Yeah. So, as Anubhav explained, like we have captured for three months for the entire quarter. So let me explain. In fact, Anubhav explained it very well, right? But let me also try to deep dive. So, basically, this is a long -term deal and it's a subscription model. That's number one.

And we went ahead with the first two solutions, which is anti-spam and anti -scam, so for which we signed for long -term deal. And this platform is centrally deployed with the Indosat, wherein we are allowed to launch as many solutions as we can. Of course, we are working very closely with the telco. And as and when we launch one more solution, so you can see uptick in our revenues. That's number one.

Number two, so it all long -term deals. And number two is whenever we deploy this platform with other telcos, you can see the same uptick in terms of revenues. So one is,

we will land in telco, and we will try to grow. So, we landed in Indosat, which is doing phenomenally well. And we will try to close even other telcos

Deepak Chokhani: Perfect, sir. Thank you so much, and all the best.

Moderator: Thank you. Our next question comes from the line of Ram Tava with Capita Investment. Please go ahead.

Ram Tava: Okay. Good afternoon, all. So, my question is, does Wisely.ai offer any prospective

clients in the offerings of the next quarter or the next couple of quarters, which are almost from the verge of translating into signed things. So, anything prospective in Indonesia or even outside Indonesia within India, anywhere other than the Indosat?

Anubhav Batra: Hi, Ram. Anubhav this side. We have a very strong pipeline on Wisely.ai, which is not just post the Indosat deployment, but also from the effort that have gone to it in the past in India as well as globally. So, there is definitely a very strong pipeline where a couple of leads are hot. We are very, very optimistic in platforms revenue growing and contributing to our EBITDA aspirations. So, definitely, we can see some conversions in the near-term and, obviously, in the long-term.

Ram Tava: Okay. So, I just want to understand why the net profit has grown negative YoY, the top-line has increased, in the other aspect, gross profit has increased. Any specific reason that the net profit has come down?

Anubhav Batra: So, on quarter-on-quarter, it is positive; year-on-year, the negative is because of the less efficiency in terms of overheads and that is primarily because of the measured investment that we have been doing in talent and technology. And it should kind of continue because we have to motivate people, we have to hire the right talent to fuel growth. And I think the actions of those investments which we have made in last few quarters have started to show in this quarter. So, if you compare YoY, the reason is indirect cost going up as a percentage of sales, but I think as the gross margin profile improves, the efficiency will improve, because the investments have been made and we will continue to make some measured investment, but with growing gross margin the efficiency should improve as well.

Ram Tava: I'm not sure, I mean, this question has been asked, because I joined late. So, in the AGM meeting, 20% guidance has been given on the net profit,

so still we abide by that guidance, because there's a huge wide between what we are now, and you have to see that 20% net profit increase. Do you still abide or is there any change here.

Anubhav Batra: So, Ram, Uday did answer this in the previous question. But, first of all, it is the guidance is actually an aspiration, it's internal target that we have taken on ourselves and we are gunning for it, it is an aspiration. And second is, it is an aspiration on the EBITDA level for 20% CAGR. So, the efforts are definitely aligned, there may be as we have done some working internally, we see that the targets, if you have to meet the targets, it is actually quite steep. So, there may be a little bit of variation which may come in. But realistically, there may be a slip, but we are actually believing that we will deliver it, and all the teams are coming towards that. So having said that, the target is steep and there may be a little bit of miss.

Ram Tava: Thank you.

Moderator: Thank you. The next question comes from the line of Mahek for Max. Please go ahead.

Mahek: Yeah. Hello. Good morning. I wanted to ask that, are we covering all subscribers of Indosat right now or only some of them in? Like, is the deployment phase by phase or have we covered all the subscribers right now?

Moderator: Sir, I am sorry to – sorry, sir, please proceed.

Anubhav Batra: Yeah, the question was a little unclear, I was going to say that the voice was not very clear.

Moderator: Yes, sir. The voice is not clear.

Mahek: Yeah, I'll try again. Hello?

Moderator: Why did you use your handset, please?

Mahek: Yeah, I'm using my handset. Hello, can you hear me now?

Moderator: Sir, if you are on the speaker, please use your handset.

Mahek: Can you hear me now? Hello?

Moderator: ...but try speaking now.

Mahek: Let me join back in the queue then. Hello?

Moderator: Yes, sir, please join back.

Mahek: Yeah, I'll join back in the queue.

Moderator: Thank you.

Uday Kumar Reddy : No, no, no, I can answer that question. I understood that question like what he's trying to ask you is, is there Wisely.ai which is deployed with the Indosat right now. He's covering all subscribers or not yet. The answer is, yes. This deployment is to cover all the subscribers, and we went live with all the subscribers. Ritu, my voice is clear.

Moderator: Yes, it is much better. Please continue, sir.

Anubhav Batra: Yes, It Is clear

Uday Kumar Reddy: Yeah, yeah. I already answered the question. let's move on.

Moderator: Thank you. Our next question comes from the line of Bhavin Salva with BK Corporation . Please go ahead.

Bhavin Salva: Hello, very good afternoon to each and every one. Last time, I had a question on buyback, and I was told that you guys would be getting back to me. Till now, I have not received any email or phone call. And the second thing, today also I had joined on time, but was not able to hear the management's guidance or whatever they talked about, directly the music was going on and when the question -and-answer session started that time only we were able to hear. So, please, please see to it that .

Uday Kumar Reddy: Sure. Anubhav, what is his question on the buyback, I didn't understand. If you understood, please answer .

Anubhav Batra: There is no question. Yeah.

Bhavin Salva: Last time only I had given my question, and the management was not able to answer it, and I was told that you guys will be getting back to me.

Uday Kumar Reddy: Now, can you please repeat the question?

Bhavin Salva: Last time I had asked the question that what are the financial calculations that we did before going for a buyback, because certainly they answered me in that way that it is in favour of the investors and while taxation it is only an only your rate of buying, which is considered. And I was often clear opinion

that our buyback rate is only the rate which matters and not our purchase rate. So, they were like no we have done the calculations and we'll get back to you. But till today, no one has got back to me.

Uday Kumar Reddy: No, no. So, we were advised by the Kotak bankers and we did all .

Bhavin Salva: That was told to me, but after that I was told that you guys will be getting back to me.

Uday Kumar Reddy: There is no need to get back to you, okay? So, we were guided by the Kotak and they understand the regulations very well, okay . And, yeah, if you have any questions, please send the mail to investorhelp@tanla, then we will reply, okay? Thank you.

Bhavin Salva: Okay. Great. I will. Thank you.

Moderator: Thank you. Our next question comes from the line of Ram Tava who has re-joined the

queue. Pls go ahead.

Ram Tava: Yeah. Hi. Thank you. So, I just want to hear about Wisely ATP that happens to be a very commercial product for us and are you seeing any green shoots around that or is it a product which is no more we are banking upon, now we are more focusing on Wisely .ai.

Uday Kumar Reddy: Yeah, it's a good question. Anubhav, let me answer that.

Anubhav Batra: Speak, go ahead. Yeah.

Uday Kumar Reddy: Yeah, Ram, can you hear me?

Ram Tava: Yes, yes, I can hear you

Uday Kumar Reddy: Yeah. So, the way we should look at this Wisely ATP is a solution, which we launched in India quite some time back. That is a solution okay? So that solution is there to protect the end subscribers. So, we call it as anti -scam solution, okay? And the one we launched in Indosat is more a platform, which we call it as Wisely.ai, okay? On top of the platform, we are supposed to launch, we have launched two solutions, including Wisely ATP, which we don't want to call it as a Wisely ATP on top of Wisely.ai, we call it as anti -scam solution, and the second solution is anti -spam solution.

So, going forward, we deploy only Wisely.ai, wherever we get a chance to deploy with the telcos. So, Wisely ATP, what are we launched in India, we would like to restrict to ourselves to only to India. But in global market we will end up deploying only Wisely.ai.

Ram Tava: Yes. Understood. And it's a suggestion from my side of feedback, I'm not sure who is managing the Investor Relations for you, but there will be hardly any response. Last 2 years, I've had a written three to four e -mails to them, but not in a single email I got a response from them. They even didn't know the technology of the email. So, I request to look into that Investor Relations team, who are managing that, so that will be helpful for us to develop service.

Uday Kumar Reddy: Ritu, do you want to comment on that? You are the one who has to replay all these mails. Ritu?

Ritu Mehta: Yeah, Uday, I will check we've been responding, but I will recheck the mails that have not been responded.

Uday Kumar Reddy : Yeah. Thank you.

Ram Tava: So, thanks.

Moderator: Thank you. Participants who wish to ask questions may please press * and 1 on their touchtone phone. We will take the next question from the line of Vaishnavi Gurung from Craving Alpha. Please go ahead.

Vaishnavi Gurung: Hi, thank you for this opportunity, sir. Three, four questions from my side. My first question is on the top -line growth. If we see from the last three, four quarters, there has been literally no growth on year -on-year basis. So, if you can share a realistic revenue growth target.

Anubhav Batra: So, Vaishnavi, you would have seen that there are three quarters of consequent growth in top -line. So, obviously, we feel that it should continue, but obviously we can't comment on the numbers on a going forward basis. But there has been growth in last three quarters and we are expecting it to continue.

Vaishnavi Gurung: So, sir, if you can give like a broad range.

Anubhav Batra: Can't comment on the range as well, Vaishnavi. Looking forward statement can't be

given.

Vaishnavi Gurung: Okay, sir. Sir, my second question is on the EBITDA side. As you mentioned that you will miss the guidance and given the current H126 performances, like we have not performed very well on the EBITDA side, and we may miss the margin. So, sir, if you can share the expected EBITDA margin for FY26? Or if you want to revise the guidance in the region?

Anubhav Batra: Yes, we have not given a guidance. It is actually an internal target which we indicated to the market. It is not a guidance given. We have taken an internal aspirational target, which we are trying to achieve. If you look at H1 break it into two quarters, definitely the second quarter we have seen.

Uday Reddy: Anubhav, let me answer that question.

Anubhav Batra: Yeah.

Uday Reddy: So, Vaishnavi, the way it works is when we worked on annual operating plan, we shared with the Board with certain assumptions, okay? So, in fact, we have conducted one of the Board meetings only to consider certain assumptions, like so the lot of assumptions are there. So, based on assumptions we have built an annual operating plan and that's what we shared with the market, we call it as aspiration, right? That's number one, okay? So, when we consider the aspirations with certain, what do you call this thing, like so that where we went wrong was, we never realized that like the gaming industry would be in trouble, right? So, the gaming industry, you know the history, right? Because it's including the Dream11, which is one of our biggest clients, which Deepak will explain now, okay? So that has really pulled down our number, okay? So that's number one, right?

So, the second line item, again, Deepak would explain now. These are on the incentive of WhatsApp, Meta, okay? Because of that we see a bit of risk with ₹50 crores, okay? So, we should be able to achieve minimum of ₹750 crores EBITDA this year. So, we are not going to revise any aspirations you will try to achieve, but there is a bit of limitation here. Deepak, do you want to add anything here?

Deepak Goyal: Yes, Uday. So, I just want to say it one more time as we have mentioned several times in the past that in the enterprise market, we lead in each and every vertical. So, we are presenting each and every vertical and we are the leaders. So, I mean if any vertical is growing very fast, the number of transactions are increasing very likely tariffs and ValueFirst business, our enterprise business will also grow. But if any vertical is under threat, then that business will take a hit for us as well.

So, having said that, we were the market leaders in gaming industry. Dream11 was our largest customer in gaming and then we had another customer like My11Circle, the Rummy Circle, then there's so many of them, right, you must have seen so many gaming companies doing either they are into a cricket, or they are into poker and stuff like that. So, all these customers who are our customers. And overnight with one regulation, the entire business has gone. So that has impacted us and that will impact us in the future.

And on the other side about Meta, though, we are doing very well, the OTT business we are doing very well with WhatsApp business. But, middle of the year, Meta has taken away certain incentives, which we forecasted as a part of our gross margin calculations. So that has put us a little bit on the back foot, but we are working on it, and we are working very closely with Meta and how we can make up for that, how we can compensate, how we can make more money. And we are closely working with them, and we are very

very hopeful to find some solutions over there.

Vaishnavi Gurung: Thank you, sir. Just one follow-up question. How big of an impact do you see from the incentive from Meta side that you mentioned? On the margin side?

Deepak Goyal: Anubhav?

Anubhav Batra: Yeah. So, Vaishnavi, I would basically say that there is, Uday has already given an indication of the numbers that it missed like anyway he mentioned that it's a target. So, the quantum of miss that he has mentioned has the elements of assumptions which have gone in a negative way, like impact of gaming, impact of WhatsApp incentive and a couple of other things. The delta has already been mentioned.

Vaishnavi Gurung: Okay. So, my next question is on the AI side. So, how is stamina adapting to AI and how are we seeing demand on the AI side and, sir, plus with bigger companies evolving and doing things internally? How are we planning to tackle that?

Uday Kumar Reddy : So, Vaishnavi, we have already launched Wisely.ai platform. I think we are the only company in the world also on CPaaS like has taken our AI very, very seriously. We have spent a lot of investments on this platform for the last 1-year. And our platform like Indosat and the solution that we deployed on top of this platform are massive, massive, success like, okay? So, we are here to invest on AI, not only for our solutions, products and platforms, but also, we're trying to see how we can use the AI for our internal process. So, we are the biggest believers of AI, and we continue to invest on AI.

Vaishnavi Gurung: Okay, sir, and on the second question?

Uday Kumar Reddy : What is the second question?

Vaishnavi Gurung: Sir, my second question was on the companies as bigger companies evolve, and they are planning to do things internally. So, how are we planning to tackle that?

Uday Kumar Reddy : That's what I told you, right? I've already answered that question, Vaishnavi. But our internal process also, we are trying to see where we can deploy AI. So, we are the biggest believers of AI. That's what I told you.

Vaishnavi Gurung: Okay, sir. Our last question....

Uday Kumar Reddy : Sorry, we can't hear you.

Moderator: I'm sorry. She maybe mute.

Uday Kumar Reddy : What was her last question?

Moderator: Sir, I'm sorry. Sir, she has left the queue now. But we'll take that as the last question.

Uday Kumar Reddy : Okay, okay.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you very much. In case any questions are still not answered, please reach out to Investor Help Desk. Wish you all a very happy Diwali and thank you.

Uday Kumar Reddy : Thank you, guys. Happy Diwali. Thank you. Bye -bye.

Moderator: Thank you, sir.

Anubhav Batra: Thank you. Happy Diwali.

Moderator: Thank you, members of the management . Thank you. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Bye.

This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jan 2026

Date: January 29, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Sir / Madam,

Subject: Transcript of Earnings Call for Q3- FY'2 6

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Unaudited Financial Results of the Company for the quarter ended December 31, 2025 held on Friday, January 23, 2026, at 3:30 PM IST.

The transcript is uploaded on company's website on below link:

Link: <https://www.tanla.com/investor-relations/quarterly-results>

Kindly take the same on record.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

Tanla Platforms Limited
Q3 FY26 Earnings Conference Call Transcript
January 23, 2026

Call Duration § 36 minutes
Management § Ritu Mehta - Head of Investor Relations
§ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
§ Deepak Goyal - Executive Director & Chief Business Officer
§ Anubhav Batra, Chief Financial Officer
§ Seshanuradha Chava - General Counsel and Company Secretary
Participants that asked
the questions § Amit Chandra - HDFC Securities
§ Deepak Chokani - Rade Capital
§ Jyoti Singh - Airhant Capital
§ Abhishek Chauhan -Eklavya Capital
§ Dharwi Sharma - Mudita Growth Partners
§ Rahil Shah - Sapphire Capital
§ Gopinath - Individual Investor

Moderator: Ladies and gentlemen, good day, and welcome to the Tanla Platforms' Q 3 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms. Thank you. And over to you, ma'am .

Ritu Mehta: A very good afternoon and a warm welcome to our Q 3 earnings call. Joining us with us today are Uday Reddy, Founder Chairman & CEO; Deepak Goyal, Executive Director; Anubhav Batra, CFO and Anuradha Chava, General Counsel and Company Secretary . Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts, could be deemed forward-looking in nature. Such statements are inherently subject to risks and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available soon.

Hope, everybody got a chance to go through our Investor Presentation and Shareholder Letter. The management will be happy to answer any questions, and we will now open the floor for Q&A. Michele, if you could open the floor for Q&A.

Question-and-Answer Session

Moderator: Sure, ma'am . Thank you very much. We will now begin with the question-and-answer session. Anyone who wishes to ask a question, may press * and 1 on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use their handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Our first question comes from the line of Amit Chandra from HDFC Securities. Please go ahead .

Amit Chandra: Yeah, thanks for the

opportunity. My first question is on the enterprise side. Obviously, we have seen the recovery there in terms of growth, both in the OTT side and the enterprise, excluding the OTT. If you can throw some more colour in terms of whether this is more led by seasonality or this is led by some structural changes that are happening in the enterprise business ex of OTT. Because last quarter, you mentioned that there was some impact from some client-specific drawdowns. So, like where are we in terms of the stability of the existing portfolio? And also, in terms of the domestic messaging volumes, how the volume has picked up? And how the telcos are seeing for price hike in this segment?

Uday Kumar Reddy: Deepak, do you want to take this one?

Deepak Goyal: Yeah, yeah. Sure, sure, Uday. Hi, Amit, Deepak here. So overall, we have seen a good quarter, as reflected in the numbers. And it is not just about seasonality, but overall, I would say that we did pretty well. If you look at the volumes on the SMS side, our volumes are growing. We have, in fact, winning a lot of new customers, and we have

added net new customers to our portfolio, and those customers have ramped up. We have been trying to change our mix a little bit.

We focused on more profitable routes. We focused on customers sending messages to outside of India, and we've grown that. That has also brought in some additional profitability. On the OTT side, you must be aware, as we speak today, we have been recognised by Meta as the partner of the year. So, we are their most preferred partners now. Though as we discussed in our last earnings call, there was a bit of incentives withdrawn by Meta, but still, overall, this business is growing and we are

also trying to charge for our additional services, for bots and everything. So that is also giving us additional revenues and bottom line which is contributing to the bottom line. And we feel that this is going to sustain for the future also

Amit Chandra: Okay. You mentioned about obviously the WhatsApp OTT business; the volume growth is back. But more from a Meta perspective, they have been very volatile in terms of pricing. First, they have cut the pricing. Now again, there has been a pricing increase. So how do the enterprise clients view this? And also, is it any price hike there is going to impact the adoption of WhatsApp as an alternative channel or you're seeing very strong demand there in terms of adoption? Or also, in terms of pricing, why there is so much volatility from the Meta side?

Deepak Goyal: See, Meta is known for this. When they see there's a strong demand, they would increase the prices, okay? So, there's nothing new that is happening on the ad business also, and that is happening here as well. Having said that, I would say that customers continue to ride on this channel, as they see great ROI coming in.

But we would also say that we also have an alternate channel that is RCS available for the customers, and they are trying that as well, which is far, far cheaper. And even there, the ROI is pretty good. So, if certain customers, they find, then we have a rival channel available with us. Even at RCS, as you are aware, we are the largest. So, it is working well. But just to answer to your question, yes, the demand remains quite strong for WhatsApp.

Amit Chandra: Yes. You mentioned about that you have been adding new customers, and we have seen that the new customer addition has been pretty strong over the last two quarters. But if I see the revenue added from these customers, there has been a sharp decline in terms of what we have added in this quarter. So, if you can explain how the journey of a like new client is and what actually defines a new client in terms of whether we start at a very low engagement level, and then, we ramp up within that? And how much typically is the ramp-up timeline in

terms of when you onboard a client?

Deepak Goyal: See, for a customer to fully ramp up, it takes good three, four quarters once we onboard a customer. I also mentioned a couple of quarters back that we are focusing on our existing customers also to increase our wallet share, where we are already present. So that exercise also worked very well for us. And in parallel, we were working on adding new customers as well, which we did, and you would see the results in the coming quarters because as I said, it takes time to build all the solutions and everything and ramp the customer.

We have to work on a lot of use cases. So that work is going on in parallel. But I can tell you that our engine is going pretty well on both the sides; on the existing customer sides, where we are continuously working on increasing our wallet share, and we are also working on adding absolutely net new customers, which were never there with us.

Amit Chandra: Okay. And last question from my side is on the platform side, obviously, we have a stated strategy there in terms of scaling the platform business. But are we satisfied with our performance in terms of what we have achieved in terms of platform

business? Because the growth has slowed down versus what we have done maybe one or two years back. And in terms of the new platform launches outside of India, we have onboarded some new customers. So, what is the ramp-up timeline there? And when we can see some strong growth in the platform segment?

Uday Kumar Reddy: Yeah. So, Amit, it's a good question. In fact, we have won one deal on our ATP in India. So, we're going to go live any time soon. So, we should be able to start billing

probably, if not January, probably in February itself. So that's one bank that we added on ATP to start with.

Secondly, we have delivered impact to our Indosat customer, and they are pretty happy. So, we are also in discussion with other telcos. But as you know, it's a gigantic platform. It takes a bit of time to sell this platform. But once you deploy, it's tightly integrated with the network, handset and SIM. So, it takes a bit of time, but we are doing whatever we can do from our side to sell more of platforms in the international market.

Amit Chandra: Okay. And in terms of launches, are we there in terms of whatever launches we have to make on the platform side or we are still working on some new products, some new innovative products like when because we are always ahead in terms of understanding the industry trend and coming up with some innovative product, and that has been our strength on the platform side? So, anything if you can share with us in terms of what we are working on? And what can be the future growth drivers on the platform business?

Uday Kumar Reddy : Amit, I'm afraid I cannot really tell you what are the platforms that we are working right now. But definitely, you will get to hear something good in this quarter. Our innovation engine along with GTM engine is going very, very good. It's solid. Our innovation team is working on a platform which have to go live by end of this quarter. And as and when we go live with both telcos and enterprises, we should be able to update our shareholders.

Amit Chandra: Okay, thank you. And all the best for the quarter. Thank you.

Uday Kumar Reddy: Thanks, Amit.

Moderator: Thank you. Our next question comes from the line of Deepak Chokhani from Rade Capital . Please go ahead.

Deepak Chokhani: Thank you. Good evening. Deepak Chokhani here. So quick two questions. With a strong bank balance of ₹1,000 crores, do you think our existing businesses has enough TAM for us to continue growing? Or should we be considering investing or incubating other businesses which are related to our business? That's question number one.

And question number two is, we

haven't seen any domestic mutual fund participation in our shareholders list. So what efforts company is making to attract them? That's it. Thank you.

Anubhav Batra: Hi, Deepak, so we have a strong balance sheet. We have good cash balance. And honestly, our efforts are more to do with addressing the existing TAM currently because it is growing at a decent pace. Likewise, there are certain products that we have, which are category creators in themselves. So there, we are not limited to the current CPaaS TAM, but like Wisely.ai has geographical attraction. So, we would want to continue to invest our energies in the near term in accelerating the growth on the existing platform that we have built, not just in India, but to go global. That is one. But having said that, we continue to invest, like Uday mentioned, we are working on new platforms. So, we want to expand our TAM with the innovation engine that we have and cater to greenfield opportunities. So, we do spend decent amount of funds

from our funds on the new innovations that we're doing internally. That is one.

Deepak Chokhani: So, on the same point, do you think, enterprise and the platform business has enough TAM for us to continue growing in the near future? Because it seems like things have

kind of saturated in terms of the market or the top line and not only for us, just for the entire sector.

Anubhav Batra: Deepak, it has not saturated. It is actually growing at almost 8% to 12% range year-on-year. And with OTT changing the landscape, honestly, the market is expanding. In that sense, digital adoption is going through the roof, UPI transactions, etc. So, there is enough market opportunity there. But at the same time, having said that, you know that we have geographical expansion aspirations, so we would want to expand our geographical territory so that we are able to increase address to a larger TAM.

Deepak Chokhani: Okay. And the next question was basically, I mean, are we making any efforts to attract because given the mutual, at least the domestic mutual fund flow has been so huge, and I sometimes wonder what efforts are we making to attract them?

Anubhav Batra: Yeah. So, Deepak, there, I think what we are trying to do currently is, obviously, we need to engage more. So, we are going to increase our coverage. We're going to increase meetings with the set of investors in the near future. But obviously, our first endeavour was to make sure that we get back on the growth trajectory, which I think we have started demonstrating quarter-on-quarter improvement in the number.

And now that the growth momentum is back, we obviously have taken a note of this internally. Also, we have discussed that as management, we would want to go out and engage with both the domestic funds as well as foreign institutional investors. So, we are going to focus on that aspect as well.

Deepak Chokhani: Okay, thank you and all the best.

Anubhav Batra: Thank you.

Moderator: Thank you. We'll take the next question from the line of Jyoti Singh from Arihant Capital. Please go ahead.

Jyoti Singh: Thank you for the opportunity. As you explained a lot of things on the industry side, but I wanted to understand like how competition is evolving in India in the CPaaS market and especially from a global CPaaS player and telco platform. And another question on the OTT and RCS that are gaining traction. So how should we think about the growth trajectory going forward two to three years?

Uday Kumar Reddy: Deepak, do you want to take this question?

Deepak Goyal: I couldn't hear it properly. Can you please repeat?

Jyoti Singh: Yeah. So, I wanted to understand on the competition side, CPaaS market, especially from global CPaaS player and telco-backed platform. And another question on the OTT and RCS gaining traction. So how we should think the growth trajectory of a

traditional SMS versus a newer channel over the next two to three years?

Uday Kumar Reddy: Deepak, are you there?

Moderator: Yes, he is connected. Deepak, sir, please unmute yourself and speak.

Deepak Goyal: We are seeing a good amount of growth coming in on the SMS side also, as Anubhav just mentioned that the UPI transactions are going through the roof. So, this all attracts such kind of transactions, SMS-based notifications and OTPs and so on.

And likewise, if you look at OTT, now the focus is not only on the top 200 or 300 large enterprise customers, who are into B2C business, but TAM is increasing to SMEs. And there are hundreds and thousands of SMEs there. And now the focus by OTT players is how we can build solutions for them, right? And that market can be really, really huge. And that's where we are putting a lot of focus on whether it's voice or otherwise. So, a lot of work is going on in that. So, both SMS and OTT are going to grow in the future.

And I think your another question was about the competition from the international players, am I right?

Jyoti Singh: Yes, sir.

Deepak Goyal: Yeah. So, I mean, if you really see, Indian market is quite complex, and almost every large CPaaS player had their presence in India or they still have it. Let's say, for example, Twilio came, and Twilio bought ValueFirst. And finally, and ultimately, we acquired ValueFirst, and now they're with us. Sinch is there, but they are not doing that great. Infobip is almost on the verge of collapsing in India. Yeah, so if you really look at the international players, they don't have much presence left in India any more, which we predicted three years back as well.

Jyoti Singh: All right. Thank you. And also wanted to understand, like currently, our annualised revenue on the customer cohort grew around 30% approx. So how much headroom remain for wallet share expansion within the top 20 and 30 customers who track it?

Deepak Goyal: See, there's still room, okay? And we feel that we have quite, I mean, I can't quantify in the percentage right now, but there is still room left, and there is some work in progress for that.

Anubhav Batra: And also, Jyoti, just to add to what Deepak said, basically, we are trying to focus on accounts based on the wallet share that we have and not just on the large customer cohort, but also customers which are between 20 million to 50 million per month kind of number that we generate from them. We are targeting to focus on the lower end of pyramid as well so that we bring them on the higher ladder on the pyramid. So, we would want to focus on those segments as well. So that's why I think overall, there is still a lot of headroom available for growth by focusing on by increasing the wallet share on the other segments as well from the cohort.

Jyoti Singh: Thank you so much.

Moderator: Thank you. A reminder to all the participants that you may please press * and 1 to ask questions at this time. The next question is from the line of Abhishek Chauhan from Eklavya Capital. Please go ahead.

Abhishek Chauhan: Yeah, thank you. And congratulations for a good set of numbers. What I see from the presentation is that your enterprise communication finally is growing at double-digit rate Y-o-Y. And if I project from your previous conferences, what I gather is it is because the pricing situation has become much better. So, my question is, do we see the pricing pressure in enterprise communication to remain stable and the market share to remain stable? Or can they turn volatile again?

Anubhav Batra: Abhishek, in the near future, we would want to assume that there will be stability. However, having said that, competition environment is still active, and there is a continuous pricing pressure. That remains. However, both from a sourcing side as well as from the selling price side, we have been able to

maintain this thing, and our growth is also increasing. So, in the near term, it is stable, but because we operate in a highly competitive environment, a long-term view is difficult, but near term is stable.

Abhishek Chauhan: Thank you. I think that's all from my side.

Moderator: Thank you. Participants you may please press * and 1 to ask questions. The next question is from the line of Dharwi Sharma from Mudita Growth Partners. Please go ahead.

Dharwi Sharma: Thank you for the opportunity. So, I have an industry-wide question. So globally, we are seeing that banks and especially financial institutions, they are moving from OTPs to passkeys. Also, do they have been delayed their passkeys? I want to understand what are your views on it. Do we see SMS OTP volumes going down in the future? I want to have some understanding as to how does it impact our terminal value in your opinion.

Anubhav Batra: Deepak, would you want to answer that? Please, go ahead

Anubhav Batra: Dharwi, can you please repeat the question?

Dharwi Sharma: So, my question is that globally, we are seeing that banks and especially financial institutions, they are moving from OTPs to passkeys. Also, two-factor authentication is being replaced by passkeys. So, in your opinion, the SMS volumes of OTP should decrease in the future. So, what are your views on it? I want to have some understanding as to how this decrease in volume, if it happens, how does it impact our terminal value. So, if I could get some views on it from your end.

Anubhav Batra: So, Dharwi, while brands are using new ways of authenticating a user, but at the same time, I think OTP continues to grow and remains most secure channel. So, we have not seen any drop, decrease in the volumes in OTP even when the new technologies have been made available.

And also, I think even if, let's say, the OTP use case shifts from SMS, there are many more use cases that are being growing in the market, like we mentioned, notifications is going through the roof because of the transactions that happen on digital channels. So, we don't see any impact on OTP traffic in the near future.

Dharwi Sharma: Thank you

Moderator: Thank you. Participants you may please press * and 1 to ask questions. The next question is from the line of Rahil Shah from Sapphire Capital. Please go ahead.

Rahil Shah : Good afternoon. Firstly, do we have any guidance, when it comes to our top line and margins? Mainly on the margins front now, you've done well in this quarter. So, what is the steady-state range, first of all? When can expect?

Anubhav Batra: Rahil, we would not want to give any guidance or any number, sorry, because it will be forward-looking. But as we said, we are aspiring to continue to build on our growth momentum, and I think it should continue.

Rahil Shah : And are we seeing equal focus across all the platforms and channels we have? Or is there a certain area where the company is spending more to get more market share?

Anubhav Batra: On both. Rahil, we are focusing on both segments, and we would see that on both of them, we are growing continuously. So, focus is there on both the segments.

Rahil Shah : Okay. Yeah. Thank you.

Moderator: Thank you. The next question is from the line of Gopinath, an Individual Investor. Please go ahead

Gopinath: Hi, good evening, everyone. So, I have three questions. The first one is on the ValueFirst International business acquisition. I know the approvals have n't come through, and it's hard to exactly know when the timeline would be, but do we know why the approvals are taking so long to happen, right, for the acquisition to go through? That's question number one.

And it was also mentioned that some ₹40 crores our RSUs are being amortised under the employee expenses. I wanted to understand how much of it has been amortised this

quarter. And how long will that process happen?

And the third question is, I mean, I'm not sure if I have this information, right, but NIC, National Informatics Centre is a customer of Karix. I believe that the SMS to government organisation has gone to some other firm. How much of an impact would that have on the bottom line and the top line starting next quarter?

Seshanuradha Chava: Hello, Gopinath. Let me just answer the question regarding regulatory approvals. For the ValueFirst International. Like you said, it is spending, but we cannot tell you the timeline because the regulatory approvals are approvals, and we are constantly in touch with the regulator. We are trying to resolve it, and we will update the market as and when we have an update from the regulator. Having said so, we just want to inform -- yeah, yeah, please go ahead.

Gopinath: Sorry, the timeline, I understand, but do we understand the reasons why it's taking a lot of time?

Seshanuradha Chava: Why it's taking a lot of time? There are some questions, and we're just responding to the questions from the regulator.

Uday Kumar Reddy: Okay. And for the second question? Deepak, do you want to take on NIC?

Deepak Goyal: Yeah, for NIC, it's like this that, firstly, when you talk about what will be the impact of the top line and bottom line, then in terms of bottom line, the impact is not material, number one. Number two, I would say that when NIC floated this RFP, they came up with a very stringent eligibility criteria, which requires a lot of different kind of certifications and compliance.

Uday Kumar Reddy: Are you there Deepak?

Anubhav Batra: In the meanwhile, Gopinath, let me answer the second question around VF RSUs, the vesting is over two years, and this is the third quarter of that vesting.

Gopinath: Understood. Roughly ₹5 crores a quarter?

Anubhav Batra: Yes. So, Deepak, are you there?

Deepak Goyal: Yeah. So I was talking about NIC. So firstly, I would say that, you asked for what would be the impact on our top line and bottom line. So I would say the impact is not material, it's not much, if we really lose it. But just to give you more details about it, when NIC floated the RFP, they came up with a very strict eligibility criteria, which require a lot of different kind of experience and certification, security audits, a lot of stuff. And what we have found is that there are serious anomalies, I mean, to whom this tender has been awarded. And we have raised this with NIC, and we are waiting for a favourable response from their side. So, it is not yet over as far as we are concerned.

Gopinath: Got it. And another thing to add, great job on the T amil Nadu e -governance agency product launch that you had. Any idea on how the volumes and when the vol umes might pick up? Like how do we make money out of it? Is it again per message basis there? Or how is that contract going to work out?

Deepak Goyal: Yeah, yeah. We always work on per transaction basis. And this is our focus on going on to each and every state in the country and enable them to be able to communicate and interact and engage with the citizens over there. So, let's say, for example, Tamil Nadu is a very, very interesting project. Already we worked f or more than three months to activate our bots for more than 55 various government departme nts in Tamil Nadu.

They are very, very happy with it. And the service has been launched. It will take some time to ramp up where citizens would understand that they can reach out to a particular number to ask for various things on the government. They c an, in fact, interact with the government department directly, and vice ve rsa, where if there are any government schemes are there, any new developments are there, they can r each out to the citizens. So, this has been built for that. And we are working very clos ely with them, a

nd we believe that it will bring very good volumes for us in the near future. But I cannot say in terms of what revenues and all that, but we feel it's jus t going to be a pretty good one.

Gopinath: Are there any projects underlying going on with other government s similar to that of Tamil Nadu? .

Deepak Goyal: Yeah. We have many more states in the pipeline and working with other states as well.

Gopinath Thanks a lot for the update. Hoping for the best. Thank you

Deepak Goyal: And just to tell you one more thing, with NIC, we are very s trong on WhatsApp. Our company ValueFirst, they are the primary providers for WhatsApp servi ces over there, and that is growing very well over there.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Ms. Ritu Mehta for clos ing comments.

Ritu Mehta: Thank you very much. In case any questions are still not answered, please reach o ut to Investor Help Desk.

Moderator: Thank you, members of the management . Thank you. Ladies and gentlemen, on behalf of Tanla Platforms Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Bye.

This is a transcription and may contain transcription errors. The tr anscrip t has been edited for clarity. The Company takes no responsibility of such errors, alth ough an effort has been made to ensure high level o f accuracy.

Call: May 2026

Date: May 1, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001
Scrip Code: 532790 National Stock Exchange of India Ltd.
"Exchange Plaza"
Bandra-Kurla Complex, Bandra (East),
Mumbai - 400 051
Symbol: TANLA

Dear Madam/Sir,

Sub: Transcript of the Earnings Call.

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015, please find attached herewith the transcript of the Earnings Call on Audited Financial Results of the Company for the quarter and year ended March 31, 2026, held on Monday, April 27, 2026, at 4:30 PM IST.

The transcript is uploaded on company's website as well on below link:

<https://www.tanla.com/investor-relations/quarterly-results>

Request you to take the same on record.

Thanking you

Yours faithfully,
For Tanla Platforms Limited

Seshanuradha Chava
General Counsel and Company Secretary
ACS -15519

Tanla Platforms Limited
Q4 F Y26 Earnings Conference Call Transcript
April 27, 2026

Call Duration ■ 50 minutes
Management ■ Uday Kumar Reddy - Founder, Chairman & Chief Executive Officer
■ Deepak Goyal - Executive Director
■ Anubhav Batra, Chief Financial Officer
■ Ritu Mehta - Investor Relations
Participants that asked the questions ■ Deepak Chokani- Rade Capital
■ Keshav Garg- Counter Cyclical PMS
■ Trupti Sukhla-Bullseye
■ Amit Chandra - HDFC Securities
■ Dipesh Mehta- Emkay Global
■ Sarad Koli- Individual Investor
■ Amit Aggrawal- Leeway Enterprise

Moderator: Ladies and gentlemen, good day, and welcome to the Tanla Platforms Q4 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Ritu Mehta from Tanla Platforms. Thank you. And over to you, ma'am.

Ritu Mehta: A very good afternoon and a warm welcome to our Q4 earnings call. Joining us with us today are Uday Reddy, Founder Chairman & CEO; Deepak Goyal, Executive Director; Anubhav Batra, CFO. Before we start the call, let me draw your attention to the fact that today's discussion may feature statements that are forward-looking in nature. All statements other than statements of historical facts, could be deemed forward-looking in nature. Such statements are inherently subject to risks and uncertainties, some of which cannot be quantified or predicted. A detailed disclosure in this regard is mentioned in the results presentation that is uploaded on our website. Audio recording and transcript will be available soon.

Hope, everybody got a chance to go through our Investor Presentation and Shareholder Letter. The management will be happy to answer any questions, and we will now open the floor for Q&A.

Question-and-Answer Session

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press * and then 1 on their touch-tone phone. If you wish to remove yourself from question queue you may press * and 2. Participants are requested to holdsets while asking your question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. Participants you may press * and then 1 to ask a question. Our first question comes from the line of Deepak Chokhani from Rade Capital. Please go ahead.

Deepak Chokhani: Thank you for this opportunity. I have three questions. We have cash of ₹1,000 crores. And of course, the dividend is pretty handsomely given along with buy backs. Just wondering why not think of some

acquisitions in the AI space, especially voice? And why not explore acquisitions in related areas, which can propel our growth? That's my first question.

Second question is, last call, I think it was told that by March, the company will sign another ATP deal with one more bank. So, I just want an update on that.

And the last question is, we have ₹12 crores of FX loss. Of course, I know, I mean, the USD has moved sharply against the rupee. However, are we not hedging? And if at all, if you are hedging, then what went wrong and how can we avoid this in future? And also, can we show this as a separate line item in the P&L? Of course, it's mentioned in the investor presentation, but I think it will help the investors to have more clarity and assess the overall EBITDA in a proper way. That's it. Thanks.

Uday Kumar Reddy: Hi Deepak, Uday here. So, let me answer the first and second question, and third question, I will pass it on to Anubhav. Though we have a very extensive discussion on the hedging in our last Board meeting. So, when it comes to the acquisition line, we're pretty open, but we are not actively not looking for any acquisition, but we're pretty open. So, as and when we find the right investments, I think we are quite keen, but we always believe in build versus buy, right? And, all these AI companies are, I mean, the expectations are skyrocketing. So, we need to be very really mindful. So, we would rather focus on build versus buy. So, that's what my comment like, that's number one.

Number two, ATP, yes, we have signed the third deal. In fact, we went live last month. We added the third bank, which is Bandhan Bank. So, we already integrated. We went live with them. I think we've billed for one month this quarter? We billed one month for the Q4 of last year. And, in terms of hedging, Anubhav?

Anubhav Batra: Yeah. So, Deepak on hedging, basically, it's a non-cash item because of mark- to-market of some payables. We do have a hedging policy. And honestly, our international payable and receivable provide a natural hedge, but this one is more of a specific, liability balance sheet item, which got restated and it obviously because of the USD-INR excessive fluctuation, this hit us badly in this quarter. But we did call it out separately, so that all the investors may get a fair view of our operational profitability.

We are reworking on our hedging policy to see if we can reduce the exposure, and it will get addressed not just by the policy, but also we're trying to settle this balance sheet item to ensure that there is a minimalistic P&L volatility in the coming quarters. Because the timing of this payout was not certain, we could not go ahead and do a forward cover to this, because of the uncertainty of timing of the cash flow. But we would want to take it out away from our balance sheet as soon as possible to reduce the volatility so.

Deepak Chokhani: Right. Understood. So just a follow-up question, Uday, on the first point. I do understand that the valuations are pretty high in the AI space. So, you prefer building something versus acquiring. So, could you just tell us what new products are we working on? And, what new platforms you may be working on? If you can just throw some light on that?

Uday Kumar Reddy: Deepak, I think it's not a fair enough part to share our innovation growth plan road map. But having said that, we are expected to launch one gigantic platform this quarter. So really, we have been betting big on this platform for quite some time. I'm personally working on this platform for the last 40 days. I think we should be able to announce the market in the next probably a month time

Deepak Chokhani: Superb. All the best. Thank you.

Uday Kumar Reddy: Thank you.

Moderator: Thank you. Our next question comes from the line of Keshav Garg from Counter Cyclical PMS. Please go ahead.

Keshav Garg: I'm new to the company, so please pardon my ignorance. I'm just trying to understand why our operating margins are continuously falling, since FY22. And have they stabilised at these levels now at 16% EBITDA? Or do you see further dip or you see the same margin profile going forward? Or you expect a bounce back from these levels?

Anubhav Batra: So, Keshav, Anubhav here. We do have seen a decline, but honestly, we have become range bound. If you look at it, the operating profit at a gross margin level has improved slightly in the last couple of quarters. At the same time, at EBITDA level, we are making some conscious investments in GTM, and we have called it out in earlier earnings call as well on both the innovation side and in GTM side, we're investing in growth. So, because of that, the EBITDA percentage appears to be where it is. But we do see them improving as well as at least holding on in the near future and our investments are going to continue the GTM side, but they will bear fruits in the coming quarters, and you already see that some marginal improvement has happened on the gross margin profile.

Keshav Garg: Great. That's really reassuring to hear. And what about the top line, looking at the kind of demand and feedback from our customers and so on, what kind of broad range do you expect the revenue for the next, let's say, three to five years that in our businesses we can sustain.

Uday Kumar Reddy: Deepak, do you want to take that question? Deepak?

Deepak Goyal: Yeah, hi, Deepak here. So, you see, we are seeing a growth of overall, revenue growth of CPaaS industry for about, you can say, 8% on an average, 8% to 10%. There's organic growth, how the industry is growing. And, we see ourselves gunning a larger share on year-on-year basis. We

expect that our market share would also increase with the kind of investments we have made. And, it's going to be definitely more than 10% a year.

Keshav Garg: Okay. Understood. And, if you could just give us some idea about what has been the experience of our counterparts in Western countries like the advanced markets of, let's say, U. S., So, are they still intermediaries like us, the role that we are playing in India, are they similar companies or they have an integrated model where in the telcos or the WhatsApp, etc., they are directly doing what we are doing?

Uday Kumar Reddy: Deepak?

Deepak Goyal: Yeah, Uday. If I understood your question correctly, you were saying the working model of CPaaS player the same as India in the U.S., the answer is yes. In fact, there are few companies, international companies, they operate in India as well as in the U.S., for example, Sinch, and there are more. So, yeah, it's more or less, it's the same.

Keshav Garg: Okay. So, what is our right to win like the example you gave of Bandhan Bank, who has recently joined us or is expected to join our customer list. So, our competitors, what is their proposition versus what is our proposition? Is it 100% pricing based? Or is there something else also which tilts the balance in our favour?

Deepak Goyal: See, it is always innovation-led. That's what we always believe in having a differentiator over our competitors, that's why our customers always keep the faith in us. So that reflects in our customer base, if you look at it any seven or eight, top 10 names in any vertical, if you pick up, you'll find them as our customers. Having said that, you talk about Bandhan Bank. So, what Uday mentioned, Bandhan Bank we acquired them for our anti-phishing platform, which is, again, a great innovation, which we did a couple of years back. And we are getting very good traction in the market.

t. And, Bandhan Bank has been using our CPaaS services for quite some time from KariX, anyway.

Keshav Garg: Understood. And what is the kind of capex that we are looking at on a per annum basis, I can see that over the past three, four years, it's between ₹100 crores and ₹150 crores. So, is that trajectory expected to continue?

Uday Kumar Reddy: What is your question? So, can you please repeat?

Keshav Reddy: So, I just wanted to get a hang about the capex requirements in this business. Over the past four, five years, it seems we are doing something like ₹100 crores to ₹150 crores per annum. So, is that trajectory expected to continue in the future, ₹100 crores to ₹150 crores per annum capex?

Uday Kumar Reddy: Yes, yes. Yes, absolutely, yes.

Keshav Garg: Ok, sir, understood. Thank you very much. And I must congratulate for a very timely share buyback and the excellent dividend payout. So, on behalf of all the shareholders, I want to thank you. Thanks a lot.

Moderator: Thank you. A reminder to all the participants, if you wish to register for a question, please press * and then 1. Our next question comes from the line of Trupti Sukhla from Bullseye. Please go ahead.

Trupti Sukhla: Thanks for the opportunity. I have actually two questions on the Digital Platform segment. My first question, given the exceptional 98.2% gross margin on Digital Platform segment, this is clearly the growth engine profitability, future profitability. But however, achieving ₹395 crores in FY 26 represents single-digit growth despite of your heavy investment in Wisely Ai. So can you provide a broad...

Uday Kumar Reddy: Trupti, sorry to disturb you. Your voice is cracking. I think you have a very bad network. Your voice is cracking.

Trupti Sukhla: Okay. I just wanted to know that we have ₹395 crores in Digital Platform segment, which represents single-digit growth despite heavy investment in Wisely Ai. So, can you provide broad growth target for this division for FY27 and FY28? And specifically what percentage of your FY27 it is already locked in via signed contracts or committed pipelines?

Anubhav Batra: Digital Platforms has a contribution from our traditional offerings as well as new offerings like

Wisely Ai while the growth looks a little moderate, it is because some products are dependent on the channel base growth, which are growing at a steady pace. However, Wisely Ai kind of platforms obviously are growing at a much faster pace? You would have seen that we onboarded one large telco globally and it contributed to a significant number this year. We basically expect the growth to be much faster in the coming years because we would like to multiply our efforts on Wisely Ai and it should actually bear more fruits in the coming quarters where we would be able to convert more of such customers, and the growth rate should accelerate.

Trupti Sukhla: Okay. Can you provide me the percentage mix, a growth target and income for FY27 and FY28?

Anubhav Batra: Sorry, Triputi, we don't actually issue any forward-looking statements. So, I can't give specific percentage, but definitely, we would want to aspire for higher percentage growth.

Trupti Sukhla: So, I have a question you have highlighted that ₹300 crores in revenue came from new logos. And that 23% of the new client onboarded via WhatsApp and RCS. So, could you breakdown exactly how much percentage of that flow directly into Digital Platform segment? And furthermore, looking at clients, what is the current sales for new version migrating from them?

Anubhav Batra: Sorry, Trupti your voice is actually breaking quite a bit. The question is not clear.

Moderator: Trupti mam if you are using any speaker phone or any external headset, may I request you to use the handset?

Trupti Sukhla: Okay, I am actually using the external handset.

Trupti Sukhla: Am I audible

le now?

Uday Kumar Reddy: No. So let her come back. Moderator, let her come back.

Moderator: Sure. Ma'am, we request you to try calling us once again and ask your questions. Thank you. Our next question comes from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Thanks for the opportunity. So, my first question is on the enterprise business. Obviously, we are back on growth in the enterprise side. And a large part of that growth is being fuelled by the OTT channel that we have built over the last three years. But based on the current run rate, we are already at ₹1,000 crores kind of a run rate on OTT. So, the base has expanded. So, from here on, what kind of growth rate can we expect on the OTT channel and in terms of the engagement with our existing clients, are we seeing the penetration in terms of, is actually coming from the existing clients or we are getting net new clients on the OTT side? And also, on the enterprise business, ex of OTT, what is the stability that we just saying the business, which obviously has stabilised. But on the domestic piece, is it the existing clients are increasing their spend on the existing channels, all the CPaaS channels? Or is there any like newer technologies that we are also working on in terms of offerings?

Deepak Goyal: Hi Amit, Deepak here. So firstly, I would like to say that, yes, OTT channels are growing very fast, WhatsApp is growing very fast. And in terms of new channels, RCS adoption is happening quite fast. And even SMS is also growing in terms of volumes because you are aware that most of the

messages which are sent are mandated by the regulators, like RBI, SEBI and IRDA to all the banking alerts, UPI alerts, you are aware of it.

And so, when these transactions go up, so the volumes also go up. However, it may not be reflecting everything into higher revenues because their always price going down little on the SMS side. As far as OTT is opening new use cases, very interesting use cases, which is actually helping us engaging, retaining our customers and our focus was this year was to increase our wallet share by offering new use cases by offering very interesting journeys to the customers and which has really helped us in solidifying our existing customer base.

Other than that, we have done very well in acquiring new logos as well. For example, we won Reserve Bank of India. So, case now Reserve Bank of India is very closely working with us. We won Bank of Baroda, which was not there with us. It's one of the largest banks which were not there with us. And in terms of our existing customers, I'll just give you one of the largest e-commerce company they recently, we were able to increase our wallet share to more than 50%,

because they started, earlier, they were only giving us a messaging business. Now they are giving us OTT as well, because the kind of solutions we created for them. So, I'm overall very happy the way our team has performed in terms of on the OTT space.

You must be aware that even Meta has, I mean in the last financial year, they recognise us as the 'Partner of the Year' for India. And then Google acknowledged us as a 'Partner of the Year'. So yeah, so we are doing very well on OTT space. We are doing very well on the solutioning side and that is helping us winning new customers as well as increasing our wallet share with our existing customers.

And you also talk about new technologies. So, for the CPaaS space, new technologies, what we call it new channels also, which is RCS, which is unlocking a lot of possibilities for us. In terms of new platforms, I mean, Tanla keeps coming up with new ideas and new platforms.

So that is helping us, let's say for example, Bandhan Bank, we just closed. There's one such example, which Bandhan Bank was working very closely with Karix for CPaaS services, and we are able to sell our anti-phishing platform as well. Similarly, we hope to win more banks in this financial year. And as Uday mentioned, Tanla is working on new platforms. And we are very excited that our enterprise team would be able to sell these platforms to our enterprise customers.

Amit Chandra: And also, how we are preparing ourselves for the technology risk because the AI world, the tech is changing very fast. And, how we are preparing ourselves for that. And also, there is a regulatory kind of lot of risk, a regulatory change that could also happen where sending SMS will no longer be compulsory. So, are we also seeing or preparing ourselves for such kind of scenario and shifting our focus from that? Because what is happening in the voice or the SMS business, we are seeing volumes growth, but there is a continuous pricing shrinkage that is happening both from the large banks and also from the Government segment, because volumes are coming, but it's not actually showing growth.

Deepak Goyal: Yeah. So yes, Uday please.

Uday Kumar Reddy: Deepak, go ahead.

Deepak Goyal: Yeah, Amit. So firstly, Uday mentioned is, I mean, we are AI-native company. Tanla is doing a lot of innovations, and our platforms are built using AI. So, we are very excited with those opportunities and those possibilities. So that is that. On the other side, what was the other question?

Amit Chandra: Government volumes and bank volumes, such as...

Deepak Goyal: Yeah, see. I hope these things I mentioned earlier also, it happens. And then there is always a reset happens. So, we hope, soon we may see some reset happening over there on the prices as well.

Amit Chandra: Okay. So, what we're expecting is prices have bottomed out or we can see some revisions there in terms of pricing?

Deepak Goyal: It is on the cards. When it will happen, I can't say.

Amit Chandra: Okay. And what will be the mix of the government-led institutions volume in our overall volume mix? If you can give some colour on that?

Deepak Goyal: You mean central government or central or state government or are you talking about PSU banks and all that?

Amit Chandra: Yes. No, no. So, the PSU banks also plus NIC or the central government agencies.

Deepak Goyal: See, the PSU banks, is a very good share of our overall volumes, and it is growing. As you must be aware that PSU banks are doing very well in the country today. I mean, with our kind of focus on the central government and everything. And we manage very significantly large volumes for the PSU banks. And those volumes are growing. On the government side, we have NIC, and then we have some small other government institutions. So primarily, it is NIC, but again, NIC is a very small, I mean, percentage of our overall business.

Anubhav Batra: And also, Amit, just to add from the total volumes that we do with PSUs and government deal regulated part of the messages is obviously a small subset of it, because we do many more use cases than just the regulated usages.

Amit Chandra: Okay. And on the platform side, obviously, we have been upfront in terms of investments, and we have quite a lot of platforms there, and we have closed some deals also go to India and internationally, but it's not getting reflected or it's not getting converted into the growth number as of now. So, is it both a timing issue? Or you are seeing some other structural challenges or some kind of challenges there that for scaling up? And also, in terms of the international strategy, how you are seeing the growth for the next year, domestic versus international.

Anubhav Batra: Amit, it is honestly more of a timing issue. There is no structural changes or shift happening. It is basically

basically to do with how quickly can we replicate our success like we have done it a couple of times in India and abroad. So, we obviously accelerating our efforts on the GTM side to ensure that the proportion becomes higher and it reflects in the overall performance of the company. So, it's basically just a matter of time that it will start reflecting like that.

Amit Chandra: Okay. And the international expansion that we invested in the last year. So, what kind of growth we can expect from domestic versus international?

Anubhav Batra: Yeah, so international actually continues to be a significant focus area. So, I mean our efforts are equally distributed in expanding in India as well as other geographies. So, a significant portion of growth is going to come from outside India.

Amit Chandra: Okay. Thank you and all the best.

Moderator: Thank you. Your next question comes from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta: Yeah. Thanks for the opportunity. A couple of questions. First, on the FY26, can you provide some sense about volume and realisation breakout or maybe quarter for whichever way you can provide some sense how it is playing out? Second question is on the ATP side. You said the deal which we signed, can you provide the earlier two deals? How that is scaled and how it is, let's say, whether revenue is linked with the number of messages which we block or it is fixed price based. So, some control around it, how generally revenue scale up happen? Third question is about the OTT channel. Now if I look, let's say, last four quarters as a percentage of revenue, it largely remains stable, around 31%, 32% each quarter, which, in a way, indicate OTT channel's growth also moderated to the company average kind of thing. So, I just want to understand your

broad thought process, whether market has stabilised between different channels, SMS versus other OTT channel? And if yes, what would be the reason? Because, I presume OTT channels should have grown faster. Thank you.

Anubhav Batra: Yeah, so actually, first and third question is linked in a way, Dipesh, because OTT continues to grow faster than SMS. However, since SMS is more price sensitive in that sense, so, the volumes are growing at a much faster pace. There is some stress on the pricing. Although it has not declined significantly, but there is pricing pressure. So, volumes grow faster. In OTT, the correction in price is obviously slower. It is less competitive. So overall, we see significant growth in volumes and slight traction in prices. That's the mix of price volume. And, on the second question, the ATP deals are basically per subscriber per month kind of basis. So, it is not linked with the number of messages blocked, it is actually basis on the number of subscribers protected. So that's the model we work on.

Dipesh Mehta: Just on the first and third, which you link on OTT side. Now if, let's say, SMS is facing pricing pressure, then OTTs share should have increased, right? In your case, a full four quarter OTT share remained flat, 31%, 32% kind of thing, which, in a way, indicate OTT volume and realisation both put together is not showing any different behaviour than SMS growth.

Deepak Goyal: No, see, I'll tell you. See what happens is, I think Anubhav also mentioned the same thing that. When we talk about OTT, so it's primarily WhatsApp which is more than, I would say, 80% or 90%, right? And because RCS is still gaining, I mean, still small comparatively. And when we talk about WhatsApp, then there are promotional messages, and then there are utility messages. And the focus is on, so the WhatsApp is growing more on utility and they want to bring down the promotion because of customer complaints, the user experience is going bad and all that. You

must have seen, even your boxes must be getting cluttered with all kind of promotional messages,

which even Meta doesn't want. They want to bring it down. And these messages are very expensive. I mean, almost 10 times more expensive compared to your transactional messages or utility messages, let's say if you get any information or any transaction on your WhatsApp, right? So, WhatsApp also wants to grow those messages and bring the volume down for marketing. So, even though the volumes are growing, but it may not be reflecting in the revenues or the revenue growth per se.

Dipesh Mehta: No, I understand. And that is what my bigger question, was whether now market is stabilising because the way you are indicating because of the mix change between promotional and utility messages, blended realisation might have come down for WhatsApp messages, which is reflected in despite higher volume growth, lower blended realisation giving you flattish kind of similar growth at company average. Do you think this would be the now stabilised kind of market, which in a way indicate OTT channel growth will converge with overall market growth?

Deepak Goyal: Okay. So, it's like this, we operate, let's say, when I talk about our enterprise business. So, our enterprise business happened like about 75% to 80% business happening from the top 250 customers, let's say. And, then you have a long tail from where your 15% to 20% business coming from another fifty, sixty thousand enterprises. So, this is how the CPaaS market is stacked. And, as far we are concerned, we are there and almost 80% of these customers. We are present and now we are trying to increase our wallet share. Having said that, now when we talk about OTT, I mean, you would see that WhatsApp is still growing year-on-year, the growth is very, very high because they are venturing into SME market. So, their target is maybe a 2 million SMEs in the country, where currently, we are not operating. So, where we are operating, yes, you are right that it is very well stabilised. But then there's another huge market where they have small TSP (Technology Service Provider), who are there in every small city, and they are providing services to let's say, some salon, some grocery store or some could be any housing society and all of that. So that's a very different market altogether. Where the growth is very, very high.

Dipesh Mehta: Understood. But from Tanla or enterprise market perspective, this is right now seeing some kind of stability, OTT channel growth. That is the right way to understand?

Deepak Goyal: Yes.

Dipesh Mehta: Okay. And last question is about the reason for delay in closure of ValueFirst international because almost three years now. Can you provide some sense what is leading to this delay?

Anubhav Batra: Dipesh, the reason actually continues to be the same. We are still coordinating with the key regulatory authority to fast track it as much as much as possible. And we are also looking at any alternate if it is possible, because it has caused significant delays. So, we are now also evaluating if there are any other ways to consolidate those businesses, because it's been a long time. So actually, working on both sides in the sense that alternate approach as well as expediting approvals from RBI.

Dipesh Mehta: I'm not very clear. What are the reasons? You said it is regulatory approach, but let's say, where it gets stuck.

Anubhav Batra: No, it is just stuck at a RBI level because there are some old matters which had to be clarified, etc. There is a documentation going on with RBI set of questions being asked, etc. So that's where we are currently.

Dipesh Mehta: Okay. Thank you.

Moderator: Thank you. Your next question comes from the line of Sarad Koli an Individual Investor. Please go ahead.

Sarad Koli: Yeah. Hi, I have a few questions. The first question is, can you give us some, because there's never been any deep disclosure on what makes up the platform business, and rec

ently that you

guys signed the Indosat and I think from the last conference call, you mentioned that it's for entire subscriber base, which is 100 million subscribers. Can you give some sense as to on a yearly basis, you charge ₹10, ₹20, ₹30 per subscriber. So, it's easy for us to kind of at least project

some kind of growth of the ₹400 crore business that you have on the platform side? That's my first question. And similarly, if you can just give a broad outline on how much do you collect per user on the banking side for the ATP product? Those are my questions on that.

And then I know this UAE thing has been taking a while. But when you made the acquisition first, I asked that question then. I think the answer you gave was that the business when you acquired ValueFirst, the UAE subsidiary was about ₹200 crores of top line and single-digit gross margin. Can you give us some kind of guidance on where that ₹200 crore has gone, whether it is become ₹300 crores, ₹400 crores. And I know that you guys are, once you acquire someone, you kind of expand the margin. So, it will be helpful to understand that that low-single digit gross margin has that gone to double-digits or not?

And then the final question is just a more broader picture at the Board level. Do you guys have a sense of when you might be thinking of splitting? And this is not an immediate question, but I mean it's a question I am asking now, but it's not an immediate event, but are there any thoughts in terms of saying that now that the platform business gross margin is half, it's about ₹100-plus crores half of the enterprise business. The Indian markets clearly are not valuing that business, and we have examples of companies listed in the U.S. and Europe, which derive a much higher multiple. Is there any thoughts saying that, okay, once we get to ₹300 crores, or ₹400 crores gross margin business on the platform side, we will look to split these companies and list that in a different market. Those are my questions.

Moderator: Sorry to interrupt, the line for the management has been dropped. Just please stay connected while we reconnect the line with the management. Ladies and gentlemen, thank you for staying connected. We have the line for the management reconnected. Please go ahead, yes.

Uday Kumar Reddy: Sarad are you there?

Sarad Koli: Yeah, Uday. Thanks.

Uday Kumar Reddy: Sarad, let me start with the last question first right now, so we don't have any such plans, but our top focus is to grow our platform margin/revenues as fast as we can. We're also expecting a good growth this year, though I'm not in a position to share anything beyond that. But we are pretty much focused, opportunities are very big. As you know, like we have the first deployment with Indosat, which is outside India. That platform is doing a phenomenal job. So, we are investing outside India. In fact, we are recruiting the people outside India first time. So yeah, but we don't have any intention to get listed outside India right now. So that's number one. When it comes to Indosat, where both the platform Wisely Ai and Wisely ATP, which is deployed in India right now like they get paid per user per month, okay. So that's how it works like. It's more a subscription model. And they're all long-term deals.

If I'm allowed to say, we closed with three banks in India on the ATP. I think, if I remember correctly like it's all long-term deals, which are around five years deals and same with Indosat. It's a pretty long-term deals subscription model whenever they add the subscribers, we get paid for that subscriber from that contract. So that's how it works.

Sarad Koli: Uday, I understand that. I was just wondering because there's no breakdown between Trubloq and ATP and this Indosat deal on the ₹400 crores of platform business, I was trying to understand from a modelling perspective, if you could just give some guidance, it's 100 million times ₹10 or ₹20 per subscriber. So, I can just say, okay, I can do some rough estimation, saying 100 million times, ₹10, it is ₹100 crores per year on Indosat? Is there anything you can help with that?

Uday Kumar Reddy: Not right now, Sarad, probably next quarter

Sarad Koli: Okay. And then on the UAE side, I don't know if you heard that question

Uday Kumar Reddy: Yes, yes. On the UAE side, like as I think Anubhav has given the reasons why it's got delayed. But I think we have a very extensive discussion in the Board meeting last week. And I think we asked consultants to look at different options, legal options side. I think we should be able to see some light in this quarter. That's what we kind of realised last week. So that's number one. And effectively, we should be able to close the deal in this quarter. Let me commit that. That's number one. Number two, yes in terms of the margins, I think our Karix team is helping them to improve the margins, which I think they have grown from some single digit to I think to almost

22% gross margin. But in terms of top line, I think there are still around ₹150 crores to ₹170 crores as we speak per annum. But it's a question of once we transfer this business to our teams outside India, you see the magic. So let me commit that we will close this quarter, probably effectively around ₹150 crores to ₹170 crores top line, with around 22% gross margin is going to add to this financial year.

Sarad Koli: So, you guys have basically expanded your margin, almost doubled your margins.

Uday Kumar Reddy: Yes

Sarad Koli: Thank you.

Moderator: Thank you. Your next question comes from the line of Amit Aggarwal from Leeway Investments. Please go ahead

Amit Aggarwal: Good afternoon. There was an article in the news regarding that UPI transactions will do away with SMS notifications. How much business will be affected because of that development? And my second question is more and more bigger companies are going for in-house in-app notifications as they're cost effective. How much business do they do and what is the future of our SMS and WhatsApp notifications because bigger companies are going for in-app notifications? These are my two questions

Anubhav Batra : So, Amit, like we mentioned in the earlier question as well, we do a lot of use cases for PSU and other government banks and government organisations. But honestly regulated, I would say

there would be an impact, but it's a single-digit percentage of our overall volumes that we do, which fall under strictly regulated kind of messages. So, and there will be alternate methods of doing that communication and we are obviously enhancing our product portfolio to ensure if there is any other way of authenticating the users, we also kind of participate in that channel. For example, there could be network APIs, etc., from telcos, which can be used as alternate. So that is on the regulated messages. And on in-app notification, honestly, it's not a new way of connecting with the user. It has been there for many, many years now. But the kind of use cases we do on OTT and other SMS channels, it is much more engaging in nature. So, I think in-app notification will not have significant impact because it has not had a significant impact on the business. So, we don't think that there will be an impact there because of in-app notification

Amit Aggarwal: Various companies like Blinkit and Swiggy, which are the biggest e-growing commerce companies, they hardly use our system, I suppose. Am I right?

Anubhav Batra : Yes, they use our system

Deepak Goyal: I will tell you. Firstly, both are our customers, Zomato as well as Swiggy. They both are our customers. Number two, so you see the difference, why they don't, you may not be getting too much of SMS notifications when you order a food, or you order anything. The reason being because this is a very, very unique case over here. You pick up your phone, you order food, that time your eyes are very much there. And then and there, the deal gets closed, okay. And you get to know that your order is accepted, everything has happened within the app itself. So there's nothing much is there. But let's say, if you look at those still Zomato does a lot of other use cases over there. But let's say, look at if you order from Flipkart, okay. So, the delivery takes about four days, six days, whatever. So, you will get a message here, your order is accepted, that you will see in your app. But next day, you will get a message that your order is on the way, be ready for the delivery. Here is your OTP. Then you get another message, it is delivered. So, all those then those would be sent by via SMS or via WhatsApp. Because that time you are not in your app.

Amit Aggarwal: So, there's not much usage in Blinkit, I suppose, right? Is that right?

Deepak Goyal: So, for certain use cases, as I said, for certain cases, the use is less, but that is there, it's not that it has come down now. It is always like that. Let's say even for when you book Ola or Uber cabs. Again, Ola, you are very much there in the app, and the entire journey is getting completed then and there. That is a different kind of use case altogether. When you come out of the app, everything is over. You don't need any other confirmations or anything. So, that is the case.

Amit Aggarwal: As far as I understand, in the future, we should be more dependent on the smaller enterprises rather than the very big enterprises because they have...

Deepak Goyal: No, no, no. It is not about small or big enterprises. Here, I'm talking about very few unique cases where you can see, call out Quick Commerce, you talk about those cabs and all. Otherwise, I mean you look at Flipkart, look at Amazon, you look at Myntra, look at Nykaa, Mee Shoo, BigBasket. They are all our customers. They all are and their number of transactions are going up and even our transactions are going up, along with them.

Amit Aggarwal: And, my question is how much business are we going to lose because of UPI is doing away with SMS notifications in the future?

Deepak Goyal: UPI is doing away with SMS notifications, I'm not aware of.

Amit Aggarwal: Because, it came in the news in the month of February.

Deepak Goyal: No, you must be talking about the silent authentication for OTPs.

Amit Aggarwal: No, no, I'm talking about UPI notification that ₹100 sent, ₹1,000 sent to you or whatever.

Anubhav Batra: That's not changing, I think Amit I think it is about; it is to do with the value of less than, let's say, we are talking about a particular denomination if you spend less than that money any currently also, there is no UPI notification on SMS.

Amit Aggarwal: No, I think that we discussed two, three conferences back, but there was a news article. I can send it to you next time.

Deepak Goyal: I will tell you, a lot of banks, they have their own rules. And, RBI is also flexible about it where certain banks they say that we will not send notification for less than ₹100. That's going on for multiple years now for two, three years back, banks have adopted certain things. Some banks say we will not send any notification for less than ₹500. That is already in force.

Amit Aggarwal: But how much business are we getting from the UPI? Are you able to disclose that?

Deepak Goyal: Sorry, how much business are we getting from UPI?

Amit Aggarwal: Yeah.

Deepak Goyal: No, we will not be able to call out that number, Amit.

Amit Aggarwal: And my second question is regarding like Indonesian deal. How many telcos can we expect in next two or three years? Is it difficult because there are hundreds of telecom companies around the world. So, how much difficult is to crack some more telecom companies around the world?

Anubhav Batra: So, Amit, the sales cycle is long, but obviously, like you mentioned, the universe is humongous. So, we are actually gunning for as much as acquisition of telco client as possible. We can't give a number as such, but obviously, the pipeline is huge and the opportunity is huge we want to convert it.

Amit Aggarwal: Okay, thank you. Thank you. Best of luck!

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Ms. Ritu Mehta for closing comments.

Ritu Mehta: Thank you everybody for joining. In case we could not answer your questions, please reach out to Investor help desk. We will be happy to answer. Thank you. Good evening.

Moderator: Thank you. On behalf of Tanla Platforms Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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